STATE BUDGET

2025-26

SOUTH AUSTRALIA

Government of South Australia

Budget Statement | Budget Paper 3

STATE BUDGET
2025-26

BUDGET PAPER 1: BUDGET OVERVIEW

A summary publication capturing all highlights from the 2025-26 Budget.

BUDGET PAPER 2: BUDGET SPEECH

A copy of the Treasurer's speech, delivered to Parliament.

BUDGET PAPER 3: BUDGET STATEMENT

A financial report presenting the state government's current and estimated future economic performance, fiscal strategy, budget priorities, expenditure, revenue, assets, liabilities, risks and government business.

BUDGET PAPER 4: AGENCY STATEMENTS | VOLUMES 1, 2, 3, 4

Various financial reports presenting the state government's current and estimated revenue, expenses and performance by agency.

BUDGET PAPER 5: BUDGET MEASURES STATEMENT

A financial report detailing the state government's expenditure, savings and revenue initiatives.

ACKNOWLEDGEMENT OF COUNTRY

We acknowledge Aboriginal people as the state's first peoples, nations and Traditional Owners of South Australian land and waters. We recognise that their unique cultural heritage, customs, spiritual beliefs and relationship with the land are of ongoing importance today, and we pay our respects to Elders past, present and emerging leaders of the future.

ACKNOWLEDGEMENTS
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Budget Paper 3

2025-26
Budget Statement

Presented by
the Honourable Stephen Mullighan MP
Treasurer of South Australia
on the occasion of the Budget for 2025-26

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Chapter 1: Budget context and overview

Budget context

The 2025-26 Budget continues the government's investment in supporting the economic future of South Australia as well as providing important social services and infrastructure. It includes the government's significant investment to secure the long-term future of the Whyalla steelworks and support the Whyalla community. It provides support to drought affected farmers and communities across South Australia and continues to support South Australian households with cost of living relief.

The budget includes a substantial investment in law and order providing funding for additional police to reach 5000 sworn officers by 2031 as well as additional resources to increase prison capacity and support road safety.

The budget also includes additional funding for schools, more resources to meet housing challenges, building on initiatives previously announced as part of the government's *A Better Housing Future* and *Housing Roadmap* and additional funding for the public health system to meet increasing levels of demand and the higher cost of service delivery across local health networks.

In total, the 2025-26 Budget provides $4.3 billion over the period 2025-26 to 2028-29, in addition to $1.0 billion in 2024-25, for new expenditure initiatives and revenue measures that support the government's key priorities.

Consistent with its commitment to implement priorities in a fiscally sustainable manner, the government has budgeted for net operating surpluses in each year over the forward estimates.

No new taxes or tax increases are included in the 2025-26 Budget.

Since the 2024-25 Mid-Year Budget Review (MYBR), GST grant revenue has been revised up by $189 million in 2024-25 and by $386 million over the period 2025-26 to 2027-28, largely reflecting the outcome of stronger national GST pool and South Australian population share forecasts in the Commonwealth Government's 2025-26 Budget compared to its 2024-25 Budget. State taxation revenues have been revised up by $167 million in 2024-25 since the 2024-25 MYBR and by a further $796 million over the period 2025-26 to 2027-28, mainly due to a stronger than expected property market.

The non-financial public sector (NFPS) investing program totals $27.3 billion over the period 2025-26 to 2028-29, with $1.3 billion of new initiatives supported in the 2025-26 Budget.

As a result of the additional resources provided in the 2025-26 Budget for key services and the continued investment in infrastructure, NFPS net debt is projected to increase over the forward estimates, rising to $48.5 billion by 30 June 2029.

Budget overview

There is expected to be an $18 million general government net operating balance surplus in 2024-25, with the budget projected to remain in surplus across the forward estimates.

Law and Order

The 2025-26 Budget includes a significant additional investment in law and order, including:

- $138.9 million over four years to:
  - increase sworn officer numbers by 243 FTE by 2028-29 (and a further 83 FTE by 2030-31) to reach a target of 5000 sworn officers by 2030-31, including an increase to SAPOL's motorcycle capacity by 33 FTE
  - increase police security officers by 98 FTE by 2028-29 to progressively expand the successful civilianisation model into regional areas to free up capacity of front-line police

  - facilitate the redeployment of 20 FTE police officers into priority operational policing duties by civilianisation of various support roles in SAPOL
  - continue accelerated police recruitment
- $72.4 million over five years for the construction of an additional 116 beds to increase prison capacity across various prison facilities
- $31.1 million over four years for additional sustainment works on police infrastructure
- $9.4 million over four years to support the Office of the Director of Public Prosecutions
- $8.1 million over four years to establish an additional 30 bed Bail Accommodation Support Program which will create a remand to bail pathway, assist in reducing recidivism and contribute to Closing the Gap targets
- $6.8 million over four years for prison security enhancements focused on reducing contraband entering prisons.

Education

In January 2025, the government signed the new *Better and Fairer Schools Agreement* with the Commonwealth Government providing an additional $1.25 billion joint investment in education over 10 years. The 2025-26 Budget provides other support to the education sector, including:

- $96.0 million over four years to continue the $200 reduction to government school parents, caregivers and independent students for the materials and services charge
- $70.0 million, including $44 million beyond 2028-29, for a new Birth to Year 6 school in northern metropolitan Adelaide with construction to commence by the end of the forward estimates period
- $40.0 million over four years in sustainment works to improve the amenity of the government's existing school and preschool infrastructure
- $27.7 million over four years from 2025-26 to accelerate the roll out of 3-year-old preschool in a long day care setting providing over 2000 additional places from 2026 and bring forward the long day care roll out by 12 months.

The existing $178 million low interest School Loans Scheme has also been extended to not-for-profit early childhood education and care providers, with priority given to infrastructure projects that support early years enrolment capacity in geographic areas where there is demand. The scheme will be renamed the School and Preschool Loans Scheme.

Housing

The 2025-26 Budget builds on the initiatives previously announced as part of the government's *A Better Housing Future* and *Housing Roadmap*, measures include:

- delivery of the Playford Alive East project including more than 1300 additional housing outcomes ($270.1 million of capital expenditure from 2024-25 to 2032-33)
- projects supported by the Commonwealth Government's Housing Australia Affordability Future Fund Facility — Round 2. The projects will deliver South Australia's notional allocation for Round 2 which has a target of 5000 dwellings nationally ($135.1 million of capital expenditure from 2025-26 to 2027-28)
- delivery of the Southwark Master Plan including up to 1300 additional housing outcomes ($104.7 million of capital expenditure from 2024-25 to 2029-30)
- delivery of land to market at Onkaparinga Heights to provide at least 2000 additional allotments for housing development ($30.5 million of capital expenditure from 2026-27 to 2031-32)

- additional funding for remote indigenous housing to continue the delivery of property and tenancy management services for selected remote Aboriginal communities following the cessation of Commonwealth Government funding ($12.0 million in 2025-26)
- a rent-to-buy affordable housing initiative to transition the sale of 100 properties under construction as part of the current affordable housing initiative to a rent-to-buy scheme for a period of up to three years.

Cost of living

The 2025-26 Budget provides $118.3 million over five years for initiatives that support South Australians facing cost of living pressures, including:

- $96.0 million over four years to continue the $200 reduction to government school parents, caregivers and independent students for the materials and services charge
- $20.7 million over four years to reduce the price of the student metroCARD 28-day pass from $28.60 in 2024-25 to $10 in 2025-26
- $1.6 million in 2024-25 to support the Remote Area Energy Supply scheme due to a rise in the price of diesel fuel required to provide energy services to remote communities and townships serviced by the scheme.

Economy

In addition to the joint $2.4 billion investment that is being delivered in partnership with the Commonwealth Government to secure the long-term future of the Whyalla steelworks, the 2025-26 Budget provides for a range of initiatives that will also support the South Australian economy, including:

- $103.0 million over four years for the digital investment fund to fund new initiatives in cyber security and digital infrastructure and service initiatives, and to establish a specific artificial intelligence (AI) program to maximise the benefits and promote growing the use of AI applications across the South Australian public sector
- $45.0 million in 2025-26 to continue emergency fruit fly response activities following further outbreaks
- $30.0 million over four years to support step change upgrades to South Australian based National Collaborative Research Infrastructure Strategy facilities
- $10.9 million over four years to Business Events Adelaide to attract major and international business events, conventions, trade shows and conferences to South Australia
- $8.3 million over two years from 2024-25 to support preparation for Adelaide to host the 31st Conference of the Parties (COP31) in November 2026, should the Commonwealth Government bid be successful
- $5.0 million over two years from 2025-26 to support South Australian industries impacted by the current global environment and escalation of tariffs
- $5.0 million over three years from 2025-26 for Aboriginal community-controlled organisations
- $3.3 million over two years to assist South Australian local businesses develop the requisite capability and capacity to enter global supply chains for nuclear-powered submarines and support Australian defence programs, including the SSN-AUKUS build program

- $3.2 million over four years to expand the Small Business Strategy
- $3.0 million in 2024-25 to support eligible South Australian dairy farmers impacted by the collapse of Beston Global Food group.

The government will also establish a new South Australian Early-Stage Venture Capital Fund that will seek to grow the innovation ecosystem in South Australia through venture capital investments into South Australian companies in need of equity capital to support commercialisation and growth into national and global markets. The government will contribute $50 million and seek further contributions from potential investors to grow the fund.

Support for health

The 2025-26 Budget provides a substantial increase in the level of health resources including:

- $1.7 billion over five years from 2024-25 to address the increasing levels of demand experienced in our public health system and the higher cost of service delivery across local health networks
- $49.8 million over five years from 2024-25 (in addition to investing expenditure of $27.2 million over two years from 2025-26), funded by the Commonwealth Government, to deliver the South Australia Comprehensive Cancer Network
- $42.9 million over four years from 2024-25, funded by the Commonwealth Government, to support older people who are, or are at risk of becoming, long stay patients
- $13.9 million over five years to support the continuation of the Mental Health Co-Responder Program in northern and central metropolitan Adelaide and expand the program to southern Adelaide.

Other measures

Following release of the 2025-26 Budget, the government will approach the market with a pipeline of potential projects to be delivered via a Public Private Partnership (PPP) approach.

This is intended to initially comprise the new schools announced last year and in this year's budget, including two new pre and primary schools (in Mount Barker and the northern suburbs) and a new northern suburbs high school. Further infrastructure projects may be identified and added to the program over time, including future infrastructure projects that the government may consider in other portfolios such as police, where delivery via a PPP is considered beneficial.

Building on support provided in previous budgets, the 2025-26 Budget increases the government's investment in road safety including additional road safety cameras, expanding SAPOL's motorcycle capability and additional funding to increase road safety campaigns and road safety maintenance including road resurfacing, safety barrier replacement and maintenance of electrical assets including traffic signals.

Following on from $129.1 million provided in the 2024-25 MYBR, the budget provides a further $85.1 million over four years to support children and young people in care.

Further details on all measures included in the 2025-26 Budget can be found in Budget Paper 5: Budget Measures Statement.

Fiscal targets

The government's fiscal targets are set out in table 1.1. The targets remain unchanged from previous years.

Table 1.1: Fiscal targets

Target 1	Achieve a net operating surplus in the general government sector every year.
Target 2	Limit general government operating expenditure growth to trend growth in household income.
Target 3	Achieve a level of net debt that is sustainable over the forward estimates.

Underpinning the three main fiscal targets, the government continues previous commitments that:

- the operations of public corporations that cannot be paid for from their own revenue streams will be funded from the budget (consistent with the government's obligations under the Competition Principles Agreement)
- the defined benefit unfunded superannuation liability will be fully funded by 2034.

Table 1.2 shows the government's fiscal position compared to the fiscal targets over the forward estimates.

Table 1.2: Fiscal targets outcomes — 2025-26 Budget estimates

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Target 1: net operating balance surplus					
Target	Achieve a net operating surplus every year				
2025-26 Budget estimate ($m)	**18**	**179**	**369**	**458**	**315**
Target 2: operating expense growth					
Target (%)	Average growth limited to trend growth in household income (4% per annum)				
2025-26 Budget estimate (%)					
– Annual (%)	**8.8%**	**4.1%**	**1.9%**	**2.0%**	**2.8%**
– Average (%)	**Average growth 2024-25 to 2028-29 of 2.7% per annum**				
Target 3: achieve a level of net debt that is sustainable over the forward estimates	**73.6%**	**80.3%**	**89.7%**	**101.2%**	**110.0%**
	(GGS net debt to revenue ratio)				
	99.9%	**107.6%**	**117.2%**	**125.9%**	**136.7%**
	(NFPS net debt to revenue ratio)				

Target 1 reflects the commitment to funding operating expenditures from operating revenues. The 2025-26 Budget projects a net operating surplus in the general government (GG) sector in 2024-25 and over the forward estimates.

Target 2 limits the growth in operating expenditure in order to maintain a pattern of sustainable growth having regard to trend household income growth, irrespective of the annual growth in revenues. The average operating expenditure growth over four years is 2.7 per cent. This reflects a constrained approach to expenditure in the context of ongoing service demands placed on the government, with the long-term trend growth in household income at 4 per cent, and inflation estimated to grow at 2¾ per cent in 2024-25 and average around 2.7 per cent over the forward estimates.

The higher growth in 2024-25 is in part due to the Whyalla steelworks support package and additional funding for SA Health to address increased levels of activity and the higher cost of service delivery.

Target 3 requires the maintenance of sustainable debt levels that allow for borrowings for investment in key infrastructure without placing undue burden on future generations.

The projected level of NFPS net debt is lower in all years through to 2027-28 compared to the estimates published in the 2024-25 MYBR and is projected to rise to $48.5 billion in 2028-29 as the government continues to fund key infrastructure. Although the level of net debt and the cost of that debt is increasing, the government has maintained operating surpluses across all years of the forward estimates.

The government is also on target to fully fund the state's defined benefit superannuation liability by 2034. Further information on the state's unfunded superannuation liability can be found in Chapter 4.

Summary of key fiscal indicators

Table 1.3 sets out the expected budget outcomes for 2024-25 and across the forward estimates for a number of key fiscal indicators.

Table 1.3: Summary of key budget indicators

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Operating statement					
Net operating balance — GG sector ($m)	18	179	369	458	315
Net lending — GG sector ($m)	-2 249	-2 443	-3 502	-3 604	-2 986
Operating revenue and expenses					
Revenue nominal growth — GG sector (%)	7.3	4.7	2.5	2.3	2.3
Expenses nominal growth — GG sector (%)	8.8	4.1	1.9	2.0	2.8
Balance sheet					
Net debt — GG sector ($m)	22 052	25 201	28 838	33 303	37 031
Net debt to revenue — GG sector (%)	73.6	80.3	89.7	101.2	110.0
Net debt — NFP sector ($m)	31 381	35 539	39 901	44 258	48 495
Net debt to revenue — NFP sector (%)	99.9	107.6	117.2	125.9	136.7
Unfunded superannuation ($m)	6 437	5 945	5 410	4 824	4 186

Operating statement

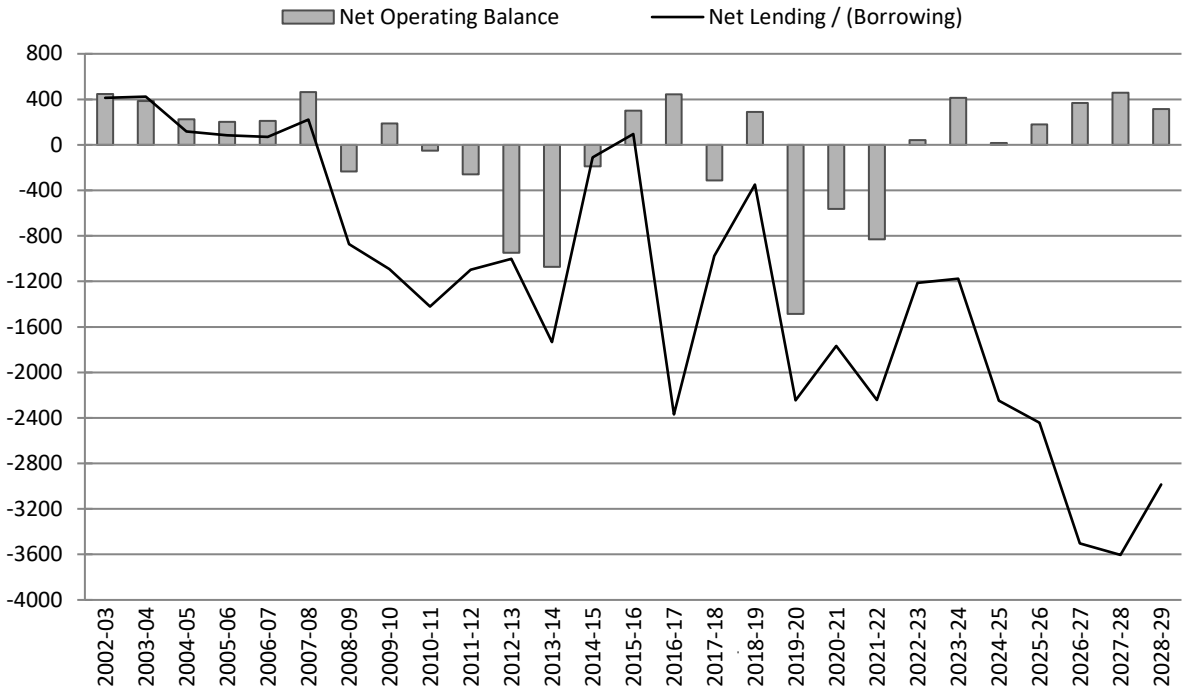
Net operating balance and net lending

The government recorded a net operating surplus in the past two years and is projecting to deliver a surplus in 2024-25 and keep the budget in surplus across all years of the forward estimates.

The general government net lending deficits across the forward estimates reflect the government's large capital program including expenditure on significant major projects including the North-South Corridor — River Torrens to Darlington project, the new Women's and Children's Hospital as well as other key investments in health, the road network and schools.

Figure 1.1 illustrates the general government sector net operating balance and net lending position from 2002-03 to 2028-29.

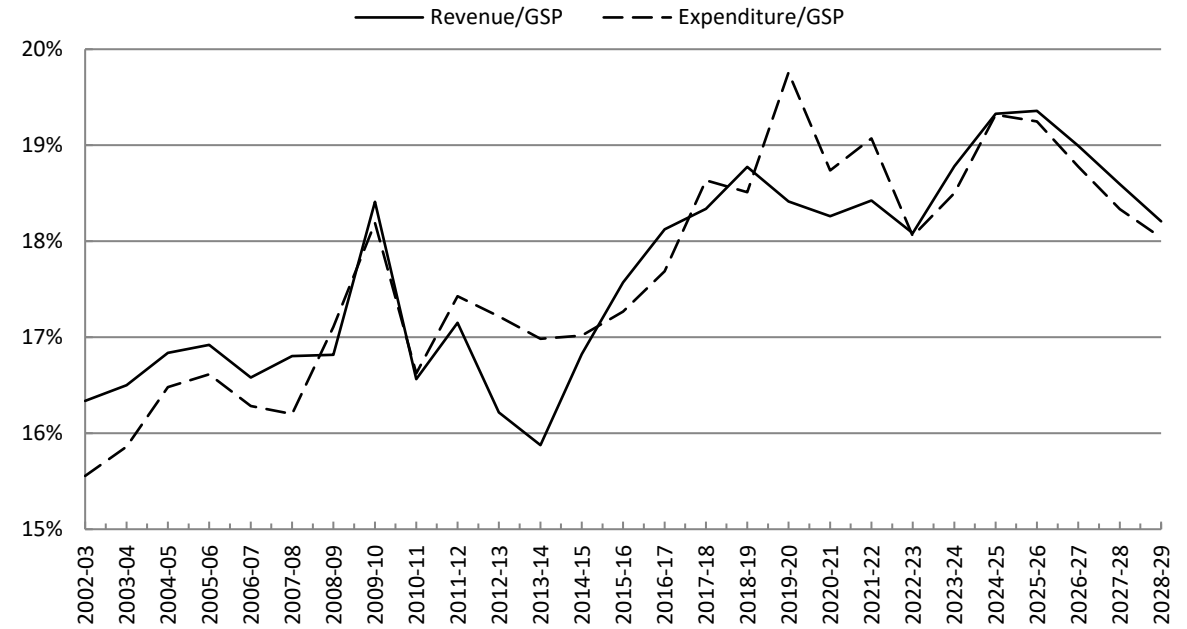
Figure 1.1: General government sector net operating balance and net lending ($million)



Revenues and expenses

Figure 1.2 illustrates revenue and expenditure as a percentage of gross state product (GSP) from 2002-03 to 2028-29.

Figure 1.2: General government sector revenue and expenditure as a percentage of GSP



Total revenue as a share of the economy is projected to average 18.9 per cent over the period 2024-25 to 2028-29. This compares to an average of 17.4 per cent over the period 2002-03 to 2023-24.

Expenditure as a percentage of GSP is forecast to drop to 18.0 per cent by 2028-29 from a high of 19.8 per cent in 2019-20.

Table 1.4 provides operating statement details for the general government sector. The full suite of accrual statements produced under the Uniform Presentation Framework is provided in Appendix A.

Table 1.4: General government sector operating statement — 2024-25 to 2028-29 ($million)

	2024-25 Budget	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Revenue						
Taxation revenue	6 650	7 020	7 285	7 547	7 819	8 101
Grants						
GST revenue grants	8 942	9 129	9 529	9 802	9 743	9 802
Other grants	7 022	7 757	8 410	8 526	8 887	9 087
Sales of goods and services	3 405	3 571	3 652	3 751	3 871	3 973
Interest income	464	461	431	463	472	482
Dividend and income tax equivalent income	298	284	316	305	284	371
Other	1 791	1 748	1 746	1 772	1 826	1 856
Total revenue	**28 572**	**29 970**	**31 369**	**32 166**	**32 903**	**33 671**
less **Expenses**						
Employee expenses	10 472	10 933	11 418	11 707	12 048	12 407
Superannuation expenses						
Superannuation interest cost	290	297	271	249	225	199
Other superannuation expenses	1 211	1 267	1 362	1 393	1 432	1 475
Depreciation and amortisation	1 620	1 673	1 666	1 739	1 803	1 876
Interest expenses	1 486	1 410	1 619	1 876	2 145	2 446
Other property expenses	—	—	—	—	—	—
Other operating expenses	9 184	9 783	10 351	10 486	10 445	10 544
Grants	4 061	4 590	4 503	4 346	4 346	4 409
Total expenses	**28 323**	**29 953**	**31 190**	**31 796**	**32 445**	**33 356**
equals **Net operating balance**	**248**	**18**	**179**	**369**	**458**	**315**
Net Operating Result	**248**	**18**	**179**	**369**	**458**	**315**
plus Other economic flows	287	173	264	502	602	361
equals **Comprehensive result — total change in net worth**	**536**	**190**	**443**	**872**	**1 059**	**675**
Net operating balance	**248**	**18**	**179**	**369**	**458**	**315**

	2024-25 Budget	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
less **Net acquisition of non-financial assets**						
Purchases of non-financial assets	4 495	4 065	4 629	5 675	5 929	5 407
less Sales of non-financial assets	73	126	341	65	64	231
less Depreciation	1 620	1 673	1 666	1 739	1 803	1 876
plus Change in inventories	—	—	—	—	—	—
plus Other movements in non-financial assets	—	—	—	—	—	—
equals **Total net acquisition of non-financial assets**	**2 801**	**2 267**	**2 622**	**3 871**	**4 062**	**3 300**
equals **Net lending/borrowing**	**-2 552**	**-2 249**	**-2 443**	**-3 502**	**-3 604**	**-2 986**

Note: Totals may not add due to rounding.

The attachment to this chapter summarises the variations since the 2024-25 Budget to the general government net operating balance (table 1.5) and net lending estimates (table 1.6).

The attachment also summarises the variations to revenue, expenses and capital investment expenditure since the 2024-25 MYBR (table 1.7) and provides commentary on those variations.

Attachment: Variations since the 2024-25 Budget

Table 1.5: General government sector net operating balance — policy and parameter variations since the 2024-25 Budget ($million)

	2024-25	2025-26	2026-27	2027-28
Estimate at 2024–25 Budget	**248**	**458**	**568**	**403**
Parameter and other variations to 2024-25 MYBR				
Revenue — taxation	204	117	111	101
Revenue — other	70	70	104	89
Operating expenses	-199	-284	-14	-39
Net effect of parameter and other variations	**75**	**-97**	**201**	**151**
Policy measures to 2024-25 MYBR				
Revenue measures — taxation	—	—	—	—
Revenue measures — other	—	—	—	—
Revenue offsets — taxation	—	—	—	—
Revenue offsets	25	44	27	17
Revenue investing offsets	190	361	166	111
Operating expenses	-338	-315	-319	-230
Operating savings	—	—	—	—
Net effect of policy measures	**-122**	**89**	**-126**	**-102**
Estimate at 2024-25 MYBR	**201**	**449**	**643**	**452**
Parameter and other variations to 2025-26 Budget				
Revenue — taxation	167	261	269	266
Revenue — other	483	399	319	314
Operating expenses	-107	24	-314	-171
Net effect of parameter and other variations	**543**	**684**	**273**	**410**
Policy measures to 2025-26 Budget				
Revenue measures — taxation	—	—	—	—
Revenue measures — other	—	-29	-29	-29
Revenue offsets — taxation	—	—	—	—
Revenue offsets	260	279	77	107
Revenue investing offsets	—	35	77	105
Operating expenses	-986	-1 240	-672	-586
Operating savings	—	—	—	—
Net effect of policy measures	**-726**	**-955**	**-547**	**-404**
Estimate at 2025-26 Budget	**18**	**179**	**369**	**458**

Note: Totals may not add due to rounding.

Table 1.6: General government sector net lending — policy and parameter variations since the 2024-25 Budget ($million)

	2024-25	2025-26	2026-27	2027-28
Estimate at 2024-25 Budget	**-2 552**	**-2 630**	**-3 326**	**-3 379**
Net effect of operating variations to 2024-25 MYBR	**-47**	**-8**	**75**	**49**
Parameter variations to 2024-25 MYBR[(a)]				
Investing expenditure	400	141	86	-259
Asset sales	8	19	1	—
Depreciation	8	7	—	9
Total Parameter Investing Variations	**416**	**168**	**87**	**-250**
Policy measures to the 2024-25 MYBR				
Investing expenditure	-413	-796	-344	-226
Investing savings	—	—	—	—
Asset sales	—	—	—	—
Net effect of policy measures to 2024-25 MYBR	**-413**	**-796**	**-344**	**-226**
Total investing variations	**3**	**-628**	**-256**	**-476**
Estimate at 2024-25 MYBR	**-2 596**	**-3 266**	**-3 508**	**-3 805**
Net effect of operating variations to 2025-26 Budget	**-184**	**-271**	**-274**	**6**
Parameter variations[(a)]				
Investing expenditure	451	1 055	522	525
Asset sales	44	256	3	1
Depreciation	44	-28	-58	-80
Total Parameter Investing Variations	**539**	**1 284**	**468**	**447**
Policy variations to 2025-26 Budget				
Investing expenditure	-8	-190	-188	-251
Investing savings	—	—	—	—
Asset sales	—	—	—	—
Net effect of policy measures to 2025-26 Budget	**-8**	**-190**	**-188**	**-251**
Total investing variations	**531**	**1 093**	**280**	**195**
Estimate at 2025-26 Budget	**-2 249**	**-2 443**	**-3 502**	**-3 604**

Note: Totals may not add due to rounding.

(a) Investing variations relate to the movements in net acquisition on non-financial assets.

Table 1.7: General government sector revenue, expense and capital investment expenditure variations (parameter and other) since the 2024-25 MYBR ($million)

	2024-25	2025-26	2026-27	2027-28
Revenue — taxation				
Payroll tax	—	—	—	—
Conveyances	127	147	152	149
Land tax — private	—	54	56	57
Land tax — public	3	4	4	3
Other property tax	14	4	3	2
Insurance taxes	14	14	15	15
Gambling taxes	9	10	11	11
Motor vehicle taxes	—	28	29	29
Other taxes	—	—	—	—
Total taxation revenue	**167**	**261**	**269**	**266**
Revenue — other				
GST revenue grants	189	92	159	135
Commonwealth specific purpose and national partnership grants				
SPP grants	-27	97	99	102
NP grants	140	40	-183	-167
Other contributions and grants	72	60	56	62
Sales of goods and services	109	120	88	77
Dividends and income tax equivalents	-20	-2	38	31
Interest income	-13	-1	46	55
Royalties	-2	1	5	9
Other revenue	34	-7	10	10
Total other revenue	**483**	**399**	**319**	**314**
Operating expenses				
Nominal superannuation interest expense	—	3	2	2
Interest expense	30	-68	-85	-83
Depreciation	-44	28	58	80
Carryovers (net of provision for slippage)	-1	29	-20	-8
Other variations	-92	32	-270	-162
Total expenses	**-107**	**24**	**-314**	**-171**
Investing variations				
Depreciation	44	-28	-58	-80
Carryovers (net of provision for slippage)	-2	105	-75	-34
Other variations	497	1 206	601	561
Total Investing variations	**539**	**1 284**	**468**	**447**

Note: Totals may not add due to rounding.

Variations in revenue estimates (parameter and other)

Since the 2024-25 MYBR, taxation revenues have been revised up in all years mainly due to conveyance duty and land tax revenue reflecting strong property market conditions.

Payroll tax revenue forecasts are unchanged compared to those in the 2024-25 MYBR.

Conveyance duty revenue has been revised up in all years. The upward revision in 2024-25 reflects stronger than expected growth in residential property prices and transactions, which flows through to future years.

Land tax revenue is largely unchanged in 2024-25 and has been revised up from 2025-26. The upward revision in 2025-26 reflects stronger than expected growth in property site values over the 2024 calendar year, which informs valuations for the 2025-26 land tax year. The upward revision to land tax revenue in 2025-26 flows through to future years as a base effect.

Other property tax revenue revisions mainly reflect higher interest revenue on the Agents Indemnity Fund in 2024-25 and 2025-26, and updated estimates for the Emergency Services Levy (ESL) across the forward estimates to fund expected emergency services expenditure.

Insurance tax revenue has been revised up in all years largely reflecting stronger than expected growth in general insurance premiums. The upward revision in 2024-25 flows through to future years as a base effect.

Gambling tax revenue has been revised up in all years due to stronger than expected collections from gaming machines in hotels and clubs in 2024-25, which flows through to future years as a base effect.

Motor vehicle tax revenue is unchanged in 2024-25 and has been revised up from 2025-26. The upward revisions from 2025-26 reflect higher forecast motor vehicle registration fee revenue.

South Australia's GST revenue grants have been revised up in all years largely reflecting the stronger national GST pool and population share forecasts in the Commonwealth Government's 2025-26 Budget compared with its 2024-25 Budget forecasts.

Commonwealth Government ongoing tied grants for specific purposes have been revised down in 2024-25 and up from 2025-26. The downward revision is consistent with current National Health Reform Agreement (NHRA) parameters. The upward revisions from 2025-26 reflects the recognition of additional funding to be received under the one-year extension to the current NHRA, as well as higher quality schools funding for both non-government and government schools.

Commonwealth Government national partnership (NP) grants have been revised up in 2024-25 and 2025-26 and revised down from 2026-27. The upward revisions largely reflect funding for the Thriving Suburbs and Urban Precincts and Partnerships Programs as well as the National Energy Bill Relief Plan including its extension into 2025-26. The downward revisions from 2026-27 is mainly due to revised construction profiles and the anticipated timing of Commonwealth Government revenue for a range of transport infrastructure projects.

Other contributions and grants have been revised up in all years primarily reflecting an increase in Commonwealth Government revenue associated with the Pharmaceutical Benefits Scheme (PBS) and aged care services.

Sales of goods and services revenue has been revised up in all years reflecting higher than expected demand for services across the public health system as well as higher revenues from land service fees due to strong property market conditions.

Dividend and income tax equivalent revenue has been revised down in 2024-25 and 2025-26 and revised up from 2026-27. The downward revisions largely reflect lower distributions from the South Australian Government Financing Authority due to an increase in provisions established for insurance claims. The upward revisions from 2026-27 reflect higher distributions from Renewal SA and SA Water due to revised forecasts for business conditions.

Interest revenue revisions across the forward estimates are variable and largely reflect the impact of revised forecasts for agency cash balances.

Royalty estimates are largely unchanged in 2024-25 and 2025-26, with upward revisions from 2025-26 mainly reflecting the impact of higher mineral royalties supported by stronger forecasts for commodity prices and production levels.

Other revenue revisions are variable across the forward estimates. The upward revision in 2024-25 primarily reflects the recognition of revenue from the return of funds from the Whyalla Steelworks Operational Efficiency Improvement Fund to support the long-term future of the Whyalla steelworks and community. The downward revision in 2025-26 is impacted by a delay in the rollout of new road safety cameras and lower than expected collections from court related fines and fruit fly expiations.

Variations in expense and capital investment expenditure estimates (parameter and other)

Operating Expenses

The nominal superannuation interest expense has been revised down by an average of around $2 million per annum over the period 2025-26 to 2027-28 since the 2024-25 MYBR primarily due to the lower estimated unfunded superannuation liability.

Interest expenses have decreased in 2024-25 due to the lower debt position and interest rates compared to the forecast in the 2024-25 MYBR. While borrowings remain lower through to 2027-28 compared to the 2024-25 MYBR, interest expenses have increased from 2025-26 largely due to upward revisions to forecast interest rates.

Depreciation has been updated to reflect revisions in asset bases and the timing of project completion across a number of agencies.

Carryover expenditure reflects expenditure that was forecast to be undertaken by agencies in 2024-25, which will now be incurred in later years. Operating carryovers from 2024-25 to 2025-26 and future years are $159 million (which are offset by slippage provisions). The 2025-26 Budget also includes adjustments to the provision for operating slippage over the forward estimates based on the recent average level of carryovers applied to the revised operating expenditure budget in each year.

The significant movements in the ‘other variations’ category are principally due to expenditure associated with Commonwealth Government funding for schools, higher grant expenditure to legal assistance organisations including Family Violence Prevention Legal Services under the new National Access to Justice Partnership agreement and energy bill relief, as well as revisions to centrally held provisions.

Investing

The carryover of investing expenditure in 2025-26 reflects delays in project expenditure in 2024-25. Where appropriate, an estimate of expenditure for these projects has been carried forward into future years. Net investing carryovers from 2024-25 to 2025-26 and future years are $337 million, offset by slippage provisions. The 2025-26 Budget also includes a provision for project slippage over the forward estimates based on the recent average level of carryovers applied to the revised investing expenditure budget in each year.

The movements in the net capital investment expenditure ‘other variations’ are primarily a result of the deferral of the Hydrogen Jobs Plan infrastructure and the reprofile of capital project expenditure across the forward estimates including revisions to road transport projects.

Chapter 2: Expenditure

This chapter provides an overview of new expenditure initiatives in the 2025-26 Budget and describes the trends in aggregate general government expenditure over the forward estimates period. Full details of all budget initiatives are provided in the 2025-26 Budget Measures Statement. This chapter also provides a summary of the general government capital program and the major capital projects that are being undertaken.

New general government operating and investing expenditure initiatives in the 2025-26 Budget total $3.8 billion over the next four years, with a further $994 million expenditure on new operating and investing initiatives occurring in 2024-25.

The expenditure initiatives in the 2025-26 Budget are partially offset by $883 million over four years of revenue offsets, with a further $260 million of revenue offsets occurring in 2024-25, mainly reflecting initiatives that will be partially funded by the Commonwealth Government.

Table 2.1 provides a summary of the new expenditure initiatives across the forward estimates.

Table 2.1: General government initiatives ($million)[(a)]

	2024-25 Estimate	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Operating expenditure initiatives	-986	-1 240	-672	-586	-340
Revenue offsets	260	279	77	107	59
Operating savings	—	—	—	—	—
Total operating initiatives	**-726**	**-961**	**-596**	**-480**	**-281**
Investing expenditure initiatives	-8	-190	-188	-251	-318
Revenue offsets	—	35	77	105	144
Investing savings	—	—	—	—	—
Asset sales	—	—	—	—	—
Total investing initiatives	**-8**	**-155**	**-110**	**-147**	**-173**

Note: Totals may not add due to rounding.
(a) Excludes depreciation on investing initiatives.

New initiatives

New operating expenditure initiatives in the general government sector total $2.8 billion over the next four years, in addition to $986 million in 2024-25. The operating initiatives include:

- $1.7 billion over five years from 2024-25 to address the increasing levels of demand experienced across our public health system and the higher cost of service delivery across local health networks
- A $2.4 billion joint package that seeks to secure the long-term future of the Whyalla steelworks and support the Whyalla community. $1.2 billion is budgeted over six years from 2024-25, being the State's contribution of $650 million towards the package, plus the Commonwealth's contribution towards steelworks administration costs and the Whyalla emergency response package that is being paid through the State. The budget also includes a provision to continue the current administration period (and on the basis that the Commonwealth Government will agree to continue to contribute towards half this cost).
- $85.1 million over four years from 2024-25 to support children and young people in care
- $69.8 million over four years from 2025-26 for additional sworn police officers to support frontline policing
- $55.4 million over five years from 2024-25 for additional drought support measures, taking total drought support provided to $73.4 million when combined with the government's initial package announced in 2024

- $49.8 million over five years from 2024-25 (in addition to investing expenditure of $27.2 million over two years from 2025-26) to deliver the South Australia Comprehensive Cancer Network, funded by the Commonwealth Government
- $45.0 million over four years from 2025-26 (in addition to investing expenditure of $30.0 million over four years from 2025-26) to provide additional capacity for the digital investment fund to fund new initiatives, given the significant demand for investments in cyber security and digital initiatives

  In addition, the 2025-26 Budget includes $18.4 million over four years from 2025-26 (in addition to investing expenditure of $9.6 million over four years from 2025-26) to establish a specific artificial intelligence (AI) program within the government's digital investment fund to maximise on the benefits and promote growing the use of applications across the South Australian public sector
- $45.0 million in 2025-26 to continue emergency fruit fly response activities following further outbreaks
- $43.5 million over five years from 2024-25 (in addition to investing expenditure of $28.9 million in 2025-26) to increase prison capacity by an additional 116 beds by undertaking expansions across various facilities
- $42.9 million over four years from 2024-25 to support older people who are, or are at risk of becoming, long stay patients, funded by the Commonwealth Government
- $30.0 million over four years from 2025-26 to support step change upgrades to South Australian based National Collaborative Research Infrastructure Strategy facilities
- $29.6 million over three years from 2026-27 for the expansion of the successful police security officer model into regional areas
- $27.7 million over four years from 2025-26 to accelerate the roll out of 3-year-old preschool in a long day care setting. This is in response to a higher level of interest from the sector than originally estimated in the 2024-25 Budget following completion of an expression of interest process
- $20.9 million over three years from 2024-25 to support eligible South Australian local government authorities to invest in infrastructure that will substitute River Murray water used for open space irrigation and industrial uses in South Australia with stormwater, treated wastewater or other alternative water sources, funded by the Commonwealth Government
- $20.0 million in 2025-26 for the Business Growth Fund, focusing on supporting eligible South Australian small and medium businesses and not-for-profit organisations to invest in energy efficient equipment or improvements to reduce and manage energy use and costs. It is anticipated that applications will be opened in July 2025, with businesses able to register their interest in the meantime
- $20.0 million over two years from 2024-25 for an advanced soft plastics recycling technology project to increase recycling and recovery rates of hard to recycle plastics, funded by the Commonwealth Government
- $20.0 million over four years from 2025-26 to establish a Multicultural Community Fund to support our multicultural community in South Australia by developing and upgrading community infrastructure facilities and assisting to host festivals and events that celebrate cultural diversity
- $14.0 million in 2025-26 to continue the annual replenishment of sand at West Beach and other Adelaide coastal areas and to extend the implementation of the recommendations of the Adelaide Beach Management Review
- $13.5 million over four years from 2025-26 to extend and expand the programs and operations of the Defence Innovation Partnership
- $13.0 million over four years from 2025-26 to deliver on the government's arts and cultural policy "A Place to Create" which will enhance access to arts and cultural experiences for all South Australians, support artists and creatives, and ensure the sustainability of arts organisations and cultural institutions
- $12.1 million over four years from 2025-26 for a range of measures to enable Energy and Mining to oversee the Whyalla steelworks industrial transformation and the divestment of hydrogen enabled gas turbines acquired as part of the now deferred Hydrogen Jobs Plan

- $11.1 million in 2024-25 for the extension of aerial firefighting aircraft availability in line with bushfire risk as well as supporting the Country Fire Service with the cost of responding to significant fires
- $10.9 million over four years from 2025-26 to Business Events Adelaide to attract major and international business events, conventions, trade shows and conferences to South Australia
- $10.2 million over five years from 2024-25 (in addition to investing expenditure of $2.4 million in 2025-26) to transition the current Mount Barker on Demand (Keoride) trial service into a permanent Adelaide Metro service.

A summary of the operating expenditure initiatives by agency is shown in table 2.2. Full details of all operating expenditure initiatives can be found in Budget Paper 5: Budget Measures Statement.

Table 2.2: New operating initiatives by agency ($million)[(a)]

Agency	2024-25 Estimate	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Across Government	-420.0	-527.2	-111.6	-120.0	-78.4
Attorney-General	-0.3	-9.2	-9.8	-9.5	-9.5
Child Protection	-18.6	-64.7	-6.5	-0.6	—
Correctional Services	-0.9	-10.2	-13.2	-16.8	-17.5
Courts	—	-1.5	-1.5	-1.2	-1.2
Defence SA	—	-4.0	-4.0	-4.1	-4.1
Education	—	-6.4	-11.5	-9.6	-4.7
Electoral Commission	-0.3	-5.9	-1.0	—	—
Emergency Services — CFS	-11.2	-1.8	-1.6	-1.7	-1.8
Emergency Services — SAFECOM	—	-0.3	-0.2	-0.2	-0.2
Emergency Services — SES	—	-0.3	-0.3	-0.3	-0.3
Energy and Mining	-2.0	-10.3	-1.1	-1.1	-1.1
Environment and Water	-15.0	-49.3	-35.3	-4.7	-2.7
Green Industries SA	-14.0	-6.0	—	—	—
Health and Wellbeing	-490.1	-451.6	-398.5	-324.9	-119.5
Housing and Urban Development	-0.1	-0.1	-0.1	-0.2	-0.2
Human Services	—	-7.1	-7.8	-4.9	-5.0
Infrastructure and Transport	-1.0	-3.8	-5.9	-6.0	-6.1
Police	—	-8.9	-34.7	-55.2	-69.4
Premier and Cabinet	-0.4	-11.7	-11.7	-11.4	-11.7
Primary Industries and Regions	-9.2	-46.9	-0.2	-0.2	-0.2
State Development	-0.1	-11.7	-13.9	-11.7	-6.0
Treasury and Finance Administered Items	-3.0	-1.0	-2.0	-2.0	—
Total operating expenditure	**-986.1**	**-1 239.9**	**-672.4**	**-586.3**	**-339.9**

Note: Totals may not add due to rounding.
(a) Excludes depreciation on investing initiatives.

New investing expenditure initiatives in the general government sector total $947 million over the next four years, in addition to $8 million in 2024-25. Key measures include:

- $656.3 million from 2025-26 (including $480.3 million beyond 2028-29) for stage 1 of the High Productivity Vehicle Network project which will deliver upgrades between the Swanport Bridge on the Princes Highway and Truro on the Sturt Highway, funded in partnership with the Commonwealth Government

- $250.0 million over five years from 2025-26 (including $8.0 million beyond 2028-29) for the removal of the Curtis Road level crossing in Munno Para in northern Adelaide, removing the need for road traffic to interact with the Gawler passenger rail line, funded in partnership with the Commonwealth Government
- $80.0 million over five years from 2025-26 (including $32.8 million beyond 2028-29) to deliver critical safety improvement works along Main South Road between Myponga and Yankalilla, funded in partnership with the Commonwealth Government
- $70.0 million over 4 years from 2027-28 (including $44.0 million beyond 2028-29) to respond to demand for school enrolment places in northern metropolitan Adelaide by providing an additional 460 places (60 preschool and 400 primary school) through the construction of a new Birth to Year 6 school
- $45.0 million over three years from 2025-26 to support the delivery of the new Mount Barker Hospital
- $44.4 million over four years from 2025-26 for the purchase of a replacement coastal research vessel
- $40.0 million over four years from 2025-26 to support additional sustainment works to improve the amenity of the government's existing school and preschool infrastructure
- $39.0 million over three years from 2024-25 (in addition to operating expenditure of $32.1 million over three years from 2024-25) to enhance River Murray environmental flows by removing physical barriers and constraints along the river system, funded by the Commonwealth Government
- $31.1 million over four years from 2025-26 to undertake additional sustainment works to improve the amenity of essential South Australia Police infrastructure and plant and equipment
- $20.0 million over two years from 2027-28 to deliver additional road safety maintenance works for regional and metropolitan roads such as road resurfacing, and maintenance of electrical assets, including traffic signals
- $20.0 million across four years from 2025-26 to undertake critical works and upgrades on essential courts infrastructure and plant and equipment
- $15.0 million over two years from 2025-26 to upgrade the Port Augusta wharf to allow public access and amenity for recreational purposes, funded in partnership with the Commonwealth Government.

A summary of investing expenditure initiatives by agency is shown in table 2.3. Full details of all investing expenditure initiatives are provided in Budget Paper 5: Budget Measures Statement.

Table 2.3: New investing initiatives by agency ($million)[(a)]

Agency	2024-25 Estimate	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Across Government	—	-4.4	-6.4	-6.4	-22.4
Attorney-General	—	-0.6	—	—	—
Correctional Services	—	-31.0	—	—	—
Courts	—	-5.0	-5.0	-5.0	-5.0
Education	—	-10.0	-10.0	-16.0	-30.0
Electoral Commission	—	-0.2	—	—	—
Emergency Services — CFS	—	-1.2	-1.2	—	—
Emergency Services — SES	—	-0.2	-0.2	-0.2	-0.2
Energy and Mining	—	-0.5	—	—	—
Environment and Water	-4.2	-31.2	-16.1	-0.1	-0.3
Health and Wellbeing	-2.0	-33.8	-35.5	-16.9	—
Housing and Urban Development	—	—	-0.1	-0.1	-0.1
Infrastructure and Transport	—	-28.7	-71.6	-184.5	-238.5
Police	-0.1	-29.3	-26.4	-9.2	-8.1
Premier and Cabinet	-1.0	-2.4	-0.4	—	—
Primary Industries and Regions	—	-6.0	-13.0	-12.5	-12.9
State Development	-0.9	-5.4	-1.8	-0.7	-0.3
Total investing expenditure	**-8.3**	**-190.0**	**-187.7**	**-251.5**	**-317.6**

Note: Totals may not add due to rounding.
(a) Excludes depreciation on investing initiatives.

Other new measures

In addition to the general government initiatives reflected above, the 2025-26 Budget builds on the initiatives previously announced as part of the government's *A Better Housing Future* and *Housing Roadmap* by providing a range of other housing initiatives. These initiatives are outlined in Chapter 5.

Savings

The government has retained its policy of applying efficiency measures to each year to encourage public services to be delivered as efficiently as possible.

The existing savings in table 2.4 reflect the commencement of previously approved efficiencies and savings measures. Agencies have been developing strategies over time to achieve these savings.

Table 2.4: General government savings ($million)

	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Existing savings commencing from 2025-26	130.1	317.2	565.0	719.7
Total Savings	**130.1**	**317.2**	**565.0**	**719.7**

To continue to assist agencies in the delivery of savings and efficiency measures, a targeted voluntary separation package (TVSP) scheme, which has been in operation since November 2010, remains in place. TVSP payouts are calculated as 10 weeks base plus two weeks per year of service up to a maximum of 52 weeks' pay.

TVSPs are available at the discretion of chief executives. An offer of a TVSP can be made to an employee who is excess to the requirements of an agency or is to become excess imminently because the substantive position/role or duties they are/were employed in has been, or is to be, abolished. Agencies are responsible for managing costs associated with TVSPs and separation payments.

General government operating expenditure

Forward estimates of general government expenses by type are shown in table 2.5.

Table 2.5: General government expenditure ($million)

	2024-25 Budget	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Employee expenses	10 472	10 933	11 418	11 707	12 048	12 407
Superannuation expenses						
Superannuation interest cost	290	297	271	249	225	199
Other superannuation expenses	1 211	1 267	1 362	1 393	1 432	1 475
Depreciation and amortisation	1 620	1 673	1 666	1 739	1 803	1 876
Interest expenses	1 486	1 410	1 619	1 876	2 145	2 446
Other property expenses	—	—	—	—	—	—
Other operating expenses	9 184	9 783	10 351	10 486	10 445	10 544
Grants	4 061	4 590	4 503	4 346	4 346	4 409
Total expenses	**28 323**	**29 953**	**31 190**	**31 796**	**32 445**	**33 356**
Total expenses % change on previous year						
Total expenses nominal growth (%)		8.8%	4.1%	1.9%	2.0%	2.8%
Total expenses real growth (%)		5.9%	1.1%	-0.8%	-0.4%	0.3%

Note: Totals may not add due to rounding.

General government expenses in 2024-25 are estimated to be $1.6 billion higher than published in the 2024-25 Budget, primarily due to new operating initiatives in the 2024-25 Mid-Year Budget Review (MYBR) and 2025-26 Budget. These initiatives are mainly for the Whyalla steelworks support package and for SA Health to address increased levels of activity and the higher cost of service delivery.

Operating expenses are budgeted to increase in 2025-26 by $1.2 billion, reflecting in part the higher levels of interest expenses as net debt levels and interest rates increase. In addition, higher expenditure in 2025-26 is also attributed to policy items in the 2025-26 Budget, growth in employee expenditure as FTEs increase, primarily in Health and Wellbeing, wage outcomes negotiated in enterprise bargaining agreements, and other operating expenses. A summary of other operating expenditure is discussed later in this chapter.

Operating expense growth lowers in 2026-27, mainly due to lower grants expenditure, including for the Whyalla steelworks support package. From 2026-27 total expenditure growth trends below or around CPI growth due to constraint in agency expenditure.

Table 2.6 shows total operating expenses across the forward estimates for selected agencies.

Table 2.6: Operating expenses — selected agencies ($million)[a]

	2024-25 Budget	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Attorney-General	303	315	333	334	332	336
Auditor-General	20	20	20	20	21	21
Child Protection	796	952	877	833	845	860
Correctional Services	413	431	434	440	454	458
Courts	99	101	105	104	105	106
Defence SA	20	25	22	21	18	19
Education[b]	4 936	4 551	4 662	4 789	4 886	5 004
Electoral Commission	8	11	43	20	9	10
Emergency Services — CFS	107	119	108	109	110	112
Emergency Services — MFS	191	192	196	197	200	202
Emergency Services — SAFECOM	38	50	42	33	25	23
Emergency Services — SES	24	24	24	25	25	25
Energy and Mining	138	165	118	93	93	95
Environment and Water	336	455	406	345	307	303
Environment Protection Authority	37	39	37	38	38	38
Green Industries SA	31	62	32	23	23	24
Health and Wellbeing	9 044	9 783	9 991	10 114	10 231	10 458
Housing and Urban Development	193	189	179	179	181	183
Human Services	1 362	1 510	597	574	575	583
Infrastructure and Transport	1 955	2 255	1 965	1 888	1 907	1 927
Legislature	35	35	36	36	37	38
Police	1 154	1 205	1 269	1 292	1 326	1 350
Premier and Cabinet	396	399	412	344	338	338
Primary Industries and Regions	258	338	300	216	194	182
State Development[b]	68	645	560	513	475	473
TAFE SA	343	376	382	375	363	368
Tourism	93	138	102	97	92	89
Treasury and Finance	307	378	386	341	344	346
Other[c]	5 619	5 188	7 550	8 403	8 890	9 383
Total operating expenses	**28 323**	**29 953**	**31 190**	**31 796**	**32 445**	**33 356**

Note: Totals may not add due to rounding.

(a) Agency expenses in this table match to expenses included in net cost of services as shown in the Statements of Comprehensive Income in Agency Statements.

(b) Skills SA budget transferred from Education to State Development, effective 1 July 2024.

(c) Includes other agencies, administered items (including interest paid on borrowings with SAFA), and consolidation adjustments to eliminate intra-government transactions.

The following analysis compares changes in expenses from 2024-25 to 2028-29. The main changes in operating expenses over that period are in the following agencies:

- Attorney-General — projected to increase by $21.4 million primarily due to policy decisions announced in the 2025-26 Budget, commencing from 2025-26, including additional resources for Consumer and Business Services, Office of the Director of Public Prosecutions, South Australian Civil and Administrative Tribunal and Forensic Science SA

- Child Protection — projected to decrease by $92.0 million primarily due to time-limited funding provided to support children and young people in care in 2024-25 and 2025-26 while the department completes service optimisation to ensure that services are being delivered effectively and efficiently
- Correctional Services — projected to increase by $27.4 million primarily due to policy decisions announced in the 2025-26 Budget, including increasing prisoner capacity by an additional 116 beds, and Alternatives to Custody — Bail Accommodation and Support Program
- Education — projected to increase by $453.3 million mainly due to additional Commonwealth Government funding and the compounding impact of indexation applied to the Schooling Resource Standard base amount and loadings under the Better and Fairer Schools Agreement
- Emergency Services — SAFECOM — projected to decrease by $26.8 million primarily due to the completion of current Commonwealth and joint funded disaster resilience grants
- Energy and Mining — projected to decrease by $70.2 million primarily due to the winding down of expenditure associated with several programs, including the home battery scheme, Grid Scale Storage Fund, the previous government's Jobs and Economic Growth Fund, and the Port Bonython Hydrogen Hub
- Environment and Water — projected to decrease by $152.0 million primarily relating to time-limited projects including replenishment of sand at West Beach and other Adelaide coastal areas until a long-term sand recycling option is finalised for the Adelaide metropolitan coastline and those completed in conjunction with the Commonwealth Government, including River Murray in South Australia constraints measures and sustainable rural water use and infrastructure programs which are periodically phased out
- Green Industries SA — projected to decrease by $38.7 million primarily due to higher expenditure in 2024-25 for the South Australian advanced soft plastics recycling technology project, and the finalisation of the clean up following the River Murray flood event
- Health and Wellbeing — projected to increase by $674.9 million primarily reflecting the government's commitment to funding the health system in a sustainable manner over the forward estimates
- Human Services — projected to decrease by $927.9 million primarily due to the transfer of NDIS contribution expenditure to the Administered Items of Department of Human Services, which is captured in the 'Other' line in table 2.6. Total funding to the NDIS is forecast to grow by 4 per cent per annum over the forward estimates
- Infrastructure and Transport — projected to decrease by $327.5 million primarily due to additional expenditure in 2024-25 to undertake feasibility investigations for the Northern Water project and grants expenditure including for Whyalla Airport
- Police — projected to increase by $144.6 million primarily reflecting the recruitment of additional police security officers, sworn police officers, and additional expenditure for road safety initiatives
- Premier and Cabinet — projected to decrease by $61.3 million primarily due to the timing of grant programs across the forward estimates
- Primary Industries and Regions — projected to decrease by $155.8 million primarily due to completion of disaster recovery and fruit fly eradication programs and once-off regional growth projects
- State Development — projected to decrease by $171.8 million primarily due to higher expenditure in 2024-25 for the Whyalla steelworks support package and Business Growth Fund
- Tourism — projected to decrease by $49.4 million primarily due to higher expenditure in 2024-25 for new and existing leisure events to further drive economic development and future visitation to the state
- Treasury and Finance — projected to decrease by $32.0 million primarily due to higher expenditure in 2024-25 and 2025-26 for the finance reform program.

The following sections provide further details on the key components of expenses.

Employee expenses

Table 2.7: General government employee expenses

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Employee expenses ($m)	10 933	11 418	11 707	12 048	12 407
Nominal growth (%)	7.2%	4.4%	2.5%	2.9%	3.0%
Real growth (%)	4.3%	1.4%	-0.2%	0.4%	0.5%

Employee expenses in 2024-25 are estimated to be $462 million higher than estimated in the 2024-25 Budget primarily as a result of additional resources for Health and Wellbeing.

Employee expenses grow in real terms by 0.5 per cent per annum on average over four years, primarily reflecting wage growth negotiated in existing enterprise bargaining agreements as well as modest growth in FTEs providing frontline services.

Full-time equivalents (FTEs)

FTE estimates for general government sector agencies are based on FTE caps. These caps are established to be consistent with the salaries and wages budget for each agency and are adjusted in line with changes to agency budgets. Actual FTEs are monitored on a regular basis with agencies required to explain any significant variations from budgeted FTE caps.

The estimated aggregate workforce levels in the general government sector are shown in table 2.8.

Table 2.8: General government sector employment[(a)]

	Full-time equivalent employees as at 30 June					
	2024 Actual	2025 Estimate	2026 Budget	2027 Estimate	2028 Estimate	2029 Estimate
As at 2024-25 Budget	93 505	95 027	96 245	97 384	98 541	n.a.
As at 2024-25 MYBR	93 139	96 480	97 568	98 697	99 818	n.a.
As at 2025-26 Budget	**93 139**	**97 074**	**98 689**	**99 618**	**100 706**	**102 387**
FTEs by agency at 2025-26 Budget:						
Health and Wellbeing (excluding SAAS)	37 274	38 666	39 640	40 351	41 147	42 437
South Australian Ambulance Service	2 003	2 138	2 206	2 205	2 205	2 216
Education	25 953	26 778	26 765	26 833	26 851	26 929
Police	6 008	6 217	6 265	6 338	6 457	6 574
Other	21 900	23 276	23 815	23 891	24 046	24 231
Total FTEs as at 2025-26 Budget	**93 139**	**97 074**	**98 689**	**99 618**	**100 706**	**102 387**

Note: Totals may not add due to rounding.

(a) The FTE profiles shown are notional and are based on current funding levels across the forward estimates. Chief executives have the flexibility to deliver government services in the manner that best suits the needs of the business. As a result, the actual level of FTEs over the forward estimates may vary.

Since the 2024-25 MYBR FTE estimates are higher in all years, primarily due to the impact of policy measures announced in the 2025-26 Budget, in particular in Health and Wellbeing.

The estimated FTE impacts of individual measures are outlined in the 2025-26 Budget Measures Statement.

Table 2.9: Estimated full-time equivalent impacts of 2025-26 Budget measures as at 30 June (FTEs)

	FTE employees as at 30 June				
	2025 Estimate	2026 Budget	2027 Estimate	2028 Estimate	2029 Estimate
Expenditure initiatives	569	867	927	995	1 088
Total FTE impact of policy decisions	**569**	**867**	**927**	**995**	**1 088**

Enterprise Agreements

During 2024-25, enterprise agreement negotiations were finalised for SA Water, Homestart Finance, ReturnToWorkSA, Superannuation Funds Management Corporation of South Australian (trading as Funds SA), Rail Commissioner Rail Operations, and progressing the implementation of an administrative arrangement for SA Police.

Negotiations are continuing for SA Ambulance Service, Adelaide Cemeteries Authority, Nursing/Midwifery, SA Metropolitan Fire Service, SA Public Sector Salaried employees, ForestrySA, SA Health Salaried Medical Officers, SA Health Clinical Academics, SA Health Visiting Medical Specialists, SA Public Sector Weekly Paid employees, Parliament House, TAFE SA Education employees, Allied Health Professionals/Allied Health Assistants, West Beach Trust employees, Rail Commissioner Tram Operations, Assistants to Members of Parliament, Rail Commissioner Infrastructure and Rail Commissioner Maintenance, as well as for the SA Police enterprise agreement.

In 2025-26, enterprise bargaining negotiations will commence for SA Health Visiting Dental Specialists, Plumbing, Metal and Building Trades employees, State Theatre Company, Adelaide Festival Centre agreements, ReturnToWork SA, and Adelaide Venue Management.

Expenditure on salaries and wages is the largest expense for the government, representing 37 per cent of general government sector costs in 2025-26. It is essential that wage increases in the public sector are sustainable. The government has budgeted for responsible wage outcomes reflecting the economic circumstances as there is no capacity to meet excessive wage and condition demands. Enterprise bargaining agreements must support efficiency and improved productivity in the delivery of government services.

Superannuation expenses

Table 2.10: General government superannuation expenses

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Superannuation expenses ($m)					
Superannuation interest expense	297	271	249	225	199
Other superannuation expenses	1 267	1 362	1 393	1 432	1 475
Nominal growth (%)	9.7%	4.4%	0.6%	0.9%	1.0%
Real growth (%)	6.8%	1.4%	-2.1%	-1.5%	-1.5%

The estimated superannuation interest expense represents the increase during the year in the defined benefit superannuation obligations due to it being one year closer to settlement, less the expected earnings on superannuation assets. The superannuation interest expense for each year is calculated based on the unfunded superannuation liability at the end of the preceding financial year and the relevant discount rate used to value the unfunded superannuation liability. Further discussion on that liability can be found in Chapter 4.

The superannuation interest expense for 2024-25 is $297 million, consistent with the estimate in the 2024-25 MYBR. Expenditure has been revised down by an average of around $2 million per annum over the period 2025-26 to 2027-28 since the 2024-25 MYBR primarily due to the lower than estimated unfunded superannuation liability.

Other superannuation expenses increase in 2025-26 to reflect the increase in the superannuation employer contribution rate from 11.5 per cent to 12 per cent from 1 July 2025.

Depreciation and amortisation

Table 2.11: General government depreciation and amortisation expenses ($million)

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Depreciation					
Buildings and improvements	766	777	792	796	809
Dwellings	10	10	10	10	10
Plant and equipment	158	164	220	272	331
Vehicles	104	80	79	79	79
Road network	455	455	457	465	465
Rail and bus tracks	99	99	99	99	99
Water, sewer and drainage	17	17	17	17	17
Other	—	—	—	—	—
Total depreciation	**1 610**	**1 602**	**1 674**	**1 738**	**1 810**
Amortisation	63	64	65	66	66
Total depreciation and amortisation	**1 673**	**1 666**	**1 739**	**1 803**	**1 876**
Nominal growth (%)	5.5%	-0.4%	4.3%	3.7%	4.0%
Real growth (%)	2.7%	-3.3%	1.6%	1.2%	1.5%

Note: Totals may not add due to rounding.

The main asset types comprising general government depreciation across the forward estimates are buildings and improvements, plant and equipment, and road network.

Growth in depreciation expense is projected across the forward estimates as projects are completed in line with the program of significant investment in the state's infrastructure. These include additional prison beds, new schools as well as other education infrastructure upgrades, and hospital and health infrastructure upgrades.

Interest expenses

Table 2.12: General government interest expenses

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Interest expenses ($m)	1 410	1 619	1 876	2 145	2 446
Nominal growth (%)	15.1%	14.8%	15.9%	14.3%	14.0%
Real growth (%)	12.1%	11.5%	12.8%	11.5%	11.3%

Interest expenses comprise interest paid by the Treasurer to the South Australian Government Financing Authority (SAFA) on government borrowings and interest expenses of agencies related to finance leases. Over the forward estimates, higher government borrowings and increasing interest rates result in an increase in interest expenses. The increase in borrowings is a result of the state's significant infrastructure program, including delivering the government's election commitments. The government is committed to maintaining a sustainable budget within the context of rising interest rates and its capacity to meet those payments through revenues.

Other operating (non-employee) expenses

Table 2.13: General government other operating (non-employee) expenses

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Other operating (non-employee) expenses ($m)	9 783	10 351	10 486	10 445	10 544
Nominal growth (%)	6.0%	5.8%	1.3%	-0.4%	0.9%
Real growth (%)	3.2%	2.7%	-1.4%	-2.8%	-1.5%

General government other operating (non-employee) expenses for 2025-26 are expected to be $10.4 billion. This is largely made up of:

- supplies and services ($5.2 billion) predominantly within Health and Wellbeing ($2.4 billion), Education ($711.6 million), Child Protection ($159.1 million) and Correctional Services ($141.2 million)
- consultancies and contractors ($1.4 billion) predominantly within Infrastructure and Transport ($519.4 million) mainly due to contract arrangements for delivering public transport and road maintenance, Child Protection primarily for the delivery of care services ($374.9 million) and Health and Wellbeing ($273.0 million)
- NDIS contributions ($916.1 million), noting that the state's total NDIS contribution is $930.3 million. The balance of the state's NDIS contribution is met through the provision of state government services, mainly school transport to NDIS clients
- computer and communications charges ($408.8 million) predominantly within Health and Wellbeing ($122.0 million), Education ($86.9 million) and Treasury and Finance ($51.6 million)
- repairs and maintenance expenses ($312.7 million) predominantly within Education ($125.8 million) and Health and Wellbeing ($123.9 million).

Grants

Table 2.14: General government grant expenses

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Grants ($m)	4 590	4 503	4 346	4 346	4 409
Nominal growth (%)	19.0%	-1.9%	-3.5%	0.0%	1.5%
Real growth (%)	15.8%	-4.8%	-6.1%	-2.4%	-1.0%

Grant expenses in 2024-25 are estimated to be $529 million higher than estimates in the 2024-25 Budget primarily due to the revised timing of payments, including for the Local Government Infrastructure Partnership Program (this program is closed and expenditure reflects the revised timing of approved projects), the extension of the Energy Bill Relief Fund announced by the Commonwealth Government in its 2024-25 Budget, and policy items including the Whyalla steelworks support package, drought support package, and the South Australian advanced soft plastics recycling technology project.

Grant expenditure is projected to decline between 2025-26 and 2026-27, mainly due to the timing of the Whyalla steelworks support package and other time-limited programs including the South Australian advanced soft plastics recycling technology project.

Grant expenditure includes payments to:

- non-government schools
- local government
- community service obligation payments to SA Water
- concessions to the community, including the cost of living concession and energy concession
- other non-government organisations for a range of programs.

General government investing expenditure

The general government four year investing program is $21.6 billion over the period 2025-26 to 2028-29, with $4.1 billion estimated for 2024-25. This is slightly lower compared to the 2024-25 MYBR, which had a four year program of $22.2 billion over the period 2024-25 to 2027-28, mainly reflecting the timing of expenditure.

The capital expenditure reflects the delivery of the government's infrastructure program that is focused on building key economic and social infrastructure, including significant investment in health, road networks and schools.

Table 2.15: General government sector capital investment ($million)

	2024-25 Estimate	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Purchases of non-financial assets	4 065	4 629	5 675	5 929	5 407

Figure 2.1 shows that general government capital investment across the forward estimates continues to remain well above the level of depreciation.

Figure 2.1: General government sector purchases of non-financial assets ($million)

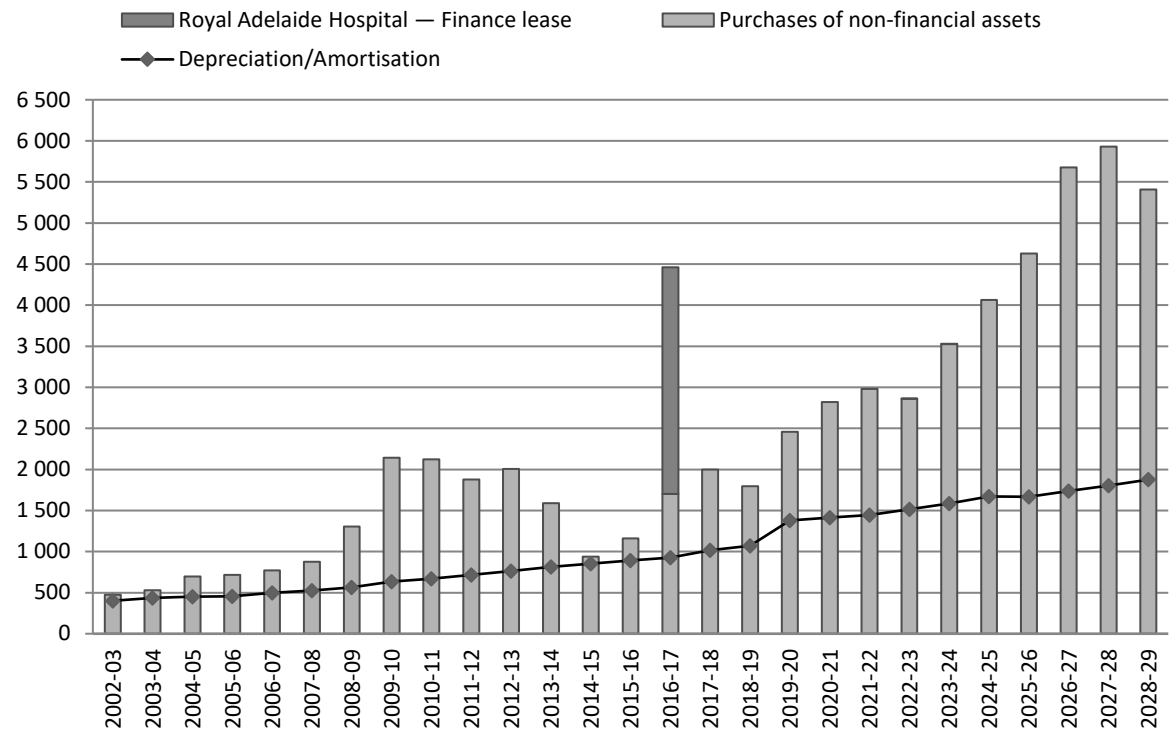


Table 2.16 summarises the investing program for the general government sector by agency. Further detail on agency investing programs is contained in the 2025-26 Agency Statements.

Across the forward estimates (2024-25 to 2028-29) investing expenditure increases as a result of significant projects including the North-South Corridor — River Torrens to Darlington project ($10.6 billion between 2024-25 to 2028-29), the new Women's and Children's Hospital ($2.5 billion between 2024-25 to 2028-29), Flinders Medical Centre Upgrade and Expansion ($443.3 million between 2024-25 to 2028-29), new Mount Barker Hospital ($360.1 million between 2024-25 to 2027-28), Marion Road — Anzac Highway to Cross Road project ($336.6 million between 2024-25 to 2026-27) and Fleurieu Connections project ($262.7 million between 2024-25 to 2026-27).

Agency investing programs contain budgets for approved major works projects and annual program expenditure. Annual program expenditure is generally provided to agencies to complete minor works or upgrade existing assets.

Typically, the investing program of an agency will decline over the forward estimates as major works are budgeted to be completed. As new projects are approved by the government, the budget of an agency will be increased to include the budgeted cost of those projects.

The general government sector budget holds a contingency provision over the forward estimates for an unallocated component of the government's investing budget. While agency budgets typically decline over the forward estimates as projects are scheduled to finish, the contingency provision rises as the unallocated component of the overall general government sector budget increases.

Table 2.16: General government capital investment by agency ($000s)[(a)]

	2024-25 Budget	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Attorney-General	29 850	39 738	22 127	114 592	350 097	2 320
Auditor-General	263	263	270	277	284	291
Child Protection	7 783	5 208	16 196	9 488	2 082	2 095
Correctional Services	39 917	45 779	87 192	149 346	10 580	9 820
Courts	17 680	6 509	19 436	8 409	8 513	8 619
Defence SA	10 000	—	—	—	10 000	10 000
Education	268 052	291 112	242 698	172 635	132 950	68 988
Electoral Commission	50	3 221	2 691	52	53	54
Emergency Services — CFS	29 102	22 811	33 877	26 303	23 572	23 861
Emergency Services — MFS	15 351	15 158	18 647	17 169	17 602	18 497
Emergency Services — SAFECOM	325	508	167	326	175	179
Emergency Services — SES	7 713	10 064	10 544	2 763	5 237	5 319
Energy and Mining	416 543	302 952	88 194	21 068	17 863	3 041
Environment and Water	64 321	75 085	72 362	32 246	13 694	14 165
Environment Protection Authority	1 669	3 840	904	723	741	760
Green Industries SA	—	—	—	—	—	—
Health and Wellbeing	864 191	774 226	1 037 235	836 856	938 156	821 551
Housing and Urban Development	3 967	8 190	2 864	1 422	1 458	1 495
Human Services	5 022	4 608	3 940	959	983	1 008
Infrastructure and Transport	2 257 221	2 454 643	3 343 359	3 490 463	3 313 968	2 916 456
Legislature	1 109	1 104	1 113	1 136	1 164	1 193
Police	99 055	177 597	85 317	53 121	31 944	38 389
Premier and Cabinet	200 764	115 995	136 802	69 425	19 444	23 694
Primary Industries and Regions	14 765	13 149	17 840	22 733	18 889	19 399
State Development	984	1 974	6 122	2 185	1 264	809
TAFE SA	16 513	15 623	20 268	13 953	11 728	12 021
Tourism	825	813	794	814	834	855
Treasury and Finance	4 613	14 608	7 268	7 161	7 339	7 522
Other[(b)(c)]	116 939	-339 532	-648 773	619 718	988 618	1 394 727
General government capital investment	**4 494 587**	**4 065 246**	**4 629 454**	**5 675 343**	**5 929 232**	**5 407 128**

Note: Totals may not add due to rounding.

(a) Includes administered items.

(b) Includes a capital slippage provision to reflect the tendency, on a whole of government basis, for underspending due to some projects slipping from their current budgeted expenditure profile.

(c) Includes consolidation adjustments to eliminate inter-agency transactions and recognise contributed assets.

Chapter 3: Revenue

Overview

This chapter summarises movements in government revenues over the forward estimates and provides an overview of new revenue measures introduced as part of the 2025-26 Budget.

Total general government revenue is expected to reach $30.0 billion in 2024-25, an improvement of $1.4 billion compared to estimates made at the time of the 2024-25 Budget, mainly reflecting upward revisions to grant and taxation revenue. The upward revision to grant revenue largely reflects the Commonwealth Government's contribution of funding for the extension of the National Energy Bill Relief Plan, assistance for the Whyalla steel industry and revised GST grant revenue estimates. The improvement to taxation revenues is primarily due to strong property market conditions which have flowed through to higher revenues from conveyance duty.

Total general government revenue is expected to increase to $31.4 billion in 2025-26, with annual average growth of 3.0 per cent over the four years to 2028-29.

Initiatives

There are no taxation revenue measures included in the 2025-26 Budget.

The 2025-26 Budget includes two non-taxation revenue measures, reflecting the government's continued commitment to delivering cost of living support to the community.

The government has extended its election commitment by continuing the $200 reduction to school parents, caregivers and independent students for the materials and services charge applied per student by government schools.

In addition, the government is permanently reducing the price of a metroCARD student 28-day pass. The price of this pass will reduce from its current price of $28.60 to $10 from 1 July 2025.

Further information on non-taxation related measures can be found in Budget Paper 5: Budget Measures Statement.

Table 3.1: Revenue measures in the 2025-26 Budget ($million)

	2024-25 Estimate	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Revenue — non-taxation					
Department for Education					
Material and services charge reduction	—	-24.0	-24.0	-24.0	-24.0
Department for Infrastructure and Transport					
Student 28-day pass fare reduction	—	-4.8	-5.0	-5.3	-5.6
Total revenue measures — non-taxation	**—**	**-28.8**	**-29.0**	**-29.3**	**-29.6**

Note: Totals may not add due to rounding.

General government sector revenue

Total general government sector revenues are expected to grow by 4.7 per cent in 2025-26, following expected growth of 7.3 per cent in 2024-25. Lower forecast growth in 2025-26 mainly reflects a return to more normal levels of revenue growth for grant and taxation revenues.

Over the four years to 2028-29, annual average growth in total revenue is estimated to be 3.0 per cent.

Table 3.2: General government sector revenues ($million)

	2024-25 Budget	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Taxation revenue	6 650.0	7 020.5	7 284.7	7 547.3	7 819.3	8 100.7
Grant revenue	15 964.2	16 885.3	17 939.0	18 327.8	18 630.1	18 889.6
Sales of goods and services	3 405.0	3 571.3	3 652.2	3 751.1	3 871.3	3 973.0
Interest income	463.7	461.2	431.5	462.9	471.5	481.7
Dividend and ITE revenue[(a)]	298.0	283.8	315.6	304.8	284.3	370.5
Other revenue	1 790.7	1 748.2	1 745.8	1 771.7	1 826.1	1 855.7
Total revenue	**28 571.5**	**29 970.3**	**31 368.7**	**32 165.5**	**32 902.6**	**33 671.1**
% change on previous year						
Nominal-terms growth (%)		7.3	4.7	2.5	2.3	2.3
Real-terms growth (%)		4.4	1.6	-0.2	-0.2	-0.2

Note: Totals may not add due to rounding.
(a) Income tax equivalent (ITE).

Taxation

State taxation revenue estimates have been revised up by $370 million in 2024-25 compared to estimates in the 2024-25 Budget and are expected to grow by around 6.8 per cent during the year. The growth is mainly due to strength in conveyance duty and land tax collections reflecting strong property market conditions.

Growth in total taxation revenue of 3.8 per cent is expected in 2025-26, with annual average growth of around 3.6 per cent over the four years to 2028-29, supported by estimated growth in payroll tax, conveyance duty and land tax revenues.

Taxation estimates are provided in table 3.3.

Table 3.3: Taxation ($million)

	2024-25 Budget	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Payroll tax	**1 965**	**1 950**	**2 048**	**2 156**	**2 271**	**2 392**
Property taxes						
Land tax — private	556	584	655	675	695	716
Land tax — public	244	247	254	260	265	272
Emergency services levy on fixed property	202	203	214	215	223	227
Regional landscape levies	60	61	62	64	65	67
All other	14	27	22	16	16	16
Total property taxes	**1 076**	**1 122**	**1 208**	**1 230**	**1 265**	**1 298**
Water levies[(a)]	18	19	20	20	21	21
Stamp duties on financial and capital transactions						
Conveyance duty	1 365	1 604	1 625	1 684	1 737	1 792
Total stamp duties on financial and capital transactions	**1 365**	**1 604**	**1 625**	**1 684**	**1 737**	**1 792**

	2024-25 Budget	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Gambling taxes						
Gaming machines	427	455	460	466	472	478
SA Lotteries	115	116	120	125	127	130
Casino	24	62	24	24	25	25
Betting Operations Tax	61	61	63	65	67	69
Other[(b)]	4	4	4	4	4	4
Total gambling taxes	**631**	**697**	**671**	**684**	**695**	**706**
Insurance taxes						
General insurance	541	574	602	631	659	689
CTP renewal certificate	83	83	85	87	89	90
CTP insurance	42	42	42	43	44	45
Life insurance	5	5	5	6	6	6
Total insurance taxes	**671**	**703**	**734**	**766**	**797**	**830**
Motor vehicle taxes						
Motor vehicle registration fees	577	577	624	645	663	684
Stamp duty on registration transfers	276	276	282	288	293	299
Emergency services levy on mobile property	49	49	50	51	52	53
Lifetime Support Scheme levy	21	22	23	23	24	25
Total motor vehicle taxes	**924**	**925**	**979**	**1 007**	**1 033**	**1 061**
Total taxation	**6 650**	**7 020**	**7 285**	**7 547**	**7 819**	**8 101**
Policy adjusted[(c)]	**n.a.**	**6 988**	**7 285**	**7 547**	**7 819**	**8 101**
% change on previous year						
Total taxation						
Nominal growth		6.8	3.8	3.6	3.6	3.6
Real growth		3.9	0.7	0.8	1.1	1.1
Policy adjusted						
Nominal growth		7.1	4.2	3.6	3.6	3.6
Real growth		4.2	1.2	0.8	1.1	1.1

Note: Totals may not add due to rounding.

(a) Previously reflected in regional landscape levies.

(b) Includes revenue from small lotteries.

(c) The policy adjusted series shows the underlying growth in tax revenues by adjusting tax estimates to be consistent with 2025-26 policy settings.

Payroll tax

The outlook for payroll tax revenue is provided in table 3.4.

Table 3.4: Payroll tax

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Total payroll tax ($m)	**1 950.0**	**2 047.7**	**2 156.4**	**2 271.1**	**2 391.9**
Nominal growth (%)	5.3	5.0	5.3	5.3	5.3
Real growth (%)	2.5	1.9	2.5	2.8	2.8
Policy adjusted underlying revenue ($m)	**1 950.0**	**2 047.7**	**2 156.4**	**2 271.1**	**2 391.9**
Nominal growth (%)	5.3	5.0	5.3	5.3	5.3
Real growth (%)	2.5	1.9	2.5	2.8	2.8

Payroll tax receipts for 2024-25 have been revised down by $14 million since the 2024-25 Budget, reflecting softer than expected collections experience, with total revenue growth of 5.3 per cent expected in 2024-25.

Payroll tax revenue is expected to grow by around 5.2 per cent per annum on average over the four years to 2028-29, broadly consistent with estimated underlying growth in employment and earnings.

Property taxes

Property taxes include land tax, the ESL on fixed property, regional landscape levies and other minor taxes.

The outlook for property tax revenue is provided in table 3.5.

Table 3.5: Property taxes

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Total property taxes ($m)	**1 121.7**	**1 207.6**	**1 229.9**	**1 264.8**	**1 298.3**
Nominal growth (%)	9.5	7.7	1.8	2.8	2.7
Real growth (%)	6.5	4.5	-0.9	0.3	0.1
Policy adjusted underlying revenue ($m)	**1 121.7**	**1 207.6**	**1 229.9**	**1 264.8**	**1 298.3**
Nominal growth (%)	9.5	7.7	1.8	2.8	2.7
Real growth (%)	6.5	4.5	-0.9	0.3	0.1

Land tax

Land tax revenue in 2024-25 has been revised up by $31 million since the 2024-25 Budget, reflecting updated information on 2024-25 land tax liabilities.

Land tax assessments are based on valuations undertaken by the Valuer-General, which have regard to property market sales experience in the calendar year immediately preceding the relevant financial year.

In 2025-26, residential site values are estimated to increase by around 15 per cent and non-residential site values by around 12 per cent, reflecting the strength in the property market during 2024. This results in strong growth in forecast private land tax collections of around 12 per cent in 2025-26.

Land tax revenue estimates assume site value growth returning closer to trend levels of around 3 per cent per annum from 2026-27 following higher than average growth in recent years.

The land tax system incorporates a tax-free threshold and marginal rates of tax at various threshold values of aggregate land ownerships. Relevant land tax thresholds for 2025-26 will increase by around 13.8 per cent in line with average increases in site values as determined by the Valuer-General. This will see the general tax-free threshold for land tax increase to $833 000 and the top tax rate threshold increase to $3.1 million in 2025-26.

The land tax thresholds to apply in 2025-26 are outlined in table 3.6.

Table 3.6: Land tax thresholds and rates ($)

2024-25 land tax structure general						2025-26 land tax structure general					
Site value			**Tax applicable[(a)]**			**Site value**			**Tax applicable[(a)]**		
0	to	732 000	—		—	0	to	833 000	—		—
732 001	to	1 176 000	0	+	0.50%	833 001	to	1 338 000	0	+	0.50%
1 176 001	to	1 711 000	2 220	+	1.00%	1 338 001	to	1 946 000	2 525	+	1.00%
1 711 001	to	2 738 000	7 570	+	2.00%	1 946 001	to	3 116 000	8 605	+	2.00%
Over 2 738 000			28 110	+	2.40%	Over 3 116 000			32 005	+	2.40%

(a) Tax rates apply to the excess above the lower limit of the taxable site value range.

2024-25 land tax structure trust						2025-26 land tax structure trust					
Site value			**Tax applicable[(a)]**			**Site value**			**Tax applicable[(a)]**		
0		25 000	—		—	0	to	25 000	—		—
25 001	to	732 000	125	+	0.50%	25 001	to	833 000	125	+	0.50%
732 001	to	1 176 000	3 660	+	1.00%	833 001	to	1 338 000	4 165	+	1.00%
1 176 001	to	1 711 000	8 100	+	1.50%	1 338 001	to	1 946 000	9 215	+	1.50%
1 711 001	to	2 738 000	16 125	+	2.40%	1 946 001	to	3 116 000	18 335	+	2.40%
Over 2 738 000			40 773	+	2.40%	Over 3 116 000			46 415	+	2.40%

(a) Tax rates apply to the excess above the lower limit of the taxable site value range.

Emergency services levy — fixed property

The fixed property ESL is levied on the capital value of land and buildings.

The fixed property ESL consists of two components, a fixed charge per property and a variable charge based on the value of a property. A prescribed rate, which is used to calculate the variable charge, is determined annually to ensure there are sufficient funds within the Community Emergency Services Fund to cover approved emergency services expenditure in the coming year. The prescribed rate has been set at 0.0846 cents in the dollar for 2025-26.

The government will provide $95.3 million in fixed property general remissions in 2025-26. Remissions reduce the effective ESL rates payable by taxpayers, lowering ESL bills. In addition, the government provides remissions to eligible concession recipients.

The ESL bill for a median valued residential property in metropolitan Adelaide ($850 000) of $164.55 in 2025-26 is around $6.70 (4.2 per cent) higher than in 2024-25 based on the effective rates and growth in capital values.

Fixed property ESL rates applying in 2025-26 are summarised in table 3.7.

Table 3.7: Fixed property ESL rates for 2025-26

	Prescribed rate	Remission rate	Post-remission rate	Effective levy rate paid in Regional Area 4[(a)]
Fixed property	**Cents per $ (applied to capital values discounted by land use and area factors)**			**$50 plus cents per $ of non-discounted capital value**
Residential	0.0846	0.0509	0.0337	0.0135
Residential — eligible for concession	0.0846	0.0667	0.0179	0.0072
Commercial	0.0846	0.0000	0.0846	0.1131
Industrial	0.0846	0.0000	0.0846	0.1607
Rural and vacant land	0.0846	0.0190	0.0656[(b)]	0.0197
Special community use	0.0846	0.0071	0.0775	0.0078
Other	0.0846	0.0152	0.0694	0.0347

(a) Incorporates the effect of land use weightings applied to capital values. Effective levy rates for each land use category differ depending on the regional location of the property. Effective levy rates are only shown for Regional Area 4.
Regional Area 4: metropolitan Adelaide (prescribed area factor of 1.0)
Regional Area 1: major country towns (prescribed area factor of 0.8)
Regional Area 2: incorporated areas outside Regional Areas 1 and 4 (prescribed area factor of 0.5)
Regional Area 3: unincorporated areas of the state (prescribed area factor of 0.2, effective area factor of 0.1)

(b) Different post-remission rates apply to Regional Area 4 (0.0656) and Regional Area 1, 2 and 3 (0.0512).

Regional landscape levies

Regional landscape levies (formerly natural resource management levies) are collected by councils on behalf of eight regional landscape boards and a metropolitan Green Adelaide Board. The levies are paid by landholders to fund the activities of the boards that are responsible for facilitating the sustainable management of the state's landscapes.

Revenue in 2024-25 is expected to be slightly higher than the 2024-25 Budget estimate. Modest growth in revenue from regional landscape levies is expected over the period to 2028-29.

Stamp duties on financial and capital transactions

Stamp duties on financial and capital transactions reflects revenue collected from conveyance duty, which in South Australia only applies to residential and primary production property sales.

The outlook for stamp duties on financial and capital transactions revenue is provided in table 3.8.

Table 3.8: Stamp duties on financial and capital transactions

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Total stamp duties on financial and capital transactions ($m)	**1 604.4**	**1 625.3**	**1 684.3**	**1 737.3**	**1 791.9**
Nominal growth (%)	9.8	1.3	3.6	3.1	3.1
Real growth (%)	6.8	-1.6	0.9	0.6	0.6
Policy adjusted underlying revenue ($m)	**1 572.2**	**1 625.3**	**1 684.3**	**1 737.3**	**1 791.9**
Nominal growth (%)	11.1	3.4	3.6	3.1	3.1
Real growth (%)	8.2	0.4	0.9	0.6	0.6

Conveyance duty

Conveyance duty revenue in 2024-25 is estimated to be $240 million higher than forecast in the 2024-25 Budget, reflecting stronger than expected growth in residential property prices and transactions. Overall collections are forecast to increase by 9.8 per cent in 2024-25, mainly reflecting the impact of strong price growth and increased residential property transfers, partially offset by lower duty from large transactions and the foreign owner surcharge. This is followed by a more modest revenue growth outlook of around 3 per cent per annum, on average, over the four years to 2028-29.

Following growth of 6 per cent in 2024-25, residential transactions are expected to decline from 2025-26 and return to long-term trend levels.

Based on conveyance duty collections, the average residential property price is projected to increase by 10 per cent in 2024-25. It is assumed that residential property price growth returns to its long-term average of 3 per cent per annum from 2025-26.

Gambling taxes

Gambling taxes include taxes on gaming machines in hotels and clubs, a tax on the net gambling revenue of SA Lotteries, casino duty and the betting operations tax.

The outlook for gambling tax revenue is provided in table 3.9.

Table 3.9: Gambling taxes

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Total gambling taxes ($m)	**697.5**	**671.4**	**684.3**	**695.2**	**706.3**
Nominal growth (%)	10.0	-3.7	1.9	1.6	1.6
Real growth (%)	7.1	-6.5	-0.8	-0.9	-0.9
Policy adjusted underlying revenue ($m)	**697.5**	**671.4**	**684.3**	**695.2**	**706.3**
Nominal growth (%)	10.0	-3.7	1.9	1.6	1.6
Real growth (%)	7.1	-6.5	-0.8	-0.9	-0.9

Revenue from gambling taxes in 2024-25 is estimated to be $67 million higher than forecast in the 2024-25 Budget, mainly due to higher revenue from the Adelaide Casino to reflect the outcome of the High Court's decision in *SkyCity Adelaide Pty Ltd v Treasurer of South Australia* [2024] HCA 37 in relation to the tax payable on loyalty points that have been converted to gambling credits and utilised by patrons. The upward revision in 2024-25 also reflects higher than expected collections from gaming machines in hotels and clubs.

Over the four years to 2028-29, annual average growth in gambling tax revenue (excluding the impact of the revenue related to the High Court decision) is forecast to be 1.7 per cent. This reflects an expectation that growth in gaming machine tax revenue will return to more modest levels over the forward estimates period.

Insurance taxes

Taxes on insurance include stamp duty on insurance premiums (including life insurance, general insurance and compulsory third party (CTP) insurance) and a flat stamp duty charge on renewal notices for CTP insurance.

Projected growth rates for insurance tax revenues are provided in table 3.10.

Table 3.10: Insurance taxes

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Total insurance taxes ($m)	**703.1**	**734.1**	**765.9**	**797.5**	**830.4**
Nominal growth (%)	6.0	4.4	4.3	4.1	4.1
Real growth (%)	3.1	1.4	1.5	1.6	1.6
Policy adjusted underlying revenue ($m)	**703.1**	**734.1**	**765.9**	**797.5**	**830.4**
Nominal growth (%)	6.0	4.4	4.3	4.1	4.1
Real growth (%)	3.1	1.4	1.5	1.6	1.6

Revenue from insurance taxes is estimated to be $32 million higher in 2024-25 compared to the 2024-25 Budget estimate, largely reflecting an increase in general insurance duty revenue due to higher than estimated growth in premiums.

Growth in insurance duty revenue over the four years to 2028-29 is expected to be around 4.2 per cent per annum on average, mainly reflecting expected growth in general insurance premiums.

Motor vehicle taxes

Motor vehicle taxes include registration fees, stamp duty on new registrations and ownership transfers, the ESL on mobile property and stamp duty on Lifetime Support Scheme (LSS) levy contributions.

The growth rates for motor vehicle tax revenues are provided in table 3.11.

Table 3.11: Motor vehicle taxes

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Total motor vehicle taxes ($m)	**924.7**	**979.2**	**1 006.6**	**1 033.0**	**1 060.8**
Nominal growth (%)	-0.2	5.9	2.8	2.6	2.7
Real growth (%)	-2.9	2.8	0.0	0.1	0.2
Policy adjusted underlying revenue ($m)	**924.7**	**979.2**	**1 006.6**	**1 033.0**	**1 060.8**
Nominal growth (%)	-0.2	5.9	2.8	2.6	2.7
Real growth (%)	-2.9	2.8	0.0	0.1	0.2

Revenue from motor vehicle taxes in 2024-25 is expected to be in line with the 2024-25 Budget estimate.

Annual average growth in motor vehicle tax revenue is forecast to be 3.5 per cent per annum over the four years to 2028-29 and reflects the annual indexation of motor vehicle registration fees, growth in the stock of registered vehicles as well as modest growth in revenue from stamp duty on motor vehicle registration transfers and the LSS levy.

South Australia's relative tax effort

In terms of tax revenue per capita, South Australia is a relatively low tax jurisdiction — the third lowest in 2024-25 based on state and territory mid-year budget update publications.

Details are provided in table 3.12.

Table 3.12: Per capita taxation by jurisdiction ($)[a]

	2023-24[b][c]	2024-25[c][d]
Australian Capital Territory[e]	5 472	5 655
New South Wales	5 296	5 539
Victoria	5 344	5 464
Western Australia	4 654	4 781
Queensland	4 100	4 359
South Australia	**3 417**	**3 489**
Tasmania	3 089	3 139
Northern Territory	2 997	2 848
All states and territories	**4 797**	**4 980**

(a) Taxation revenues for South Australia have been adjusted to remove land tax paid by the South Australian Housing Trust.
(b) Based on published outcomes for all states and territories.
(c) Population figures for 2023-24 have been sourced from ABS publications and 2024-25 population estimates reflect Commonwealth Treasury estimates.
(d) Based on taxation revenue estimates published in 2024-25 Mid Year Budget publications for all states and territories.
(e) The Australian Capital Territory tax revenue base includes general rates (collected by councils in other jurisdictions), which increases its per capita taxation in comparison to other jurisdictions.

Each year the Commonwealth Grants Commission (CGC) releases an assessment of relative tax effort for all states and territories as part of its annual relativity update. The tax effort measure by the CGC provides an indication of how a state's effective level of tax differs to the effective level of all states and territories.

South Australia's total tax effort was below the average of all jurisdictions in 2023-24 and was the fifth lowest of all jurisdictions.

Details of tax effort assessments are provided in table 3.13.

Table 3.13: Tax effort ratios by jurisdiction

	2022-23	2023-24
	CGC[a]	CGC[b]
New South Wales	97.1	97.2
Victoria	108.0	113.5
Queensland	95.1	91.9
Western Australia	98.6	93.0
South Australia	**96.0**	**95.1**
Tasmania	84.2	85.9
Australian Capital Territory[c]	135.3	134.0
Northern Territory	82.0	81.9

(a) Tax effort ratios derived from the CGC's *GST Revenue Sharing Relativities — 2024 Update* publication.
(b) Tax effort ratios derived from the CGC's *GST Relativities 2025-26* publication.
(c) The Australian Capital Territory is in the process of transitioning more of its tax revenue base to general rates (collected by councils in other jurisdictions) which are included in the calculation of its effort ratios.

Grant revenue

Table 3.14: Grant revenue ($million)

	2024-25 Budget	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Grant revenue						
Grants from the Commonwealth						
GST revenue grants[(a)]	8 942.2	9 128.5	9 529.0	9 802.1	9 743.0	9 802.2
Ongoing tied grants	3 078.1	3 053.3	3 396.1	3 583.7	3 770.7	3 990.7
Ongoing tied grants for on-passing	1 585.3	1 640.0	1 708.4	1 789.9	1 870.8	1 951.2
National Partnership grants	1 336.4	2 056.8	2 190.8	2 061.8	2 152.5	2 042.1
National Partnership grants for on-passing	246.1	70.6	257.9	244.3	249.1	256.9
Other Commonwealth grants	617.9	730.1	673.7	668.0	666.7	668.7
Total grants from the Commonwealth	**15 806.0**	**16 679.4**	**17 755.9**	**18 149.7**	**18 452.8**	**18 711.8**
Other contributions and grants	**158.1**	**205.9**	**183.2**	**178.1**	**177.4**	**177.8**
Total grant revenue	**15 964.2**	**16 885.3**	**17 939.0**	**18 327.8**	**18 630.1**	**18 889.6**
% change on previous year						
GST revenue grants						
Nominal growth (%)		5.4	4.4	2.9	-0.6	0.6
Real growth (%)		2.5	1.3	0.1	-3.0	-1.8
Total grants from the Commonwealth						
Nominal growth (%)		9.3	6.5	2.2	1.7	1.4
Real growth (%)		6.4	3.4	-0.5	-0.8	-1.1
Total grant revenue						
Nominal growth (%)		9.3	6.2	2.2	1.6	1.4
Real growth (%)		6.4	3.1	-0.6	-0.8	-1.1

Note Totals may not add due to rounding.

(a) This includes estimates of the Commonwealth Government's no worse off guarantee payments to South Australia.

GST revenue grants

GST revenue grants are impacted by changes to the national GST pool available for distribution and South Australia's share of the GST pool.

In 2024-25, growth in South Australia's GST revenue grant largely reflects forecast growth in the national GST pool of 5.5 per cent.

The total GST pool available for distribution is expected to continue to grow in line with longer term growth rates from 2025-26 at around 5½ per cent per annum over the period to 2028-29, reflecting the outlook for national consumption and dwelling investment.

South Australia's GST revenue grants are expected to grow at rates that vary from growth in the national GST pool, reflecting movements in South Australia's projected share of the pool.

Growth in GST revenue grants is expected to be negative in 2027-28 and low in 2028-29 due to an expected decline in South Australia's grant share, reflecting that interstate mining revenues are forecast to return to more normal levels across the forward estimates and that South Australia will receive a higher than per capita share of impacting Commonwealth infrastructure grant funding across the forward estimates period. This is discussed in the next section.

South Australia's share of GST revenue

GST revenue grants are distributed between states and territories on the basis of horizontal fiscal equalisation (HFE). The CGC is responsible for recommending updated annual GST distribution shares to the Commonwealth Government each year.

The CGC provides its recommendations in the form of GST distribution relativities, which reflect the relationship between a state's GST entitlement under HFE and its population share of total GST grants. For example, a relativity above 1 indicates that a state requires more than its population share of GST grants, due to a lower capacity to raise revenue compared to other states and/or higher costs of providing services and infrastructure to the same standard as other states. The relativities are then adjusted to reflect the new equalisation benchmark and transition arrangements (discussed further below).

In March 2025, the CGC released its *Report on GST Revenue Sharing Relativities — 2025 Review* (2025 Review). The CGC undertakes such reviews approximately every five years with the aim of re-examining the scope and definition of HFE and the methods it uses to determine revenue sharing relativities based on HFE principles. As part of the 2025 Review, the CGC provided recommended relativities for the distribution of GST revenue grants to the states in 2025-26.

The CGC recommended a decrease in South Australia's relativity from 1.40312 in 2024-25 to 1.38876 in 2025-26. The decrease in South Australia's relativity, combined with forecast changes in state population shares will result in South Australia receiving around 10.0 per cent of the GST pool in 2025-26, a slightly lower share to that received in 2024-25.

The overall impact represents the combined effect of methodological changes, revisions to data and the updating of assessments to include 2023-24 data. Based on modelling undertaken by the CGC, the decrease in the relativity for South Australia equates to a $55 million decrease in GST revenue compared to using the previous relativities. This is summarised in table 3.15.

Table 3.15: 2025 review — major factors affecting South Australia's relativity

Factor	$ million
Method changes	
COVID-19 business support	-176
COVID-19 health expenses	-78
Transport	96
Wages	187
Other	-31
Total method changes	-2
Revisions to data (including change to natural disaster relief expenses)	-116
Update to averaging period	64
Total change	**-55**

Source: CGC *Report on GST Revenue Sharing Relativities — 2025 Review.*
Note Totals may not add due to rounding.

The main methodological changes that contributed to the change in South Australia's relativity were:

- the introduction of a revised assessment approach for COVID-19 business support expenses that were favourable to New South Wales and Victoria due to their higher COVID-19 related expenses

- the introduction of a revised assessment approach for COVID-19 health expenses that were favourable to New South Wales and Victoria due their higher COVID-19 related health expenses
- changes to the CGC's model for assessing relative expense needs for transport
- changes to the model and assessment approach used to estimate state wage costs that produced higher estimates for wage costs in South Australia.

Upward revisions to natural disaster expenses in other states led to a negative impact on South Australia's grant share.

The updating of the averaging period or changes in state circumstances were largely driven by:

- a large increase in coal prices and average royalty rates in 2023-24 (compared with 2020-21) increased coal royalties and the revenue raising capacities of New South Wales and Queensland. This reduced South Australia's relative mining revenue raising capacity, increasing its assessed GST needs
- below-average growth in South Australia's taxable wages and salaries in 2023-24 (compared with 2020-21) decreased South Australia's relative revenue raising capacity from payroll taxes, increasing its assessed GST needs.

The Commonwealth Treasurer applied the CGC's recommended relativities in the 2025-26 Commonwealth Budget.

Based on the new relativity, current population and GST pool estimates for 2025-26, South Australia will receive around $3.0 billion more (including no worse off guarantee payments) than it would if funding was distributed on a population basis, which has no regard to the different fiscal needs and capacities of each state.

Beyond 2025-26, South Australia's GST relativity is expected to be influenced by:

- an expected moderation in royalty revenue growth in other jurisdictions. This reduces South Australia's expected GST requirements
- changes in South Australia's share of Commonwealth Government payments
- relative population growth in South Australia
- further transition to the Commonwealth Government's new GST distribution arrangements, which will reduce South Australia's share of GST revenue. This negative impact is offset by the Commonwealth funded no worse off guarantee payments until 2029-30.

Impact of new equalisation arrangements and transition arrangements

The 2025-26 financial year represents the fifth year of a six-year transition to new GST distribution arrangements legislated by the Federal Parliament in November 2018. The key elements of the new arrangements include:

- a new equalisation benchmark, with states no longer equalised to the same fiscal capacity, but rather to the fiscal capacity of New South Wales or Victoria (whichever has a higher fiscal capacity in a given year). This is being phased in equally between 2021-22 and 2026-27. This provides an advantage to any jurisdiction that has a fiscal capacity above the stronger of New South Wales or Victoria in a given year
- a GST relativity floor funded within the GST pool (through reductions to other states' GST grants if required) from 2022-23, initially set at 0.70 and increased to 0.75 from 2024-25
- an additional Commonwealth Government boost to the GST pool of $600 million per annum from 2021-22, with an additional $250 million from 2024-25. These additional payments are being indexed to growth in the GST pool in subsequent years
- a guarantee that no state will be worse off, on a cumulative basis, under the new arrangements compared to the previous full equalisation arrangements, for each year, with any cumulative shortfall funded by the Commonwealth Government. This arrangement was originally scheduled to expire in 2026-27 but was extended, through the Extension of the GST No Worse Off Guarantee Funding Agreement, until 2029-30

- a further Productivity Commission inquiry on HFE, to be completed by December 2026, to examine whether the new GST distribution arrangements are operating efficiently, effectively, and as intended.

Consistent with the legislated transition to the new GST distribution arrangements, the 2025-26 relativities represent one sixth of the old HFE system relativities and five sixths of the new GST distribution relativities. The transition to the new GST distribution arrangements is forecast to increase Western Australia's GST revenue grants by $6.0 billion in 2025-26 compared to its grant entitlement under full equalisation (previous system). This comes at the expense of all other jurisdictions as demonstrated in table 3.16.

Table 3.16: GST grants under the new and previous arrangements (excluding no worse off payments) 2025-26 ($million)

	Previous arrangements	New arrangements[(a)]	Difference
New South Wales	27 668	25 436	-2 232
Victoria	27 989	26 146	-1 842
Queensland	16 625	16 577	-48
Western Australia	1 864	7 837	5 973
South Australia	**9 529**	**9 042**	**-487**
Tasmania	3 778	3 632	-146
Australian Capital Territory	2 064	1 940	-124
Northern Territory	4 603	4 542	-61

Source: SA Treasury and Finance calculation based on information in the CGC 2025 Review and the 2025-26 Commonwealth Budget.

(a) The impacts above represent the effect of equalising states to the stronger of New South Wales and Victoria, blending old and new system relativities and applying a 0.75 relativity floor. They also include state shares of the GST pool boost but do not include no worse off guarantee payments from the Commonwealth Government.

When changes to the distribution of the GST were legislated by the Commonwealth Parliament in 2018, the Commonwealth Government forecast that all jurisdictions would be better off under the new arrangements over the period to 2026-27. South Australia and other jurisdictions raised concerns that these forecasts were highly sensitive to future economic outcomes and that there is a risk that jurisdictions will be worse off because of the changes. This led to the introduction of the no worse off guarantee. The cost of this guarantee and the effective benefit to Western Australia of the revised HFE arrangements since its inception to 2025-26 is estimated to be $19.4 billion. This demonstrates the importance of the no worse off guarantee as a minimum required protection for states.

Throughout 2023, the Board of Treasurers (BOT) raised with the Commonwealth Treasurer the issue of the expiry of the no worse off guarantee after 2026-27 and the need for the guarantee to be permanently extended. Following discussions at several Council on Federal Financial Relations (CFFR) meetings, National Cabinet, at its December 2023 meeting, agreed to extend the no worse off guarantee until 2029-30. While the extension will provide funding certainty for the remainder of the decade, a permanent extension is required for the long-term fiscal sustainability of states and territories.

On the basis of national equity, the Government of South Australia still strongly supports the previous system of full equalisation, that is, all jurisdictions are equalised to the same fiscal capacity.

Commonwealth Government payments for specific purposes

Commonwealth-state funding arrangements are governed by Commonwealth Government legislation and the Intergovernmental Agreement on Federal Financial Relations (the IGA) agreed to by the Council of Australian Governments in December 2008.

Consistent with the new Federation Funding Agreements architecture agreed by National Cabinet in 2020, payments for specific purposes can either be ongoing tied grants (National Agreements) or time-limited National Partnership Payments (NPPs).

National Agreements (NAs) include the National Skills Agreement, the National Health Reform Agreement, Better and Fairer Schools Agreement, the National Mental Health and Suicide Prevention Agreement and the National Agreement on Social Housing and Homelessness Agreement. From 1 July 2025, the Commonwealth Government will be treating ongoing funding for legal assistance services as a NA under the National Access to Justice Partnership (currently presented as NPP funding in South Australia's budget papers). Ongoing disability funding for states and territories is now provided directly to the National Disability Insurance Agency (NDIA) following the introduction of the National Disability Insurance Scheme (NDIS).

NPPs are time-limited payments to the states that fall under one of five sectoral Federation Funding Agreements (FFAs). The five FFAs cover health, education and skills, infrastructure, environment and a residual agreement incorporates affordable housing, community services and other services. These payments support the delivery of specified projects or facilitate or reward the implementation of reforms of national importance.

Table 3.17 summarises expected Commonwealth Government payments for specific purposes to South Australia by category.

Table 3.17: Commonwealth Government payments for specific purposes by category ($million)[(a)]

Agreement	2024-25 Budget	2024-25 Estimate	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Health						
National Health Reform	2 070.8	2 036.0	2 347.0	2 500.0	2 661.7	2 835.1
National Partnerships	100.7	142.1	145.9	106.9	115.9	13.3
Education and Early Childhood						
Better and Fairer Schools (government schools)	768.3	778.4	805.4	835.3	858.1	901.8
Better and Fairer Schools (non-government schools)	1 585.3	1 640.0	1 708.4	1 789.9	1 870.8	1 951.2
National Partnerships	60.8	87.2	42.2	37.3	28.9	35.9
Skills and Workforce Development						
National Skills Agreement	119.3	119.3	121.5	123.2	123.2	123.2
National Partnerships	64.2	66.3	62.4	56.3	50.7	47.8
Community Services						
National Partnerships	10.2	11.2	5.0	1.8	—	—
Housing						
National Agreement on Social Housing and Homelessness	119.7	119.7	122.2	125.1	127.6	130.4
National Partnerships	3.9	36.3	8.0	8.4	25.0	—
Infrastructure						
National Partnerships	972.9	1 011.7	1 352.0	1 648.7	1 820.8	1 861.0
Environment						
National Partnerships	76.6	456.4	291.9	129.8	35.6	2.4
Other						
National Partnerships	52.2	251.6	287.8	75.7	75.8	81.7
Local government financial assistance	240.9	64.6	253.5	241.2	248.9	256.9
Total Commonwealth Government payments for specific purposes	**6 245.9**	**6 820.8**	**7 553.1**	**7 679.6**	**8 043.1**	**8 240.9**

Note: Totals may not add due to rounding.

Ongoing tied Commonwealth Government grants

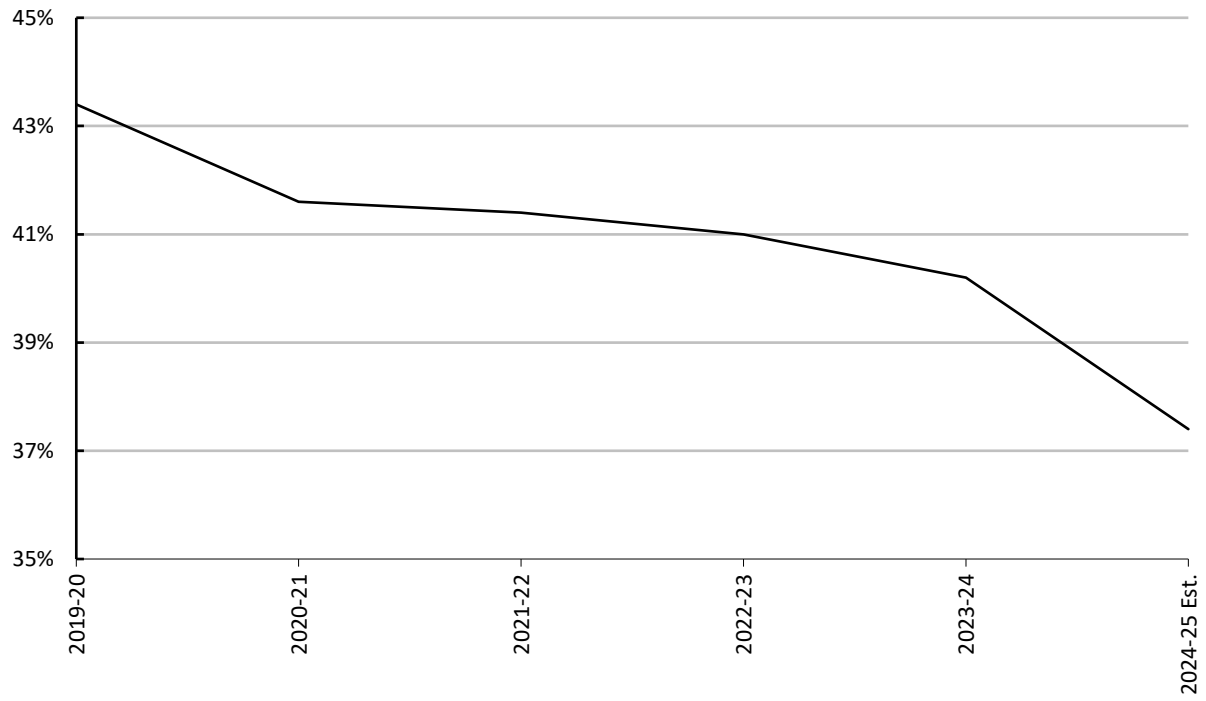
Revenue from ongoing tied Commonwealth Government grants is forecast to grow modestly over the forward estimates reflecting activity and indexation arrangements specified in funding agreements.

National Health Reform Agreement

National Health Reform funding is based on public hospital activity and a national efficient price determined by the Independent Health and Aged Care Pricing Authority. In May 2020, South Australia signed the 2020-25 addendum to the National Health Reform Agreement (NHRA) with total funding growth for public hospitals capped at 6.5 per cent per annum nationally.

Public hospital costs have grown by more than the 6.5 per cent per annum cap applied to Commonwealth government contributions. Over time, this has led to a decline in the Commonwealth funding share for public hospital services, with the national Commonwealth contribution rate falling from 43.4 per cent in 2019-20 to an estimated 37.4 per cent in 2024-25 as shown in Figure 3.1 below.

Figure 3.1: Commonwealth share of public hospital funding (national)



In December 2023, National Cabinet endorsed a health and disability reform agenda that included development of a new NHRA addendum to take effect from July 2025 and NDIS reform to support the sustainability of disability services. In relation to health reform, National Cabinet agreed that the new 2025-2030 addendum would result in an incremental increase in the Commonwealth funding share to 45 per cent over 10 years from 1 July 2025, with achievement of 42.5 per cent by 2030. In addition, the current 6.5 per cent funding cap would be replaced by a cumulative cap over the period 2025-2030 and includes a first-year 'catch-up' growth premium.

States and territories have worked closely with the Commonwealth on health funding and reform of the NDIS since National Cabinet in December 2023. Reaching the commitment of 45 per cent Commonwealth NHRA contribution will enable the South Australian government to deliver health care more sustainably to all South Australians. In February 2025, a one-year NHRA addendum was agreed as an interim step to allow longer term disability and health reform discussions to continue. The one-year NHRA addendum extends the existing addendum by retaining the 6.5 per cent annual growth cap, with a one-off $1.7 billion contribution uplift to states and territories, including $169 million for South Australia. It also reaffirms the commitment to design disability foundational supports and continue the collaborative process for agreeing NDIS rule changes.

Better and Fairer Schools Agreement

The Commonwealth Government funding model for school education is based on a Schooling Resource Standard (SRS) that provides recurrent funding to government and non-government schools to meet the educational needs of students. The model prescribes both the Commonwealth Government and state and territory government recurrent funding contributions as shares of the SRS. The Commonwealth Government may provide additional funding for capital expenditure, special circumstances and non-government representative bodies.

In January 2025, South Australia signed the Better and Fairer Schools Agreement (BFSA) which replaces the National School Reform Agreement. The BFSA is a ten-year school funding and reform agreement that provides for an increase in the Commonwealth Government's funding from 20 per cent of the SRS for government schools to 25 per cent of the SRS by 2034. The South Australian Government will contribute 75 per cent of the SRS for government schools. This means that South Australian public schools will receive 100 per cent of their SRS funding by 2034.

Ongoing tied Commonwealth Government grants for on-passing is solely comprised of funding for non-government schools.

National Agreement on Social Housing and Homelessness

In May 2024, National Cabinet agreed that all states and territories would sign up to a new five-year National Agreement on Social Housing and Homelessness (NASHH), formerly the National Housing and Homelessness Agreement, commencing from 1 July 2024. Upon signing the agreement, states and territories became eligible for a share of $1 billion in additional Commonwealth funding to support the development of new housing. The new agreement includes the reallocation of Commonwealth funding from other programs to expand homelessness programs with the states and territories to provide a matched contribution for the homelessness component.

National Skills Agreement

In October 2023, first ministers agreed on a new National Skills Agreement (NSA) replacing the former National Agreement on Skills and Workforce Development (NASWD). The NSA supports a skills reform agenda that aims to deliver a high quality, responsive and accessible vocational education and training (VET) system that helps individuals to obtain the skills and capabilities they need to obtain well paid, secure jobs. The agreement puts TAFE at the centre of the VET sector and seeks to progress national priorities including Closing the Gap, gender equality, addressing skills shortages and developing Australia's sovereign capability.

National Partnership grants

NPPs are time limited agreements to fund specific projects and to facilitate or reward states that deliver nationally significant reforms. Funding can be for both recurrent and capital purposes and may be in the form of direct grants to the state or grants passed on to third parties.

In 2025-26, South Australia will receive an estimated $2.2 billion in direct NPP funding, representing growth of around 7 per cent compared to funding in 2024-25. This mainly reflects the timing of funding for major infrastructure projects including the North-South Corridor — River Torrens to Darlington and Marion Road — Anzac Highway to Cross Road. The forecast growth in 2025-26 is also impacted by the conclusion of funding from the Energy Bill Relief Fund and the timing of funding for several regional road projects. NPPs for on-passing reflect the inclusion of a full-year funding allocation in 2025-26 for Financial Assistance Grants for local government (a proportion of funding for 2024-25 was provided in 2023-24 which reduced the total amount received in 2024-25).

Over the forward estimates period, NPP funding largely reflects the timing of funding for infrastructure projects including North-South Corridor — River Torrens to Darlington, Princes Highway Corridor, Marion Road — Anzac Highway to Cross Road, South Eastern Freeway Upgrade, Freight Highway Upgrade Program and the Flinders Medical Centre Upgrade and Expansion.

Other Commonwealth grants

The majority of other Commonwealth grants funding includes payments in respect of the Pharmaceutical Benefits Scheme, Commonwealth Government funding to deliver aged care and transitional care programs as well as services to Department of Veterans' Affairs clients.

Sales of goods and services

Sales of goods and services revenue in the general government sector includes government fees and charges that are adjusted by the annual indexation factor. Most government fees and charges will be indexed by 3.1 per cent from 1 July 2025.

Table 3.18: Sales of goods and services ($million)

	2024-25 Budget	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Regulatory fees	1 028.8	1 089.4	1 152.2	1 198.2	1 254.2	1 294.5
Health unit fees	526.3	581.2	571.7	578.7	586.8	600.5
Guarantee fees	143.5	143.6	161.1	180.6	194.4	207.7
TAFE fees	82.9	93.0	89.4	93.3	103.2	107.8
Schools revenue	159.7	140.6	144.7	149.0	153.3	157.7
Metroticket sales	93.3	93.3	97.7	103.1	108.7	114.5
Drivers' licence fees	77.2	77.2	81.1	85.6	88.1	95.0
Other user charges	1 293.3	1 353.0	1 354.2	1 362.7	1 382.7	1 395.4
Total sales of goods and services	**3 405.0**	**3 571.3**	**3 652.2**	**3 751.1**	**3 871.3**	**3 973.0**
% change on previous year						
Nominal-terms growth (%)		5.4	2.3	2.7	3.2	2.6
Real-terms growth (%)		2.5	-0.7	0.0	0.7	0.1

Note: Totals may not add due to rounding.

Revenue from sales of goods and services in 2024-25 is expected to be $166 million higher than estimated at the time of the 2024-25 Budget. This is mainly due to higher revenue from other user charges, regulatory fees and health unit fees.

Revenue from other user charges and health unit fees has been revised up in 2024-25 primarily due to increased revenue from services fees and charges, reflecting higher than expected demand for services across the public health system.

Regulatory fees revenue was revised up largely reflecting higher land services fees resulting from strong growth in residential property market transactions and prices, as well as the reclassification of receipts from private insurers related to stamp duty on CTP premiums, which were previously budgeted as 'other revenue'.

Growth in sales of goods and services over the four years to 2028-29 is expected to be around 2.7 per cent per annum on average, largely driven by projected increases in revenue from regulatory fees, guarantee fees and other user charges.

Interest income

Interest income is generated from agency cash balances held with financial institutions.

Table 3.19: Interest income ($million)

	2024-25 Budget	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Total interest income	**463.7**	**461.2**	**431.5**	**462.9**	**471.5**	**481.7**
Nominal-terms growth (%)		-3.9	-6.4	7.3	1.9	2.2
Real-terms growth (%)		-6.5	-9.2	4.4	-0.6	-0.3

Note: Interest income is presented on a gross basis, with interest paid on borrowings reflected separately as an expense. This can lead to significant growth between years which is not reflective of underlying movements.

Interest income in 2024-25 is expected to be broadly consistent with 2024-25 Budget forecasts. Growth in interest income from 2025-26 reflects an expected moderation in interest rates and forecast changes in agency cash balances.

Dividend and income tax equivalent income

Dividend and income tax equivalent (ITE) revenue is received from public non-financial corporations (PNFCs) and public financial corporations (PFCs).

Table 3.20: Dividend and income tax equivalent income ($million)

	2024-25 Budget	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Dividend and ITE income from PNFCs	199.2	215.5	223.0	201.4	184.9	272.9
Dividend and ITE income from PFCs	98.2	67.7	92.0	102.8	98.8	97.1
Other dividend income	0.6	0.6	0.6	0.6	0.6	0.6
Total dividend and ITE revenue	**298.0**	**283.8**	**315.6**	**304.8**	**284.3**	**370.5**
Dividend and ITE from PNFCs comprise						
SA Water	184.3	195.8	192.2	160.1	150.4	251.3
Renewal SA	2.2	5.8	19.3	29.7	22.7	9.5
Other	12.6	13.9	11.5	11.6	11.8	12.0
Subtotal	**199.2**	**215.5**	**223.0**	**201.4**	**184.9**	**272.9**
Dividend and ITE from PFCs comprise						
Motor Accident Commission	3.2	3.4	2.0	1.1	0.9	0.9
HomeStart Finance	45.3	62.8	55.1	56.7	52.8	51.2
SAFA	49.8	1.5	35.0	45.0	45.0	45.0
Subtotal	**98.2**	**67.7**	**92.0**	**102.8**	**98.8**	**97.1**
% change on previous year						
Total dividend and ITE revenue						
Nominal growth (%)		-34.7	11.2	-3.4	-6.7	30.3
Real growth (%)		-36.5	7.9	-6.0	-9.0	27.2

Note: Totals may not add due to rounding.

In 2024-25, total dividend and ITE income is estimated to be around $14.1 million lower than the 2024-25 Budget estimate.

Distributions from PNFCs are expected to be $16.3 million above budget in 2024-25, mainly due to higher than expected dividend and ITE payments from SA Water reflecting revised profit expectations.

The decline in PNFC distributions in 2026-27 and 2027-28 reflects the expectation that the higher than estimated contributions from SA Water in 2024-25 do not continue across the forward estimates.

SA Water's current regulatory determination period concludes on 30 June 2028. Consistent with the budgeting practice adopted for financial years beyond the current regulatory period, SA Water's financial estimates from 2028-29 reflect standard parameters expected to apply to its next regulatory period assessment. Final parameters will be defined through the course of SA Water's next regulatory determination process and in the lead up to its commencement in 2028-29.

Distributions from PFCs are expected to be around $30.5 million lower than the 2024-25 budget estimate. The downwards revision is primarily due to SAFA's operating position being impacted by an increase in provisions established for insurance claims, partially offset by higher than budgeted portfolio growth, net interest margin expectations and shared equity gains impacting HomeStart Finance's profitability.

The increase in PFC distributions from 2025-26 reflects the expectation that SAFA's profit will return to sustainable levels.

Further information on dividends and distributions can be found in Chapter 5.

Other revenue

Other revenue comprises receipts from a number of sources including mining royalties, various fines and penalties and miscellaneous school related fees.

Table 3.21: Other revenue ($million)

	2024-25 Budget	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Royalties	422.9	422.4	456.8	453.4	435.5	441.2
Fines and penalties	219.8	177.8	220.2	249.1	298.9	303.5
Schools revenue	45.5	45.2	46.3	47.5	48.7	49.9
Other	1 102.5	1 102.8	1 022.4	1 021.7	1 043.0	1 061.1
Total other revenue	**1 790.7**	**1 748.2**	**1 745.8**	**1 771.7**	**1 826.1**	**1 855.7**
% change on previous year						
Nominal-terms growth (%)		8.6	-0.1	1.5	3.1	1.6
Real-terms growth (%)		5.7	-3.0	-1.2	0.6	-0.9

Note: Totals may not add due to rounding.

Total revenue from other sources in 2024-25 is expected to be $43 million lower than the 2024-25 Budget estimate, mainly reflecting a decline in revenue from fines and penalties.

Royalty revenue in 2024-25 is expected to be largely in line with the 2024-25 Budget estimate. Strong growth in 2025-26 primarily reflects the expiry of the new mine rate for the Carrapateena Mine (copper), with growth in future years impacted by forecast movements in production levels for minerals.

Revenue from fines and penalties in 2024-25 is projected to be $42 million lower than the 2024-25 Budget estimate due to a delay in the rollout of new road safety cameras and lower than expected collections from court related fines and fruit fly expiations, which impacts corresponding revenue growth in 2025-26. Growth in future years mainly reflects expected revenue from an increase in the number of road safety cameras at high-risk sites.

Schools revenue includes fundraising, canteen revenue, excursion fees, out of school-hours care fees and Commonwealth Government grants paid directly to schools. Schools revenue in 2024-25 is expected to be consistent with estimates in the 2024-25 Budget and is estimated to grow modestly over the forward estimates.

Other revenue in 2024-25 is expected to be broadly in line with the 2024-25 Budget estimate. This reflects the reclassification of receipts from private insurers related to stamp duty on CTP premiums, which are now budgeted as ‘sales of goods and services’, offset by the recognition of revenue from the return of funds from the Whyalla Steelworks Operational Efficiency Improvement Fund to support the long-term future of the Whyalla steelworks and the community. The decline in revenue in 2025-26 is impacted by the recognition of revenue in 2024-25 to support the Whyalla steelworks and the community, while growth in future years is impacted by the profile of external contributions to commercial projects.

Annual fee and rate setting

Fees and charges

The annual indexation factor for fees and charges has been set at 3.1 per cent for 2025-26, which takes into account annual public sector wages growth and the Consumer Price Index. Fees and charges are typically adjusted by the applicable indexation factor and then rounded to an administratively convenient amount. This results in the increase of some fees and charges being smaller or greater than the applicable indexation factor.

Not all fees and charges are increased through the annual adjustment process. Adjustments to certain fees and charges are determined as a consequence of specific policy decisions.

As part of the 2025-26 Budget, the government is permanently reducing the price of a metroCARD student 28-day pass. The price of this pass will reduce from its current price of $28.60 to $10 from 1 July 2025.

CTP premiums are set independently by private insurers within a range as determined by the CTP Regulator. The CTP Regulator has determined an increase to the lower bound of the range (around 0.5 per cent) as well as an increase to the upper bound of the range (around 0.5 per cent) in 2025-26.

The Lifetime Support Scheme levy will increase by 3.3 per cent in 2025-26 for passenger vehicles in metropolitan postcodes which reflects increases in the cost of future medical care and support payments under the scheme.

Water and sewerage prices will be set prior to the commencement of the 2025-26 financial year.

Table 3.22 sets out the increases in fees and charges in 2025-26 for major government services. These increases take effect from 1 July 2025.

Table 3.22: 2024-25 changes to selected agency fees and charges

	2024-25 $	2025-26 $	Change %
Public transport			
Single trip tickets — all times and zones	6.40	6.60	3.1
metroCARD single fare — all times and zones	4.40	4.55	3.4
Regular 28-day pass	115.50	119.10	3.1
Student 28-day pass	28.60	10.00	-65.0
Motor vehicle charges			
Registration fee — motor vehicles:			
Four cylinders or less	152.00	157.00	3.3
Five or six cylinders	310.00	320.00	3.2
Seven or more cylinders	448.00	462.00	3.1
Registration fee — light commercial vehicles:			
Mass between 1001 kg and 1500 kg	334.00	344.00	3.0
Mass greater than 1500 kg	569.00	587.00	3.2
Drivers' licence renewals			
Five years	265.00	275.00	3.8
Ten years	530.00	550.00	3.8
Speeding fines			
Exceeding the speed limit by:			
Less than 10 km/h	202.00	208.00	3.0
10 km/h but less than 20 km/h	455.00	469.00	3.1
20 km/h but less than 30 km/h	926.00	955.00	3.1
30 km/h but less than 45 km/h	1684.00	1736.00	3.1
45 km/h and above	1895.00	1954.00	3.1

	2024-25 $	2025-26 $	Change %
Motor vehicle charges[(a)]			
Compulsory third party premium — passenger vehicles (metropolitan postcodes):			
Standard premium	260.71 - 283.81	262.07 - 285.18	0.5 / 0.5
Input tax credit entitled premium	276.01 - 300.80	277.51 - 302.32	0.5 / 0.5
Lifetime Support Scheme levy — passenger vehicles (metropolitan postcodes)	142.39	147.15	3.3

(a) For metropolitan postcodes. CTP premiums are set independently by private insurers within a range as determined by the CTP Regulator.

Chapter 4: Managing the state's assets and liabilities

Overview

The state's assets and liabilities are impacted by the government's commitment to a range of new investments over the forward estimates that improve the state's economic and social infrastructure, as well as key infrastructure projects including road, health and housing projects that have been announced previously and will be undertaken over the forward years. These investments result in net debt increasing over the forward estimates.

General government sector net debt is expected to rise from $22.1 billion at 30 June 2025 to $37.0 billion at 30 June 2029. The non-financial public sector (NFPS) net debt reflects the combined debt of the general government and the public non-financial corporations (PNFC) sectors. The NFPS net debt is estimated to increase to $48.5 billion at 30 June 2029, up from $31.4 billion at 30 June 2025.

The value of land and other fixed assets in the general government sector, including the state's transport, education and health infrastructure is expected to increase from $74.2 billion at 30 June 2025 to $88.2 billion at 30 June 2029 reflecting the government's significant investment in new infrastructure for the community. The net worth of the general government sector, which measures the extent to which the value of its assets exceeds its liabilities, increases over this period to reach $64.9 billion at 30 June 2029.

The state's unfunded superannuation liability is estimated to be $6.4 billion at 30 June 2025. This is $434 million lower than the estimate at the time of the 2024-25 Mid-Year Budget Review (MYBR), largely as a result of a higher discount rate to value the liability. The government remains on track to fully fund superannuation liabilities by 2034, with the unfunded liability projected to decline to $4.2 billion by 30 June 2029.

General government sector financial position

Table 4.1 summarises key balance sheet indicators for the general government sector.

Table 4.1: Key balance sheet indicators at 30 June — general government sector

	2024 Actual	2025 Estimated Result	2026 Budget	2027 Estimate	2028 Estimate	2029 Estimate
Net debt						
$m	19 322	22 052	25 201	28 838	33 303	37 031
% of total revenue	69.2	73.6	80.3	89.7	101.2	110.0
% of GSP	13.0	14.2	15.6	17.0	18.8	20.0
Net financial liabilities						
$m	32 628	35 090	37 784	41 430	45 132	48 181
% of total revenue	116.8	117.1	120.5	128.8	137.2	143.1
Net financial worth						
$m	-10 404	-12 513	-14 734	-17 775	-20 819	-23 496
% of total revenue	-37.2	-41.8	-47.0	-55.3	-63.3	-69.8
Net worth						
$m	61 639	61 829	62 272	63 144	64 203	64 878
% of total revenue	220.7	206.3	198.5	196.3	195.1	192.7

Net debt

General government sector net debt is forecast to increase across the forward estimates from $22.1 billion at 30 June 2025 to $37.0 billion at 30 June 2029. The increase in general government net debt primarily reflects the projected cash deficits in the general government sector across the forward estimates, totalling $12.9 billion from 2025-26 to 2028-29. The cash deficits across the forward estimates predominantly reflect the government's substantial investment program. This includes improvements to road infrastructure in partnership with the Commonwealth Government as well as a range of other infrastructure investments including the new Women's and Children's Hospital, Flinders Medical Centre upgrade and expansion and new Mount Barker Hospital.

Although the level of net debt and the cost of that debt is increasing, key projects that are impacting net debt are expected to have significant economic or social benefit to the state and are being delivered in a manner that enables government to continue to deliver net operating surpluses. The projected level of net debt across the forward estimates is maintained at a sustainable debt level that allows for borrowing for investment in key infrastructure without placing undue burden on future generations.

Table 4.2 provides details of the movement in general government net debt across the forward estimates.

Table 4.2: General government sector net debt at 30 June ($million)

	2025 Estimated Result	2026 Budget	2027 Estimate	2028 Estimate	2029 Estimate
Opening general government net debt	**19 322**	**22 052**	**25 201**	**28 838**	**33 303**
Increase in net debt					
General government cash surplus (-) / deficit (+)	2 285	2 718	2 995	3 701	3 478
Equity contributions granted	408	374	240	209	172
Lease adjustments — additions, modifications and re-measurements	86	48	378	549	84
Decrease in net debt					
Return of equity	-62	—	—	-16	—
Other variations	12	10	24	22	- 5
Closing general government net debt	**22 052**	**25 201**	**28 838**	**33 303**	**37 031**

Note: Totals may not add due to rounding.

Unfunded superannuation liability

All public sector employees are covered by some form of superannuation scheme. These schemes include member contributory schemes designed to provide employees with pension or defined lump sum benefits upon retirement.

The provision by the government of defined benefit superannuation schemes for its employees creates a liability for the government to pay future benefits to scheme members in accordance with the terms of the schemes. The main defined benefit schemes were closed to new members in 1994.

Since then, cash contributions from the budget have been made to gradually build up sufficient financial assets to match the future liabilities, with the aim of having fully funded schemes by 2034. Until that is achieved, the difference between assets and liabilities represents an unfunded liability.

The state's unfunded superannuation liability is estimated to be $6.4 billion as at 30 June 2025, reducing to $4.2 billion by 30 June 2029.

As at 30 June 2025, the unfunded superannuation liability is estimated to be $434 million lower than estimated in the 2024-25 MYBR. This decrease is predominantly due to a higher discount rate (4.50%) used compared to that used in the 2024-25 MYBR (4.25%).

Table 4.3 summarises the change in the unfunded superannuation liability since the 2023-24 Budget.

Table 4.3: Unfunded superannuation liability estimate as at 30 June ($million)

	2025	2026	2027	2028	2029
Estimate as at 2024-25 Budget	**6 740**	**6 220**	**5 653**	**5 035**	**4 362**
Lower than expected return on investments in 2023-24 (6.7% instead of 8.0%)[(a)]	54	85	119	157	200
Higher than expected CPI increase in 2024-25 (3.25% instead of 2.5%)[(b)]	96	100	104	109	115
Recalculation of past service payments[(C)]	—	-27	-57	-91	-129
Other	-19	-37	-54	-74	-94
Estimate as at 2024-245 MYBR	**6 871**	**6 341**	**5 765**	**5 137**	**4 454**
Lower than expected CPI increase in 2024-25 (2.48% instead of 3.25%)[(b)]	-98	-102	-107	-112	-118
Impact of change in discount rate (4.50% instead of 4.25%)[(d)]	-336	-318	-301	-284	-267
Recalculation of past service payments[(C)]	—	25	53	83	117
2025-26 Budget	**6 437**	**5 945**	**5 410**	**4 824**	**4 186**

Note: Totals may not add due to rounding.

(a) The earnings rate for 2023-24 was 6.7 per cent compared with the 8.0 per cent estimate at the time of the 2024-25 Budget.

(b) At the time of 2024-25 Budget CPI was assumed to be 2.50% per cent for 2024-25, CPI estimates increased for the 2024-25 MYBR (3.25 percent), and has since decreased to 2.48 per cent for the 2025-26 Budget.

(c) Recalculation of amounts required to achieve funding target.

(d) At the time of the 2024-25 Budget the discount rate was 4.25 per cent, but has since increased to 4.50 per cent for the 2025-26 Budget.

Earnings

The unfunded superannuation liability as at 30 June 2025 reflects the estimated earnings rate of 7 per cent for 2024-25. This is the same as the long-term assumed earnings rate of 7 per cent.

Across the forward estimates, the unfunded superannuation liability reflects an assumed return to the expected long-term earnings rate of 7 per cent.

Changes in the earnings rate are based on the expected return on superannuation assets invested by Funds SA. Small changes in asset values in debt and equity markets, amongst other assets, will have an impact on the reported liability, with a 1.0 percentage point change in the earnings rate changing the liability by $71 million.

Discount rate

The unfunded superannuation liability is estimated at a point in time by discounting projected future superannuation benefit payments. The discount rate reflects the risk-free interest rate and is set on the basis of the Commonwealth Government nominal bond rate that reflects the average maturity of the liability.

A discount rate of 4.50 per cent (effective annual rate) has been used for the 2025-26 Budget, compared with 4.25 per cent used for the 2024-25 Budget.

The discount rate changes in response to the economy and financial market conditions. Small changes in the long-term bond rate have a material impact on the reported liability, with a 1.0 percentage point increase in the bond rate reducing the liability by approximately $1.2 billion from its current amount.

Table 4.4 sets out the impact different discount rates have on the unfunded superannuation liability.

Table 4.4: Sensitivity of unfunded superannuation liability to discount rates ($million)

Discount Rate (%)	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
3.50	7 874	7 305	6 694	6 034	5 324
4.50	6 437	5 945	5 410	4 824	4 186
5.50	5 225	4 796	4 322	3 796	3 217

The unfunded superannuation liability is a long-term liability with significant volatility evident over time, reflecting the short-term variability resulting from some key valuation assumptions, in particular the discount rate and actual investment earnings. While volatility in the past has resulted in multibillion dollar revisions to the value of the liability recorded on the balance sheet, largely outside of government control, there has been no material change in the actual expected payments to beneficiaries underlying the liability.

The government's priority is ensuring that the impact of its budget policy aligns with its medium-term fiscal objectives. It has therefore set a longer-term commitment to fully fund the unfunded superannuation liability by 2034.

Funding the liability

A program began in 1994-95 to fully fund all employer superannuation liabilities, with the aim to have the defined benefit schemes fully funded by 2034. The government remains committed to achieving this target.

Table 4.5 shows estimated cash contributions towards the state's unfunded superannuation liability to achieve that commitment.

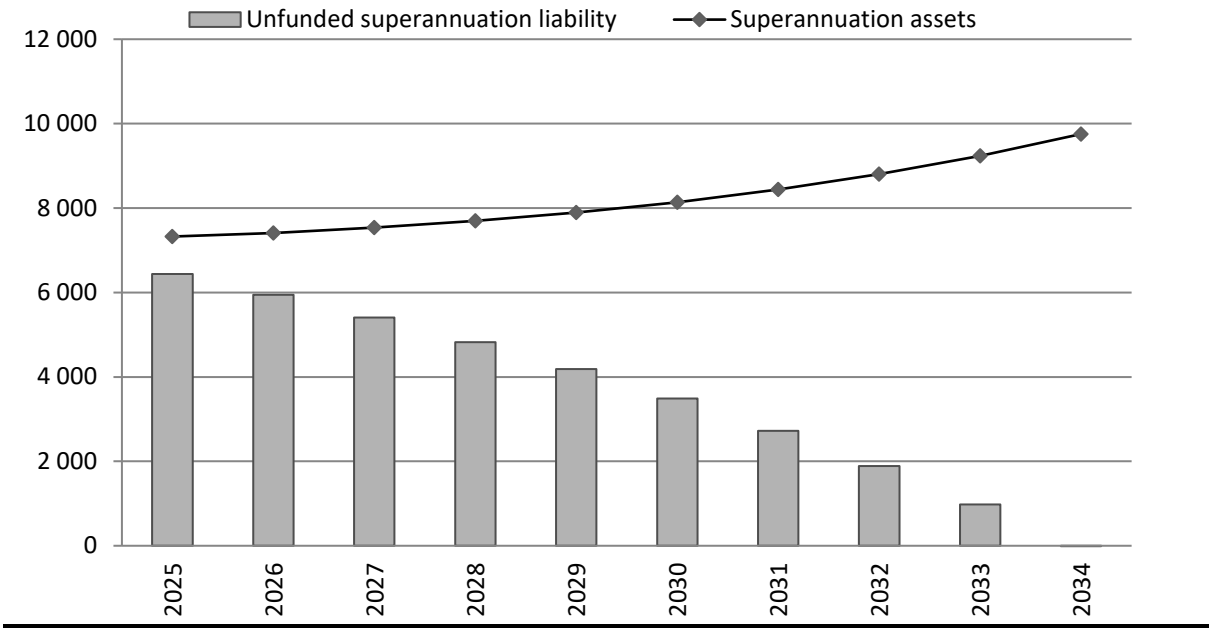
Table 4.5: Estimates of past service superannuation liability cash payments ($million)

	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30
Past service payments	569	592	616	641	666	693

Table 4.3 shows that the unfunded superannuation liability is projected to decline across the forward estimates period. This is because of the annual decrease in the defined benefit obligation, as a result of declining membership, along with annual cash payments made as part of the government's target to fully fund all superannuation liabilities by 2034.

Figure 4.1 shows the reduction in the unfunded superannuation liability together with the increase in superannuation assets over the next 10 years.

Figure 4.1: Unfunded superannuation liability and assets ($million)



Superannuation assets are expected to be $7.3 billion as at 30 June 2025 and are projected to reach $9.8 billion by 2034, fully offsetting projected superannuation liabilities.

Net financial liabilities

Net financial liabilities is a broader measure than net debt as it includes significant liabilities other than borrowings, such as unfunded superannuation and long service leave entitlements, but excludes equity interests in PNFCs and public financial corporations (PFCs).

Net financial liabilities for the general government sector are forecast to increase from $35.1 billion at 30 June 2025 to $48.2 billion at 30 June 2029, primarily as a result of the forecast net lending deficits across the forward estimates in the general government sector.

The declining unfunded superannuation liability across the forward estimates has an impact on net financial liabilities. As outlined above, the government is contributing additional funds to the pool of superannuation assets in order to meet its target to fully fund the liability by 2034.

Other employee benefits, including long service leave, are estimated to be $3.7 billion at 30 June 2025 and are forecast to increase to $4.0 billion as at 30 June 2029. This is a result of general increases in remuneration levels and accruing entitlements for long service leave.

Net financial worth

Net financial worth is a broader measure than net financial liabilities as it also incorporates equity interests in PNFCs and PFCs.

General government net financial worth is expected to change from negative $12.5 billion at 30 June 2025 to negative $23.5 billion at 30 June 2029. The change in net financial worth primarily reflects the increase in total liabilities in the general government sector.

Net worth

Net worth is the amount by which the general government sector's total assets (financial and non-financial) exceed total liabilities. General government sector net worth is expected to increase across the forward estimates from $61.8 billion at 30 June 2025 to $64.9 billion at 30 June 2029.

Table 4.6 displays movements in net worth attributable to operating transactions and other economic flows (e.g. revaluations).

Table 4.6: General government sector net worth at 30 June ($million)

	2025 Estimated Result	2026 Budget	2027 Estimate	2028 Estimate	2029 Estimate
Net worth at beginning of year	**61 639**	**61 829**	**62 272**	**63 144**	**64 203**
Change in net worth from operating transactions					
Net operating balance	18	179	369	458	315
Change in net worth from other economic flows					
Movement in net assets of PFCs[(a)]	-160	-10	-13	-18	-27
Movement in net assets of PNFCs[(a)]	267	210	479	584	329
Revaluation of unfunded superannuation liability[(b)]	184	170	169	170	171
Revaluation of long service leave liability	-105	-107	-108	-110	-112
Revaluation of annual leave liability	-17	-17	-17	-18	-18
Revaluation of workers compensation liability	-17	-17	-17	-17	-17
Revaluation of non-financial assets	39	41	41	41	41
Other revaluation adjustments	-19	-7	-31	-31	-6
Total other economic flows	**173**	**264**	**502**	**602**	**361**
Net worth at year end	**61 829**	**62 272**	**63 144**	**64 203**	**64 878**

Note: Totals may not add due to rounding.

(a) Net of equity injections from, and the return of equity to, the general government sector. Total also includes the net impact from the principles of tax effect accounting.

(b) 2024-25 change represents the revaluation difference from 30 June 2024 liability.

Land and other fixed assets

Land and other fixed assets held by general government sector agencies include road and rail networks and land and buildings held mainly by education and health-related agencies.

Table 4.7 shows the projected holdings of land and fixed assets for the general government sector over the forward estimates period, together with the depreciation expense for each year.

Table 4.7: Land and other fixed assets at 30 June — general government sector ($million)

	2025 Estimated Result	2026 Budget	2027 Estimate	2028 Estimate	2029 Estimate
Inventories	113	113	113	113	113
Land	12 216	12 199	12 194	12 191	12 184
Buildings and improvements	17 508	18 280	19 203	19 893	20 265
Water, sewerage and drainage assets	1 422	1 408	1 393	1 379	1 364
Road networks	35 145	37 865	40 696	43 620	46 368
Rail and bus networks	3 645	3 556	3 501	3 500	3 525
Other infrastructure assets	2 715	2 006	2 241	2 749	2 968
Heritage assets	1 435	1 435	1 435	1 435	1 435
Self-generating and regenerating assets	4	4	4	4	4
Total land and other fixed assets (net of provisions for depreciation)	**74 204**	**76 867**	**80 780**	**84 884**	**88 226**
Depreciation expense	**1 673**	**1 666**	**1 739**	**1 803**	**1 876**

Note: Totals may not add due to rounding.

The total value of land and fixed assets held in the general government sector is expected to grow from $74.2 billion at 30 June 2025 to $88.2 billion at 30 June 2029. This increase reflects significant ongoing investment in the state's infrastructure, particularly in the road network assets reflecting continued investment in joint state and Commonwealth road infrastructure projects including the North-South Corridor — River Torrens to Darlington, Fleurieu Connections and Marion Road, Anzac Highway to Cross Road projects.

The increase in buildings and improvements across the forward estimates primarily reflects the provisions for the new Women's and Children's Hospital, Flinders Medical Centre upgrade and expansion, new Mount Barker Hospital, and delivery of the government's election commitments that significantly grow the capacity of the health system.

The general government investing program is expected to be $4.6 billion in 2025-26, compared with the 2024-25 estimated result of $4.1 billion. Strong levels of capital investment continue to increase the state's infrastructure base, enable the state to provide high quality services and improve the state's long-term capacity to grow.

General government infrastructure investment is expected to exceed depreciation in all years over the forward estimates. The depreciation expense reflects the consumption of an asset's service potential. Depreciation totals $1.7 billion in 2024-25 and rises to $1.9 billion by 2028-29 as a result of the increase in the state's asset base over the same period.

Figure 4.2 illustrates the general government sector's capital investment across the forward estimates. The investing expenditure from 2019-20 onwards is impacted by the introduction of the accounting standard for leases, AASB 16 *Leases*. Under the accounting standard AASB 16 *Leases*, entering into a new lease results in the creation of a right of use asset, which is classified as a purchase of a non-financial asset (investing expenditure).

Figure 4.2: General government sector purchases of non-financial assets ($million)

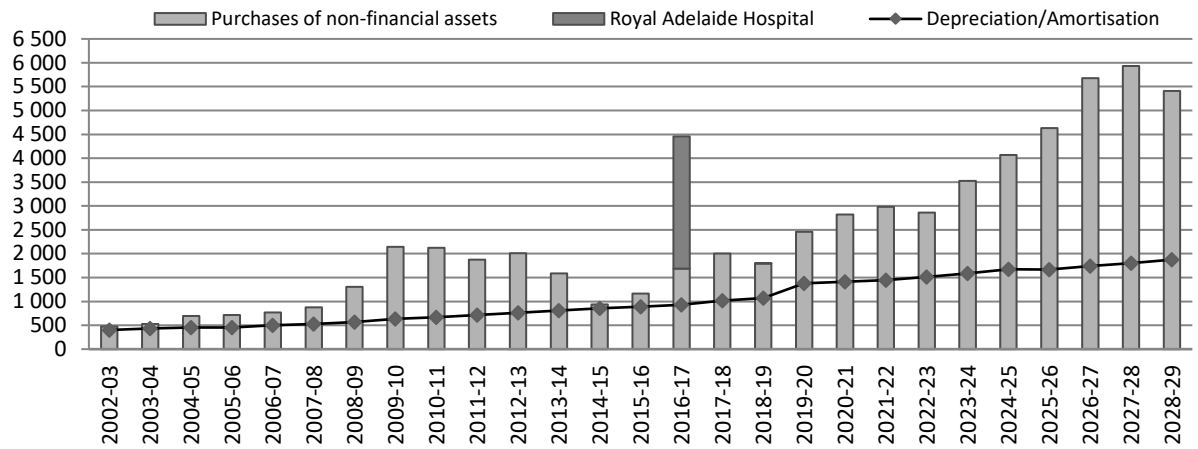


Table 4.8 provides details for the general government sector balance sheet.

Table 4.8: General government sector balance sheet at 30 June ($million)

	2025 Estimated Result	2026 Budget	2027 Estimate	2028 Estimate	2029 Estimate
Assets					
Financial assets					
Cash and deposits	11 639	13 659	14 369	14 516	14 981
Advances paid	212	277	302	318	317
Investments, loans and placements	1 033	1 032	1 030	1 025	1 017
Receivables	2 241	2 388	2 523	2 660	2 797
Equity					
Investments in other public sector	22 577	23 050	23 656	24 314	24 686
Investments — other	116	116	116	116	116
Other financial assets	—	—	—	—	—
Total financial assets	**37 818**	**40 522**	**41 996**	**42 948**	**43 914**
Non-financial assets					
Land and other fixed assets	74 204	76 867	80 780	84 884	88 226
Other non-financial assets	139	139	138	138	148
Total non-financial assets	**74 343**	**77 006**	**80 918**	**85 022**	**88 374**
Total assets	**112 161**	**117 527**	**122 915**	**127 970**	**132 288**
Liabilities					
Deposits held	269	254	279	379	391
Advances received	—	—	—	—	—
Borrowing	34 667	39 915	44 261	48 783	52 956
Superannuation	6 437	5 945	5 410	4 824	4 186
Other employee benefits	3 672	3 830	3 994	3 948	4 032
Payables	1 546	1 554	1 559	1 567	1 572
Other liabilities	3 741	3 757	4 268	4 266	4 274
Total liabilities	**50 331**	**55 255**	**59 771**	**63 767**	**67 410**

	2025 Estimated Result	2026 Budget	2027 Estimate	2028 Estimate	2029 Estimate
Net worth	**61 829**	**62 272**	**63 144**	**64 203**	**64 878**
Net financial worth	-12 513	-14 734	-17 775	-20 819	-23 496
Net financial liabilities	35 090	37 784	41 430	45 132	48 181
Net debt	22 052	25 201	28 838	33 303	37 031

Note: Totals may not add due to rounding.

Non-financial public sector financial position

The NFPS comprises the general government sector and the PNFC sector.

Table 4.9 summarises key balance sheet indicators for the NFPS.

Table 4.9: Key balance sheet indicators at 30 June — non-financial public sector

	2024 Actual	2025 Estimated Result	2026 Budget	2027 Estimate	2028 Estimate	2029 Estimate
Net debt						
$m	27 920	31 381	35 539	39 901	44 258	48 495
% of total revenue	95.4	99.9	107.6	117.2	125.9	136.7
% of GSP	18.8	20.2	21.9	23.6	25.0	26.2
Net financial liabilities						
$m	41 792	45 159	48 934	53 437	57 162	60 854
% of total revenue	142.8	143.8	148.1	156.9	162.6	171.5
Net financial worth						
$m	-39 389	-42 916	-46 701	-51 217	-54 960	-58 680
% of total revenue	-134.6	-136.7	-141.4	-150.4	-156.3	-165.4
Net worth						
$m	61 639	61 831	62 273	63 145	64 204	64 879
% of total revenue	210.6	196.9	188.5	185.4	182.6	182.8

NFPS net debt is projected to increase from $31.4 billion at 30 June 2025 to $48.5 billion at 30 June 2029, which is largely due to the increase in net debt in the general government sector. Compared to the 2024-25 MYBR, NFPS net debt is lower in all years through to 2027-28, but is projected to rise to $48.5 billion in 2028-29 as the government continues to fund key infrastructure.

PNFC net debt is estimated to be $9.3 billion at 30 June 2025 and is projected to increase to $11.5 billion by 30 June 2029. The increase in PNFC net debt is largely due to higher borrowings by SA Water to deliver various capital projects including growth infrastructure, the Eyre Peninsula desalination augmentation, Tea Tree Gully sustainable sewers program, and various other annual capital maintenance and upgrade programs.

The net financial worth position of the NFPS mainly differs to the net financial worth of the general government sector due to:

- the exclusion of equity held by the general government sector in the PNFC sector, which is recognised as a financial asset in the general government sector but is eliminated in the consolidation of the NFPS
- the inclusion of the PNFC sector's net debt.

Land and other fixed assets

Table 4.10 shows the projected holdings of land and other fixed assets for the NFPS across the forward estimates.

Table 4.10: Land and other fixed assets at 30 June — non-financial public sector ($million)

	2025 Estimated Result	2026 Budget	2027 Estimate	2028 Estimate	2029 Estimate
Inventories	1 133	1 219	1 094	768	710
Land	22 200	22 307	22 432	22 560	22 683
Buildings and improvements	24 549	25 379	26 385	27 059	27 397
Water, sewerage and drainage assets	13 151	14 446	15 830	16 735	17 735
Road networks	35 146	37 866	40 697	43 621	46 369
Rail and bus networks	3 645	3 556	3 501	3 500	3 525
Other infrastructure assets	3 194	2 480	2 707	3 210	3 425
Heritage assets	1 444	1 444	1 444	1 444	1 444
Self-generating and regenerating assets	121	121	121	121	121
Total land and other fixed assets (net of provisions for depreciation)	**104 583**	**108 817**	**114 211**	**119 020**	**123 410**
Depreciation expense	**2 237**	**2 234**	**2 310**	**2 374**	**2 498**

Note: Totals may not add due to rounding.

The total value of land and other fixed assets for the NFPS is projected to rise from $104.6 billion at 30 June 2025 to $123.4 billion at 30 June 2029, mainly due to investment and revaluations in road network and water-related infrastructure. The increase in buildings and improvements across the forward estimates is primarily due to the investing expenditure in the general government sector.

The higher level of non-financial assets in the NFPS compared with the general government sector reflects the inclusion of assets held by PNFCs. These include assets held by SA Water (water and wastewater infrastructure such as pipelines, water filtration plants and reservoirs) and the South Australian Housing Trust (SAHT).

Debt Management

The funding and management of the state's debt is undertaken by the South Australian Government Financing Authority (SAFA).

SAFA achieves the state's funding requirements through the issue of securities in the financial markets, including long-term fixed or floating interest rate securities issued in Australia and through SAFA's short-term issuance programs.

SAFA had constructive access to markets over the year to April 2025, however the application of global tariffs by the United States led to a repricing of risk within global financial markets, causing significant volatility in both equity and bond markets.

SAFA's borrowing rates have fluctuated over the year-to-date. The interest rate on SAFA's five-year bond fluctuated within the range of 3.7 per cent and 4.6 per cent, while the interest rate on SAFA's ten-year bond fluctuated within the range of 4.6 per cent and 5.4 per cent.

The government's debt management objective is to minimise the long-term average interest cost, subject to acceptable levels of refinancing and interest rate risk. SAFA manages its debt within a duration range of four to eight years. There is no discretion to have an interest rate position outside that range. The use of risk limits also controls interest rate risks. These risk limits, based on industry standard measures, serve to limit the exposure of the portfolio to changes in market prices (yields). The debt management framework is reviewed regularly, and such reviews consider any significant changes in the state's debt levels and changing market conditions.

In addition to debt managed under this framework, the general government sector has long-term housing agreement debt with the Commonwealth Government. This debt is managed within the duration of the general government sector debt.

The framework for managing the debt of PNFCs, such as SA Water, is determined by the individual corporations.

Insurance arrangements

SAFA manages the government's insurance arrangements through five funds specifically established in the authority's accounts.

Premiums received from agencies for insurance cover provided under the government's insurance arrangements for incidents occurring from 1 July 1994 are credited to Insurance Fund 1, which is used to:

- meet loss and claim payments above agreed levels of agency excesses
- provide a reserve to cover future losses and claims
- pay premiums for the government's catastrophe reinsurance program and other insurances deemed necessary and appropriate in connection with the arrangements
- meet the cost of administering the insurance program
- pay service providers for advice and services as required in connection with the insurance program

All government departments and statutory authorities are included in the arrangements, unless specifically exempted by the Treasurer. Premium revenue earned by SAFA from agencies is budgeted at $86.8 million in 2024-25 ($70.7 million for 2023-24).

At 31 March 2025, Insurance Fund 1 had:

- total assets of $849.1 million
- total liabilities of $873.1 million, including estimated outstanding claim liabilities of $850.5 million. Medical malpractice claims accounted for $420.1 million of the estimated outstanding claim liabilities.

SAFA aims to maintain sufficient assets to meet liabilities. At 31 March 2025, the solvency ratio (total assets over total liabilities expressed as a percentage) was 97.3 per cent for Insurance Fund 1 (113.7 per cent for 2023-24).

The reduction in the solvency ratio of Fund 1 from 2024 to 31 March 2025, is primarily a result of a revision in the estimated outstanding liability for historical abuse claims. If the solvency ratio remains consistently below SAFA's target of 100%, SAFA will consider adding a risk margin to premiums in future underwriting years.

Two other funds (Insurance Fund 2 and Insurance Fund 3) are retained for other claims, with these being in a break-even position and indemnified by the Treasurer. Insurance Fund 2 accepts claims for incidents occurring prior to 1 July 1994. Insurance Fund 3 is used to manage the premiums and claims for building indemnity insurance.

Insurance Fund 4 was established in 2018 to pay claims against the Government of South Australia under the National Redress Scheme for Institutional Child Sexual Abuse (the Scheme). The sum of $146.4 million was transferred to this new fund from the Victims of Crime Fund for the purpose of paying claims made under the Scheme. The Scheme formally commenced in South Australia in February 2019. As at 31 March 2025, the balance of Fund 4 (including investment income received) was $52.72 million. The 2024-25 Mid-Year Budget Review provided for a further $65 million to be transferred from the Victims of Crime Fund to Fund 4 in 2025-26, with $70 million to be transferred to Fund 4 in 2026-27.

A new insurance fund, Fund 5, was established in 2024-25 to enable SAFA to administer construction insurance arrangements specific to State Government infrastructure projects. This Fund will support the State in achieving cost-effective risk transfer solutions for construction insurance arrangements.

In 2024, SAFA's combined reinsurance costs for property and liability cover increased from $23.04 million to $25.4 million.

Property reinsurance costs continue to be influenced by increasing asset reinstatement costs and impacts from global natural catastrophe events. Liability reinsurance costs are stabilising, although impacts from claims inflation for long-tail risks continue to be carefully managed.

Chapter 5: Government businesses

Overview

This chapter outlines the major developments and performance of government businesses.

Government business is a broad term that captures both public non-financial corporations (government-controlled entities that are engaged mainly in the production of marketable goods and/or services) and public financial corporations (government-controlled entities engaged mainly in financial intermediation or other financial services). A defining feature of a government business is that a significant proportion of its operating costs are recovered through user charges. A complete list of government businesses is contained in Appendix D.

The 2025-26 Budget includes new measures that impact a number of government businesses.

The 2025-26 Budget builds on the initiatives previously announced as part of the government's *A Better Housing Future* and *Housing Roadmap*, measures include:

- delivery of the Playford Alive East project including more than 1 300 additional housing outcomes ($270.1 million of capital expenditure from 2024-25 to 2032-33)
- projects supported by the Commonwealth Government's Housing Australia Future Fund Facility – Round 2. The projects will deliver South Australia's notional allocation for Round 2 which has a target of 5 000 dwellings nationally ($135.1 million of capital expenditure from 2025-26 to 2027-28)
- delivery of the Southwark Master Plan including up to 1 300 additional housing outcomes ($104.7 million of capital expenditure from 2024-25 to 2029-30)
- delivery of land to market at Onkaparinga Heights to provide at least 2 000 additional allotments for housing development consistent with the government's *Housing Roadmap* ($30.5 million of capital expenditure from 2026-27 to 2031-32)
- additional funding for remote indigenous housing to continue the delivery of property and tenancy management services for selected remote Aboriginal communities following the cessation of Commonwealth Government funding ($12.0 million in 2025-26)
- a rent-to-buy affordable housing initiative to transition the sale of 100 properties under construction as part of the current affordable housing initiative to a rent-to-buy scheme for a period of up to three years.

From 1 July 2024, specialist homelessness services transferred from the South Australian Housing Trust (SAHT) to the Department of Human Services (DHS).

Key budget aggregates for the state's government businesses are shown in Table 5.1.

Table 5.1: Key budget aggregates for government businesses ($million)

	2024-25 Budget	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Public non-financial corporations						
Net contribution to/from government[(a)]	-258.7	-221.6	-143.3	-280.0	-234.8	-90.4
Capital investment	1 213.0	1 295.1	1 701.4	1 617.2	1 113.1	1 197.0
Net debt	9 239.2	9 330.0	10 337.8	11 062.7	10 953.8	11 461.7
Public financial corporations						
Net contribution to/from government[(a)]	88.7	58.6	82.8	93.2	88.9	88.0

(a) Net contribution to/from government comprises income tax equivalents plus dividends less grants, subsidies and operating community service obligations. Positive indicates net contribution to government while negative indicates net contribution from government.

The estimated net contribution from government to public non-financial corporations (PNFCs) in 2024-25 is $221.6 million which is a $37.1 million improvement to budget. This is primarily due to lower contributions to SAHT reflecting machinery of government changes that transferred homelessness services to DHS effective 1 July 2024, partially offset by $25 million in Commonwealth Government Housing Australia Future Fund (HAFF) funding for housing in remote and very remote Indigenous communities.

Net contributions from government to PNFCs are expected to decrease in 2025-26 by $78.3 million compared to the 2024-25 estimated result principally reflecting a lower grant requirement for SAHT mainly due to affordable housing initiative sales.

The movement in net contributions from government across the forward estimates primarily reflects the impact of funding arrangements for SAHT and profit expectations for Renewal SA and SA Water including standard budgeting parameters assumed to apply in SA Water's next regulatory period which begins in 2028-29 – final parameters will be defined through the course of SA Water's next regulatory determination process and in the lead up to its commencement in 2028-29. Estimates in 2028-29 do not reflect any revenue or expenditure measures committed to.

Significant capital investments budgeted in 2024-25 and across the forward estimates largely reflect SA Water's regulatory capital program which includes growth infrastructure, Tea Tree Gully sustainable sewers program, Eyre Peninsula desalination augmentation, Happy Valley health compliance upgrade and Mount Bold Dam Safety, and various SAHT capital programs (including the affordable housing initiative, public housing improvement program, *A Better Housing Future* and social housing accelerator).

PNFC net debt is projected to increase across the forward estimates to $11.5 billion by 30 June 2029 mainly due to higher borrowings by SA Water to deliver various capital projects as part of its regulatory program.

The estimated net contribution to government from public financial corporations (PFCs) in 2024-25 is $58.6 million which is $30.1 million lower than budget. This is principally due to SAFA's operating position being impacted by a significant increase in insurance provisions established for physical and sexual abuse claims, partially offset by higher than budgeted portfolio growth, net interest margin expectations and shared equity gains impacting HomeStart Finance's profitability.

Financial arrangements and policy framework

Dividend and income tax equivalent payments made by government businesses are recorded as revenues of the general government sector. Government businesses also pay guarantee fees to the government to ensure that their borrowing rates are consistent with what an equivalent rated private enterprise would be subject to.

Community service obligation (CSO) funding provided to government businesses is generally recorded as expenditure of the general government sector. Consistent with competitive neutrality principles, government businesses may also receive funding through an equity contribution for capital related projects or where the business is restructuring its operations over time.

Competitive neutrality policy

On 29 November 2024 all jurisdictions signed the Intergovernmental Agreement on National Competition Policy (Agreement) to revitalise the Commonwealth Government's National Competition Policy and agree to the new National Competition Principles.

The agreement covers a range of matters including the principle that government and private business should compete on a level playing field.

Among the requirements of the policy are that jurisdictions will ensure that their government businesses are subject to the same taxes (or tax equivalent systems) and regulations that private sector businesses are subject to.

All jurisdictions committed to the principles in the Agreement. The ongoing requirements listed under the Agreement in relation to competitive neutrality require the imposition of the following on significant government business enterprises:

- full Commonwealth, state and territory, and local government taxes or tax equivalent systems
- debt neutrality fees directed towards offsetting the competitive advantages provided by government guarantees and other forms of beneficial financing
- regulations to which private sector businesses are normally subject to, for example, regulations relating to the protection of the environment and planning approval processes.

Guarantee fees

Government guarantees on borrowed funds reduce borrowing costs for government businesses. To meet competitive neutrality principles, guarantee fees are charged for this funding cost advantage.

Guarantee fees are determined annually based on estimated credit margins between the cost at which lower-rated entities or entities that have no assigned credit rating could borrow on a stand-alone basis and the cost at which they can borrow through the Government of South Australia.

Community service obligations

A CSO arises when the government requires a government business to carry out activities that it would not elect to do on a commercial basis, and which the government does not require other businesses to generally undertake, or where the business would only do commercially at higher prices.

CSO payments to government businesses are generally made for non-commercial activities that government businesses are required to undertake and must be transparent and clearly reported.

CSO payments are made to SA Water, Renewal SA, ForestrySA, HomeStart Finance and the Public Trustee. The largest CSO payment is to SA Water to ensure that its water and sewerage prices are applied uniformly across the state. SA Water also receives CSO payments to provide exemptions and concessions for certain classes of customers and to provide services to regional Aboriginal communities.

Grants, subsidies and other funding mechanisms

Grants and subsidies are paid to government businesses to achieve social and policy objectives.
The government may also provide an equity contribution to a government business as a mechanism to provide the business with the resources necessary to achieve these outcomes.

Funding for capital expenditure is generally provided by way of equity contribution where there is an expectation that the government will make a reasonable rate of return.

Grants and subsidies are also provided to the Adelaide Venue Management Corporation (AVMC) as a contribution towards interest and guarantee fees paid on its borrowings, as well as for maintenance and asset replacement requirements, and to the Adelaide Festival Centre Trust (AFCT) to assist with the operational costs for the Adelaide Festival Centre and Her Majesty's Theatre and the presentation of a range of festivals, events and programs. The SA Motor Sport Board also receives grants which primarily support the Adelaide 500 event.

Public non-financial corporations

Net contributions

Table 5.2 summarises net contributions to/from the government for PNFC sector entities, which comprise income tax equivalents, dividends, grants, subsidies and operating CSOs.

Table 5.2: Net contributions to/from government ($million)

	2024-25 Budget	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Income tax equivalents						
SA Water	55.9	55.9	57.9	48.5	45.2	75.5
Renewal SA	—	—	5.8	8.9	6.8	2.8
South Australian Housing Trust	—	—	—	—	—	—
Other	4.0	4.7	3.2	3.1	3.2	3.3
Total income tax equivalents	**59.8**	**60.6**	**66.8**	**60.6**	**55.2**	**81.6**
plus **Dividends**						
SA Water	128.5	139.8	134.4	111.6	105.2	175.9
Renewal SA	2.2	5.8	13.5	20.8	15.9	6.6
South Australian Housing Trust	—	—	—	—	—	—
Other	8.7	9.3	8.3	8.5	8.6	8.7
Total dividends	**139.4**	**155.0**	**156.1**	**140.9**	**129.7**	**191.2**
less **Grants and subsidies**						
SA Water	49.3	36.3	44.6	15.4	2.2	2.3
Renewal SA	—	—	0.4	—	—	—
South Australian Housing Trust	162.9	119.0	58.9	202.6	187.2	128.7
Other	68.0	71.9	63.3	63.3	62.8	63.9
Total grants and subsidies	**280.2**	**227.3**	**167.2**	**281.2**	**252.1**	**194.9**
less **CSOs**						
SA Water	140.3	151.1	144.7	144.7	146.7	151.6
Renewal SA	26.3	47.7	42.8	43.6	8.7	4.4
South Australian Housing Trust	—	—	—	—	—	—
Other	11.1	11.1	11.6	11.9	12.2	12.5
Total CSOs	**177.7**	**209.9**	**199.1**	**200.2**	**167.6**	**168.4**
equals **Net contribution to/from government**[(a)]						
SA Water	-5.2	8.3	2.9	0.1	1.6	97.5
Renewal SA	-24.1	-41.8	-24.0	-13.9	13.9	5.1
South Australian Housing Trust	-162.9	-119.0	-58.9	-202.6	-187.2	-128.7
Other	-66.5	-69.1	-63.4	-63.5	-63.1	-64.4
Total net contribution to/from government	**-258.7**	**-221.6**	**-143.3**	**-280.0**	**-234.8**	**-90.4**

Note: Totals may not add due to rounding.

(a) Positive indicates net contribution to government while negative indicates net contribution from government.

The estimated net contribution from government to PNFCs in 2024-25 is $221.6 million which is a $37.1 million improvement to budget.

This is primarily due to lower than budgeted grants to SAHT reflecting machinery of government changes that transferred homelessness services to the Department of Human Services effective 1 July 2024 (around $76 million per annum), partially offset by $25 million in Commonwealth Government HAFF funding for housing in remote and very remote indigenous communities.

Net contributions from government to PNFCs are expected to decrease in 2025-26 by $78.3 million compared to the 2024-25 estimated result principally due to a lower grant requirement for SAHT mainly due to affordable housing initiative sales.

The movement in net contributions from government across the forward estimates primarily reflects the impact of funding arrangements for SAHT and profit expectations for Renewal SA and SA Water including standard budgeting parameters assumed to apply in SA Water's next regulatory period which begins in 2028-29 – final parameters will be defined through the course of SA Water's next regulatory determination process and in the lead up to its commencement in 2028-29.

The net contribution from government to other PNFCs primarily reflects grants and subsidies made to the AVMC, AFCT and the SA Motor Sport Board.

Capital investment

Table 5.3 summarises purchases of non-financial assets by PNFC entities. Purchases of non-financial assets include investing expenditure and contributed assets.

Table 5.3: Public non-financial corporations sector purchases of non-financial assets ($million)

	2024-25 Budget	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Adelaide Cemeteries Authority	2.3	2.9	2.8	5.0	2.4	3.5
Adelaide Festival Centre Trust	—	4.1	16.4	—	—	—
Adelaide Venue Management Corporation	23.7	18.2	13.9	8.3	8.5	8.7
ForestrySA	3.7	3.7	0.8	0.8	0.8	0.8
Public Trustee	2.5	3.3	0.4	0.7	1.2	0.7
Renewal SA[(a)]	10.7	7.7	11.9	0.0	1.7	0.1
SA Water[(b)]	764.5	910.3	1 262.5	1 354.2	874.6	1 018.1
South Australian Housing Trust[(c)]	396.9	335.4	384.7	243.4	220.1	160.8
South Australian Motor Sport Board	3.3	3.8	0.4	0.4	0.4	0.4
West Beach Trust	5.3	5.7	7.4	4.3	3.2	3.9
Total purchases of non-financial assets	**1 213.0**	**1 295.1**	**1 701.4**	**1 617.2**	**1 113.1**	**1 197.0**
Total sales of non-financial assets	**221.8**	**159.6**	**313.4**	**91.1**	**176.2**	**132.1**
Gross fixed capital formation	**991.3**	**1 135.5**	**1 388.1**	**1 526.1**	**936.8**	**1 064.9**

Note: Totals may not add due to rounding.

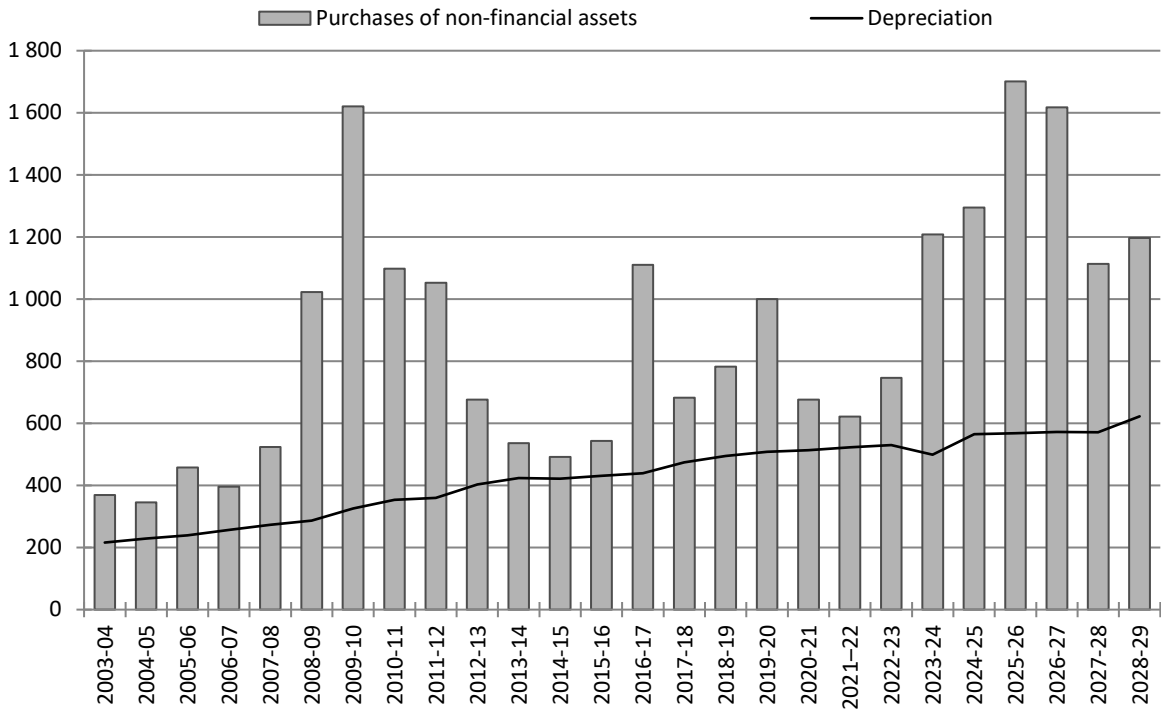
(a) Renewal SA's expenditure includes works on the Adelaide Station Environs Redevelopment site. Renewal SA's expenditure on property development projects is classified as inventories and is not included in Table 5.3.

(b) SA Water's current four year regulatory business period concludes on 30 June 2028. SA Water's capital investment from 2028-29 includes standard budgeting parameters expected to apply in SA Water's next regulatory period which begins in 2028-29.

(c) The decline in SAHT's purchases of non-financial assets from 2026-27 primarily reflects lower capital expenditure associated with the affordable housing initiative, public housing improvement program and social housing accelerator programs as these initiatives are completed.

Figure 5.1 shows the actual and estimated purchases of non-financial assets and depreciation in the PNFC sector from 2003-04 to the end of the current forward estimates in 2028-29.

Figure 5.1: Public non-financial corporations sector purchases of non-financial assets ($million)



Total estimated purchases of non-financial assets by the PNFC sector in 2024-25 is almost $1.3 billion which is broadly in line with budget.

Total purchases of non-financial assets by the PNFC sector in 2025-26 are expected to be $406.3 million higher than the 2024-25 estimated result. Significant capital investments in 2025-26 include:

- SA Water's investment program ($1.3 billion), comprising major projects such as growth infrastructure, the Eyre Peninsula desalination augmentation, Tea Tree Gully sustainable sewers program, and various other annual capital maintenance and upgrade programs
- SAHT's investment program ($384.7 million), comprising the affordable housing initiative*, A Better Housing Future*, public housing redevelopment, social housing accelerator, better neighbourhoods program and capital maintenance programs.

The profile of capital investment over the forward estimates reflects the completion of key projects including the Eyre Peninsula desalination augmentation, the affordable housing initiative and other public housing investment programs.

The profile of sales of non-financial assets over the forward estimates includes the sale of affordable housing built by SAHT under the affordable housing initiative.

Table 5.4 provides a summary of the capital investment programs that are being undertaken by PNFC sector entities in 2024-25.

Table 5.4: Capital investment programs ($million)

	Estimated completion quarter	2025-26 Budget	Estimated total cost
SA Water major projects			
Beetaloo trunk main	Jun 2029	10.9	16.0
Ceduna supply system	Jun 2027	16.0	36.0
Eyre Peninsula desalination augmentation	Jun 2027	155.3	330.0
Growth infrastructure	n.a.	362.2	n.a.
Happy Valley health compliance upgrade	Jun 2028	10.4	141.4
Morgan Whyalla pipeline	Jun 2028	11.6	61.8
Tea Tree Gully sustainable sewers program	Jun 2028	82.4	399.3
Third party works – north-south corridor – River Torrens to Darlington	Jun 2027	22.4	83.9
Third party works – Women's and Children's Hospital	Jun 2026	30.0	41.4
Other major projects		46.2	n.a.
Total SA Water major projects		**747.5**	**n.a.**
SA Water annual programs			
Asset renewal	n.a.	18.7	n.a.
Environmental improvement	n.a.	24.6	n.a.
Information technology	n.a.	46.5	n.a.
Mechanical and electrical renewal	n.a.	83.0	n.a.
Network extension	n.a.	32.1	n.a.
Networks growth	n.a.	29.8	n.a.
Pipe network renewal	n.a.	91.0	n.a.
Safety	n.a.	39.9	n.a.
Service reliability management	n.a.	19.6	n.a.
Structures	n.a.	52.1	n.a.
Water quality management	n.a.	16.4	n.a.
Water resource sustainability	n.a.	10.8	n.a.
Other annual programs		12.5	n.a.
Total SA Water annual programs		**476.9**	**n.a.**
Total SA Water contributed assets		**38.1**	**n.a.**
Total SA Water		**1 262.5**	**n.a.**
South Australian Housing Trust			
A Better Housing Future	n.a.	49.8	n.a.
Affordable housing initiative	Jun 2026	131.0	322.7
Better neighbourhoods program	n.a.	22.7	n.a.
Neighbourhood renewal initiative	Jun 2027	11.0	63.5
Playford North urban renewal	Jun 2027	22.8	175.9

	Estimated completion quarter	2025-26 Budget	Estimated total cost
Public housing improvement program	Jun 2026	42.7	205.6
Social housing accelerator	Jun 2028	39.5	72.2
Other capital investment		65.2	n.a.
Total South Australian Housing Trust		**384.7**	**n.a.**
Other PNFC entities[(a)]		**54.2**	**n.a.**
Total capital investment		**1 701.4**	**n.a.**

Note: Totals may not add due to rounding.

(a) Renewal SA's expenditure on property development projects is classified as inventories and is not included in Table 5.4.

Net debt

Estimated PNFC sector net debt as at 30 June 2025 is expected to be $9.3 billion which is $90.8 million higher than budget primarily due to higher borrowings by Renewal SA for the purchase of the former West End Brewery site ($62 million) and timing on a range of Renewal SA's development projects.

Across the forward estimates net debt is impacted by SA Water's regulatory capital program, the delivery of SAHT's affordable housing initiative, including revenue from the sale of affordable houses, and Renewal SA's property development projects.

Table 5.5: Public non-financial corporation sector net debt ($million)[(a)]

	Net debt as at 30 June					
	2025 Budget	2025 Estimated Result	2026 Budget	2027 Estimate	2028 Estimate	2029 Estimate
Adelaide Festival Centre Trust	28.5	24.4	36.8	32.9	28.9	24.9
Adelaide Venue Management Corporation	345.9	331.5	337.2	337.4	337.5	337.6
Renewal SA	653.4	779.7	904.4	734.7	400.1	330.6
SA Water	8 301.1	8 270.6	9 151.1	10 084.7	10 428.3	11 036.5
South Australian Housing Trust	-65.7	-45.9	-48.4	-69.7	-166.1	-176.1
Other	-24.1	-30.2	-43.4	-57.2	-74.9	-91.7
Total PNFC net debt	**9 239.2**	**9 330.0**	**10 337.8**	**11 062.7**	**10 953.8**	**11 461.7**

Note: Totals may not add due to rounding.

(a) Negative net debt implies cash and cash equivalents exceeds borrowings and advances received.

SA Water

Table 5.6: Net contributions, capital investment and net debt ($million)

	2024-25 Budget	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Income tax equivalents	55.9	55.9	57.9	48.5	45.2	75.5
plus **Dividends**	128.5	139.8	134.4	111.6	105.2	175.9
less **Grants, subsidies and CSOs**	189.5	187.4	189.3	160.1	148.9	153.8
equals **Net contribution to/from government**[(a)]	**-5.2**	**8.3**	**2.9**	**0.1**	**1.6**	**97.5**
Equity contribution from government	**—**	**-0.7**	**-12.7**	**—**	**—**	**—**
Capital investment	**764.5**	**910.3**	**1 262.5**	**1 354.2**	**874.6**	**1 018.1**
Net debt	**8 301.1**	**8 270.6**	**9 151.1**	**10 084.7**	**10 428.3**	**11 036.5**
Debt to asset ratio	**60%**	**65%**	**66%**	**66%**	**65%**	**64%**

Note: Totals may not add due to rounding.
(a) Positive indicates net contribution to government while negative indicates net contribution from government.

SA Water is expected to provide a net contribution to government in 2024-25 of $8.3 million which is $13.5 million higher than budget. This is mainly due to revised profit expectations and the timing of grant and CSO payments made to SA Water in line with associated activity.

Estimated capital investment in 2024-25 is $910.3 million which is $145.8 million higher than budget mainly due to revised timing of various major capital projects.

SA Water's capital investment to 2027-28 largely reflects expenditure on major projects such as growth infrastructure, the Tea Tree Gully sustainable sewers program, Eyre Peninsula desalination augmentation, Happy Valley health compliance upgrade, Mount Bold Dam safety upgrade, and various other annual capital maintenance and upgrade programs.

SA Water's current regulatory determination period concludes on 30 June 2028. Consistent with the budgeting practice adopted for financial years beyond the current regulatory period, SA Water's estimates reflect standard parameters expected to apply to its next regulatory period assessment. Final parameters will be defined through the course of SA Water's next regulatory determination process and in the lead up to its commencement in 2028-29. Estimates in 2028-29 do not reflect any revenue or expenditure measures committed to.

Renewal SA

Table 5.7: Net contributions, capital investment and net debt ($million)

	2024-25 Budget	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Income tax equivalents	—	—	5.8	8.9	6.8	2.8
plus **Dividends**	2.2	5.8	13.5	20.8	15.9	6.6
less **Grants, subsidies and CSOs**	26.3	47.7	43.2	43.6	8.7	4.4
equals **Net contribution to/from government[(a)]**	**-24.1**	**-41.8**	**-24.0**	**-13.9**	**13.9**	**5.1**
Equity contribution from government	**-25.2**	**-75.2**	**-8.1**	**-9.6**	**—**	**—**
Capital investment[(b)]	**10.7**	**7.7**	**11.9**	**—**	**1.7**	**0.1**
Net debt	**653.9**	**779.7**	**904.4**	**734.7**	**400.1**	**330.6**
Debt to asset ratio	**66%**	**71%**	**73%**	**69%**	**56%**	**52%**

Note: Totals may not add due to rounding.

(a) Positive indicates net contribution to government while negative indicates net contribution from government.

(b) Renewal SA's expenditure includes works on the Adelaide Station Environs Redevelopment site. Renewal SA's expenditure on property development projects is classified as inventories and is not included in capital investment.

Renewal SA's business operations are heavily influenced by demand for land. Renewal SA is also undertaking the redevelopment of Lot Fourteen, which includes the remediation of the site as well as the redevelopment and leasing of heritage buildings on the site.

Renewal SA, in partnership with the Commonwealth Government and SAHT, is responsible for delivering social and affordable housing under the National Housing Accord. Since the 2023-24 Budget, projects have been progressively approved to support the government's *A Better Housing Future* and the *Housing Roadm*ap, including initiatives as part of the Office for Regional Housing, and developments at Seaton and Noarlunga Downs, the former Franklin Street bus station, Newton Boulevard at Munno Para, and affordable apartments at Prospect and Bowden.

The 2025-26 Budget builds on this with the new Southwark development on the former West End Brewery site, Playford Alive East and the delivery of land to market at Onkaparinga Heights.

Renewal SA's estimated dividend payment in 2024-25 is $5.8 million and includes $3.6 million relating to the previous year's audited profit and the specific dividend policy that applies to the net income earned on the Adelaide Station Environs Redevelopment (ASER) site.

Dividend and income tax equivalent payments expected across the forward estimates reflect forecast profits for Renewal SA. The increase in profitability in 2026-27 and 2027-28 is due to the maturing of various property development projects including Southwark, Noarlunga Downs and Bowden Lot 51.

Estimated grants, subsidies and CSO payments to Renewal SA in 2024-25 are $21.4 million higher than the 2024-25 Budget mainly due to the Greater Seaton redevelopment. Across the forward estimates, Renewal SA is expected to receive CSO payments for operating expenditure associated with various initiatives including the Greater Seaton redevelopment, Noarlunga Downs development, Southwark, Bowden, the Regional Housing Initiatives Program, Festival Plaza and waterproofing restoration works on the ASER plaza.

Renewal SA also receives equity contributions from the government for capital expenditure on major projects. Equity contributions to Renewal SA in 2024-25 are $50.0 million higher than budget due to the purchase of land at the former UniSA campus at Mawson Lakes.

Equity contributions are expected to be $8.1 million in 2025-26 and $9.6 million in 2026-27 reflecting funding requirements for capital expenditure at Bowden and Tonsley.

Capital investment across the forward estimates primarily reflects waterproofing restoration works on the ASER plaza.

Renewal SA's net debt across the forward estimates reflects expectations for property development expenditure and sales revenue associated with its development projects.

The substantial reduction in Renewal SA's net debt from 2026-27 reflects the maturing of various property development projects including Southwark, Noarlunga Downs and Bowden Lot 51, and the expected sale of the Deep Maintenance and Modification Facility in 2027-28.

Renewal SA's debt to asset ratio is expected to decrease across the forward estimates due to the profile of its sales program and the maturity of its development projects.

South Australian Housing Trust

Table 5.8: Net contributions, capital investment and net debt ($million)[(a)]

	2024-25 Budget	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Income tax equivalents	—	—	—	—	—	—
plus **Dividends**	—	—	—	—	—	—
less **Grants, subsidies and CSOs**	162.9	119.0	58.9	202.6	187.2	128.7
equals **Net contribution to/from government[(b)]**	**-162.9**	**-119.0**	**-58.9**	**-202.6**	**-187.2**	**-128.7**
Equity contribution from government	**-394.7**	**-330.3**	**-353.1**	**-230.2**	**-208.6**	**-171.6**
Capital investment	**396.9**	**335.4**	**384.7**	**243.4**	**220.1**	**160.8**
Net debt[(c)]	**-65.7**	**-45.9**	**-48.4**	**-69.7**	**-166.1**	**-176.1**

Note: Totals may not add due to rounding.

(a) SAHT is subject to the tax equivalent regime, however no income tax equivalent payments are forecast over the forward estimates. SAHT is not required to make dividend payments to the government.

(b) Positive indicates net contribution to government while negative indicates net contribution from government.

(c) Negative net debt implies cash and cash equivalents exceed borrowings and advances received.

SAHT provides social housing options to South Australians in need. SAHT is also developing affordable housing options for South Australians. From 1 July 2024, specialist homelessness services transferred from SAHT to DHS.

While SAHT earns revenue from rents paid by tenants it does not fully recover the cost of providing social housing and associated programs to tenants and clients. SAHT receives funding from the Commonwealth Government and the state government to support these objectives.

SAHT receives equity contributions broadly consistent with budgeted capital works with the balance of funding provided by way of an operating grant. The profile of grants, subsidies and CSOs and equity contributions across the forward estimates reflects this funding arrangement.

Estimated capital investment in 2024-25 is $61.5 million lower than budget mainly due to delays relating to the affordable housing initiative and social housing accelerator. The increase in capital investment between the 2024-25 estimated result and 2025-26 Budget includes higher expenditure for the affordable housing initiative, the social housing accelerator and *A Better Housing Future*.

Capital investment is expected to decline over the forward estimates consistent with the expected completion of various capital projects SAHT is currently undertaking, including the completion of the affordable housing initiative and public housing improvement programs in 2025-26, and the winding down of *A Better Housing Future* and social housing accelerator by the end of the forward estimates.

SAHT's net debt across the forward estimates reflects expectations for expenditure and sales revenue associated with projects such as the affordable housing initiative, neighbourhood renewal initiative and the better neighbourhoods program.

Public financial corporations

The public financial corporations (PFC) sector includes HomeStart Finance, Lifetime Support Authority, Motor Accident Commission (MAC), Return to Work Corporation of South Australia (ReturnToWorkSA), South Australian Government Financing Authority (SAFA) and Superannuation Funds Management Corporation of South Australia (Funds SA).

PFCs that make contributions to the government are shown in table 5.9.

Table 5.9: Net contributions to government ($million)

	2024-25 Budget	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Income tax equivalents						
HomeStart Finance	13.6	18.9	16.5	17.0	15.9	15.4
Motor Accident Commission	—	—	—	—	—	—
South Australian Government Financing Authority	15.0	—	10.5	13.5	13.5	13.5
Total income tax equivalents	**28.6**	**18.9**	**27.0**	**30.5**	**29.4**	**28.9**
plus **Dividends**						
HomeStart Finance	31.7	44.0	38.5	39.7	37.0	35.8
Motor Accident Commission	3.2	3.4	2.0	1.1	0.9	0.9
South Australian Government Financing Authority	34.8	1.5	24.5	31.5	31.5	31.5
Total dividends	**69.6**	**48.9**	**65.0**	**72.3**	**69.4**	**68.2**
less **CSOs**						
HomeStart Finance	9.5	9.1	9.2	9.6	9.8	9.1
Motor Accident Commission	—	—	—	—	—	—
South Australian Government Financing Authority	—	—	—	—	—	—
Total CSOs	**9.5**	**9.1**	**9.2**	**9.6**	**9.8**	**9.1**
equals **Net contribution to government**[(a)]						
HomeStart Finance	35.8	53.7	45.8	47.1	43.0	42.1
Motor Accident Commission	3.2	3.4	2.0	1.1	0.9	0.9
South Australian Government Financing Authority	49.8	1.5	35.0	45.0	45.0	45.0
Total net contribution to government	**88.7**	**58.6**	**82.8**	**93.2**	**88.9**	**88.0**

Note: Totals may not add due to rounding.

(a) Positive indicates net contribution to government while negative indicates net contribution from government.

The estimated net contribution to government from PFCs in 2024-25 is $58.6 million which is $30.1 million lower than budget. This is principally due to SAFA's operating position being impacted by a significant increase in insurance provisions established for physical and sexual abuse claims, partially offset by higher portfolio growth, net interest margin expectations and shared equity gains impacting HomeStart Finance's profitability.

Net contributions to government are expected to increase by $24.2 million in 2025-26 compared to the 2024-25 estimated result as SAFA's profit returns to more normalised levels.

The budgeted dividends from MAC mainly reflect the reinsurance arrangement entered into with Berkshire Hathaway from 1 January 2019. MAC's net contributions decrease over the forward estimates reflecting the reinsurance arrangement.

Full-time equivalents (FTEs)

Table 5.10: Public non-financial corporations sector and public financial corporations sector employment

	Full-time equivalent employees as at 30 June				
	2025 Estimate	2026 Budget	2027 Estimate	2028 Estimate	2029 Estimate
Public non-financial corporations					
Adelaide Festival Centre Trust	231.0	231.0	230.0	230.0	230.0
Adelaide Venue Management Corporation	489.0	473.0	473.0	473.0	473.0
Public Trustee	191.6	189.5	190.5	191.5	191.5
Renewal SA	185.9	193.7	179.0	173.0	160.0
SA Water	1 931.0	1 970.0	1 964.2	1 956.0	1 956.0
South Australian Housing Trust	813.1	804.3	742.4	736.4	733.4
Other	259.5	268.6	271.6	272.6	272.6
Total public non-financial corporations	**4 101.1**	**4 130.1**	**4 050.7**	**4 032.5**	**4 016.5**
Public financial corporations					
Funds SA	83.7	83.7	83.7	83.7	83.7
HomeStart Finance	149.2	142.3	131.4	129.0	127.4
Lifetime Support Authority	103.3	106.3	109.2	112.2	115.1
Return to Work Corporation of South Australia	321.0	321.0	319.0	317.0	310.0
South Australian Government Financing Authority	102.2	105.6	105.6	105.6	105.6
Total public financial corporations	**759.4**	**758.9**	**748.9**	**747.5**	**741.8**

Note: Totals may not add due to rounding.

The estimated aggregate workforce of the PNFC sector as at 30 June 2025 is 4 101.1 FTEs, of which around 67 per cent relates to positions in SA Water and SAHT.

FTEs in the PNFC sector are estimated to decrease by 2.1 per cent between 30 June 2025 and 30 June 2029 primarily due to a reduction in FTEs in SAHT and Renewal SA. This mainly reflects the completion of a range of initiatives including the affordable housing initiative, and Renewal SA's development projects.

The estimated aggregate workforce of the PFC sector as at 30 June 2025 is 759.4 FTEs. FTEs in the PFC sector are estimated to decrease by 2.3 per cent between 30 June 2025 and 30 June 2029 mainly due to a reduction in FTEs in HomeStart Finance following the completion of its technology system change program and a projected fall in settlement volumes over the period.

Chapter 6: Risk statement

Overview

This chapter outlines the major financial risks that could affect the fiscal outlook set out in the 2025-26 Budget and identifies measures the government has adopted to manage these risks. The risks are summarised in three main sections — risks to revenue, risks to expenditure and contingent liabilities.

Budget estimates are made on assumptions and judgements formed in the context of information available at the time of their preparation. In practice, both revenues and expenses will be subject to variation from the estimates contained in the budget, and the size of the potential variation typically increases over the forward estimates period.

Financial risks arise from general developments or from specific events that affect the fiscal outlook. They may be positive or negative, and they may not necessarily be within the government's control. Examples include fluctuations in economic activity and financial markets, changes in demand for government services, and changes in Commonwealth Government funding and policy.

The budget estimates include allowances to help manage potential financial risks. For example, allowances are made for wage and salary outcomes and capital expenditure contingency provisions. In addition, some sources of risk to the fiscal outlook can, to a certain extent, be managed through established risk management practices such as hedging and insurance.

Revenue risks

Taxation, grants, royalties and fines

State taxation revenues are exposed to variations in both the volume and value of activities that are subject to taxation. Broad based taxes such as payroll tax are influenced by general economic trends, whereas more narrowly based taxes are impacted by particular segments of economic activity. Transactional taxes such as conveyance duty are subject to greater variability, and price and activity trends in the property market can have a larger impact on the short-term volatility of state taxation revenues than the broader economy.

Fluctuations in economic activity within the state increase the risk of state taxation revenues exceeding or falling short of budget forecasts, particularly at turning points in the economic cycle. The performance of the national economy is also a key driver of state government revenues. The pool of GST revenue grants allocated to the states and territories is directly influenced by national trends in consumer spending and housing construction, as well as population growth in each jurisdiction.

Furthermore, under the current horizontal fiscal equalisation (HFE) system, if South Australia's taxation revenues are constrained relative to other states and territories as a result of economic conditions, the HFE process will provide South Australia with a higher share of GST revenues. This means that in the medium to longer term, total South Australian revenues (the combination of GST revenue grants and own-source revenues) are primarily driven by the national economy. However, the HFE process operates with a lag and therefore fluctuations in state economic activity do have a greater short-term impact on overall revenues.

International economic-related risk factors that may affect South Australia include:

- geopolitical tensions, including the conflicts in Ukraine, the Middle East and continued instability in the Red Sea could disrupt key trade routes and supply chains leading to renewed spikes in food, energy and transport costs
- trade fragmentation and growing use of protectionist measures (e.g. tariffs, reshoring policies) in the United States and China — South Australia's two largest export markets — may lead to long-term shifts in global trade patterns
- prolonged uncertainty regarding trade policies poses risks to global investment and subsequently economic growth

- China's economic trajectory remains uncertain, despite recent policy stimulus. Structural weaknesses in its property sector and subdued household consumption could suppress growth and cause negative spillovers across regional economies, including Australia
- renewed inflationary pressures could result in central banks raising policy rates, intensifying monetary policy divergence across countries.

Risk factors that could affect the performance of the Australian and South Australian economy include:

- stronger than expected growth in domestic demand could see domestic inflationary pressures build further, leading to a decline in real disposable incomes for the average household which could limit consumption growth and employment by more than expected
- policy uncertainty related to trade tensions could weigh on domestic investment and employment. The application of tariffs by major trading partners could lead to higher import prices, but the net impact of this on the price of Australian imports is uncertain
- loss of access to the United States market could result in some nations looking to Australia to absorb excess production capacity, potentially dumping cheap offshore products in Australia, which would benefit Australian consumers but may adversely affect local industry
- a continued and sustained depreciation of Australia's exchange rate, or a stalling in the moderation of services inflation could pose an upside risk to inflation
- productivity growth does not improve, resulting in high labour costs flowing through to prices
- natural disasters due to the changing climate are occurring more frequently. Agricultural output in particular is subject to significant climate variability. The frequency and scale of the impact of further natural disasters is unpredictable and represents a risk to the budget through the provision of relief payments, funding to support recovery efforts and the repair of damaged infrastructure
- sectoral capacity constraints, in particular materials supply and labour constraints on construction limiting government's ability to deliver economic infrastructure projects.

State taxation

Specific revenue risk areas for state tax collections are discussed below.

Payroll tax

Payroll tax tends to be influenced by broad economic trends, particularly employment, hours worked and wages growth.

There is a risk that employment or wages growth will be different to that forecast which would flow through as a variation to forecast payroll tax revenue. In addition, there are risks to revenue estimates associated with the composition of employment growth between firms that are subject to payroll tax and those that are not.

Impact: A 1.0 per cent change in taxable payrolls equates to about $20 million in payroll tax revenue.

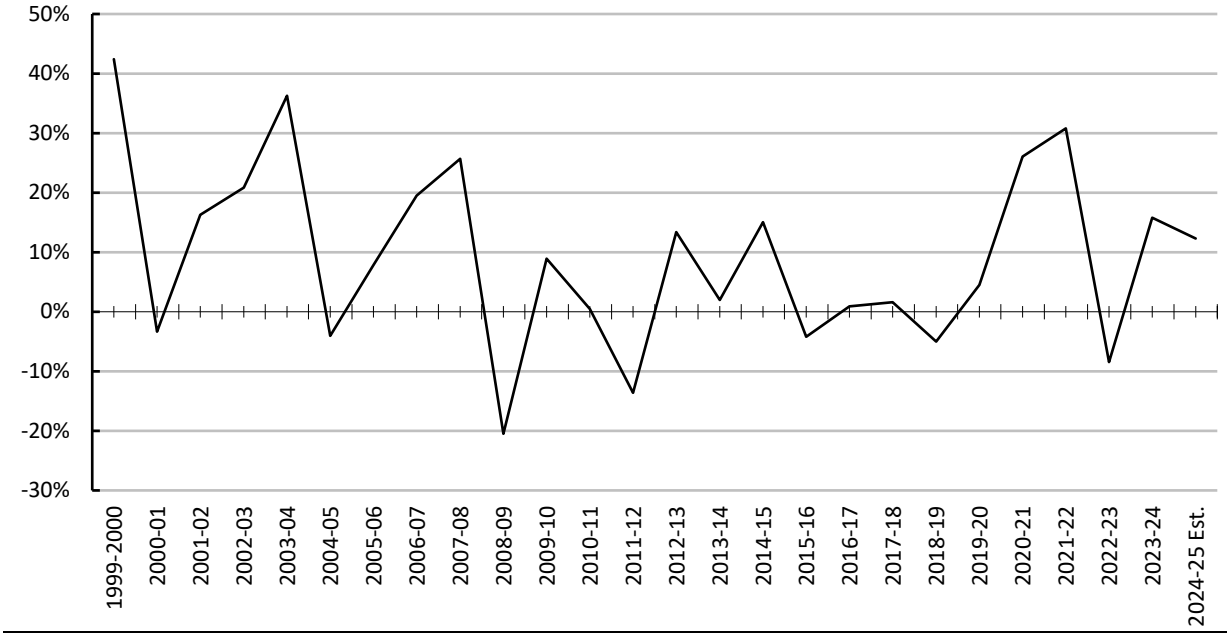
Property taxes

Conveyance duty revenue is affected by variations in the local property market. Trends in property market values and activity levels can be difficult to predict, particularly transaction numbers, which can change significantly from one year to the next. For example, residential transactions in 2021-22 were 47 per cent above 2019-20 transaction levels, but declined by around 19 per cent in 2022-23, contributing to significant volatility in conveyance duty collections. The property market has also experienced very strong growth in values over the last few years. Forward projections of conveyance duty revenue assume that underlying residential property market transactions and prices will return to long-term trend levels/growth.

There is a risk that activity levels and/or property prices will vary from that estimated.

Figure 6.1 shows the annual growth in total conveyance duty revenue since 1999-2000. Over that time, annual growth in total conveyance duty revenue has ranged from around negative 20 per cent to positive 42 per cent. This uncertainty makes forecasting of property taxes difficult, especially for conveyance duty receipts.

Figure 6.1: Total conveyance duty — annual growth [(a)]



(a) Excludes impact of policy changes, particularly the phased abolition of non-residential (non-primary production) conveyance duty.

Land tax receipts can also vary from expectations over the forward estimates period. Indexation of land tax thresholds commenced on 1 July 2011 and reduces the impact of bracket creep when property values are increasing.

Impact: A 1.0 per cent variation in 2025-26 property values equates to about $19 million in conveyance duty revenue, while a 1.0 per cent variation in transactions in 2025-26 equates to about $17 million in conveyance duty revenue.

A 1.0 per cent variation in land values equates to around $6 million in private land tax revenue in 2025-26 (after indexation of tax brackets for growth in land values).

Gaming machine revenue

There are a number of risks to gaming machine tax revenue collections.

Discretionary spending levels are influenced by a range of factors, including growth in wages and incomes, debt servicing levels, the cost of essential items and perceived future spending needs. Regulatory reforms can also impact on gaming machine taxation revenue collections. The popularity of gaming machines compared to other forms of gambling and other activities more broadly can also impact on revenue collections.

Impact: A variance of 1.0 per cent in hotel and club gaming machine expenditure equates to around $5 million in gambling tax revenue.

Insurance duty

Insurance premiums can vary significantly over time depending on the capacity of the market and can sometimes be affected by major insurable events around the world. Events such as global pandemics and natural disasters in Australia and offshore may affect the level and type of insurance taken out by policy holders, as well as the price of insurance premiums.

Impact: A variance of 1.0 per cent in premium levels equates to around $6 million in insurance duty revenue.

Royalties

Mining and petroleum royalty revenue is exposed to external economic conditions. In particular, royalty revenue is affected by exchange rates and changes in international prices particularly for oil, copper, iron ore, uranium and gold. Royalty revenue can also be affected by changes to production levels, including the impact from natural occurrences (e.g. floods), unanticipated mine closures, unplanned operational incidents such as plant fires and failures as well as other unforeseen events.

There is potential for growth in royalty revenue from new mines. The timing of these additional royalty streams is dependent on the timing of discoveries, global economic conditions as well as the time required for development approvals and to develop new mine sites to an operational level. Royalty revenue does not flow until commercial production commences.

Impact: A 1.0 cent change in the US dollar/Australian dollar exchange rate has a direct revenue impact of about $7 million on royalty revenue. A 1.0 per cent change in international prices for copper, iron ore, uranium, gold, oil and petroleum liquids has a direct revenue impact of about $4 million.

Traffic infringement fines

Revenue collected from traffic infringement fines is sensitive to changes in driver behaviour patterns and the number of detection devices in operation.

Impact: A variance of 1.0 per cent in the number of traffic infringement notices equates to around $2 million per annum in fines revenue.

Changes to general purpose payments (GST revenue)

The pool of GST revenue grants allocated to the states and territories is directly influenced by national trends in consumer spending and housing construction.

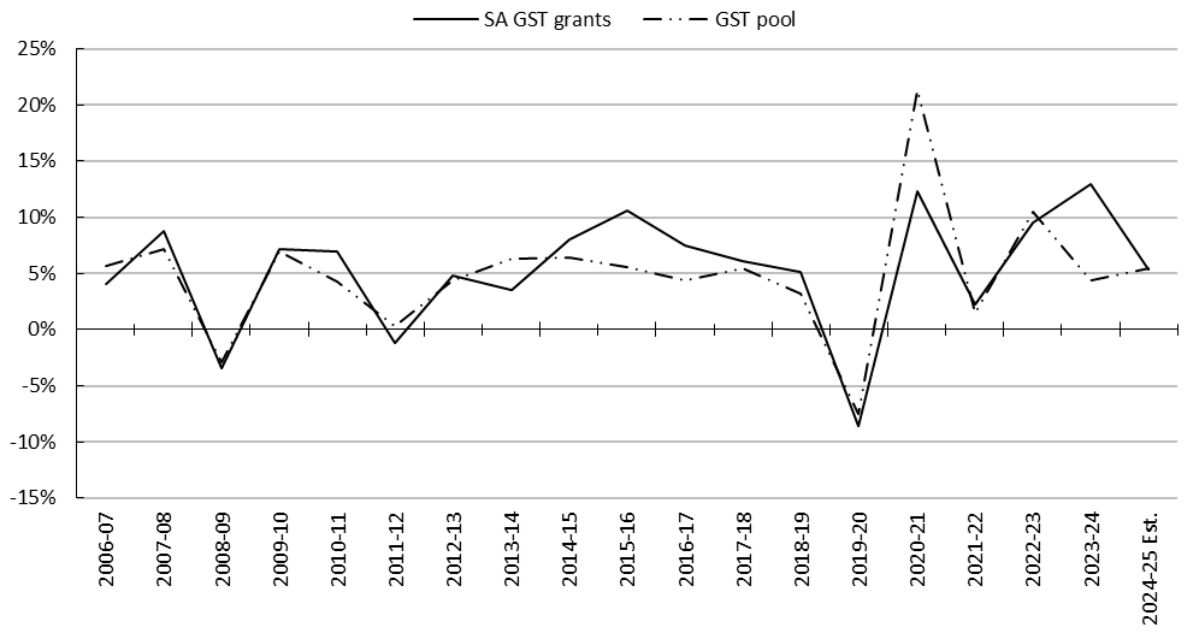
South Australia's GST revenue grants are driven by the size of the national GST pool and the state's population share. They are also impacted by changes to the state's share of the pool, which is determined by the Commonwealth Grants Commission (CGC) in accordance with current HFE principles. South Australia's forecast GST revenue grants comprise around 30 per cent of total revenues in 2025-26 and therefore the budget is particularly exposed to changes in GST revenue.

Figure 6.2 demonstrates the volatility in annual growth for the GST pool and South Australia's GST revenue grants.

In 2019-20, the national GST pool fell by 7.6 per cent reflecting the impact of COVID-19 on the national economy. National GST collections rebounded strongly in 2020-21, growing by 21.3 per cent reflecting strength in consumer spending. National GST collections have then fluctuated with relatively flat growth in 2021-22, 10.5 per cent growth in 2022-23 followed by lower growth of 4.4 per cent in 2023-24 and 5.5 per cent estimated in 2024-25. Forward estimates of the national GST pool are based on forecasts by the Commonwealth Government and assume a return to more longer term growth rates of around 5.5 per cent per annum.

South Australia's estimated GST revenue grants can vary from growth in the national GST pool reflecting changes in the state's share of the pool. For example, while the GST pool increased by 4.4 per cent in 2023-24, South Australia's GST revenue grant increased by a higher rate of 13.0 per cent reflecting an increase in South Australia's GST grant share in 2023-24, largely due to the outcome of the CGC's 2023 Update. In 2024-25, growth in the GST pool and South Australia's GST revenue grant is consistent reflecting that South Australia's grant share is largely consistent with the previous year.

Figure 6.2: GST pool and South Australia's GST revenue grants — annual growth



Impact: A 1.0 percentage point change in GST pool growth has a revenue impact for South Australia of about $90 million per annum.

Changes to horizontal fiscal equalisation methodology and data

HFE previously aimed to provide each state with the fiscal capacity to deliver the same standard of services to its residents as other states. This is also known as full equalisation of fiscal capacities.

In Australia, GST revenue grants are the vehicle used in seeking to achieve HFE. South Australia receives around $3.0 billion more in GST revenue grants (including no worse off guarantee payments) than it would if funding was distributed on a simple population (equal per capita) basis without consideration of the differing fiscal needs and capacities of each state.

In November 2018, the Federal Parliament passed the *Treasury Laws Amendment (Making Sure Every State and Territory Gets Their Fair Share of GST) Act 2018*, which gives effect to the Commonwealth Government's response to the Productivity Commission's Inquiry into HFE. The legislation provides for the introduction of a new GST distribution system over a 6-year transitional period that commenced in 2021-22. Key provisions of the legislation include:

- a shift from full equalisation to partial equalisation, with states' fiscal capacities equalised to the stronger of New South Wales or Victoria rather than the fiscally strongest state
- introduction of a minimum GST relativity of 0.7 in 2021-22 which increased to 0.75 in 2024-25
- a permanent Commonwealth top-up to the GST pool, indexed to growth in the GST pool
- a guarantee that states will receive at least the same amount of GST grants as they would have received (in cumulative terms) over the transition period due to the change in the equalisation objective (i.e. the no worse-off guarantee)
- a review of the new system to be conducted by the Productivity Commission by December 2026.

The legislated no worse-off guarantee provides a level of certainty for the states over the transition period in regard to the change in the new GST distribution arrangements only.

In 2025-26, it is estimated that South Australia will require $487 million through the no worse-off guarantee to ensure that total revenue received through the new arrangements is not less than what would have been received through the previous full equalisation approach to the distribution of GST revenue. In contrast, the new arrangements are expected to deliver an additional $6.0 billion in GST revenue to Western Australia in 2025-26.

Following representations made by South Australia and other impacted states, the Commonwealth Government extended the operation of the no worse-off guarantee from 2026-27 to 2029-30. However, there remains the risk that South Australia will receive less ongoing GST revenue from 2030-31 following the expiry of the no worse-off guarantee.

The ongoing impacts of the new GST distribution arrangements may be influenced by the outcomes of the scheduled 2026 Productivity Commission inquiry, which is required by legislation to consider the operation of the 2018 reforms, including the fiscal implications on the states and territories, and whether the reforms are operating as intended.

Separate to these new arrangements, changes to the methodology and data used by the CGC in calculating GST distribution relativities may significantly impact (both positively and negatively) the state's budget position.

In March 2025, the CGC released the final report of its 2025 Review, which reviewed the methodology it uses to calculate the relativities used by the Commonwealth Government to distribute GST revenue grants. These methodology reviews are undertaken approximately every five years and can have a large impact on a jurisdiction's share of GST revenue. The outcome of the 2025 Review resulted in a reduction in South Australia's relativity and share of GST revenue. This was primarily driven by the CGC's methods for assessing states' COVID-19 related expenses as well as data revisions relating to natural disaster expenses incurred in other jurisdictions. The outcome of the 2025 Review will generally form the basis of methods used by the CGC until the next review, expected to be completed in 2030.

Between methodology reviews, the CGC updates the GST relativities annually to incorporate changes in state circumstances as reflected by the latest available social, demographic and economic data. While the CGC's desire to improve data and data sources wherever possible is appropriate, this can lead to large changes in annual relativities. The relativities are particularly sensitive to fluctuations in the value of mining output, variations in Commonwealth Government payments between states and differential growth rates in conveyance duty receipts.

Impact: A 0.01 change in South Australia's full HFE relativity would result in a change in GST revenue grants of about $58 million in 2025-26.

Commonwealth payments for specific purposes

Commonwealth-state funding arrangements are governed by Commonwealth Government legislation and the Intergovernmental Agreement on Federal Financial Relations (the IGA) agreed to by the former Council of Australian Governments in December 2008.

Payments for specific purposes can either be ongoing tied grants or time-limited National Partnership payments (NPPs).

Commonwealth Government legislative arrangements or the IGA prescribe funding under the National Skills Agreement, National Health Reform Agreement, Better and Fairer Schools Agreement, National Mental Health and Suicide Prevention Agreement and Social Housing and Homelessness Agreement. Ongoing disability funding for states and territories is now provided directly to the National Disability Insurance Agency (NDIA) following the introduction of the National Disability Insurance Scheme (NDIS). While funding is ongoing, there are risks to states around the level and conditions placed on funding, particularly when agreements are due for renegotiation. States and territories have been working closely with the Commonwealth Government on health funding and reform of the NDIS since the December 2023 National Cabinet meeting. As the negotiation of longer-term health and disability funding arrangements are yet to be concluded, states and territories face significant operational and financial risk if sustainable arrangements are not agreed. States and territories will also be renegotiating a new National Mental Health and Suicide Prevention Agreement and a new Preschool Reform Agreement over the coming year.

NPPs are time-limited payments to the states to support the delivery of specified projects or to facilitate or reward the implementation of reforms of national importance. NPPs are allocated to one of five sectoral agreements known as Federation Funding Agreements (FFAs). FFAs cover the areas of health, education and skills, environment, infrastructure and a residual agreement which incorporates affordable housing, community services and all other services. There is an ongoing risk that the Commonwealth Government will cease NPP funding at the expiry of each agreement.

Impact: Commonwealth payments for specific purposes account for about 24 per cent of state government revenues in 2025-26. Variations in their level or the conditions applying to these payments impact the budget.

Changes in profitability of government businesses

As part of their day-to-day operations, government business enterprises — comprising public non-financial corporations (PNFCs) such as SA Water and Renewal SA and public financial corporations (PFCs) such as the South Australian Government Financing Authority (SAFA) — manage a range of commercial risks. Risks that adversely impact upon a government business may affect its ability to pay dividends and make tax equivalent payments, thereby impacting the financial position of the general government sector.

Impact: A 1.0 per cent change in contributions to the general government sector from PNFCs and PFCs would impact revenue by approximately $3 million per annum.

Expenditure risks

Hospital expenditure growth

Hospital expenditure is a significant component of the budget and growth can therefore have a substantial impact on the budget.

The government continues to implement a number of strategies designed to ensure that health services and infrastructure are provided for the South Australian community to deliver quality health outcomes efficiently. This includes delivery of the substantial infrastructure program committed to by this government that will increase the number of beds in the system, as well as expanded use of virtual care services to further increase system capacity.

Changes to Commonwealth funding for health also significantly affect the state government's capacity to provide resources to the health system. The current 2020-2025 addendum to the National Health Reform Agreement, outlines the Commonwealth's commitment to activity-based funding arrangements to the states, as well as six long-term health reforms.

In December 2023 National Cabinet endorsed a health reform agenda that would see the Commonwealth increasing its contribution rate to 45 per cent over 10 years from 1 July 2025, with achievement of 42.5 per cent by 2030 and a more generous funding cap approach.

The government and other signatory jurisdictions are continuing their negotiations with the Commonwealth on the new National Health Reform Agreement Addendum which will also seek to embed long-term, system wide structural health reforms. An interim one-year National Health Reform Agreement Addendum was agreed to in February 2025 which extends the existing addendum.

Impact: A 1.0 per cent growth in hospital expenditure above the level incorporated in the 2025−26 Budget would increase expenditure by approximately $88 million per annum.

Student enrolment numbers

The budget includes an estimate of expected movements in the number of student enrolments in government and non-government schools.

To the extent that actual enrolment numbers vary from those estimates there will be an impact on the state's financial position. Enrolments are impacted by growth in the school age population as well as shifts between government and non-government education.

Impact: A 1.0 per cent growth in government school enrolment numbers above the levels incorporated in the 2025-26 Budget would increase expenditure by approximately $29 million per annum.

3-year-old preschool enrolment numbers

The roll out of universal 3-year-old preschool will commence from 2026. Initially the roll out will predominately be in the long day care sector and in rural and remote areas for government operated preschools.

The budget includes an estimate of the number of 3-year-old preschool enrolments across partnered long day care services, government sessional preschools, and integrated hub demonstration sites.

To the extent that actual enrolment numbers vary from those estimated there will be an impact on the state's financial position.

Impact: Depending on the mix of enrolments by provider type, a 1.0 per cent increase in 3-year-old enrolment numbers above the levels currently incorporated in the 2025-26 Budget would increase expenditure by an average of approximately $500 000 per annum over the next four years.

Growth in children and young people in care

The budget includes provisions for resourcing requirements of children and young people in care, including family based and residential care accommodation. The costs associated with children and young people in care can be impacted by both growth in the number of children and young people entering the child protection system as well as the type of care provided. Resources required for residential care accommodation are generally significantly higher per child or young person than family based foster and kinship care.

Impact: Depending on the mix of care types, a 1.0 per cent growth in children and young people in care above the levels incorporated in the 2025-26 Budget would increase expenditure by approximately $7 million per annum.

Disability

The state has been in the full NDIS since 2019-20. Under this arrangement the state meets disability support costs through an annual fixed contribution (indexed) to the NDIS. Any growth in costs above this contribution will be met by the Commonwealth Government.

In December 2023, following the NDIS Review, National Cabinet agreed all jurisdictions would work together on NDIS reforms to improve participants' experiences and ensure a financially sustainable scheme. These reforms are currently being negotiated. To achieve the intended outcomes, the reform process must prioritise appropriate joint governance, clear and sustainable funding arrangements, and more effective and efficient service delivery.

It is important that the NDIA provides appropriate packages to NDIS participants during this process so they can access quality services and receive the supports they need. South Australia continues to work with both the NDIA and the Commonwealth to ensure that this occurs.

The Department of Human Services (DHS) provides disability services to NDIS participants. Revenue for these services is sourced through NDIS arrangements. It will be important for DHS to continue aligning these services, which include supported accommodation, with NDIA requirements to ensure full cost recovery.

Increases in wages and salaries

Enterprise agreements are in place for major workforce groups for the relevant terms of each agreement, with all associated costs included in the 2025-26 Budget.

The outcomes of future wage negotiations will be crucial in determining whether expenditure in the forward estimates in this budget can be achieved and the level of government services that can be delivered.

Allowances in the forward estimates for enterprise bargaining outcomes cover both salary and non-salary outcomes.

Impact: If public sector-wide wage outcomes for new enterprise agreements vary by 1.0 per cent per annum from allowances in the forward estimates, the budget impact is estimated to be around $456 million in 2028-29.

Delivery of savings and revenue measures

Agency budgets include a continuation of the previously approved efficiency and savings measures.

Agency efficiency savings are reviewed in the budget process to ensure they are appropriate having regard to government priorities. Agencies will continue to find efficiencies to deliver future savings.

Impact: Where savings and revenue measures are delayed or not achieved there will be an adverse budget impact unless alternative saving measures can be found.

Interest rates

Changes in interest rates affect the budget position of all sectors through changes in interest payments.

Impact: A 1.0 percentage point move in the average interest rate applying to general government sector net debt would change net interest expense by approximately $252 million in 2025-26 rising to $370 million in 2028-29.

A 1.0 percentage point move in interest rates applying to the PNFC sector net debt would change its net interest expense by approximately $103 million in 2025-26. This could affect prices for services delivered to customers as well as contributions provided by the general government sector to PNFCs.

Fluctuation in foreign exchange rates

Treasurer's Instruction 23 'Management of Foreign Currency Exposures' requires public authorities to recognise and control foreign exchange risks associated with their operations. Foreign exchange risks may arise through procurements involving imported goods and services, the sale of goods and services, or any other financial transaction or exchange of obligations and liabilities, actual, potential or contingent, that involves an exposure to foreign currency.

Public authorities are required to make an assessment of their foreign currency exposures, and where the exposure is likely to exceed $250 000 they are to implement an appropriate hedging strategy, which could include obtaining forward foreign exchange cover.

Impact: Foreign exchange rates could have an impact on the costs of agencies that source capital equipment, supplies and services from overseas. This includes items such as pharmaceuticals, transport equipment and the operations of overseas offices.

Capital investment

Project estimates include prudent allowances for cost escalations. Large capital programs increase the risk of additional costs. The current high demand for infrastructure related labour and materials also increases the risks of cost escalations for capital programs.

Impact: If cost escalations exceed the allowances included in the investment program, there will be an adverse impact on annual net lending outcomes. A 1.0 per cent increase in costs for the general government investment program would increase capital expenditure by approximately $46 million in 2025-26.

Superannuation liabilities and expenses

For defined benefit scheme superannuation liabilities (pension or defined benefit lump sum schemes), the budget is exposed to factors affecting the value of the unfunded liability. These factors include:

- volatility in the expected returns on investment funds and the risk-free discount rate
- changes in actuarial assumptions relating to future benefit payments.

Impact: Volatility in asset markets poses a risk to the budget. A 1.0 percentage point lower than expected return on superannuation assets invested by Funds SA would increase estimated unfunded superannuation liabilities by around $71 million. An increase in unfunded superannuation liabilities of this magnitude would increase nominal superannuation interest expenses, decreasing the net operating balance by around $3.2 million per annum.

A fall in the Commonwealth Government bond rate between valuation dates will lead to the use of a lower discount rate for valuation purposes, resulting in an increase in the value of the unfunded liability. A 1.0 percentage point reduction in the discount rate would increase unfunded superannuation liabilities by $1.4 billion. However, the impact on the budget net operating balance is the imputed interest on these unfunded liabilities, and the interest rate used to calculate this would also fall by 1.0 percentage point. The net effect on the budget would be an improvement of around $9.5 million per annum in the net operating balance. An increase in the discount rate of 1.0 percentage point would decrease unfunded superannuation liabilities by around $1.2 billion and increase the imputed interest and reduce the net operating balance by around $6.1 million.

Changes in domestic and overseas share prices

Funds SA, ReturnToWorkSA and the insurance investments of SAFA are exposed to both domestic and international equity markets. Changes in domestic and overseas share prices impact on the investments of these entities.

Impact: A variation in domestic and overseas share prices will directly impact the budget through a change in earnings on superannuation assets managed directly or indirectly by Funds SA.

A change in the value of the financial investments of ReturnToWorkSA can impact the budget through the income tax equivalent payment received from ReturnToWorkSA.

A change in the value of SAFA's financial investments may have a direct impact on the budget through a variation in SAFA's income tax equivalent and dividend contributions.

Insurance

Risks associated with insurance liabilities are managed by SAFA and are described in Chapter 4.

Contingent liabilities

Contingent liabilities are liabilities, or possible liabilities, that have not been recognised in the government's balance sheet because they:

- arise from past events, and will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the government, or
- are a present obligation that arises from past events but is not recognised because:
  - it is not probable that there will be a cost or other financial impact for the government to settle the obligation, or
  - the amount of the obligation cannot be measured with sufficient reliability.

Full details of the state's material quantifiable and non-quantifiable contingent liabilities are included in the *Consolidated Financial Report for the financial year ended 30 June 2024*.

The state's quantifiable contingent liabilities are summarised in table 6.1.

Table 6.1: Contingent liabilities of the Government of South Australia to entities external to the public sector at 30 June ($million)

	2024	2023
Guarantees	1 066	729
Other	164	120
Total	**1 231**	**849**

Note: Totals may not add due to rounding

Final whole of government data for 2024-25 will be published in the Consolidated Financial Report for the financial year ended 30 June 2025.

The information below provides 30 June 2024 data for the major individual contingent liabilities.

Summary of contingent liabilities and other exposures

Significant contingent liabilities and other specific exposures, both quantifiable and non-quantifiable, for the Government of South Australia include the following.

Contingent liabilities

- Guarantee of Local Government Finance Authority loans and other liabilities — pursuant to the Local *Government Finance Authority Act 1983*, liabilities incurred or assumed by the Local Government Finance Authority are guaranteed by the Treasurer.

  Exposure: $1,020 million at 30 June 2024 (compared with $680 million at 30 June 2023). The increase is primarily due to additional borrowings to fund increased loan assets.

- Alice Springs-Darwin Railway — both the South Australian and Northern Territory governments guarantee the obligations of the AustralAsia Railway Corporation, the joint statutory authority that looks after the government's interests in relation to the Alice Springs-Darwin Railway. The prospect of these contingent liabilities arising is considered to be remote.

  Exposure: Not quantifiable (unchanged from 30 June 2023).

- Local Government Association (LGA) public liability fund — the Treasurer has indemnified the fund of the LGA Mutual Liability Scheme — a self-managed mutual fund for public liability insurance purposes of the local government sector in South Australia. Any losses that exceed the state government's liability reinsurance program limits and the $100 million limit for liability risks not covered by the reinsurance program will be subject to separate negotiations between the LGA and the state government.

  Exposure: $100 million at 30 June 2024 (compared with $50 million at 30 June 2023).

- Residential bond guarantees — the Bond Guarantee Scheme provides a guarantee to private owners and/or real estate agents in regards to the bond payable by eligible private rental tenants. The South Australian Housing Trust (SAHT) ultimately pays for any bond claims made by owners/agents and the tenant becomes liable to the SAHT for any amount paid. The value of bond guarantees at 30 June 2024 was $47 million with the value of claims made during 2023-24 at $3.6 million.

  Exposure: $47 million at 30 June 2024 (compared with $50 million at 30 June 2023).

Other exposures

- Electricity entities — as part of the privatisation of the state's electricity assets, the government provided certain specified undertakings to the lessees. In the extremely remote event that these undertakings are not enforceable and the leasing arrangements are terminated, the state is required to make specified payments to the lessees and would receive the associated electricity infrastructure assets in return.

  Gross exposure: $654 million at 30 June 2025 (compared with $749 million at 30 June 2024).

- Non-government School Loans Scheme — pursuant to section 15(1) of the *South Australian Government Financing Authority Act 1982*, liabilities incurred or assumed in performance by the South Australian Government Financing Authority of its functions under the Scheme are guaranteed by the Treasurer.

  Exposure: $71 million at 30 June 2024 (compared with $79 million at 30 June 2023).

- Sovereign Steel Package — the state and Commonwealth Government have committed to a joint sovereign steel package. The 2025-26 Budget reflects the states commitment to support the operations of the Whyalla steelworks including assumptions of the Commonwealth Government's contribution and the identification of a new owner of the steelworks. Any changes to these assumptions may give rise to unquantifiable potential exposures to the state in certain circumstances.

  Exposure: Not quantifiable.

- SAHMRI 2 Project — the SAHMRI 2 Proton Therapy project was a Commonwealth Government funded project, delivered by the South Australian Health and Medical Research Institute (SAHMRI), to deliver Australia's first proton therapy unit. SAHMRI terminated its contract with the technology supplier in October 2024. The project is supported by a number of state government agreements entered into to support the project. These agreements may give rise to potential commercial exposures to the state, in certain circumstances.

  Exposure: Not quantifiable.

Other, less material, contingent liabilities are reported in individual agency financial statements, as contained in agency annual reports or published on the Audit Office of South Australia website <www.audit.sa.gov.au/reports>.

Chapter 7: South Australian economy

Context

Following a period of strong prices growth, inflation has now fallen to be within the Reserve Bank of Australia's (RBA) target range and the Commonwealth Budget forecasts inflation to remain within the RBA's target band over the forward estimates. In response to lower price increases, the RBA cut interest rates by 25 basis points in both February and May 2025, and the prospect of more accommodative monetary policy is expected to support investment going forward.

The labour market has remained strong. The gain in employment over recent years has largely been retained despite the challenges of higher prices, subdued consumer spending and business investment.

These factors provide support for the national economy and are consistent with expectations for a gradual strengthening of national economic growth. The Commonwealth Budget forecasts Gross Domestic Product growth to rise from 1½ per cent in 2024-25 to 2¾ per cent by 2027-28.

But there are risks to the outlook. The global economy now faces renewed uncertainty, particularly around protectionist trade policies and ongoing political instability. How these risks play out and the potential impact on the national and South Australian economies is unclear.

As part of its recent outlook, the International Monetary Fund revised down forecasts for global economic growth, in part reflecting these risks. It estimates the global economy grew by 3.3 per cent in 2024, with forecast growth softening to 2.8 per cent in 2025, before strengthening to 3.0 per cent in 2026.

From a South Australian perspective, continued investment in infrastructure, a robust pipeline of construction projects, and strong and stable employment are supporting growth in the face of the current challenges of drought and ongoing global risks.

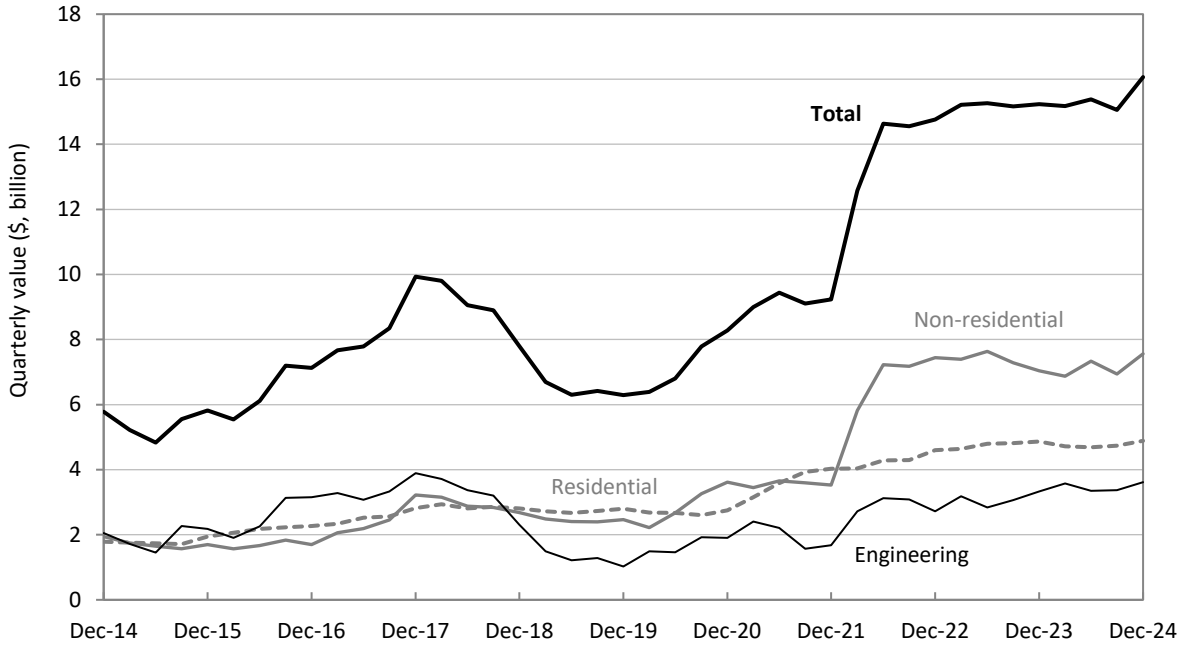
South Australia's economic performance and outlook

In line with expectations, growth in the South Australian economy slowed over the course of 2023-24. Following economic growth of 3.6 per cent in 2022-23, Gross State Product (GSP) growth in 2023-24 moderated to 1.2 per cent with similar growth expected (1¼ per cent) in 2024-25. This largely reflects the significant reduction in the state's broadacre winter crop production in both 2023-24 and 2024-25 due to extremely dry conditions, combined with higher interest rates and price inflation which worked to reduce domestic demand.

State Final Demand (SFD) rose by 1.7 per cent in 2023-24, underpinned by strong public investment (up 13 per cent), public consumption (up 3.6 per cent) and strong investment in new dwellings (up 5.1 per cent). In contrast, growth in household consumption slowed and new business investment weakened as high inflation and higher interest rates eroded real incomes and dampened spending. South Australian real retail turnover fell by 0.3 per cent in 2023-24. Following subdued growth in 2023-24, real retail turnover recovered significantly in the December quarter 2024, rising by 1.7 per cent, with a further rise of 0.4 per cent in the March quarter 2025. SFD is estimated to grow by 1¾ per cent per annum in 2024-25 and 2025-26, rising to grow by 2 per cent per annum from 2026-27.

The value of total construction projects in the pipeline was $16.1 billion as at the December quarter 2024 and will provide support for construction activity in the short to longer-term. Labour shortages across different construction trade skills persist and are not expected to ease in the short term, resulting in lengthened timeframes for construction completions and some elevated costs. The pipeline remains at, or near, record high levels across all three construction sectors — see Figure 7.1. The 25 basis point cut to the cash rate in February 2025 has coincided with increases in building approvals. The 25 basis point cut in May 2025 is expected to support further growth.

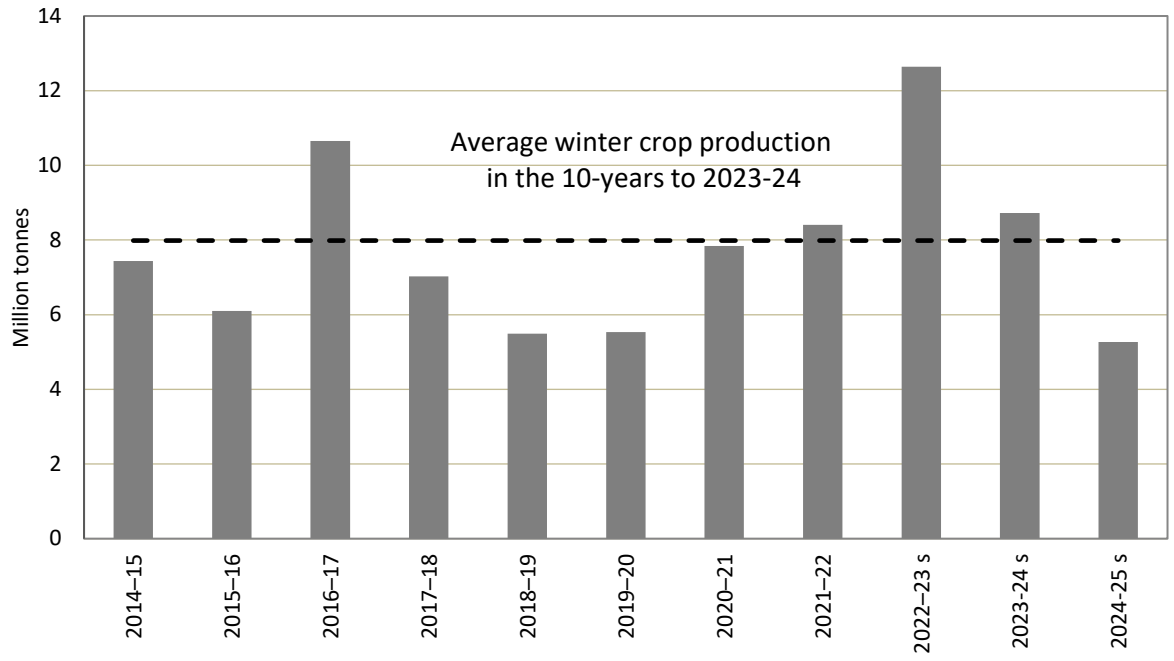
Figure 7.1: South Australia's construction work in the pipeline



Source: ABS, *Building Activity, Australia* (published 16 April 2025); ABS, *Engineering Construction Activity, Australia* (published 26 March 2025).

South Australia's winter crop production in 2023-24 is estimated by the Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES) to be 8.7 million tonnes, 31 per cent lower than the previous year's bumper crop. The 2024-25 winter crop is forecast by ABARES to have fallen to 5.3 million tonnes (down 40 per cent compared to 2023-24), reflecting poor seasonal conditions across most cropping regions of South Australia throughout the growing season. If realised, the state's winter crop will be 34 per cent below the 10-year average to 2023-24 — see Figure 7.2. The net impact of the significantly reduced winter crop is estimated to have detracted ½ of a percentage point from GSP in 2024-25.

Figure 7.2: South Australia's winter crop production

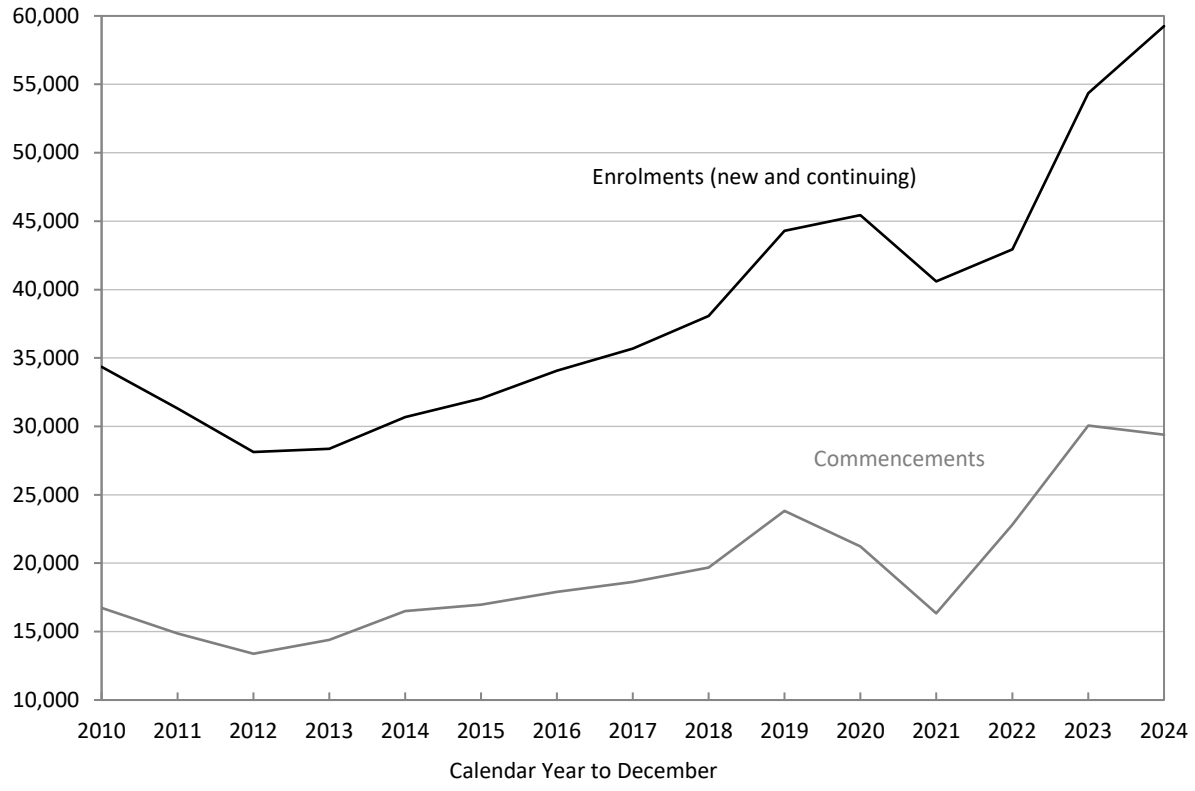


Source: Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES), *Australian Crop Report,* (published 4 March 2025)
s denotes ABARES estimate.

The value of South Australia's goods exports of $16.9 billion in the 12 months to March 2025 was 4.5 per cent lower compared to the same period a year earlier. Exports growth including for wine, beef, refined copper and copper products, nuts, and lamb and mutton was more than offset by declines in exports including for wheat, barley, vegetables, iron ore concentrates, and oil-seeds and oleaginous fruits.

The decline in the value of goods exports resulted from falls in both volumes and prices. Goods exports in current prices declined by 4.2 per cent in 2024, with goods export volumes down 2.2 per cent over the same period. In contrast, services exports have risen very strongly, with the volume of services exports in 2024 being 5.4 per cent higher than in 2023 and 17 per cent above the pre-COVID levels of 2019. While both international trips and nights spent in South Australia were lower in 2024 than in 2023 (by 3.4 per cent and 4.2 per cent, respectively), expenditure was up by 2.5 per cent. International student enrolments in 2024 were 9.0 per cent higher than in 2023, and at a record high level — see Figure 7.3.

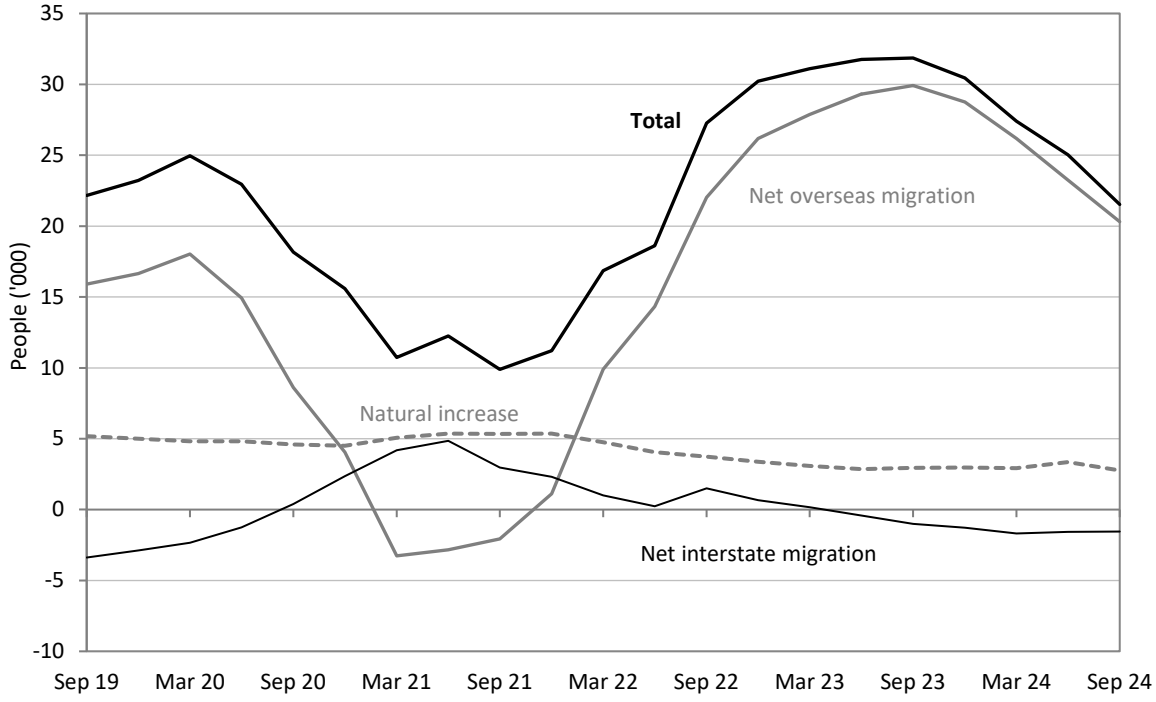
Figure 7.3: International student enrolments and commencements, South Australia



Source: Department of Education, *International Student Data* (full year data based on data finalised in December 2024).

In the year to September 2024, South Australia's estimated resident population grew by 21 500 (1.2 per cent) to be 1.9 million people — see Figure 7.4. This was substantially higher than the state's long run average rate of growth (0.8 per cent per annum, pre-COVID). Contribution to South Australia's population growth in the year was led by net overseas migration (20 300 people), followed by natural increase (2800 people). Net interstate migration (down 1600 people) detracted from population growth but to a much lesser extent than the pre-COVID annual average.

Figure 7.4: Quarterly components of population change, South Australia, moving annual total



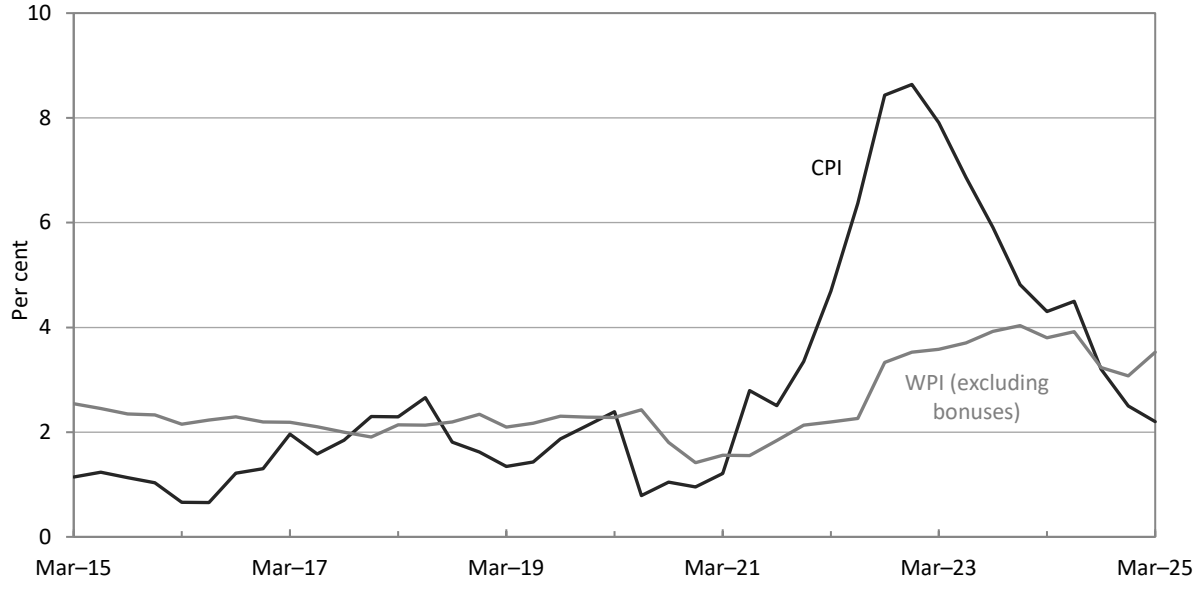
Source: ABS *National, state and territory population* (published 20 March 2025).

The South Australian labour market has continued to perform solidly, with employment 2.4 per cent higher through the year to April 2025 (in seasonally adjusted terms). The unemployment rate in April 2025 was 3.9 per cent, remaining at near record lows. While South Australian job vacancies have moderated since the April 2023 peak, they remain high and significantly above pre-COVID levels (90 per cent higher in April 2025 than the average for the twelve months to February 2020). Employment is estimated to grow by 1 per cent in 2024-25 (in full financial year terms) and to continue to grow by 1 per cent per annum out to 2028-29.

Cost of living has been an important economic issue in South Australia. While inflation has moderated faster than originally anticipated, key cost-of-living pressures have also been alleviated by both State and Commonwealth Government initiatives, including energy rebates, income tax cuts and health initiatives. The Adelaide Consumer Price Index (CPI) rose by 0.5 per cent in the March quarter 2025 to be 2.2 per cent higher through the year, down from 4.3 per cent in the March quarter 2024 — see Figure 7.5. Adelaide's CPI growth through the year to the March quarter 2025 is the lowest it's been since the March quarter of 2021. Slowing annual inflation reflects falling prices for electricity, transport, and furniture, and slower growth in prices for a broad range of other expenditure items. Adelaide's CPI is estimated to grow by 2¾ per cent in 2024-25 and 3 per cent in 2025-26 as assistance measures are wound back, moderating gradually to be at the midpoint of the RBA's target range in 2027-28.

Following a short pick up in wages growth in 2023-24 to 3.9 per cent, growth in South Australia's Wage Price Index (WPI) has moderated to 3.5 per cent through the year to the March quarter 2025 — just above the 3.4 per cent increase nationally. The RBA expects wages growth to ease slightly over the forecast period, with growth in the Australian Wage Price Index of 3.3 per cent through the year to the June quarter 2025, gradually easing to growth of 3.1 per cent in mid-2026 (to be at or above the corresponding forecasts for CPI inflation).

Figure 7.5: Adelaide's Consumer Price Index and Wage Price Index growth (through the year)



Source: ABS, *Consumer Price Index, Australia* (published 30 April 2025); ABS, *Wage Price Index, Australia* (published 14 May 2025).

South Australia's economy is expected to be supported in the near term by an ongoing strong labour market, high levels of government investment and construction work in the pipeline. GSP is estimated to grow by 1¼ per cent in 2024-25, before rising to grow by 1¾ per cent in 2025-26 and 2 per cent per annum from 2026-27 onwards — see Table 7.1. Economic forecasts and projections take into consideration a range of factors, including global growth forecasts for Australia's major trading partners, the winter crop returning to normal levels, a gradual recovery in household consumption as real wages continue to pick up, and an expected increase in housing construction as monetary policy continues to ease.

Economic forecasts

Table 7.1: Key economic indicators — Australia and South Australia real growth rates (per cent per annum, year averages)

	2023-24 Actual	2024-25 Estimate	2025-26 Forecast	2026-27 Projection	2027-28 Projection	2028-29 Projection
Australia[(a)]						
Gross Domestic Product (GDP)	1.4	1½	2¼	2½	2¾	2¾
South Australia						
Gross State Product (GSP)	1.2	1¼	1¾	2	2	2
State Final Demand (SFD)	1.7	1¾	1¾	2	2	2
Employment	1.7	1	1	1	1	1
Adelaide Consumer Price Index (CPI)	4.9	2¾	3	2¾	2½	2½

(a) Australian forecasts from Commonwealth Government's 2025-26 Budget, Budget Strategy and Outlook, Budget Paper No.1 (published 25 March 2025).

Chapter 8: Regional South Australia

Overview

This chapter provides information about the programs, initiatives and investing expenditure in the 2025-26 Budget for regional South Australia.

South Australia's regions play a crucial role in contributing to the future prosperity of the state. Regional South Australia contributes around $38.2 billion to the state economy, approximately 26 per cent of Gross State Product (GSP).

Around 200 000 people are employed in regional South Australia in roles across agriculture, forestry, health, community support services, tourism, retail and construction.

The 2025-26 Budget includes $1.8 billion in new measures over the forward estimates supporting South Australia's regions. Major initiatives in this budget include:

- A $2.4 billion joint package that seeks to secure the long-term future of the Whyalla steelworks and support the Whyalla community, including the following measures:
  - provide immediate on the ground support for the Whyalla community through an emergency response package that includes infrastructure upgrades (including upgrades to the Whyalla airport), creditor assistance payments, local business support grants and a jobs and skills hub (approximately $100 million)
  - stabilise the steelworks by funding its operations during administration, ensuring that workers and contractors will have ongoing work at the steelworks and will continue to be paid ($384 million)
  - invest in the steelworks' future by working with a new owner to invest in upgrades and infrastructure to ensure the steelworks operations has a sustainable long-term future ($1.9 billion).

  $1.2 billion is budgeted over six years from 2024-25, being the state's contribution of $650 million towards the package, plus the Commonwealth's contribution towards steelworks administration costs and the Whyalla emergency response package that is being paid through the State. The budget also includes a provision to continue the current administration period (and on the basis that the Commonwealth Government will agree to continue to contribute towards half this cost). See Budget Paper 5 for more details regarding the Whyalla support package.
- $223.2 million for regional road and transport improvements, to be delivered in partnership with the Commonwealth Government, including:
  - $176.0 million for stage 1 of the High Productivity Vehicle Network project, forming part of the $656.3 million total investment, which will deliver upgrades between the Swanport Bridge on the Princes Highway and Truro on the Sturt Highway
  - $47.2 million to deliver critical safety improvement works along Main South Road between Myponga and Yankalilla, forming part of the $80.0 million total investment.
- $71.1 million to enhance River Murray environmental flows by removing physical barriers and constraints along the river system, funded by the Commonwealth
- $55.4 million for additional drought support measures. The package builds upon the $18.0 million in initial assistance announced by the state government in November 2024, taking the total drought assistance available to $73.4 million. The additional measures include:
  - $17.3 million for future drought preparedness and resilience programs
  - $13.0 million for grants to primary producers to implement infrastructure projects that assist in managing drought conditions, as part of the On-Farm Drought Infrastructure Rebate scheme
  - $4.5 million for a subsidy on the cost of electronic identification tags for farmed sheep and goats, as part of stage 2 of the program

  - $4.0 million for an additional contribution towards the freight costs of charitable organisations that are delivering donated fodder to primary producers
  - $3.1 million for support towards the management of pests on rural properties, including deer, rabbits and kangaroos
  - $2.5 million for essential, on-the-ground mental health resources and support for individuals and communities affected by the current drought
  - $2.5 million towards the upgrades of standpipes in regional areas to support improved access to potable water for households not connected to mains water
  - $2.0 million for the provision of active club grants up to $5000 each in regional areas for the upgrade of sporting and recreational facilities in drought affected sporting clubs and communities
  - $2.0 million for rural business support relief grants of $1500 to help cover essential costs such as council rates, utility bills, vehicle repairs and school costs
  - $1.5 million for business support and counselling services to small businesses in drought affected towns and regions.
- $45.0 million for additional support towards the new Mount Barker Hospital project to ensure the delivery of the government's election commitment, bringing the government's total investment in the new hospital to $365.6 million
- $45.0 million to continue significant emergency fruit fly response activities following further outbreaks
- $29.6 million for the expansion of the successful Police Security Officer (PSO) model into regional South Australia providing an additional 98 PSOs and 2 sworn officers by 2028-29
- $20.9 million to support eligible South Australian local government authorities to invest in infrastructure that will substitute River Murray water used for open space irrigation and industrial uses with stormwater, treated wastewater or other alternative water resources
- $17.0 million to deliver a range of on-ground works to improve wetland habitat across the Coorong, Lower Lakes and Murray Mouth
- $15.0 million to upgrade the Port Augusta wharf, delivered in partnership with the Commonwealth Government
- $12.5 million to transition the current Mount Barker on Demand trial service into a permanent Adelaide Metro service
- $12.0 million to continue delivering property and tenancy management services for selected remote Aboriginal communities following the cessation of the Commonwealth Government funding
- $10.0 million to deliver additional road safety maintenance across regional South Australia
- $3.0 million to support South Australian diary farmers impacted by the collapse of Beston Global Food Group.

The government is committed to investing in regional infrastructure, with the total cost of projects either underway or commencing in 2025-26 totalling $6.8 billion, including the Fleurieu Connections project ($810.4 million), the High Productivity Vehicle Network — Stage 1 ($656.3), Princes Highway corridor ($601.3 million), Freight Highway upgrade program ($500.0 million), the new Mount Barker Hospital ($365.6 million), South Eastern Freeway upgrade ($350.0 million) and the Eyre Peninsula desalination augmentation ($330.0 million).

The 2025-26 capital program (as outlined in table 8.6) includes $532.9 million for regional roads and transport projects, $166.4 million for upgrades to regional health services, $155.3 million for the Eyre Peninsula desalination augmentation, $88.2 million for regional schools and $55.3 million for environmental sustainability projects.

Regional Development Programs

Thriving Regions Fund

The government provides $15.0 million per annum to support regional South Australia through the Thriving Regions Fund.

The Thriving Regions Fund provides an opportunity for support to target all areas of natural, economic, human and social capital to address regional development objectives. It also enables effective partnering with the Commonwealth and local governments, community and the private sector to achieve more collectively.

The long-term outcomes from investment through the Fund are:

- improved quality of life for regional communities
- thriving, resilient, sustainable regional communities that attract and retain people to live and work
- pipeline of regional leaders providing a voice for their regions
- creation of regional job opportunities and improved career options by capitalising on regional growth potential
- stronger regional economies.

Regional Development Australia associations

A commitment of $3.0 million per annum (indexed) from 1 July 2022 to 30 June 2026 has been made to the seven non-metropolitan Regional Development Australia associations (RDAs) to continue meeting their responsibilities, including providing independent advice on critical issues affecting their regions, and promoting awareness of government programs in the community. In consultation with their boards and key local stakeholders, each RDA has developed work programs that provide economic opportunities in their region and demonstrate alignment with state priorities. The RDAs also prepare investment pipeline reports providing a comprehensive snapshot of a region's planned, current and completed public and private projects. This data is shared with government to inform infrastructure planning and investment.

Through an investment of $2.0 million per annum (indexed) from the Thriving Regions Funds, the seven non-metropolitan RDAs are delivering leadership programs in their regions based on an assessment of leadership needs, and development of place-based training solutions to address regional gaps in the provision of training for members of the community in the 2025 calendar year. Increasing leadership capacity is vital in regional South Australia to ensure a pipeline of skilled individuals who reflect local demographics and can represent the needs and guide the future aspirations of their communities.

Country Cabinet

Country Cabinet continued to be held to ensure that South Australians living in regional areas can have the opportunity to engage directly with the decision-makers in government. The Cabinet, and heads of government departments, travel regularly to regions across the state so that local people can discuss the issues impacting their communities.

Mobile Phone Black Spot Fund

The government recognises that digital connectivity is a key enabler to assist development of sustainable regional communities and drive healthy economies. To support this priority, a $10.0 million Mobile Phone Black Spot Fund was established in 2018 to address mobile phone black spots across the state. The aim of the Fund was to work with the Commonwealth Government and telecommunications providers to maximise the impact of the state's investment to address critical mobile phone black spots in regional and remote South Australia.

To date, 44 mobile black spot solutions have been completed, with one site underway. In addition, $1.0 million has been delivered to the Wudinna Switch Up Project to upgrade broadband connection to the community and under the Mobile Network Extension Devices Pilot Program, 231 mobile repeater devices were installed totalling $190 000.

The government has committed a further $5.5 million towards the Telstra South East SA project that has secured funding through the Commonwealth Government's Regional Connectivity Program Round 3. The project includes delivery of 27 new mobile base stations across the Limestone Coast covering all seven local councils and providing improved voice mobile coverage, wireless broadband and Internet of Things network capability.

Regional Roads and Infrastructure Fund

The Regional Roads and Infrastructure Fund (RRIF) was established in 2018-19. An estimated $536.1 million is projected to be paid into the RRIF over the four years from 1 July 2025 to 30 June 2029, based on 30 per cent of anticipated mineral and petroleum royalty revenue over the same period.

In 2025-26, the Department for Infrastructure and Transport will use the RRIF towards a number of projects including ongoing road maintenance, rehabilitation and reseals, projects on outback roads, and a state contribution towards projects funded in partnership with the Commonwealth Government.

SA Jetties Renewal Program

The SA Jetties Renewal Program was initially established as a four-year program from 2023-24 as part of the 2023-24 State Budget and has been extended to provide $5.0 million per annum from 2027-28 to address immediate and critical concerns regarding the condition and sustainability of a number of state jetties. The program focuses on restoring and/or ensuring ongoing public access to jetties which provide significant economic, social and environmental benefits for communities.

Regional economic conditions

The economic profile of South Australia's regions

The non-metropolitan regions of South Australia include the country regions of Far North, Eyre and Western, Yorke and Mid North, Murray and Mallee, and Limestone Coast, as well as the three outer regions of Greater Adelaide (Barossa, Light and Lower North, Adelaide Hills, and Fleurieu and Kangaroo Island).

The economic contribution of South Australia's non-metropolitan regions was $38.2 billion in 2023-24. This accounted for 26 per cent of GSP.

Gross Regional Product (GRP) in the combined non-metropolitan regions of South Australia grew by 3.0 per cent (in nominal, current price terms), below the 6.9 per cent growth recorded in the Adelaide metropolitan area.

The largest South Australian non-metropolitan region in 2023-24 in terms of GRP was the Far North ($6.3 billion), while the smallest region was Fleurieu and Kangaroo Island ($2.9 billion). The highest rates of growth in the non-metropolitan regions during the year were in the regions of Adelaide Hills (5.4 per cent) and Fleurieu and Kangaroo Island (4.2 per cent).

Table 8.1: Gross Regional Product ($million) — 2023-24

	Adelaide Metro Area	Total Non-Metro Area	Adelaide Hills	Barossa, Light and Lower North	Fleurieu and Kangaroo Island	Yorke and Mid North	Murray and Mallee	Limestone Coast	Eyre and Western	Far North
Gross Regional Product (2023-24)	110 581	38 165	4 159	4 626	2 906	5 146	5 385	5 552	4 075	6 317
Regional share of GSP (2023-24)[(a)]	74.3%	25.7%	2.8%	3.1%	2.0%	3.5%	3.6%	3.7%	2.7%	4.2%
Growth since 2022-23	6.9%	3.0%	5.4%	4.0%	4.2%	2.9%	2.2%	2.5%	3.5%	1.3%

Source: Based on Industry Gross Value Add from ABS, Australian National Accounts: State Accounts, 2023-24; allocated at the regional level using Employment by Place of Work from Census of Population and Housing, 2021.

Note: Totals may not add due to rounding.

(a) While GSP (as described elsewhere in the state budget) is generally presented in real (chain volume) terms, regional-level GRP can only be derived in nominal (current price) terms. Nominal GRP growth rates in this table are not comparable to real GSP growth rates.

Population and unemployment

The estimated resident population of South Australia's non-metropolitan regions was 536 600 persons as at 30 June 2024. The non-metropolitan population increased by 5700 persons or 1.1 per cent from a year earlier and accounted for 28.6 per cent of the total state population of 1.9 million. The Adelaide metropolitan area had an estimated resident population of 1.3 million, which was 19 300 persons or 1.5 per cent higher than a year earlier.

The population of the Adelaide Hills recorded the highest percentage growth over the year to 30 June 2024 at 2.2 per cent followed by the Barossa, Light and Lower North at 1.9 per cent.

According to the Department of Employment and Workplace Relations, the unemployment rate for South Australia's metropolitan area averaged 4.2 per cent in the year to December 2024. The non-metropolitan area had a lower unemployment rate, averaging 3.4 per cent.

In the year to December 2024, the average unemployment rate was lowest in the Limestone Coast region (2.0 per cent) and highest in the Yorke and Mid North region (5.9 per cent).

Table 8.2: Regional population and labour force data[a]

	Estimated Resident Population[b] ('000)	Unemployment[c] ('000)	Unemployment Rate[c] (%)
Adelaide metro area	1 341.4	30.3	4.2
Non-metro areas			
Adelaide Hills	86.0	1.4	2.9
Barossa, Light and Lower North	82.1	1.3	3.1
Fleurieu and Kangaroo Island	59.4	0.5	2.1
Yorke and Mid North	79.4	2.0	5.9
Murray and Mallee	74.4	1.1	3.1
Limestone Coast	69.3	0.7	2.0
Eyre and Western	58.6	1.1	3.7
Far North[d]	27.4	0.8	5.8
Total non-metro	536.6	9.0	3.4

Source: ABS, Regional Population, 2023-24; Department of Employment and Workplace Relations, Small Area Labour Markets, December quarter 2024.

Note: Totals may not add due to rounding.

(a) South Australian Government Region boundaries are used consistently in this chapter. Region-level data has been aggregated from the Local Government Area level (as originally published) using a concordance table published at www.data.sa.gov.au.

(b) Estimated resident population is as at the end of June 2024 noting this does not reflect the labour force civilian population aged 15 and over.

(c) Unemployment and unemployment rate estimates are averages for the year to December 2024.

(d) The population, unemployment, and unemployment rate of the Unincorporated Areas of South Australia are allocated to the Far North region.

Agricultural and mining commodities

Agriculture and mining are important contributors to both regional and state economies but are subject to fluctuations in international conditions and commodity prices. Agriculture is also subject to varying seasonal conditions.

A comparison of the change in the value of production for selected agricultural sectors between 2022-23 and 2023-24 is provided in Table 8.3. In 2023-24, overall production value decreased by 15.6 per cent mainly driven by field crops and livestock.

Table 8.3: Selected agricultural commodities, South Australia, Production Value, 2022-23 and 2023-24

	2022-23 $m	2023-24 $m	Change (%)
Field crops (including hay and seeds)	5 126	3 653	-28.7%
Horticulture	1 171	1 400	+19.5%
Livestock	2 392	1 970	-17.7%
Seafood	458	478	+4.2%
Wine grapes	515	457	-11.3%
Wool	460	434	-5.6%
Dairy	341	346	+1.4%
Forestry	292	345	+18.2%
Totals	**10 756**	**9 082**	**-15.6%**

Sources: Primary Industries Scorecard 2022-23 and Primary Industries Scorecard 2023-24, Department of Primary Industries and Regions, Government of South Australia 2024 and Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES) (2024) and Australian forest and wood products statistics.

Despite the challenges presented by dry seasonal conditions, falling livestock prices, elevated farm input costs, a tight labour market, cost-of-living pressures and the disruptions caused by the war in Ukraine, South Australian primary producers have shown immense resilience and continued to provide a secure supply of high-quality food and beverage products.

According to Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES) provisional estimates, farm cash incomes for South Australian broadacre farms decreased by 72 per cent to $113 000 in 2023-24. Average farm cash income for all broadacre farms nationally is estimated to be $124 000 in 2023-24 and then projected to rebound to $213 000 in 2024-25 and $262 000 in 2025-26.

For the 2023-24 season, grain production was estimated to be 8.7 million tonnes, more than 30.0 per cent below the record harvest of the previous season, with farm gate value estimated to be around $3.3 billion. Because of the continuing dry seasonal conditions, the 2024-25 harvest is now estimated to be 5.2 million tonnes, the lowest since 2008-09, with the farm gate value estimated to be $2.2 billion.

A comparison of the change in the sales value of production for South Australia's mineral and petroleum commodities between 2022-23 and 2023-24 is provided in Table 8.4. The sales value of both mineral and petroleum production increased to a record $10.3 billion in 2023-24, of which, the increase in minerals is mainly attributed to price increases in copper, gold, and iron ore. The increase in petroleum sales value reflects an overall modest increase in both production and prices.

Table 8.4: Selected mineral and petroleum commodities, South Australia, Gross Value of Production ($million), 2022-23 and 2023-24

	2022-23 $m	2023-24 $m	Change (%)
Minerals	8 240	8 879	7.8
Petroleum	1 427	1 456	2.0
Totals	**9 667**	**10 334**	**6.9**

Sources: South Australian resource production statistics for 12 months ending 30 June 2023 and 30 June 2024, Department for Energy and Mining.

In 2023-24, estimated energy and mineral export values increased to a record $7.4 billion, reaching 42.0 per cent of South Australia's goods exports.

The value of mineral and petroleum production is anticipated to rise in the medium term, sustained by the high prices for copper, gold and uranium.

The longer-term energy and minerals outlook is even stronger, underpinned by world demand to meet the energy transition, and exploration and mining investment in South Australia, which reached a record $3.3 billion in 2023-24.

South Australia's Regional Economic Drivers

Many of South Australia's economic drivers are industries that form the backbone of regional South Australia, including:

- primary industries
- energy and mining
- regional tourism.

The government supports a range of initiatives that aim to strengthen and build these key sectors.

Primary industries

South Australia's primary industries — agriculture, aquaculture, fisheries, food, wine and forestry industries and agribusiness — are a vital part of the state's economy, one of our largest export sectors and a major employer.

In 2023-24, primary industries and agribusiness revenue decreased by about 8.0 per cent to reach $17.1 billion. Overseas exports of agriculture, food, wine and forestry products decreased by 3.0 per cent and totalled $8.6 billion, accounting for 49 per cent of South Australia's total overseas merchandise exports ($17.5 billion).

The contribution to GSP, in terms of Industry Gross Value Added, from primary production activity (agriculture, forestry and fishing) was $7.9 billion, up 6.0 per cent compared with 2022-23. The primary industries sector along with its associated processing sectors also supported 76 000 FTE jobs in 2023-24.

Overall, results for the full food and wine industry supply chain were up. Combined gross food and wine revenue increased by 0.9 per cent to reach $26.6 billion, with increases in exports of finished food and wine, and local consumption as the main driver.

Key initiatives to be delivered by the Department of Primary Industries and Regions SA (PIRSA) in 2025-26 to support primary industries and regions include:

- Drought support package — Support measures in the program that PIRSA is responsible for include On-Farm Drought Infrastructure Grants, Donated Fodder Transport Assistance Scheme, Connecting Communities Events Grant, rural financial counselling support, regional standpipe upgrades and pest management assistance.
- South Australian wine industry — Continue to work with the wine industry to address current challenges, including leading the National Viticulture and Wine Working Group and supporting the Department for State Development with the China Re-Engagement Support Package, which will assist the industry effectively to re-engage with the China market.
- Forestry Centre for Excellence — Continue to progress the Forestry Centre for Excellence to support long-term forestry research and development capability as part of the Mount Gambier Education, Training and Research Precinct.
- Regional Roads Australia Mobile Phone (RRAMP) South Australia Pilot — $5.0 million to improve mobile coverage on prioritised regional highways and major roads, delivered through the Commonwealth Government's Better Connectivity Plan for Regional and Rural Australia.
- The South Australian Climate Resilience Discovery Farms and Innovator Sites project is engaging with over 40 agribusiness and farming partners across the regions to develop and test innovative solutions to address future climate challenges. In consultation with industry the project has established a network of long-term research trials across South Australia's pastoral, low, medium, and high rainfall zones. The aims of the long-term trials are to increase the capacity of farmers to prepare for, and respond to, future droughts and climate change through novel solutions.
- South Australian Soils Collaboration Centre — Continue to deliver the $4.8 million project to build and secure the future capacity for soil action in South Australia through the sharing of knowledge, information, experiences and data for the collaborative development of integrated priority programs aligned with the goals of the National Soils Strategy. The project will be completed in 2028.

- Development of a Snapper Rebuilding Plan — A rebuilding plan will be developed describing performance measures to be achieved to inform reopening the snapper fishery in those areas currently closed, and to describe management arrangements required that will allow for snapper stocks in those areas to rebuild. The rebuilding plan will be developed in consultation with the Marine Scalefish Fishery Management Advisory Committee and key stakeholders and will consider scientific testing undertaken by the South Australian Research and Development Institute.
- Recreational Fishing Management Plan — A replacement draft Management Plan for Recreational Fishing in South Australia will be prepared with input from RecFish SA and other key stakeholders. The revised plan will describe arrangements for managing recreational fishing in South Australia.
- Finalisation of the public call process for available hectares of water in the new Aquaculture (Zones — Lower Eyre Peninsula) Policy 2023 — PIRSA has undertaken the public call and Aquaculture Tenure Allocation Board assessment and will finalise the process through assessment of the resulting applications. This will deliver diversification and growth of the aquaculture industry in the state's most valuable aquaculture zone.

Energy and mining

Energy and mining is a key economic driver in regional South Australia, with 890 exploration licences as at June 2024, 13 major operational mines and three processing facilities including the Whyalla steelworks, Olympic Dam copper smelter, and the Port Pirie multi-metals smelter. Reaching a record $10.3 billion in resources production in 2023-24, South Australia is a globally significant producer of minerals. South Australia hosts 68.0 per cent of Australia's copper, 83.0 per cent of Australia's uranium, 60.0 per cent of Australia's graphite resources, and 25.0 per cent of Australia's gold, along with hosting the world's largest zircon mine at Iluka Jacinth-Ambrosia. South Australia boasts a diverse range of energy resources and is a global leader in the clean energy transition.

A significant proportion of mineral and petroleum activity, along with large-scale wind, solar and grid-scale energy storage infrastructure projects, occurs in regional areas, where they support jobs and business activities.

In 2022-23, the contribution to GSP, from energy and mining activity was $11.4 billion, or 8.0 per cent of total contribution. The energy and mining sectors supported 46 734 jobs across South Australia in 2022-23.

In 2023-24, estimated energy and mineral export values increased to a record $7.4 billion, reaching 42.0 per cent of South Australia's goods exports. For minerals and petroleum, revenue from royalties increased by 11.4 per cent to a record $422.5 million, while exploration expenditure totalled $357.2 million, the majority of which is in mineral exploration at $303.3 million.

Mining investment overall increased to a record $3.3 billion in 2023-24, comprising 29.8 per cent of South Australia's total capital expenditure. Energy investment increased to $1.4 billion, of which renewable investment increased to $606.1 million.

In February 2024, the Government of South Australia brought forward its target of net 100 per cent electricity generated from renewable sources by 3 years to 2027. Changes to the *Climate Change and Greenhouse Emissions Reduction Act 2007* legislated this target in March 2025.

Renewable energy generation capacity reached a record 10 414GWh in 2023-24, accounting for 69.7 per cent of South Australia's total energy generation. Wind power remains the largest source of South Australia's energy, contributing 45.2 per cent to total energy generation.

The Moomba Carbon Capture and Storage (CCS) project was brought online in October 2024 and is now injecting carbon dioxide into the depleted gas fields of the Cooper Basin. Each year, the Moomba CCS project will permanently store up to 1.7 million tonnes of carbon dioxide processed by the Moomba gas plant — representing a cut of more than 7.0 per cent to South Australia's emissions. The $350.0 million Moomba CCS project is the third largest dedicated CCS project in the world by injection capacity.

Construction of the South Australian section of the Project EnergyConnect 900 kilometre long high-voltage interconnector between Robertstown in South Australia and Wagga Wagga, New South Wales and Red Cliffs Victoria was completed in December 2023. When fully commissioned, the project will deliver 800 MW of new transfer capacity into the National Electricity Market. TransGrid is continuing to progress the project which is scheduled to be completed by July 2027.

In remote areas that are not connected to the national electricity grid, the Government of South Australia is reducing the reliance on diesel through renewable energy upgrades under the Remote Area Energy Supply Scheme. Renewable generation was installed at Oodnadatta in April 2025, replacing the existing diesel power station with up to 75 per cent renewable energy. A grant agreement has also recently been finalised between the Government of South Australia and the Australian Renewable Energy Agency (ARENA) to complete renewable upgrades at Pipalyatjara, Yalata and Oak Valley as part of ARENA's Regional Microgrid Program. This $26.0 million project, scheduled for completion in 2028, will provide clean, reliable energy to the three communities while reducing diesel consumption by up to 700 000 litres per year.

Key energy and mining initiatives to be delivered and/or progressed in 2025-26 to support economic growth in regional South Australia include:

- supporting the Whyalla steelworks transformation
- facilitating BHP proposals to significantly increase South Australia's copper production in the Far North
- delivering more renewable energy to achieve 100 per cent net renewable electricity generation by 2027 by progressing Release Areas under the *Hydrogen and Renewable Energy Act 2023* to facilitate consideration of large-scale renewable energy projects
- establishing the Firm Energy Reliability Mechanism to support long duration capacity to ensure secure, reliable and resilient electricity supply
- progressing the delivery of precompetitive geoscience and additional geological data to stimulate exploration and discovery in the Gawler Craton and within the Olympic Domain Copper Province
- progressing the Northern Water project that aims to provide a new climate independent water supply to meet growing demand from industry and communities to a final investment decision
- facilitating exploration and development of new gas supplies and gas storage, through acreage releases under the *Energy Resources Act 2000*, beginning with the Otway Basin in the South East.

Regional Tourism

Tourism is a key driver of the South Australian economy and an important growth opportunity for the state, with regional tourism being a major component.

South Australia saw strong growth in its visitor economy following the pandemic, reaching a record high of $10.2 billion in the year ending September 2023. However, from that point on the increasing cost of living made travel less affordable for many people with limited disposable income.

Visitor spend fell to $9.6 billion in the year to September 2024, before rising in the latest results to $9.8 billion for the year to December 2024. After gradual quarterly declines from the peak in September 2023, the current results are the first quarter-on-quarter growth in over a year. This improvement in the last quarter has been driven by improved international aviation access, stronger hotel performance and increased bookings through to December. This is likely to be further supported in the future by recently announced international airline routes between Adelaide and overseas markets.

Regional South Australia's visitor expenditure peaked at $4.7 billion in the year to June 2023, surpassing the $4.0 billion target set in the Regional Visitor Strategy 2025. From this point on, spend in regional South Australia has declined due to its reliance upon intrastate overnight and day trip markets which have softened post COVID. Over the year to June 2024, regional expenditure fell by 15.0 per cent, in stark contrast to Adelaide, which saw a 6 per cent increase driven by events and the return of international visitors.

It is important to note that on a quarterly basis, regional visitor expenditure improved from $3.9 billion in the year to September 2024 to $4.0 billion in the year to December 2024.

The South Australian Tourism Commission (SATC) works in collaboration with regional tourism stakeholders to grow regional tourism expenditure, increase the number of tourism businesses and products, and foster collaboration and coordination.

In 2024-25, the SATC supported the 11 tourism regions for local contact person services with funding to each organisation. These services included public relations activity, support for familiarisation visits, providing advice to regional operators and identifying and implementing projects of agreed strategic significance.

Additionally, the SATC delivered specific consumer marketing initiatives to promote the uniqueness of the destinations.

In January 2023, the government commissioned a review into its Regional Tourism Organisations (RTO) structures (the Regional Tourism Alignment Initiative). The initiative sets out to identify opportunities for increased strategic and operational alignment across RTOs and state and local government, as well as opportunities for sustainable resourcing, management, marketing, product development and industry capability building. As of June 2025, the recommendations from the review are being implemented to ensure growth and sustainability of regional tourism.

Key tourism sectors have been identified to attract valuable target markets to South Australia's regions. The Agritourism Sector Plan 2025 sets a bold vision for South Australia to become a world-leading agritourism destination through leveraging the state's global reputation for wine tourism and establishing demand for on-farm tourism products and experiences. Aboriginal tourism and sustainable tourism have also been identified as key growth sectors and various workshops are being delivered across the regions to support these sectors.

The SATC's funding and support programs focus on developing products in regions to attract local, interstate, and international visitors, particularly in key sectors. The $2.0 million Experience Nature Tourism Fund has so far supported 47 projects, with round four to build on this in 2025-26.

Additionally, the Experience Development Program intake two is underway providing operators from 20 tourism businesses with the tools to develop capabilities and deliver world-class tourism experiences.

To enhance the state's calendar of regional events, the Regional Event Fund supports initiatives that drive increased visitation to tourism areas. In the 2024-25 funding round, a total of 34 new and returning events across the state received support.

2025-26 Budget — Initiatives

The 2025-26 Budget includes a number of new initiatives that are specific to regional areas as set out in table 8.5. More details on each initiative are provided in the 2025-26 Budget Measures Statement.

Table 8.5: 2025-26 Government expenditure on regional initiatives ($000s)

	2024-25 Estimate	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate	Total
Across Government						
Drought support package	-13 717	-25 869	-8 191	-5 201	-2 385	**-55 363**
Whyalla steelworks support package[a]	-405 250	-465 025	-91 350	-102 750	-40 000	**-1 104 375**
Attorney-General						
Aboriginal Legal Rights Movement — additional funding[b]	—	-264	-275	-286	-297	**-1 122**
Correctional Services						
Mt Gambier Prison immediate additional capacity	-598	-836	—	—	—	**-1 434**
Prison security enhancements[b]	—	-1 600	-590	-604	-619	**-3 413**
Emergency Services — CFS						
Aircraft extensions and major incidents	-11 068	—	—	—	—	**-11 068**
Bushfire hazard overlay code amendment implementation	-168	-412	-279	—	—	**-859**
State bushfire risk mapping redevelopment	—	-352	-656	-865	-887	**-2 760**
Structural firefighter training	—	-2 279	-1 871	-872	-887	**-5 909**
Emergency Services — SAFECOM						
Volunteer Marine Rescue - additional support[b]	—	—	-112	-115	-118	**-345**
Emergency Services — SES						
Remotely piloted aircraft[b]	—	-245	-248	-254	-259	**-1 006**
Energy and Mining						
Leigh Creek Coalfield — short-term management	—	-1 764	—	—	—	**-1 764**
Port Pirie lead contamination	-354	-227	—	—	—	**-581**
Remote Area Energy Supply — fuel costs	-1 620	—	—	—	—	**-1 620**
Whyalla transformation, turbine divestment and hydrogen industry development	—	-8 826	-1 051	-1 077	-1 104	**-12 058**
Environment and Water						
Commissioner for the River Murray	—	—	-552	-566	-582	**-1 700**
Enhanced Environmental Water Delivery supply measure — Stage 2[c]	-1 011	-1 067	-1 189	—	—	**-3 267**
Great Artesian Basin Water Security Program[c]	-1 330	-1 240	-1 240	-1 190	—	**-5 000**
Implementing water reform in the Murray-Darling Basin[c]	-1 683	-1 683	-1 400	-844	—	**-5 610**
Innamincka flood damage	—	-1 800	—	—	—	**-1 800**
Murray-Darling Basin Telemetry Uplift program[c]	-500	-1 499	-1 866	—	—	**-3 865**
Nilpena Station acquisition	-3 987	—	—	—	—	**-3 987**
River Murray in South Australia Constraints Measure — Stage 2[c]	-4 425	-42 105	-24 564	—	—	**-71 094**

	2024-25 Estimate	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate	Total
South Australian Alternative Water Supply Efficiency Measures Program[(c)]	-5 500	-5 500	-9 900	—	—	**-20 900**
South Eastern Water Conservation and Drainage Board — critical safety interventions	—	-1 384	-628	-92	-276	**-2 380**
Wetland Habitat project[(c)]	-780	-8 339	-7 881	—	—	**-17 000**
Health and Wellbeing						
Bordertown Memorial Hospital — aged care infrastructure upgrades[(a)]	—	-500	-3 250	-4 250	—	**-8 000**
New Mount Barker Hospital — additional funding	—	-13 500	-18 900	-12 600	—	**-45 000**
Housing and Urban Development — Outback Communities Authority						
Improved public facilities and community services	-116	-156	-198	-240	-284	**-994**
Human Services						
Remote visitors safety and wellbeing[(b)]	—	-560	-623	-639	-655	**-2 477**
Infrastructure and Transport						
Additional road safety maintenance[(b)]	—	—	—	-5 000	-5 000	**-10 000**
Heavy vehicle rest areas (Safer Local Roads and Infrastructure Program)[(a)]	—	-4 250	—	—	—	**-4 250**
High Productivity Vehicle Network — stage 1[(a)]	—	-3 000	-13 000	-56 000	-104 000	**-176 000**
Main South Road safety upgrade — Myponga to Yankalilla[(a)]	—	-3 200	-6 000	-16 000	-22 000	**-47 200**
Mount Barker On Demand trial transition to permanent service	-1 013	-4 867	-2 145	-2 221	-2 300	**-12 546**
Port Augusta wharf upgrade[(a)]	—	-12 375	-2 625	—	—	**-15 000**
Regional road safety infrastructure[(a)]	—	—	-2 500	-2 500	-2 500	**-7 500**
Road safety targeted campaigns[(b)]	—	—	-450	-450	-450	**-1 350**
Police						
Regional police security officers	—	—	-4 482	-10 407	-14 701	**-29 590**
Premier and Cabinet						
Country Arts South Australia — regional arts centre upgrades	-1 046	-2 430	-410	—	—	**-3 886**
Primary Industry and Regions						
Fruit Fly eradication response	—	-45 000	—	—	—	**-45 000**
National eradication commitments	-7 194	-1 871	-237	-235	-244	**-9 781**
Tomato brown rugose fruit virus	-2 000	—	—	—	—	**-2 000**
South Australian Housing Trust						
Remote Aboriginal housing operations	—	-11 974	—	—	—	**-11 974**
State Development						
Small business strategy expansion[(b)]	—	-146	-149	-153	-157	**-605**
Treasury and Finance Administered Items						
Support to South Australian dairy farmers	-3 000	—	—	—	—	**-3 000**
Total regional initiatives	**-466 360**	**-676 145**	**-208 811**	**-225 411**	**-199 705**	**-1 776 432**

Note: Totals may not add due to rounding.

(a) This initiative is funded in partnership with the Commonwealth Government.

(b) The figures quoted represent the estimated regional component of the overall measure.

(c) This initiative is funded wholly by the Commonwealth Government.

Regional Investing Expenditure

The 2025-26 Budget includes a number of capital investment projects that are specific to regional areas. Table 8.6 outlines all new and pre-existing projects with regional expenditure in 2025-26.

Table 8.6: 2025-26 Government regional capital investment program ($000s)

	Expected completion quarter	Proposed expenditure 2025-26	Estimated total cost
General government			
Correctional Services			
Major Projects			
Port Augusta Community Corrections Centre	Jun 2026	3 453	3 453
Port Augusta Prison upgrades — Bluebush and Greenbush high security units	Jun 2026	11 971	33 072
Prison security enhancements[(a)]	Jun 2026	1 025	1 025
Total — Correctional Services		**16 449**	**37 550**
Education			
Major projects			
Elsie Ey Children's Centre	Dec 2025	900	2 500
Fraser Park Primary School	Sep 2028	100	10 000
Fregon Anangu School[(b)]	Dec 2025	12 465	33 210
Kapunda High School	Mar 2026	6 738	23 180
Meningie Area School	Jun 2027	7 415	9 700
Mount Barker High School	Dec 2027	1 500	9 000
Mount Barker new preschool and primary school	Dec 2027	4 400	61 100
Mount Gambier High School	Dec 2027	2 000	6 000
New technical colleges[(a)(b)]	Dec 2025	33 511	77 366
Oakbank School	Jun 2028	800	15 900
Small projects	n.a.	1 000	4 000
Two Wells Community Children's Centre	Jun 2026	2 815	3 508
Two Wells Primary School	Sep 2028	100	10 000
Upper Sturt Primary School	Jun 2028	2 700	7 000
Yahl Primary School	Jun 2026	500	3 700
Annual Programs			
School Bus Replacement[(a)]	n.a.	11 242	n.a.
Total — Education		**88 186**	**276 164**
Emergency Services			
Major projects			
Maitland CFS Facility	Dec 2026	4 508	5 988
Maitland SES Facility	Dec 2026	1 749	2 475
Annual programs			
Capital works, vehicles and equipment — CFS	n.a.	28 651	n.a.
Capital works, vehicles, vessels and rescue equipment — SES[(a)]	n.a.	1 120	n.a.
Replacement of telecommunications equipment — CFS	n.a.	718	n.a.
Total — Emergency Services		**36 746**	**8 463**

	Expected completion quarter	Proposed expenditure 2025-26	Estimated total cost
Energy and Mining			
Major projects			
Brukunga Mine Acid Drainage Treatment Plant	Jun 2027	9 600	15 400
Leigh Creek Coalfield — short-term management	Jun 2026	500	500
Annual Programs			
Remote Area Energy Supply — Power Generation and Distribution Equipment[(a)]	n.a.	1 793	n.a.
Total — Energy and Mining		**11 893**	**15 900**
Environment and Water			
Major projects			
Healthy Coorong, Healthy Basin Program — Lake Hawdon North	Jun 2027	4 650	9 392
Kangaroo Island Recovery	Dec 2025	500	43 606
Parks 2025	Jun 2026	1 200	25 292
River Murray in South Australia Constraints Measure — Stage 2	Jun 2027	26 582	38 959
South Eastern Water Conservation and Drainage Board — critical safety interventions	Jun 2029	684	1 227
State Groundwater and Minerals Data Platform[(a)]	Jun 2026	2 664	4 500
SteamRanger Bridge Remediation	Jun 2026	7 000	8 346
Sustaining Riverland Environments Program	Jun 2026	3 621	13 464
Wetland Habitat Project	Mar 2027	3 975	4 200
Annual Programs			
Fire Management on Public and Private Land	n.a.	2 457	n.a.
Parks renewal investment	n.a.	2 000	n.a.
Total — Environment and Water		**55 333**	**148 986**
Health and Wellbeing			
Major projects			
Aged Care Development — Bordertown	Jun 2028	500	8 000
Ambulance station boost[(a)]	Jun 2026	20 875	56 444
Country Health SA Sustainment and Compliance	Jun 2028	6 600	108 153
Kangaroo Island Health Service Workforce Accommodation	Mar 2026	6 000	20 551
Kangaroo Island's Hospital in Kingscote Upgrade	Mar 2026	3 300	10 580
Mount Gambier Hospital Upgrade	Dec 2025	3 000	19 968
Naracoorte Hospital Upgrade	Dec 2025	1 600	8 000
New Mount Barker Hospital	Dec 2027	98 500	365 566
Port Augusta Hospital Upgrade	Dec 2025	3 800	9 500
Port Pirie Hospital Emergency Department Upgrade and Clinical Stimulation Training Laboratory	Dec 2025	13 496	20 551
Southern Fleurieu Service — Hospital Redevelopment	Sep 2025	5 000	13 300
South Australia regional integrated cancer consult suite	Dec 2025	1 000	4 300
Whyalla Hospital — Emergency Department	Jun 2026	2 700	11 364
Total — Health and Wellbeing		**166 371**	**656 277**

	Expected completion quarter	Proposed expenditure 2025-26	Estimated total cost
Infrastructure and Transport			
Major projects			
Adelaide and Regional Rail Network Extensions — Planning[a]	Jun 2026	3 750	5 000
Adelaide Hills Productivity and Road Safety Package[b]	Jun 2027	40 000	150 000
Betterment of State Road Infrastructure — ex-tropical cyclone Tiffany severe weather event	Jun 2027	19 493	25 000
Bus Fleet Replacement program (Mount Barker On Demand trial transition to permanent service)	Jun 2026	2 386	2 386
Direct Express Service — Adelaide Hills[b]	Dec 2025	1 957	10 000
Ex-tropical cyclone Tiffany severe weather event — road repairs[b]	Jun 2026	18 009	38 500
Fleurieu Connections[b]	Dec 2026	62 707	810 373
Freight Highway Upgrade Program	Jun 2033	31 250	500 000
Hahndorf Traffic Improvements[c]	Dec 2025	10 767	27 000
Heavy Vehicle Rest Areas	Jun 2028	2 600	5 921
Heavy Vehicle Rest Areas (Safer Local Roads and Infrastructure Program)	Jun 2026	4 250	4 250
High Productivity Vehicle Network (SA) — Planning[b]	Dec 2025	5 200	17 000
High Productivity Vehicle Network — Stage 1	Jun 2030	3 000	656 250
Horrocks Highway	Jun 2026	19 075	86 738
Main South Road Overtaking Lanes	Jun 2028	16 500	31 800
Main South Road Safety Upgrade — Myponga to Yankalilla	Jun 2030	3 200	80 000
Mount Barker Roundabout Upgrade	Dec 2026	18 000	40 000
New Road Safety Program	Jun 2026	50 148	159 200
Penneshaw and Cape Jervis Ports[b]	Jun 2026	5 831	73 019
Port Augusta Wharf Upgrade	Jun 2027	12 375	15 000
Port Bonython Jetty Refurbishment[b]	Jun 2027	7 087	77 176
Princes Highway Corridor[b]	Jun 2029	17 000	601 318
Regional Road Safety Infrastructure	n.a.	2 500	n.a.
River Murray Road Repair Package	Jun 2026	11 832	35 641
Riverland Network Flood Resilience Upgrades — Planning	Jun 2028	5 000	20 000
Road Safety Package — Regional[b]	Jun 2027	200	160 000
Roads of Strategic Importance Initiative — Cockburn to Burra[b]	Jun 2027	11 000	62 500
Roads of Strategic Importance Initiative — Renmark to Gawler[b]	Jun 2026	500	87 500
Roads to Recovery	Jun 2029	7 037	38 706
SA Jetties Renewal program	Jun 2026	2 200	10 000
South Eastern Freeway Upgrade[b]	Jun 2029	6 408	350 000
Strzelecki Track[b]	Jun 2028	35 000	215 000
Targeted Investments to Improve National Supply Chain Resilience[b]	Jun 2027	9 074	75 000
Truro Bypass[b][c]	Jun 2026	5 858	18 000
Annual programs			
DIT Annual Program[a]	n.a.	79 251	n.a.
Road Safety Maintenance[a]	n.a.	2 500	n.a.
Total — Infrastructure and Transport		**532 945**	**4 488 278**

	Expected completion quarter	Proposed expenditure 2025-26	Estimated total cost
Police			
Major Projects			
Naracoorte Police Station	Jun 2027	3 449	17 910
Prescribed Interview Rooms[(a)]	Jun 2026	700	1 267
Total — Police		**4 149**	**19 177**
Premier and Cabinet			
Major Projects			
Country Arts South Australia — regional arts centre upgrades	Jun 2027	2 430	3 886
Total — Premier and Cabinet		**2 430**	**3 886**
Primary Industries and Regions			
Annual Programs			
Minor Capital Works and Equipment[(a)]	n.a.	1 700	n.a.
Total — Primary Industries and Regions		**1 700**	
TAFE SA			
Major Projects			
Upgrades to Mount Gambier	Jun 2026	4 700	5 000
Total — TAFE SA		**4 700**	**5 000**
Total — Regional investing expenditure general government sector		**920 901**	**5 659 681**
Public non-financial corporations			
ForestrySA			
Annual Programs			
Plant and equipment, roadworks	n.a.	825	n.a.
Total — ForestrySA		**825**	
SA Water			
Major Projects			
Baroota Dam Safety	Jun 2028	1 341	12 284
Beetalo Trunk Main	Jun 2029	10 946	16 018
Bordertown — New Tank Arrangements	Jun 2028	6 036	47 122
Ceduna Supply System	Jun 2027	15 974	36 033
Eyre Peninsula Desalination Augmentation	Jun 2027	155 298	329 990
Fleurieu Water Quality Improvement	Jun 2027	864	9 471
Kangaroo Island Desalination Plant	Jun 2027	3 625	147 700
Leigh Creek Pipeline and Lagoon Upgrade	Jun 2027	1 317	2 504
Millicent Waste Water Treatment Plant Upgrade	Jun 2028	653	3 256
Morgan Whyalla Pipeline No1 Replacement	Jun 2028	11 552	61 800
Mount Bold Dam Safety	Jun 2029	7 496	121 300
Myponga UV Treatment	Jun 2027	306	4 839
Port Augusta East Waste Treatment Plant Upgrade	Jun 2029	930	28 548
Wirrina Cove Pipe, Pump Station and Tanks	Jun 2028	3 101	46 798
Total — SA Water		**219 439**	**867 663**

	Expected completion quarter	Proposed expenditure 2025-26	Estimated total cost
South Australian Housing Trust			
Major Projects			
A Better Housing Future	n.a.	1 865	4 058
Public Housing Improvement Program — New Construction	Jun 2026	6 218	67 576
Remote Indigenous Housing	Dec 2027	4 580	244 756
Social Housing Accelerator — Ceduna Aboriginal Modular Homes	Jun 2027	1 747	1 920
Annual Programs			
Public Housing Capital Maintenance[(b)]	n.a.	4 330	n.a.
Total — South Australian Housing Trust Total		**18 740**	**318 310**
Total regional investing expenditure public non-financial corporations		**239 004**	**1 185 973**
Total regional investing expenditure non-financial public sector		**1 159 905**	**6 845 654**

Note: Totals may not add due to rounding.

(a) The figures quoted represent the estimated regional component of the overall program.

(b) The total project cost includes operating expenditure.

(c) The total project cost includes the cost of remaining works to close out the project, reflecting the Commonwealth Government's 90-day infrastructure review.

Appendix A: Uniform presentation framework

Introduction

This appendix contains detailed financial projections for the various sectors of the total public sector defined by the *Australian System of Government Finance Statistics: Concepts, Sources and Methods 2015*, published by the Australian Bureau of Statistics (ABS).

The tables in this section satisfy Uniform Presentation Framework (UPF) requirements applicable for all states, territories, and the Commonwealth Government. The tables present budget information for South Australia on the UPF basis, reflecting the fiscal measures and scope outlined below.

The primary objective of the UPF is to ensure that the Commonwealth Government and state and territory governments provide a common 'core' of financial information in their budget papers to enable direct comparisons of each government's budget and financial results.

The calculation of the aggregates is based on reporting standards set out by the Australian Accounting Standards Board — AASB 1049 *Whole of Government and General Government Sector Financial Reporting,* which adopts a harmonised GFS-GAAP reporting basis.

UPF Reporting

Public sector estimates and outcomes are presented on an accrual accounting basis within three primary statements: the operating statement, including other economic flows; the balance sheet; and the cash flow statement. These statements form the core reporting requirements of the UPF and are defined in the Glossary.

Fiscal measures

UPF reporting provides a number of measures for evaluating the soundness of a government's fiscal position and the effect of fiscal policy on economic conditions. These include measures on both a stock and flow basis.

Stock measures (including net worth, net debt, net financial worth and net financial liabilities) highlight the fiscal position of a government at a point in time, providing information on the results of past decisions. Stocks reflect holdings of assets and liabilities.

Flow measures (including the net operating balance, net lending/borrowing (fiscal balance), cash surplus/deficit and change in net worth) show changes in the fiscal position during the reporting period, reflecting the impact of government decisions and actions, and re-measurement impacts during that time. Flows represent the creation, transformation, exchange, transfer or extinction of economic value.

The fiscal measures in the UPF framework are defined in the Glossary.

Institutional Sectors

The coverage of the UPF extends to the entire Australian public sector (excluding local government entities and universities) comprising units which are owned and/or controlled by the Commonwealth Government, state and territory governments. These units (such as government departments, authorities and businesses) are grouped into three institutional sub-sectors — the general government sector, the public non-financial corporations (PNFC) sector and the public financial corporations (PFC) sector. In addition, the UPF also includes tables for the consolidated non-financial public sector (NFPS).

The sectors are defined in the Glossary and a listing of government entities within each sector is included in Appendix D.

Budget reporting

Under the UPF agreement, all governments are required to present as part of their budget documentation an operating statement, balance sheet and cash flow statement for the general government sector, PNFC sector and the NFPS. In addition, information is also presented on taxes and general government sector expenses by function.

This information is presented in tables A.1 through to A.14 in this appendix.

Reporting of outcomes

Outcomes are presented in final budget outcome documents. In addition to the tables presented at budget time, outcome reporting also contains the accrual financial statements for the PFC sector.

Table A.1: General government sector operating statement ($million)

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Revenue					
Taxation revenue	7 020	7 285	7 547	7 819	8 101
Grants	16 885	17 939	18 328	18 630	18 890
Sales of goods and services	3 571	3 652	3 751	3 871	3 973
Interest income	461	431	463	472	482
Dividend and income tax equivalent income	284	316	305	284	371
Other	1 748	1 746	1 772	1 826	1 856
Total revenue	**29 970**	**31 369**	**32 166**	**32 903**	**33 671**
less Expenses					
Employee expenses	10 933	11 418	11 707	12 048	12 407
Superannuation expenses					
Superannuation interest cost	297	271	249	225	199
Other superannuation expenses	1 267	1 362	1 393	1 432	1 475
Depreciation and amortisation	1 673	1 666	1 739	1 803	1 876
Interest expenses	1 410	1 619	1 876	2 145	2 446
Other property expenses	—	—	—	—	—
Other operating expenses	9 783	10 351	10 486	10 445	10 544
Grants	4 590	4 503	4 346	4 346	4 409
Total expenses	**29 953**	**31 190**	**31 796**	**32 445**	**33 356**
equals Net operating balance	**18**	**179**	**369**	**458**	**315**
plus Other economic flows	173	264	502	602	361
equals Comprehensive result — total change in net worth	**190**	**443**	**872**	**1 059**	**675**
Fiscal aggregates					
Net operating balance	**18**	**179**	**369**	**458**	**315**
less Net acquisition of non-financial assets					
Purchases of non-financial assets	4 065	4 629	5 675	5 929	5 407
less Sales of non-financial assets	126	341	65	64	231
less Depreciation	1 673	1 666	1 739	1 803	1 876
plus Change in inventories	—	—	—	—	—
plus Other movements in non-financial assets	—	—	—	—	—
equals Total net acquisition of non-financial assets	**2 267**	**2 622**	**3 871**	**4 062**	**3 300**
equals Net lending / borrowing	**-2 249**	**-2 443**	**-3 502**	**-3 604**	**-2 986**

Note: Totals may not add due to rounding.

Table A.2: Public non-financial corporations (public trading enterprises) sector operating statement ($million)

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Revenue					
Taxation revenue	—	—	—	—	—
Grants	505	449	567	516	463
Sales of goods and services	1 881	2 126	2 304	2 546	2 431
Interest income	28	26	24	23	22
Dividend and income tax equivalent income	1	1	1	1	1
Other	254	262	322	439	224
Total revenue	**2 669**	**2 863**	**3 218**	**3 525**	**3 140**
less Expenses					
Employee expenses	333	341	345	354	361
Superannuation expenses					
Superannuation interest cost	—	—	—	—	—
Other superannuation expenses	43	46	47	48	48
Depreciation and amortisation	565	568	572	571	622
Interest expenses	305	366	431	482	510
Other property expenses	61	67	61	55	82
Other operating expenses	1 488	1 703	1 760	1 936	1 631
Grants	81	64	28	25	23
Total expenses	**2 875**	**3 155**	**3 243**	**3 471**	**3 277**
equals Net operating balance	**-206**	**-292**	**-24**	**54**	**-137**
plus Other economic flows	528	558	544	559	556
equals Comprehensive result — total change in net worth	**322**	**266**	**519**	**613**	**419**
Fiscal aggregates					
Net operating balance	**-206**	**-292**	**-24**	**54**	**-137**
less Net acquisition of non-financial assets					
Purchases of non-financial assets	1 295	1 701	1 617	1 113	1 197
less Sales of non-financial assets	160	313	91	176	132
less Depreciation	565	568	572	571	622
plus Change in inventories	196	85	-125	-327	-59
plus Other movements in non-financial assets	—	—	—	—	—
equals Total net acquisition of non-financial assets	**767**	**905**	**829**	**38**	**384**
equals Net lending / borrowing	**-973**	**-1 197**	**-853**	**16**	**-521**

Note: Totals may not add due to rounding.

Table A.3: Non-financial public sector operating statement ($million)

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Revenue					
Taxation revenue	6 737	6 993	7 247	7 512	7 786
Grants	16 879	17 944	18 327	18 631	18 893
Sales of goods and services	5 235	5 547	5 808	6 159	6 136
Interest income	476	448	478	486	495
Dividend and income tax equivalent income	69	93	104	100	98
Other	2 001	2 007	2 092	2 265	2 079
Total revenue	**31 398**	**33 031**	**34 057**	**35 153**	**35 487**
less Expenses					
Employee expenses	11 245	11 737	12 029	12 377	12 742
Superannuation expenses					
Superannuation interest cost	297	271	249	225	199
Other superannuation expenses	1 310	1 408	1 440	1 480	1 524
Depreciation and amortisation	2 237	2 234	2 310	2 374	2 498
Interest expenses	1 701	1 975	2 297	2 618	2 948
Other property expenses	—	—	—	—	—
Other operating expenses	10 792	11 552	11 721	11 841	11 617
Grants	4 160	4 124	3 807	3 856	3 973
Total expenses	**31 741**	**33 300**	**33 853**	**34 771**	**35 500**
equals Net operating balance	**-344**	**-269**	**204**	**382**	**-14**
plus Other economic flows	535	712	668	677	689
equals Comprehensive result — total change in net worth	**191**	**443**	**871**	**1 059**	**675**
Fiscal aggregates					
Net operating balance	**-344**	**-269**	**204**	**382**	**-14**
less Net acquisition of non-financial assets					
Purchases of non-financial assets	5 337	6 320	7 293	7 042	6 604
less Sales of non-financial assets	263	643	156	240	363
less Depreciation	2 237	2 234	2 310	2 374	2 498
plus Change in inventories	196	85	-125	-327	-59
plus Other movements in non-financial assets	—	—	—	—	—
equals Total net acquisition of non-financial assets	**3 034**	**3 527**	**4 701**	**4 101**	**3 685**
equals Net lending / borrowing	**-3 377**	**-3 796**	**-4 497**	**-3 719**	**-3 698**

Note: Totals may not add due to rounding.

Table A.4: General government sector balance sheet ($million)

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Assets					
Financial assets					
Cash and deposits	11 639	13 659	14 369	14 516	14 981
Advances paid	212	277	302	318	317
Investments, loans and placements	1 033	1 032	1 030	1 025	1 017
Receivables	2 241	2 388	2 523	2 660	2 797
Equity					
Investments in other public sector entities	22 577	23 050	23 656	24 314	24 686
Other equity investments	116	116	116	116	116
Other financial assets	—	—	—	—	—
Total financial assets	**37 818**	**40 522**	**41 996**	**42 948**	**43 914**
Non-financial assets					
Land and other fixed assets	74 204	76 867	80 780	84 884	88 226
Other non-financial assets	139	139	138	138	148
Total non-financial assets	**74 343**	**77 006**	**80 918**	**85 022**	**88 374**
Total assets	**112 161**	**117 527**	**122 915**	**127 970**	**132 288**
Liabilities					
Deposits held	269	254	279	379	391
Advances received	—	—	—	—	—
Borrowing	34 667	39 915	44 261	48 783	52 956
Superannuation	6 437	5 945	5 410	4 824	4 186
Other employee benefits	3 672	3 830	3 994	3 948	4 032
Payables	1 546	1 554	1 559	1 567	1 572
Other liabilities	3 741	3 757	4 268	4 266	4 274
Total liabilities	**50 331**	**55 255**	**59 771**	**63 767**	**67 410**
Net worth	**61 829**	**62 272**	**63 144**	**64 203**	**64 878**
Fiscal Aggregates					
Net financial worth (a)	-12 513	-14 734	-17 775	-20 819	-23 496
Net financial liabilities	35 090	37 784	41 430	45 132	48 181
Net debt (b)	22 052	25 201	28 838	33 303	37 031

Note: Totals may not add due to rounding.

(a) Net financial worth equals total financial assets minus total liabilities.

(b) Net debt equals the sum of deposits held, advances received and borrowing, minus the sum of cash and deposits, advances paid, and investments, loans and placements.

Table A.5: Public non-financial corporations (public trading enterprises) sector balance sheet ($million)

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Assets					
Financial assets					
Cash and deposits	219	210	244	355	378
Advances paid	21	21	21	21	21
Investments, loans and placements	33	33	31	31	31
Receivables	400	464	463	462	458
Equity					
Investments in other public sector entities	—	—	—	—	—
Other equity investments	11	11	11	11	11
Other financial assets	—	—	—	—	—
Total financial assets	**684**	**739**	**770**	**880**	**899**
Non-financial assets					
Land and other fixed assets	30 379	31 949	33 429	34 134	35 181
Other non-financial assets	145	139	133	127	121
Total non-financial assets	**30 524**	**32 088**	**33 562**	**34 261**	**35 302**
Total assets	**31 208**	**32 827**	**34 332**	**35 140**	**36 201**
Liabilities					
Deposits held	—	1	1	2	2
Advances received	—	—	—	—	—
Borrowing	9 602	10 601	11 357	11 359	11 889
Superannuation	—	—	—	—	—
Other employee benefits	108	113	119	124	129
Payables	421	426	424	423	421
Other liabilities	741	868	995	1 122	1 249
Total liabilities	**10 874**	**12 009**	**12 896**	**13 029**	**13 690**
Net worth	**20 334**	**20 818**	**21 436**	**22 112**	**22 511**
Fiscal Aggregates					
Net financial worth (a)	-10 190	-11 270	-12 126	-12 149	-12 791
Net financial liabilities	10 190	11 270	12 126	12 149	12 791
Net debt (b)	9 330	10 338	11 063	10 954	11 462

Note: Totals may not add due to rounding.

(a) Net financial worth equals total financial assets minus total liabilities.

(b) Net debt equals the sum of deposits held, advances received and borrowing, minus the sum of cash and deposits, advances paid, and investments, loans and placements.

Table A.6: Non-financial public sector balance sheet ($million)

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Assets					
Financial assets					
Cash and deposits	11 778	13 804	14 523	14 682	15 158
Advances paid	233	298	323	339	338
Investments, loans and placements	944	955	964	974	983
Receivables	1 886	1 975	1 989	2 003	2 016
Equity					
Investments in other public sector entities	2 243	2 233	2 220	2 202	2 175
Other equity investments	127	127	127	127	127
Other financial assets	—	—	—	—	—
Total financial assets	**17 211**	**19 392**	**20 146**	**20 326**	**20 797**
Non-financial assets					
Land and other fixed assets	104 583	108 817	114 211	119 020	123 410
Other non-financial assets	163	157	151	144	149
Total non-financial assets	**104 747**	**108 974**	**114 362**	**119 164**	**123 559**
Total assets	**121 957**	**128 366**	**134 508**	**139 490**	**144 355**
Liabilities					
Deposits held	187	188	188	189	189
Advances received	—	—	—	—	—
Borrowing	44 149	50 408	55 523	60 063	64 785
Superannuation	6 437	5 945	5 410	4 824	4 186
Other employee benefits	3 774	3 937	4 106	4 064	4 154
Payables	1 891	1 904	1 906	1 912	1 914
Other liabilities	3 689	3 712	4 230	4 234	4 248
Total liabilities	**60 127**	**66 093**	**71 363**	**75 286**	**79 476**
Net worth	**61 831**	**62 273**	**63 145**	**64 204**	**64 879**
Fiscal Aggregates					
Net financial worth (a)	-42 916	-46 701	-51 217	-54 960	-58 680
Net financial liabilities	45 159	48 934	53 437	57 162	60 854
Net debt (b)	31 381	35 539	39 901	44 258	48 495

Note: Totals may not add due to rounding.

(a) Net financial worth equals total financial assets minus total liabilities.

(b) Net debt equals the sum of deposits held, advances received and borrowing, minus the sum of cash and deposits, advances paid, and investments, loans and placements.

Table A.7: General government sector cash flow statement ($million)

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Cash receipts from operating activities					
Taxes received	6 983	7 254	7 529	7 800	8 080
Receipts from sales of goods and services	3 398	3 524	3 617	3 734	3 827
Grants and subsidies received	17 027	17 928	18 324	18 620	18 889
Interest receipts	439	410	441	450	462
Dividends and income tax equivalents	251	296	285	265	351
Other receipts	1 841	1 771	2 290	1 846	1 882
Total operating receipts	**29 940**	**31 183**	**32 486**	**32 714**	**33 492**
Cash payments for operating activities					
Payments to employees	-12 711	-13 316	-13 655	-14 278	-14 586
Purchases of goods and services	-7 061	-7 868	-7 946	-7 898	-7 925
Grants and subsidies paid	-4 586	-4 498	-4 341	-4 341	-4 404
Interest paid	-1 386	-1 594	-1 861	-2 133	-2 439
Other payments	-2 655	-2 371	-2 438	-2 442	-2 516
Total operating payments	**-28 398**	**-29 647**	**-30 242**	**-31 092**	**-31 871**
Net cash flows from operating activities	**1 542**	**1 537**	**2 244**	**1 622**	**1 621**
Net cash flows from investments in non-financial assets					
Sales of non-financial assets	13	281	13	11	177
Purchases of non-financial assets	-3 840	-4 535	-5 252	-5 334	-5 276
Net cash flows from investments in non-financial assets	**-3 827**	**-4 254**	**-5 239**	**-5 323**	**-5 099**
Net cash flows from investments in financial assets for policy purposes (a)	**-413**	**-434**	**-248**	**-186**	**-144**
Net cash flows from investments in financial assets for liquidity purposes	**-372**	**-12**	**-12**	**-12**	**-12**
Net cash flow from financing activities					
Advances received (net)	—	—	—	—	—
Borrowing (net)	3 631	5 198	3 941	3 946	4 086
Deposits received (net)	-73	-15	25	100	12
Dividends paid	—	—	—	—	—
Other financing (net)	—	—	—	—	—
Net cash flows from financing activities	**3 558**	**5 183**	**3 966**	**4 046**	**4 099**
Net increase/(decrease) in cash held	**487**	**2 019**	**711**	**147**	**465**
Fiscal Aggregates					
Net cash flows from operating activities	1 542	1 537	2 244	1 622	1 621
Net cash flows from investments in non-financial assets	-3 827	-4 254	-5 239	-5 323	-5 099
Dividends paid	—	—	—	—	—
Cash surplus / (deficit)	**-2 285**	**-2 718**	**-2 995**	**-3 701**	**-3 478**

Note: Totals may not add due to rounding.
(a) Includes equity acquisitions and disposals.

Table A.8: Public non-financial corporations (public trading enterprises) sector cash flow statement ($million)

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Cash receipts from operating activities					
Taxes received	—	—	—	—	—
Receipts from sales of goods and services	1 864	2 083	2 257	2 500	2 401
Grants and subsidies received	505	449	567	516	463
Interest receipts	15	8	8	8	8
Dividends and income tax equivalents	1	1	1	1	1
Other receipts	251	202	330	445	234
Total operating receipts	**2 636**	**2 743**	**3 163**	**3 469**	**3 106**
Cash payments for operating activities					
Payments to employees	-371	-383	-387	-396	-404
Purchases of goods and services	-1 281	-1 369	-1 201	-1 161	-1 110
Grants and subsidies paid	-81	-64	-28	-25	-23
Interest paid	-415	-489	-567	-626	-662
Other payments	-307	-332	-333	-333	-366
Total operating payments	**-2 454**	**-2 636**	**-2 515**	**-2 542**	**-2 565**
Net cash flows from operating activities	**181**	**107**	**648**	**928**	**542**
Net cash flows from investments in non-financial assets					
Sales of non-financial assets	151	313	91	176	132
Purchases of non-financial assets	-1 248	-1 663	-1 579	-1 074	-1 176
Net cash flows from investments in non-financial assets	**-1 096**	**-1 350**	**-1 488**	**-897**	**-1 043**
Net cash flows from investments in financial assets for policy purposes (a)	**1**	**1**	**1**	**1**	**1**
Net cash flows from investments in financial assets for liquidity purposes	**16**	**16**	**17**	**15**	**13**
Net cash flow from financing activities					
Advances received (net)	346	374	240	193	172
Borrowing (net)	662	999	756	1	530
Deposits received (net)	—	—	—	—	—
Dividends paid	-155	-156	-141	-130	-191
Other financing (net)	—	—	—	—	—
Net cash flows from financing activities	**853**	**1 217**	**856**	**65**	**511**
Net increase/(decrease) in cash held	**-45**	**-9**	**34**	**111**	**23**
Fiscal Aggregates					
Net cash flows from operating activities	181	107	648	928	542
Net cash flows from investments in non-financial assets	-1 096	-1 350	-1 488	-897	-1 043
Dividends paid	-155	-156	-141	-130	-191
Cash surplus / (deficit)	**-1 070**	**-1 399**	**-981**	**-99**	**-693**

Note: Totals may not add due to rounding.
(a) Includes equity acquisitions and disposals.

Table A.9: Non-financial public sector cash flow statement ($million)

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Cash receipts from operating activities					
Taxes received	6 701	6 962	7 228	7 492	7 765
Receipts from sales of goods and services	5 046	5 376	5 628	5 976	5 961
Grants and subsidies received	17 021	17 933	18 323	18 620	18 893
Interest receipts	440	409	440	449	462
Dividends and income tax equivalents	69	93	104	100	98
Other receipts	2 091	1 972	2 619	2 291	2 115
Total operating receipts	**31 369**	**32 746**	**34 343**	**34 929**	**35 294**
Cash payments for operating activities					
Payments to employees	-13 061	-13 676	-14 018	-14 649	-14 965
Purchases of goods and services	-8 254	-9 149	-9 057	-8 967	-8 940
Grants and subsidies paid	-4 155	-4 119	-3 802	-3 851	-3 967
Interest paid	-1 677	-1 950	-2 283	-2 606	-2 940
Other payments	-2 647	-2 359	-2 425	-2 430	-2 504
Total operating payments	**-29 795**	**-31 252**	**-31 586**	**-32 503**	**-33 317**
Net cash flows from operating activities	**1 574**	**1 494**	**2 757**	**2 426**	**1 977**
Net cash flows from investments in non-financial assets					
Sales of non-financial assets	147	583	104	187	309
Purchases of non-financial assets	-5 070	-6 187	-6 831	-6 408	-6 451
Net cash flows from investments in non-financial assets	**-4 924**	**-5 604**	**-6 727**	**-6 221**	**-6 143**
Net cash flows from investments in financial assets for policy purposes (a)	**-77**	**-70**	**-20**	**-7**	**12**
Net cash flows from investments in financial assets for liquidity purposes	**-357**	**4**	**5**	**2**	**1**
Net cash flow from financing activities					
Advances received (net)	—	—	—	—	—
Borrowing (net)	4 305	6 209	4 710	3 963	4 635
Deposits received (net)	—	—	—	—	—
Dividends paid	—	—	—	—	—
Other financing (net)	—	—	—	—	—
Net cash flows from financing activities	**4 306**	**6 209**	**4 711**	**3 964**	**4 636**
Net increase/(decrease) in cash held	**523**	**2 033**	**726**	**165**	**483**
Fiscal Aggregates					
Net cash flows from operating activities	1 574	1 494	2 757	2 426	1 977
Net cash flows from investments in non-financial assets	-4 924	-5 604	-6 727	-6 221	-6 143
Dividends paid	—	—	—	—	—
Cash surplus / (deficit)	**-3 349**	**-4 110**	**-3 970**	**-3 794**	**-4 165**

Note: Totals may not add due to rounding.
(a) Includes equity acquisitions and disposals.

Table A.10: General government sector taxes ($million)

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Taxes on employers' payroll and labour force	**1 950**	**2 048**	**2 156**	**2 271**	**2 392**
Taxes on property					
Land taxes	831	909	935	961	988
Other	291	298	295	304	311
Total	**1 122**	**1 208**	**1 230**	**1 265**	**1 298**
Taxes on the provision of goods and services					
Excises and levies	—	—	—	—	—
Taxes on gambling	697	671	684	695	706
Taxes on insurance	703	734	766	797	830
Stamp duties on financial and capital transactions	1 604	1 625	1 684	1 737	1 792
Total	**3 005**	**3 031**	**3 134**	**3 230**	**3 329**
Taxes on use of goods and performance of activities					
Motor vehicle taxes	925	979	1 007	1 033	1 061
Other	19	20	20	21	21
Total	**944**	**999**	**1 027**	**1 054**	**1 082**
Total taxation revenue	**7 020**	**7 285**	**7 547**	**7 819**	**8 101**

Note: Totals may not add due to rounding.

Table A.11(part a): General government sector grant revenue ($million)

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Current grant revenue					
Current grants from the Commonwealth					
General purpose grants	9 129	9 529	9 802	9 743	9 802
National partnership grants	1 057	743	353	313	227
National partnership grants for on-passing	71	258	244	249	257
Specific purpose grants	2 934	3 274	3 459	3 643	3 860
Specific purpose grants for on-passing	1 640	1 708	1 790	1 871	1 951
Other grants	693	659	656	654	658
Total current grants from the Commonwealth	**15 523**	**16 171**	**16 305**	**16 473**	**16 755**
Other contributions and grants	201	178	173	172	173
Total current grant revenue	**15 724**	**16 348**	**16 478**	**16 645**	**16 928**
Capital grant revenue					
Capital grants from the Commonwealth					
General purpose grants	—	—	—	—	—
National partnership grants	999	1 448	1 708	1 839	1 815
National partnership grants for on-passing	—	—	—	—	—
Specific purpose grants	120	122	125	128	130
Specific purpose grants for on-passing	—	—	—	—	—
Other capital grants	37	15	12	13	11
Total capital grants from the Commonwealth	**1 156**	**1 585**	**1 845**	**1 980**	**1 956**
Other contributions and grants	5	5	5	5	5
Total capital grant revenue	**1 161**	**1 591**	**1 850**	**1 985**	**1 961**
Total grant revenue	**16 885**	**17 939**	**18 328**	**18 630**	**18 890**

Table A.11(part b): General government sector grant expense ($million)

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Current grant expense					
State/territory government	1	1	1	1	1
Local government	193	126	91	84	91
Local government on-passing	72	252	236	244	252
Private and not-for-profit sector	1 372	1 286	1 133	1 121	1 133
Private and not-for-profit sector on-passing	1 638	1 714	1 798	1 875	1 956
Grants to other sectors of government	450	383	478	433	377
Other	779	659	541	516	527
Total current grant expense	**4 505**	**4 421**	**4 278**	**4 275**	**4 336**
Capital grant expense					
State/territory government	—	—	—	—	—
Local government	19	12	—	—	—
Local government on-passing	—	—	—	—	—
Private and not-for-profit sector	66	71	68	71	73
Private and not-for-profit sector on-passing	—	—	—	—	—
Total capital grant expense	**85**	**82**	**68**	**71**	**73**
Total grant expense	**4 590**	**4 503**	**4 346**	**4 346**	**4 409**

Note: Totals may not add due to rounding.

Table A.12: General government sector dividend and income tax equivalent income ($million)

	2024-25 Estimated Result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Dividend and income tax equivalent income from PNFC sector	216	223	201	185	273
Dividend and income tax equivalent income from PFC sector	68	92	103	99	97
Other dividend income	1	1	1	1	1
Total dividend and income tax equivalent income	**284**	**316**	**305**	**284**	**371**

Note: Totals may not add due to rounding.

Table A.13: General government sector expenses by function ($million)[a]

	2024-25 Estimated Result	2025-26 Budget	Sustainable Development Goal & Target[c]
General public services			
Executive and legislative organs, financial and fiscal affairs, external affairs	582	540	16.6
Foreign economic aid	—	—	
General services	197	191	16.6
Basic research	—	—	
Research and development — general public services	—	—	
Public debt transactions	1 707	1 890	16.6
Transfers of a general character between different levels of government	100	304	16.6
General public services not elsewhere classified	25	95	16.6
Total General public services	**2 611**	**3 020**	
Defence[b]	**—**	**—**	
Public order and safety			
Police services	1 130	1 233	16.1-16.3
Civil and fire protection services	387	394	13.1
Law courts	337	367	16.3
Prisons	460	480	16.3
Research and development — public order and safety	—	—	
Public order and safety not elsewhere classified	30	31	16
Total Public order and safety	**2 343**	**2 505**	
Economic affairs			
General economic, commercial and labour affairs	216	270	8.1
Agriculture, forestry, fishing and hunting	228	205	2.4
Fuel and energy	139	95	7.1, 7.2
Mining, manufacturing and construction	462	475	8
Communication	90	94	9
Other industries	165	167	8.1
Research and development — economic affairs	86	71	9.5
Economic affairs not elsewhere classified	1	1	
Total Economic affairs	**1 387**	**1 377**	
Environmental protection			
Waste management	4	2	11.6
Waste water management	1	1	6.3
Pollution abatement	77	55	3.9
Protection of biodiversity and landscape	435	425	15.5
Research and development — environmental protection	—	—	
Environmental protection not elsewhere classified	—	—	
Total Environmental protection	**517**	**483**	

	2024-25 Estimated Result	2025-26 Budget	Sustainable Development Goal & Target[(c)]
Housing and community amenities			
Housing development	2	12	11.1
Community development	277	278	11.3
Water supply	167	186	6.4
Street lighting	—	—	
Research and development — housing and community amenities	—	—	
Housing and community amenities not elsewhere classified	—	—	
Total Housing and community amenities	**446**	**476**	
Health			
Medical products, appliances and equipment	158	159	3.8
Outpatient services	681	728	3.8
Hospital services	6 349	6 618	3.8
Mental health institutions	59	69	3.4
Community health services	934	994	3.8
Public health services	778	803	3.8
Research and development — health	68	84	3.b
Health not elsewhere classified	169	180	3.8
Total Health	**9 195**	**9 634**	
Recreation, culture and religion			
Recreational and sporting services	775	824	11
Cultural services	306	284	11.4
Broadcasting and publishing services	—	—	
Religious and other community services	—	—	
Research and development — recreation, culture and religion	—	—	
Recreation, culture and religion not elsewhere classified	13	18	11
Total Recreation, culture and religion	**1 094**	**1 126**	
Education			
Pre-primary and primary education	3 516	3 747	4.2
Secondary education	2 790	2 941	4.1
Tertiary education	533	541	4.3
Education not definable by level	5	5	4
Subsidiary services to education	64	77	4
Research and development — education	—	—	
Education not elsewhere classified	11	10	4
Total Education	**6 919**	**7 322**	
Social protection			
Sickness and disability	1 110	1 127	10.2
Old age	194	194	10.2
Survivors	2	2	

	2024-25 Estimated Result	2025-26 Budget	Sustainable Development Goal & Target[(c)]
Family and children	1 017	1 001	5.4, 1.4, 1.5
Unemployment	—	—	
Housing	254	171	
Social exclusion not elsewhere classified	642	524	10.2
Research and development — social protection	—	—	
Social protection not elsewhere classified	72	66	1.5
Total Social protection	**3 291**	**3 086**	
Transport			
Road transport	1 427	1 463	9.1, 11.2
Bus transport	354	353	11.2
Water transport	36	34	9.1
Railway transport	273	255	11.2
Air transport	20	13	9.1
Multi-mode urban transport	38	40	9.1
Pipeline and other transport	—	—	
Research and development — transport	—	—	
Transport not elsewhere classified	1	1	9.1
Total Transport	**2 150**	**2 160**	
Total Expenses	**29 953**	**31 190**	

Note: Table may not add due to rounding.

(a) Expenses by function data is derived from information submitted by government departments and agencies. The processes for deriving this data are subject to ongoing refinements. Consequently the data may be subject to future revisions.

(b) The ABS defines 'defence' as expenditure on military and civil defence affairs, foreign military aid and defence research. The expenditure of Defence SA is included in 'Economic affairs'.

(c) This denotes a material alignment of the expenses by function data to a United Nations Sustainable Development Goal (SDG) or SDG target. Where there are no expenses by function, no alignment has been presented. There are a total of 17 SDGs. https://sdgs.un.org/goals. Not all SDGs have been aligned with the expenses by function data.

Table A.14: General government sector capital expenditure by function ($million)[a]

	2024-25 Estimated Result	2025-26 Budget	Sustainable Development Goal & Target[c]
General public services	33	47	16.6
Defence[b]	—	—	
Public order and safety	273	350	16.1-16.3, 16.6
Economic affairs	310	109	8.1, 7.1, 7.2, 9
Environmental protection	68	80	15.5
Housing and community amenities	155	68	11.3, 6.4
Health	749	729	3.8
Recreation, culture and religion	186	194	11
Education	294	268	4
Social protection	8	15	1.2, 1.4
Transport	1 988	2 769	9.1, 11.2
Total capital expenditure	**4 065**	**4 629**	

(a) Expenses by function data is derived from information submitted by government departments and agencies. The processes for deriving this data are subject to ongoing refinements. Consequently the data may be subject to future revisions.

(b) The ABS defines 'defence' as expenditure on military and civil defence affairs, foreign military aid and defence research. The expenditure of Defence SA is included in 'Economic affairs'.

(c) This denotes a material alignment of the expenses by function data to a United Nations Sustainable Development Goal (SDG) or SDG target. Where there are no expenses by function, no alignment has been presented. There are a total of 17 SDGs. https://sdgs.un.org/goals. Not all SDGs have been aligned with the expenses by function data.

Table A.15: General government sector by function

	Sustainable Development Goal Definition	Primary SDG	Secondary SDGs
General public services	**Goal 16**. Promote peaceful and inclusive societies for sustainable development, provide access to justice for all and build effective, accountable and inclusive institutions at all levels		
Public order and safety	**Goal 16**. Promote peaceful and inclusive societies for sustainable development, provide access to justice for all and build effective, accountable and inclusive institutions at all levels		
	Goal 13. Take urgent action to combat climate change and its impacts		
Economic affairs	**Goal 8**. Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all		
	Goal 2. End hunger, achieve food security and improved nutrition and promote sustainable agriculture		
	Goal 9. Build resilient infrastructure, promote inclusive and sustainable industrialisation and foster innovation		
Environmental protection	**Goal 15**. Protect, restore and promote sustainable use of terrestrial ecosystems, sustainably manage forests, combat desertification, and halt and reverse land degradation and halt biodiversity loss		
	Goal 3. Ensure healthy lives and promote well-being for all at all ages		
Housing and community amenities	**Goal 11**. Make cities and human settlements inclusive, safe, resilient and sustainable		
	Goal 6. Ensure availability and sustainable management of water and sanitation for all		
Health	**Goal 3**. Ensure healthy lives and promote well-being for all at all ages		

	Sustainable Development Goal Definition	Primary SDG	Secondary SDGs
Recreation, culture and religion	**Goal 11**. Make cities and human settlements inclusive, safe, resilient and sustainable		
Education	**Goal 4**. Ensure inclusive and equitable quality education and promote lifelong learning opportunities for all		
Social protection	**Goal 10**. Reduce inequality within and among countries		
	Goal 5. Achieve gender equality and empower all women and girls		
	Goal 1. End poverty in all its forms everywhere		
Transport	**Goal 11**. Make cities and human settlements inclusive, safe, resilient and sustainable		
	Goal 9. Build resilient infrastructure, promote inclusive and sustainable industrialisation and foster innovation		

Following a mapping exercise, the information above presents an alignment of the general government sector expenditure using Classification of the Functions of Government — Australia (COFOG-A) codes with the United Nations Sustainable Development Goals (SDGs). The alignment with a primary or secondary SDG does not indicate that all expenditure within the COFOG-A group or division directly aligns to the SDG presented. The alignment against a primary SDG is an alignment of the largest amount of expenditure by function in the COFOG-A division. The alignment against a secondary SDG indicates material expenditure by function in the COFOG-A division.

Whilst noting SDGs are not mutually exclusive, the interlinked nature of an SDG to another has not been considered for this alignment, with the expenditure aligned to the most compatible SDG, as determined qualitatively.

The content of this publication has not been approved by the United Nations and does not reflect the views of the United Nations or its officials. https://sdgs.un.org/goals

Appendix B: General government and non-financial public sector financial statistics time series

The following tables provide historical data on key fiscal aggregates, together with estimates reflected in the 2025-26 Budget. Data provided is sourced for 1998-99 from the *Australian Bureau of Statistics Government Finance Statistics 2007-08* and for 1999-2000 to 2023-24 from the budget outcome publications for South Australia. The estimates for 2024-25 onwards are contained in the 2025-26 Budget papers.

Gross State Product (GSP) and Consumer Price Index (for real-growth calculations) data up to 2023-24, are both sourced from the latest Australian Bureau of Statistics (ABS) publications. Budget economic forecasts are used for the forward estimates.

Except where specified, historical data in this time series has not been back-cast to reflect classification and accounting changes. Therefore, care must be taken in interpreting the data.

General government

Table B.1: General government key operating statement aggregates

	Revenue			Expenses					
	$m	% real growth	% GSP	$m	% real growth	% GSP	Net operating balance $m	Net acquisition of non-financial assets $m	Net lending $m
1998-99	7 290		16.6	7 505		17.0	-215	19	-233
1999-2000	7 644	2.3	16.5	7 974	3.6	17.2	-330	140	-471
2000-01	8 108	3.0	16.4	8 406	2.4	17.0	-297	102	-399
2001-02	8 538	2.1	15.8	8 713	0.5	16.2	-174	-50	-124
2002-03	9 346	5.2	16.3	8 898	-1.8	15.6	448	34	414
2003-04	9 955	3.4	16.5	9 570	4.4	15.9	385	-38	424
2004-05	10 592	3.9	16.8	10 368	5.8	16.5	224	105	119
2005-06	11 242	2.9	16.9	11 040	3.3	16.6	202	119	83
2006-07	11 757	1.9	16.6	11 547	1.9	16.3	209	139	71
2007-08	12 879	6.1	16.8	12 414	4.1	16.2	464	242	222
2008-09	13 531	1.9	16.8	13 764	7.5	17.1	-233	639	-872
2009-10[(a)]	15 534	12.3	18.4	15 347	9.1	18.2	187	1 279	-1 092
2010-11[(a)]	15 017	-6.3	16.6	15 069	-4.9	16.6	-53	1 370	-1 422
2011-12	15 905	3.2	17.2	16 164	4.5	17.4	-258	839	-1 098
2012-13	15 333	-5.5	16.2	16 282	-1.3	17.2	-948	55	-1 003
2013-14	15 343	-2.4	15.9	16 415	-1.7	17.0	-1 071	661	-1 733
2014-15	16 549	6.2	16.8	16 738	0.4	17.0	-189	-78	-111
2015-16	17 362	4.0	17.6	17 062	1.1	17.3	300	204	96
2016-17	18 480	4.8	18.1	18 037	4.1	17.7	443	2 814	-2 371
2017-18	19 344	2.3	18.3	19 657	6.6	18.6	-313	665	-977
2018-19	20 514	4.4	18.8	20 225	1.3	18.5	289	638	-348
2019-20[(b)(c)]	20 332	-2.6	18.4	21 817	6.0	19.8	-1 485	759	-2 244
2020-21[(c)]	21 638	4.9	18.3	22 200	0.3	18.7	-563	1 204	-1 766
2021-22	23 711	5.1	18.4	24 540	6.0	19.1	-829	1 412	-2 242
2022-23	25 408	-0.7	18.1	25 367	-4.2	18.1	41	1 256	-1 215
2023-24	27 933	4.8	18.8	27 520	3.5	18.5	413	1 591	-1 178
2024-25	29 970	4.4	19.3	29 953	5.9	19.3	18	2 267	-2 249
2025-26	31 369	1.6	19.4	31 190	1.1	19.2	179	2 622	-2 443
2026-27	32 166	-0.2	19.0	31 796	-0.8	18.8	369	3 871	-3 502
2027-28	32 903	-0.2	18.6	32 445	-0.4	18.3	458	4 062	-3 604
2028-29	33 671	-0.2	18.2	33 356	0.3	18.0	315	3 300	-2 986

Note: Totals may not add due to rounding.

(a) In 2009-10 and 2010-11, revenues, expenses and net acquisition of non-financial assets are impacted by the Commonwealth Government's Nation Building — Economic Stimulus Plan.

(b) There is a structural break in 2019-20 reflecting the changes to accounting standards for AASB 15 *Revenue from Contracts with Customers,* AASB 1058 *Income of Not-for-Profit Entities*, and AASB 16 *Leases*. Additional presentation changes have also been applied from 2019-20 to achieve full compliance with UPF. These changes do not have a significant impact on the key budget indicators. They largely relate to certain assets no longer being offset by related liabilities, and certain revenues no longer being offset by related expenses.

(c) In 2019-20 and 2020-21, revenues, expenses, net operating balance and net lending are impacted by the COVID pandemic and COVID stimulus measures.

Table B.2: General government key balance sheet aggregates at 30 June ($million)

	Net debt[a]			Unfunded superannuation $m[b]	Net financial liabilities $m	Net financial worth $m	Net worth $m
	$m	% of revenue	% of GSP				
1988	859						
1989	694						
1990	854						
1991	1 817						
1992	4 610						
1993	7 884						
1994	7 113						
1995	5 815						
1996	5 512						
1997	4 983						
1998	4 762						
1999	4 779	65.6	10.9	3 909	9 733	1 894	10 624
2000	1 920	25.1	4.1	3 543	6 911	2 986	12 445
2001	1 246	15.4	2.5	3 249	6 093	4 091	14 816
2002	1 303	15.3	2.4	3 998	6 907	3 559	14 721
2003	666	7.1	1.2	4 445	6 974	3 500	15 288
2004	224	2.3	0.4	5 668	7 858	3 842	15 760
2005	144	1.4	0.2	7 227	9 393	3 853	16 359
2006	-119	-1.1	-0.2	6 146	8 171	5 846	19 703
2007[c]	-24	-0.2	0.0	5 075	7 254	8 110	22 128
2008[d][e][f]	-276	-2.1	-0.4	6 468	8 078	7 580	23 741
2009	475	3.5	0.6	8 939	11 562	5 551	24 146
2010	1 402	9.0	1.7	9 478	13 182	6 551	36 231
2011	2 930	19.5	3.2	9 096	14 313	7 299	40 958
2012[g]	4 165	26.2	4.5	13 523	20 332	1 413	37 199
2013	5 227	34.1	5.5	11 085	19 079	1 742	39 363
2014[h]	7 071	46.1	7.3	10 877	20 761	1 056	39 654
2015[i]	3 929	23.7	4.0	11 358	18 296	1 374	40 121
2016[j]	4 393	25.3	4.4	14 029	21 372	-2 049	37 741
2017	6 110	33.1	6.0	11 448	21 614	-1 990	42 433
2018	5 447	28.2	5.2	11 288	22 816	-2 920	43 085
2019	6 068	29.6	5.6	13 836	26 298	-5 845	41 576
2020[k][l]	10 537	51.8	9.5	12 474	29 229	-12 494	43 710
2021[l]	13 710	63.4	11.6	9 588	28 456	-11 544	47 006
2022	16 439	69.3	12.8	7 065	28 219	-8 548	52 478
2023[j]	17 711	69.7	12.6	7 518	30 880	-10 315	55 920
2024[e]	19 322	69.2	13.0	6 893	32 628	-10 404	61 639
2025	22 052	73.6	14.2	6 437	35 090	-12 513	61 829
2026	25 201	80.3	15.6	5 945	37 784	-14 734	62 272
2027	28 838	89.7	17.0	5 410	41 430	-17 775	63 144
2028	33 303	101.2	18.8	4 824	45 132	-20 819	64 203
2029	37 031	110.0	20.0	4 186	48 181	-23 496	64 878

Note: Totals may not add due to rounding.

(a) Net debt data for the years before 1999 are sourced from ABS, Government Financial Estimates 2003-04 (catalogue number 5501).

(b) There is a structural break in the methodology used to calculate superannuation liabilities between June 2003 and June 2004. This accounting change, which involved the adoption of the Commonwealth Government bond rate for valuation purposes in line with AASB 119 *Employee Benefits*, resulted in a significant increase in superannuation liabilities.

(c) There is a structural break in 2007 reflecting the amalgamation of SAFA and SAICORP on 1 July 2006. The transfer of SAICORP's assets and liabilities from the general government sector to the public financial corporations sector resulted in an increase in general government net debt of $99 million at 1 July 2006 and an increase in net financial liabilities of $90 million at 1 July 2006.

(d) There is a structural break in 2008 reflecting the transfer of rail assets from TransAdelaide to the general government sector. This resulted in an increase in net debt and net financial liabilities of $66 million in 2007-08, and a reduction in net financial worth of $591 million, with no impact on net worth.

(e) There is a structural break in 2008 reflecting the transfer of assets from the Adelaide Festival Centre Trust to the general government sector. This resulted in an increase in net debt and net financial liabilities of $28 million in 2007-08, and a reduction in net financial worth of $76 million, with no impact on net worth. These assets were transferred back from the general government sector to the Adelaide Festival Centre Trust and Renewal SA in 2023-24. This resulted in a decrease in net debt of $141 million, and a reduction in net worth of $195 million for the general government sector.

(f) There is a structural break in 2008 reflecting the first-time recognition on the general government balance sheet of South Australia's share of the net assets of the Murray-Darling Basin Commission. This had no impact on net debt, however resulted in a reduction in net financial liabilities of $615 million in 2007-08, and an increase in net financial worth and net worth of $615 million.

(g) There is a structural break in 2012 reflecting the transfer of the Rail Commissioner to the general government sector. This resulted in a reduction in net debt of $6 million, an increase in net financial liabilities of $37 million, and a reduction in net financial worth of $144 million in 2011-12, with no impact on net worth.

(h) There is a structural break in 2014 reflecting the transfer of the Lotteries Commission of South Australia (SA Lotteries) to the general government sector. This resulted in a reduction in net debt of $46 million, a reduction in net financial liabilities of $1 million, with no impact on net worth.

(i) There is a structural break in 2015 reflecting the government's decision to reduce its equity in SA Water. This resulted in a once-off $2.7 billion return of capital to the Consolidated Account in 2014-15. The restructure resulted in a reduction in distributions paid to government partially offset by increased guarantee fees payable and lower borrowing costs.

(j) There is a structural break in 2016 reflecting the transfer of the South Australian Motor Sport Board to the general government sector. This resulted in an increase in net financial liabilities of $3 million, and a reduction in net financial worth of $12 million in 2015-16, with no impact on net worth. The SA Motor Sport Board recommenced operation in September 2022 as a new public non-financial corporation under the *South Australian Motor Sport Act 1984* to promote motorsport in South Australia including responsibility for holding the Adelaide 500 event each year from 2022.

(k) There is a structural break in 2020 reflecting the changes to accounting standards for AASB 15 *Revenue from Contracts with Customers*, AASB 1058 *Income of Not-for-Profit Entities*, and AASB 16 *Leases*. Additional presentation changes have also been applied from 2019-20 to achieve full compliance with UPF. These changes do not have a significant impact on the key budget indicators. They largely relate to certain assets no longer being offset by related liabilities, and certain revenues no longer being offset by related expenses.

(l) In 2019-20 and 2020-21, net debt, net financial liabilities, net financial worth and net worth are impacted by the COVID pandemic and COVID stimulus measures.

Table B.3: General government sector receipts, payments and surplus ($million)[(a)]

	Receipts	Payments	Cash surplus
1979-80	1 891	1 671	220
1980-81	2 065	1 917	148
1981-82	2 210	2 122	87
1982-83	2 664	2 507	156
1983-84	2 988	2 734	255
1984-85	3 380	3 057	324
1985-86	3 634	3 161	474
1986-87	3 956	3 416	540
1987-88	4 307	3 858	449
1988-89	4 630	3 977	653
1989-90	4 973	4 370	603
1990-91	5 260	4 796	463
1991-92	5 387	5 396	-10
1992-93	5 967	5 456	512
1993-94	6 087	6 024	63
1994-95	6 155	6 220	-66
1995-96	6 405	6 164	241
1996-97	6 379	6 282	97
1997-98	6 988	6 724	264
1998-99	7 165	7 041	123
1999-2000	7 676	7 915	-239
2000-01	8 278	8 387	-108
2001-02	8 698	8 748	-50
2002-03	9 522	8 864	658
2003-04	10 023	9 502	522
2004-05	11 252	11 059	193
2005-06	11 480	11 293	187
2006-07	12 090	12 116	-26
2007-08	12 932	12 552	379
2008-09	13 579	14 299	-721
2009-10	15 837	16 991	-1 154
2010-11	15 331	16 851	-1 520
2011-12	16 556	17 594	-1 038
2012-13	16 489	17 655	-1 166
2013-14	15 434	17 232	-1 797
2014-15	16 768	16 652	116
2015-16	17 144	17 357	-213
2016-17	19 338	21 566	-2 228
2017-18	21 384	20 682	702
2018-19[(b)]	20 570	20 919	-348
2019-20[(c)]	20 256	22 843	-2 586
2020-21	20 693	23 402	-2 709
2021-22	24 060	26 326	-2 265
2022-23	25 790	26 544	-754
2023-24	28 449	29 245	-796

	Receipts	Payments	Cash surplus
2024-25	29 953	32 238	-2 285
2025-26	31 465	34 182	-2 718
2026-27	32 498	35 494	-2 995
2027-28	32 725	36 426	-3 701
2028-29	33 669	37 147	-3 478

Note: Totals may not add due to rounding.

(a) There is a break in the series between 1998-99 and 1999-2000. Data for the years before 1999-2000 are sourced from the ABS and are consistent with ABS GFS reporting requirements on a cash basis. Capital receipts and payments, including payments associated with the provision of financial support for state owned financial institutions (which were treated by the ABS then as an 'investment in financial assets for policy purposes') are not included in the series before 1999-2000. After 1998-99, data is derived from an accrual ABS GFS reporting framework, with receipts proxied by receipts from operating activities and sales of non-financial assets, and payments proxied by payments for operating activities, purchases of non-financial assets and net acquisition of assets under finance leases and similar arrangements. Due to the associated methodological and data-source changes, time series data that encompass measures derived under both cash and accrual accounting should be used with caution.

(b) There is a structural break in 2018-19 reflecting the derivation of cash surplus. The ABS GFS cash surplus definition has been updated in 2018-19 to align with the previous cash surplus definition under the 2008 UPF to no longer include finance leases.

(c) There is a structural break in 2019-20 reflecting the changes to accounting standards for AASB 15 *Revenue from Contracts with Customers*, AASB 1058 *Income of Not-for-Profit Entities*, and AASB 16 *Leases*. Additional presentation changes have also been applied from 2019-20 to achieve full compliance with UPF. These changes do not have a significant impact on the key budget indicators. They largely relate to certain assets no longer being offset by related liabilities, and certain revenues no longer being offset by related expenses.

Table B.4: General government sector operating statement ($million)[a][b]

	2019-20	2020-21	2021-22	2022-23	2023-24	2024-25	2025-26	2026-27	2027-28	2028-29
Revenue										
Taxation revenue	4 478	4 865	5 513	5 866	6 575	7 020	7 285	7 547	7 819	8 101
Grants	11 342	12 150	13 407	14 323	15 445	16 885	17 939	18 328	18 630	18 890
Sales of goods and services	2 605	2 804	2 991	3 062	3 390	3 571	3 652	3 751	3 871	3 973
Interest income	87	37	25	341	480	461	431	463	472	482
Dividend and income tax equivalent income	386	250	207	214	435	284	316	305	284	371
Other	1 433	1 533	1 568	1 602	1 610	1 748	1 746	1 772	1 826	1 856
Total revenue	**20 332**	**21 638**	**23 711**	**25 408**	**27 933**	**29 970**	**31 369**	**32 166**	**32 903**	**33 671**
less **Expenses**										
Employee expenses	8 756	8 989	9 405	9 735	10 201	10 933	11 418	11 707	12 048	12 407
Superannuation expenses										
Superannuation interest cost	231	183	188	269	306	297	271	249	225	199
Other superannuation expenses	844	858	921	1 016	1 119	1 267	1 362	1 393	1 432	1 475
Depreciation and amortisation	1 379	1 414	1 447	1 516	1 586	1 673	1 666	1 739	1 803	1 876
Interest expenses	464	442	505	975	1 225	1 410	1 619	1 876	2 145	2 446
Other property expenses	—	—	—	—	—	—	—	—	—	—
Other operating expenses	6 760	7 303	8 256	8 496	9 227	9 783	10 351	10 486	10 445	10 544
Grants	3 382	3 011	3 818	3 361	3 857	4 590	4 503	4 346	4 346	4 409
Total expenses	**21 817**	**22 200**	**24 540**	**25 367**	**27 520**	**29 953**	**31 190**	**31 796**	**32 445**	**33 356**
equals **Net operating balance**	-1 485	-563	-829	41	413	18	179	369	458	315
plus **Other economic flows[c]**	4 536	3 858	6 128	3 402	5 454	173	264	502	602	361
equals **Comprehensive result — total change in net worth[c][d]**	3 051	3 296	5 299	3 443	5 867	190	443	872	1 059	675
Net operating balance	**-1 485**	**-563**	**-829**	**41**	**413**	**18**	**179**	**369**	**458**	**315**
less **Net acquisition of non-financial assets**										
Purchases of non-financial assets	2 460	2 821	2 981	2 861	3 525	4 065	4 629	5 675	5 929	5 407
less Sales of non-financial assets	324	200	124	90	340	126	341	65	64	231

	2019-20	2020-21	2021-22	2022-23	2023-24	2024-25	2025-26	2026-27	2027-28	2028-29
less Depreciation	1 379	1 414	1 447	1 516	1 586	1 673	1 666	1 739	1 803	1 876
plus Change in inventories	3	-4	2	—	-9	—	—	—	—	—
plus Other movements in non-financial assets	—	—	—	—	—	—	—	—	—	—
equals **Total net acquisition of non-financial assets**	**759**	**1 204**	**1 412**	**1 256**	**1 591**	**2 267**	**2 622**	**3 871**	**4 062**	**3 300**
equals **Net lending/borrowing**	**-2 244**	**-1 766**	**-2 242**	**-1 215**	**-1 178**	**-2 249**	**-2 443**	**-3 502**	**-3 604**	**-2 986**

Note: Totals may not add due to rounding.

(a) There is a structural break in 2019-20 reflecting the changes to accounting standards for AASB 15 *Revenue from Contracts with Customers*, AASB 1058 *Income of Not-for-Profit Entities*, and AASB 16 *Leases*. Additional presentation changes have also been applied from 2019-20 to achieve full compliance with UPF.

(b) In 2019-20 and 2020-21, revenues, expenses, net operating balance and net lending are impacted by the COVID pandemic and COVID stimulus measures.

(c) The government has adopted the full retrospective transition approach under AASB 1059 *Service Concession Arrangements: Grantors* by recognising and measuring service concession assets at the date of initial application of 1 July 2019. The only impact at that date was to recognise the service concession data asset of $283.6 million, with a corresponding adjustment recognised in the revaluation reserve.

(d) Comprehensive result excludes transactions with owners in their capacity as owners.

Table B.5: General government sector balance sheet at 30 June ($million)[a][b]

	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Assets										
Financial assets										
Cash and deposits	10 328	11 171	10 979	10 987	11 152	11 639	13 659	14 369	14 516	14 981
Advances paid	150	145	107	132	142	212	277	302	318	317
Investments, loans and placements	555	643	667	701	668	1 033	1 032	1 030	1 025	1 017
Receivables	2 402	3 022	2 977	2 348	2 130	2 241	2 388	2 523	2 660	2 797
Equity										
Investments in other public sector entities	16 735	16 912	19 671	20 565	22 224	22 577	23 050	23 656	24 314	24 686
Investments — other	86	90	103	108	116	116	116	116	116	116
Other financial assets	—	—	—	—	—	—	—	—	—	—
Total financial assets	**30 257**	**31 984**	**34 503**	**34 840**	**36 432**	**37 818**	**40 522**	**41 996**	**42 948**	**43 914**
Non-financial assets										
Land and other fixed assets[c]	56 037	58 384	60 868	66 102	71 898	74 204	76 867	80 780	84 884	88 226
Other non-financial assets	167	166	158	134	145	139	139	138	138	148
Total non-financial assets	**56 204**	**58 550**	**61 026**	**66 235**	**72 043**	**74 343**	**77 006**	**80 918**	**85 022**	**88 374**
Total assets	**86 461**	**90 533**	**95 529**	**101 075**	**108 475**	**112 161**	**117 527**	**122 915**	**127 970**	**132 288**
Liabilities										
Deposits held	345	286	541	529	342	269	254	279	379	391
Advances received	—	—	—	—	—	—	—	—	—	—
Borrowing	21 225	25 384	27 651	29 002	30 943	34 667	39 915	44 261	48 783	52 956
Superannuation	12 474	9 588	7 065	7 518	6 893	6 437	5 945	5 410	4 824	4 186
Other employee benefits	3 336	3 295	2 965	2 983	3 512	3 672	3 830	3 994	3 948	4 032
Payables[d]	1 284	1 596	1 562	1 592	1 542	1 546	1 554	1 559	1 567	1 572
Other liabilities[d]	4 086	3 379	3 267	3 531	3 604	3 741	3 757	4 268	4 266	4 274
Total liabilities	**42 751**	**43 528**	**43 051**	**45 155**	**46 836**	**50 331**	**55 255**	**59 771**	**63 767**	**67 410**

	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Net worth	**43 710**	**47 006**	**52 478**	**55 920**	**61 639**	**61 829**	**62 272**	**63 144**	**64 203**	**64 878**
Net financial worth	-12 494	-11 544	-8 548	-10 315	-10 404	-12 513	-14 734	-17 775	-20 819	-23 496
Net financial liabilities	29 229	28 456	28 219	30 880	32 628	35 090	37 784	41 430	45 132	48 181
Net debt	10 537	13 710	16 439	17 711	19 322	22 052	25 201	28 838	33 303	37 031

Note: Totals may not add due to rounding.

(a) There is a structural break in 2020 reflecting the changes to accounting standards for AASB 15 *Revenue from Contracts with Customers*, AASB 1058 *Income of Not-for-Profit Entities*, and AASB 16 *Leases*. Additional presentation changes have also been applied from 2019-20 to achieve full compliance with UPF. These changes do not have a significant impact on the key budget indicators. They largely relate to certain assets no longer being offset by related liabilities, and certain revenues no longer being offset by related expenses.

(b) In 2019-20 and 2020-21 net debt, net financial liabilities, net financial worth and net worth are impacted by the COVID pandemic and COVID stimulus measures.

(c) The government has adopted the full retrospective transition approach under AASB 1059 *Service Concession Arrangements: Grantors* by recognising and measuring service concession assets at the date of initial application of 1 July 2019. The only impact at that date was to recognise the service concession data asset of $283.6 million, with a corresponding adjustment recognised in the revaluation reserve.

(d) Adjustments made to align classification of payables and other liabilities with data presented for 2021.

Non-financial public sector

Table B.6: Non-financial public sector key operating statement aggregates

	Revenue			Expenses					
	$m	% real growth	% GSP	$m	% real growth	% GSP	Net operating balance $m	Net acquisition of non-financial assets $m	Net lending $m
1998-99	9 468		21.5	9 597		21.8	-129	-115	-14
1999-2000	9 206	-5.2	19.8	9 552	-2.9	20.6	-346	-3 508	3 161
2000-01	9 051	-4.5	18.3	9 279	-5.7	18.7	-228	-1 111	883
2001-02	9 367	0.3	17.4	9 487	-0.9	17.6	-120	-124	5
2002-03	10 172	4.4	17.8	9 696	-1.7	16.9	476	72	405
2003-04	10 707	2.2	17.7	10 294	3.1	17.1	413	33	379
2004-05	11 343	3.5	18.0	11 029	4.6	17.5	314	125	189
2005-06	11 807	0.9	17.8	11 634	2.3	17.5	172	53	119
2006-07	12 321	1.7	17.4	12 175	2.0	17.2	147	173	-26
2007-08	13 634	7.1	17.8	13 065	3.9	17.0	569	303	266
2008-09	14 360	2.1	17.8	14 567	8.1	18.1	-207	1 249	-1 456
2009-10[(a)]	16 315	11.2	19.3	15 679	5.3	18.6	636	2 361	-1 725
2010-11[(a)]	15 960	-5.2	17.6	15 939	-1.5	17.6	21	1 920	-1 898
2011-12	16 866	3.0	18.2	16 908	3.3	18.2	-41	1 383	-1 424
2012-13	16 494	-4.1	17.4	17 152	-0.6	18.1	-657	64	-721
2013-14	16 399	-3.1	17.0	17 627	0.2	18.2	-1 229	715	-1 944
2014-15	17 651	6.0	17.9	17 965	0.4	18.3	-314	-198	-116
2015-16	18 461	3.7	18.7	18 310	1.0	18.5	151	205	-54
2016-17	19 447	3.8	19.1	19 228	3.4	18.9	219	3 359	-3 140
2017-18	20 384	2.5	19.3	20 768	5.6	19.7	-384	728	-1 112
2018-19	21 633	4.5	19.8	21 062	-0.1	19.3	571	830	-259
2019-20[(b)(c)]	21 373	-2.9	19.4	23 322	8.8	21.1	-1 949	557	-2 506
2020-21[(c)]	22 759	4.9	19.2	23 691	0.1	20.0	-932	1 414	-2 346
2021-22	25 019	5.5	19.4	26 152	5.9	20.3	-1 132	1 374	-2 506
2022-23	26 627	-1.4	19.0	26 936	-4.6	19.2	-309	1 471	-1 781
2023-24	29 269	4.8	19.7	29 153	3.2	19.6	116	2 417	-2 301
2024-25	31 398	4.4	20.2	31 741	6.0	20.5	-344	3 034	-3 377
2025-26	33 031	2.1	20.4	33 300	1.9	20.5	-269	3 527	-3 796
2026-27	34 057	0.3	20.1	33 853	-1.1	20.0	204	4 701	-4 497
2027-28	35 153	0.7	19.9	34 771	0.2	19.6	382	4 101	-3 719
2028-29	35 487	-1.5	19.2	35 500	-0.4	19.2	-14	3 685	-3 698

Note: Totals may not add due to rounding.

(a) In 2009-10 and 2010-11, revenues, expenses and net acquisition of non-financial assets are impacted by the Commonwealth Government's Nation Building — Economic Stimulus Plan.

(b) There is a structural break in 2019-20 reflecting the changes to accounting standards for AASB 15 *Revenue from Contracts with Customers*, AASB 1058 *Income of Not-for-Profit Entities*, and AASB 16 *Leases*. Additional presentation changes have also been applied from 2019-20 to achieve full compliance with UPF. These changes do not have a significant impact on the key budget indicators. They largely relate to certain assets no longer being offset by related liabilities, and certain revenues no longer being offset by related expenses.

(c) In 2019-20 and 2020-21, revenues, expenses, net operating balance and net lending are impacted by the COVID pandemic and COVID stimulus measures.

Table B.7: Non-financial public sector key balance sheet aggregates at 30 June ($million)

	Net debt[a]						
	$m	% of revenue	% of GSP	Unfunded superannuation $m[b]	Net financial liabilities $m	Net financial worth $m	Net worth $m
1988	4 397						
1989	4 197						
1990	4 457						
1991	5 418						
1992	8 142						
1993	11 610						
1994	10 550						
1995	8 844						
1996	8 432						
1997	8 170						
1998	7 927						
1999	7 657	80.9	17.4	3 909	13 099	-12 256	10 624
2000	4 355	47.3	9.4	3 543	9 914	-8 986	12 445
2001	3 223	35.6	6.5	3 249	8 151	-7 109	14 816
2002	3 317	35.4	6.1	3 998	8 973	-7 902	14 721
2003	2 696	26.5	4.7	4 445	9 096	-8 811	15 288
2004	2 285	21.3	3.8	5 668	10 031	-9 550	15 760
2005	2 126	18.7	3.4	7 227	11 511	-11 004	16 359
2006	1 786	15.1	2.7	6 146	10 451	-9 889	19 703
2007[c]	1 989	16.1	2.8	5 075	9 518	-8 795	22 128
2008[d][e]	1 611	11.8	2.1	6 468	10 208	-10 487	23 741
2009	2 872	20.0	3.6	8 939	14 302	-14 921	24 146
2010	4 487	27.5	5.3	9 478	16 626	-16 997	36 231
2011	6 541	41.0	7.2	9 096	18 273	-18 402	40 958
2012	7 996	47.4	8.6	13 523	24 500	-25 123	37 199
2013	8 949	54.3	9.5	11 085	23 064	-23 223	39 363
2014	10 964	66.9	11.3	10 877	24 811	-24 080	39 654
2015	10 676	60.5	10.9	11 358	25 167	-23 750	40 121
2016	10 912	59.1	11.0	14 029	28 281	-27 355	37 741
2017	13 529	69.6	13.3	11 448	29 200	-28 042	42 433
2018	12 950	63.5	12.3	11 288	30 564	-29 523	43 085
2019	13 084	60.5	12.0	13 836	33 744	-32 930	41 576
2020[f][g]	17 452	81.7	15.8	12 474	37 828	-38 599	43 710
2021[g]	21 169	93.0	17.9	9 588	37 496	-38 394	47 006
2022	23 948	95.7	18.6	7 065	37 134	-35 060	52 478
2023	25 595	96.1	18.2	7 518	39 590	-37 365	55 920
2024	27 920	95.4	18.8	6 893	41 792	-39 389	61 639
2025	31 381	99.9	20.2	6 437	45 159	-42 916	61 831
2026	35 539	107.6	21.9	5 945	48 934	-46 701	62 273
2027	39 901	117.2	23.6	5 410	53 437	-51 217	63 145
2028	44 258	125.9	25.0	4 824	57 162	-54 960	64 204
2029	48 495	136.7	26.2	4 186	60 854	-58 680	64 879

Note: Totals may not add due to rounding.

(a) Net debt data for the years before 1999 is sourced from ABS, *Government Financial Estimates 2003-04* (catalogue number 5501).

(b) There is a structural break in the methodology used to calculate superannuation liabilities between June 2003 and June 2004. This accounting change, which involved the adoption of the Commonwealth Government bond rate for valuation purposes in line with AASB 119 *Employee Benefits*, resulted in a significant increase in superannuation liabilities.

(c) There is a structural break in 2007 reflecting the amalgamation of SAFA and SAicorp on 1 July 2006. The transfer of SAicorp's assets and liabilities from the general government sector to the public financial corporations sector resulted in an increase in non-financial public sector net debt of $99 million at 1 July 2006 and an increase in net financial liabilities of $90 million at 1 July 2006.

(d) There is a structural break in 2008 reflecting the amalgamation of the public financial corporation, South Australian Community Housing Authority with the public-non financial corporation South Australian Housing Authority. This resulted in an increase in net debt and net financial liabilities and a decrease in net financial worth of $98 million in 2007-08, with no impact on net worth.

(e) There is a structural break in 2008 reflecting the first time recognition on the general government balance sheet of South Australia's share of the net assets of the Murray-Darling Basin Commission. This had no impact on net debt, however resulted in a reduction in net financial liabilities of $615 million in 2007-08 and increases in net financial worth and net worth of $615 million.

(f) There is a structural break in 2020 reflecting the changes to accounting standards for AASB 15 *Revenue from Contracts with Customers*, AASB 1058 *Income of Not-for-Profit Entities*, and AASB 16 *Leases*. Additional presentation changes have also been applied from 2019-20 to achieve full compliance with UPF. These changes do not have a significant impact on the key budget indicators. They largely relate to certain assets no longer being offset by related liabilities, and certain revenues no longer being offset by related expenses.

(g) In 2019-20 and 2020-21, net debt, net financial liabilities, net financial worth and net worth are impacted by the COVID pandemic and COVID stimulus measures.

Table B.8: Non-financial public sector receipts, payments and surplus ($million)[a]

	Receipts	Payments	Cash surplus
1979-80	2 681	2 388	292
1980-81	2 877	2 649	228
1981-82	3 145	2 963	182
1982-83	3 651	3 356	295
1983-84	4 383	4 014	369
1984-85	4 887	4 356	531
1985-86	5 172	4 415	757
1986-87	5 542	4 790	752
1987-88	6 078	5 299	780
1988-89	6 946	5 784	1 162
1989-90	7 517	6 465	1 052
1990-91	7 830	6 839	991
1991-92	8 352	7 969	383
1992-93	8 939	7 946	993
1993-94	8 761	8 119	642
1994-95	8 570	8 142	428
1995-96	8 985	8 654	331
1996-97	8 908	8 532	375
1997-98	9 426	8 895	532
1998-99	9 301	8 692	609
1999-2000	13 014	9 501	3 513
2000-01	10 572	9 414	1 158
2001-02	9 726	9 722	4
2002-03	10 439	9 805	634
2003-04	10 891	10 403	488
2004-05	12 051	11 786	265
2005-06	12 239	11 868	370
2006-07	12 684	12 809	-125
2007-08	13 943	13 477	466
2008-09	14 563	15 806	-1 243
2009-10	16 847	18 695	-1 849
2010-11	16 548	18 553	-2 004
2011-12	17 431	18 863	-1 432
2012-13	17 814	19 133	-1 319
2013-14	16 640	18 647	-2 007
2014-15	17 841	17 896	-55
2015-16	18 485	18 623	-138
2016-17	19 593	22 779	-3 186
2017-18	22 532	21 904	629
2018-19[b]	21 860	21 888	-28
2019-20[c]	20 969	24 044	-3 074
2020-21	21 558	24 967	-3 409
2021-22	25 438	28 056	-2 618
2022-23	27 117	28 370	-1 253

	Receipts	Payments	Cash surplus
2023-24	29 554	31 427	-1 873
2024-25	31 516	34 865	-3 349
2025-26	33 329	37 440	-4 110
2026-27	34 446	38 416	-3 970
2027-28	35 116	38 911	-3 794
2028-29	35 603	39 768	-4 165

Note: Totals may not add due to rounding.

(a) There is a break in the series between 1998-99 and 1999-2000. Data for the years before 1999-2000 is sourced from the ABS and is consistent with ABS GFS reporting requirements on a cash basis. Capital receipts and payments, including payments associated with the provision of financial support for state owned financial institutions, which were treated by the ABS then as an 'investment in financial assets for policy purposes', are not included in the series before 1999-2000. After 1998-99, data is derived from an accrual ABS GFS reporting framework, with receipts proxied by receipts from operating activities and sales of non-financial assets, and payments proxied by payments for operating activities, purchases of non-financial assets and net acquisition of assets under finance leases and similar arrangements. Due to the associated methodological and data-source changes, time series data that encompass measures derived under both cash and accrual accounting should be used with caution.

(b) There is a structural break in 2018-19 reflecting the derivation of cash surplus. The ABS GFS cash surplus definition has been updated in 2018-19 to align with the previous cash surplus definition under the 2008 UPF to no longer include finance leases.

(c) There is a structural break in 2019-20 reflecting the changes to accounting standards for AASB 15 *Revenue from Contracts with Customers*, AASB 1058 *Income of Not-for-Profit Entities*, and AASB 16 *Leases*. Additional presentation changes have also been applied from 2019-20 to achieve full compliance with UPF. These changes do not have a significant impact on the key budget indicators. They largely relate to certain assets no longer being offset by related liabilities, and certain revenues no longer being offset by related expenses.

Table B.9: Non-financial public sector operating statement ($million)[a][b]

	2019-20	2020-21	2021-22	2022-23	2023-24	2024-25	2025-26	2026-27	2027-28	2028-29
Revenue										
Taxation revenue	4 208	4 680	5 321	5 654	6 326	6 737	6 993	7 247	7 512	7 786
Grants	11 344	12 154	13 409	14 330	15 446	16 879	17 944	18 327	18 631	18 893
Sales of goods and services	4 174	4 132	4 448	4 537	5 105	5 235	5 547	5 808	6 159	6 136
Interest income	88	32	28	355	494	476	448	478	486	495
Dividend and income tax equivalent income	60	125	144	58	173	69	93	104	100	98
Other	1 498	1 637	1 670	1 693	1 726	2 001	2 007	2 092	2 265	2 079
Total revenue	**21 373**	**22 759**	**25 019**	**26 627**	**29 269**	**31 398**	**33 031**	**34 057**	**35 153**	**35 487**
less **Expenses**										
Employee expenses	9 022	9 249	9 673	10 021	10 512	11 245	11 737	12 029	12 377	12 742
Superannuation expenses										
Superannuation interest cost	231	183	188	269	306	297	271	249	225	199
Other superannuation expenses	879	887	954	1 051	1 159	1 310	1 408	1 440	1 480	1 524
Depreciation and amortisation	1 881	1 921	1 964	2 046	2 085	2 237	2 234	2 310	2 374	2 498
Interest expenses	712	665	707	1 188	1 455	1 701	1 975	2 297	2 618	2 948
Other property expenses	—	—	—	—	—	—	—	—	—	—
Other operating expenses	7 404	7 948	9 029	9 263	10 085	10 792	11 552	11 721	11 841	11 617
Grants	3 193	2 837	3 637	3 098	3 551	4 160	4 124	3 807	3 856	3 973
Total expenses	**23 322**	**23 691**	**26 152**	**26 936**	**29 153**	**31 741**	**33 300**	**33 853**	**34 771**	**35 500**
equals **Net operating balance**	-1 949	-932	-1 132	-309	116	-344	-269	204	382	-14
plus **Other economic flows[c]**	5 000	4 228	6 431	3 752	5 752	535	712	668	677	689
equals **Comprehensive result — total change in net worth[c][d]**	3 051	3 296	5 299	3 443	5 867	191	443	871	1 059	675
Net operating balance	**-1 949**	**-932**	**-1 132**	**-309**	**116**	**-344**	**-269**	**204**	**382**	**-14**
less **Net acquisition of non-financial assets**										
Purchases of non-financial assets	2 619	3 498	3 602	3 607	4 532	5 337	6 320	7 293	7 042	6 604
less Sales of non-financial assets	132	255	196	222	173	263	643	156	240	363

	2019-20	2020-21	2021-22	2022-23	2023-24	2024-25	2025-26	2026-27	2027-28	2028-29
less Depreciation	1 881	1 921	1 964	2 046	2 085	2 237	2 234	2 310	2 374	2 498
plus Change in inventories	-49	92	-68	132	143	196	85	-125	-327	-59
plus Other movements in non-financial assets	—	—	—	—	—	—	—	—	—	—
equals **Total net acquisition of non-financial assets**	**557**	**1 414**	**1 374**	**1 471**	**2 417**	**3 034**	**3 527**	**4 701**	**4 101**	**3 685**
equals **Net lending/borrowing**	**-2 506**	**-2 346**	**-2 506**	**-1 781**	**-2 301**	**-3 377**	**-3 796**	**-4 497**	**-3 719**	**-3 698**

Note: Totals may not add due to rounding.

(a) There is a structural break in 2019-20 reflecting the changes to accounting standards for AASB 15 *Revenue from Contracts with Customers*, AASB 1058 *Income of Not-for-Profit Entities*, and AASB 16 *Leases*. Additional presentation changes have also been applied from 2019-20 to achieve full compliance with UPF. These changes do not have a significant impact on the key budget indicators. They largely relate to certain assets no longer being offset by related liabilities, and certain revenues no longer being offset by related expenses.

(b) In 2019-20 and 2020-21, revenues, expenses, net operating balance and net lending are impacted by the COVID pandemic and COVID stimulus measures.

(c) The government has adopted the full retrospective transition approach under AASB 1059 *Service Concession Arrangements: Grantors* by recognising and measuring service concession assets at the date of initial application of 1 July 2019. The only impact at that date was to recognise the service concession data asset of $283.6 million, with a corresponding adjustment recognised in the revaluation reserve.

(d) Comprehensive result excludes transactions with owners in their capacity as owners.

Table B.10: Non-financial public sector balance sheet at 30 June ($million)[a][b]

	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Assets										
Financial assets										
Cash and deposits	11 172	11 691	11 320	11 168	11 267	11 778	13 804	14 523	14 682	15 158
Advances paid	117	112	107	146	163	233	298	323	339	338
Investments, loans and placements	485	514	551	591	577	944	955	964	974	983
Receivables	1 045	1 782	1 863	1 818	1 931	1 886	1 975	1 989	2 003	2 016
Equity										
Investments in other public sector entities	-771	-898	2 074	2 225	2 402	2 243	2 233	2 220	2 202	2 175
Investments — other	97	102	113	119	127	127	127	127	127	127
Other financial assets	4	2	—	—	—	—	—	—	—	—
Total financial assets	**12 150**	**13 305**	**16 028**	**16 067**	**16 467**	**17 211**	**19 392**	**20 146**	**20 326**	**20 797**
Non-financial assets										
Land and fixed assets[c]	82 126	85 225	87 362	93 134	100 853	104 583	108 817	114 211	119 020	123 410
Other non-financial assets	183	175	176	152	176	163	157	151	144	149
Total non-financial assets	**82 308**	**85 400**	**87 538**	**93 286**	**101 029**	**104 747**	**108 974**	**114 362**	**119 164**	**123 559**
Total assets	**94 458**	**98 705**	**103 565**	**109 353**	**117 496**	**121 957**	**128 366**	**134 508**	**139 490**	**144 355**
Liabilities										
Deposits held	190	134	196	195	187	187	188	188	189	189
Advances received	—	—	—	—	—	—	—	—	—	—
Borrowing	29 037	33 352	35 730	37 306	39 741	44 149	50 408	55 523	60 063	64 785
Superannuation	12 474	9 588	7 065	7 518	6 893	6 437	5 945	5 410	4 824	4 186
Other employee benefits	3 437	3 390	3 053	3 067	3 608	3 774	3 937	4 106	4 064	4 154
Payables[d]	1 486	1 874	1 826	1 848	1 878	1 891	1 904	1 906	1 912	1 914
Other liabilities[d]	4 124	3 360	3 218	3 499	3 550	3 689	3 712	4 230	4 234	4 248
Total liabilities	**50 748**	**51 699**	**51 087**	**53 433**	**55 857**	**60 127**	**66 093**	**71 363**	**75 286**	**79 476**

	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Net worth	**43 710**	**47 006**	**52 478**	**55 920**	**61 639**	**61 831**	**62 273**	**63 145**	**64 204**	**64 879**
Net financial worth	-38 599	-38 394	-35 060	-37 365	-39 389	-42 916	-46 701	-51 217	-54 960	-58 680
Net financial liabilities	37 828	37 496	37 134	39 590	41 792	45 159	48 934	53 437	57 162	60 854
Net debt	17 452	21 169	23 948	25 595	27 920	31 381	35 539	39 901	44 258	48 495

Note: Totals may not add due to rounding.

(a) There is a structural break in 2020 reflecting the changes to accounting standards for AASB 15 *Revenue from Contracts with Customers*, AASB 1058 *Income of Not-for-Profit Entities*, and AASB 16 *Leases*. Additional presentation changes have also been applied from 2019-20 to achieve full compliance with UPF. These changes do not have a significant impact on the key budget indicators. They largely relate to certain assets no longer being offset by related liabilities, and certain revenues no longer being offset by related expenses.

(b) In 2019-20 and 2020-21, net debt, net financial liabilities, net financial worth and net worth are impacted by the COVID pandemic and COVID stimulus measures.

(c) The government has adopted the full retrospective transition approach under AASB 1059 *Service Concession Arrangements: Grantors* by recognising and measuring service concession assets at the date of initial application of 1 July 2019. The only impact at that date was to recognise the service concession data asset of $283.6 million, with a corresponding adjustment recognised in the revaluation reserve.

(d) Adjustments made to align classification of payables and other liabilities with data presented for 2021.

Appendix C: Consolidated Account

Table C.1: Summary of receipts and payments

	2025-26 Budget $000	2024-25 Estimated Result $000	2024-25 Budget $000
Receipts			
Taxation	**6 571 683**	6 352 150	6 011 674
Commonwealth general purpose grants	**9 529 044**	9 057 185	8 942 237
Commonwealth specific purpose grants	**243 682**	239 009	239 009
Commonwealth National Partnership payments	**19 011**	39 628	21 406
Contributions from state undertakings	**315 170**	261 435	212 203
Fees and charges	**884 925**	798 042	820 964
Recoveries	**76 654**	625 646	124 798
Royalties	**457 611**	423 113	422 901
Other receipts	**399 741**	499 209	449 718
Total receipts	**18 497 521**	**18 295 417**	**17 244 910**
Payments			
Appropriation Act	**23 824 281**	22 062 914	21 734 829
Specific appropriation authorised in various Acts	**147 366**	141 915	130 793
Total payments	**23 971 647**	**22 204 829**	**21 865 622**
Consolidated Account financing requirement	**5 474 126**	3 909 412	4 620 712
Borrowing from (+) repayment to (-) South Australian Government Financing Authority	**5 474 126**	3 909 412	4 620 712

Note: Totals may not add due to rounding.

Table C.2: Estimates of payments

	2025-26 Budget $000	2024-25 Estimated Result $000	2024-25 Budget $000
Payments from Appropriation Act			
Attorney-General's Department	**155 240**	151 895	144 739
Administered Items for the Attorney-General's Department	**90 903**	102 667	103 603
Audit Office of South Australia[(a)]	**20 037**	19 671	19 671
Commission on Excellence and Innovation in Health	**7 414**	6 836	6 865
Courts Administration Authority	**102 134**	96 248	96 665
Defence SA	**20 909**	15 211	28 614
Department for Child Protection	**883 187**	948 094	799 333
Administered Items for the Department for Child Protection	**110**	—	—
Department for Correctional Services	**488 712**	426 319	424 706
Department for Education	**3 645 914**	3 442 495	3 820 063
Administered Items for the Department for Education	**611 862**	503 386	523 400
Department for Energy and Mining[(b)]	**68 285**	126 340	449 951
Department for Environment and Water	**192 478**	214 993	207 402
Administered Items for the Department for Environment, Water	**33 270**	29 840	30 409
Department for Health and Wellbeing	**6 574 901**	6 344 823	5 922 190
Department for Housing and Urban Development[(c)]	**106 787**	101 219	125 192
Administered Items for Department for Housing and Urban Development[(c)]	**5 003**	6 008	1 799
Department of Human Services	**352 792**	1 206 438	1 118 873
Administered Items for the Department of Human Services	**1 167 059**	292 047	235 634
Department for Infrastructure and Transport	**1 880 745**	1 165 694	1 167 341
Administered Items for the Department for Infrastructure and Transport	**141 722**	4 382	7 946
Department of the Premier and Cabinet	**508 394**	446 976	469 788
Administered Items for the Department of the Premier and Cabinet	**27 324**	35 844	32 176
Department of Primary Industries and Regions	**173 822**	163 720	142 041
Administered Items for the Department of Primary Industries and Regions	**4 769**	4 641	4 641
Department of State Development[(d)]	**479 748**	439 261	61 613
Administered Items for the Department of State Development[(d)]	**23 810**	26 399	14 842
Department of Treasury and Finance	**265 951**	260 789	211 347
Administered Items for the Department of Treasury and Finance	**4 403 410**	4 194 947	4 305 351
Electoral Commission of South Australia	**41 799**	7 827	7 023
Administered Items for Electoral Commission of South Australia	**588**	574	545
House of Assembly	**8 759**	8 593	8 593
Joint Parliamentary Services	**20 555**	20 200	20 289

	2025-26 Budget $000	2024-25 Estimated Result $000	2024-25 Budget $000
Table C.2: Estimates of payments continued			
AI Joint Parliamentary Services	**4 342**	4 074	4 074
Legislative Council	**6 077**	5 962	5 962
Preventive Health SA	**33 511**	32 655	32 685
South Australia Police	**1 196 686**	1 112 018	1 102 103
Administered Items for South Australia Police	**73**	71	71
South Australian Fire and Emergency Services Commission	**700**	500	500
South Australian Metropolitan Fire Service	**3 538**	18 525	3 525
South Australian State Emergency Services	**100**	1 100	100
South Australian Tourism Commission	**66 113**	67 093	66 625
State Governor's Establishment	**4 748**	6 539	6 539
Total payments appropriated for administrative units, statutory authorities and ministers	**23 824 281**	**22 062 914**	**21 734 829**
Payments for which specific appropriation is authorised in various Acts	**147 366**	141 915	130 793
Total Consolidated Account payments	**23 971 647**	**22 204 829**	**21 865 622**
Payments for which specific appropriation is authorised in various Acts			
Salaries and allowances			
Agent-General — pursuant to *Agent-General Act 1901*	**646**	630	630
Auditor-General — pursuant to *Public Finance and Audit Act 1987*	**565**	547	542
Commissioners of Environment, Resource and Development Court — pursuant to *Remuneration Act 1990*	**1 477**	1 448	1 428
Commissioner of Police — pursuant to *Police Act 1998*	**667**	657	657
Electoral Commissioner and Deputy Electoral Commissioner — pursuant to *Electoral Act 1985*	**605**	579	570
Electoral District Boundaries Commission — pursuant to *Constitution Act 1934*	**—**	637	322
Governor — pursuant to *Constitution Act 1934*	**552**	531	524
Health and Community Services Complaints Commissioner — pursuant to Remuneration Act 1990	**279**	270	268
Judges — pursuant to *Remuneration Act 1990*			
Chief Justice	**871**	854	842
Judges and Masters	**28 227**	27 680	27 283
Magistrates — pursuant to *Remuneration Act 1990*	**19 483**	19 098	18 823
Members of various standing committees — pursuant to *Parliamentary Remuneration Act 1990* and *Parliamentary Committees Act 1991*	**268**	268	268
Ombudsman — pursuant to *Ombudsman Act 1972*	**514**	505	498
Parliamentary salaries and electorate other allowances — pursuant to *Parliamentary Remuneration Act 1990* Ministers, officers and members of parliament	**19 802**	19 703	19 541

	2025-26 Budget	2024-25 Estimated Result	2024-25 Budget
	$000	$000	$000
Table C.2: Estimates of payments continued			
Senior Judge and judges of the Industrial Relations Court and Commission — pursuant to *Remuneration Act 1990*	**3 944**	3 872	3 803
Solicitor-General — pursuant to *Solicitor-General Act 1972*	**819**	806	794
South Australian Civil and Administrative Tribunal — pursuant to *Remuneration Act 1990*	**1 242**	1 219	1 199
State Coroner and Deputy Coroner — pursuant to *Remuneration Act 1990*	**1 489**	1 459	1 436
Valuer-General — pursuant to *Valuation of Land Act 1971*	**271**	267	267
Total salaries and allowances	**81 721**	**81 030**	**79 695**
Other			
First Home Owner and HomeBuilder Grants — pursuant to *First Home and Housing Construction Grants Act 2000*	**55 120**	50 617	40 830
Victims of Crime Fund — Compensation for injuries resulting from criminal acts — pursuant to *Victims of Crime Act 2001*	**10 525**	10 268	10 268
Total other	**65 645**	**60 885**	**51 098**
Total payments for which specific appropriation is authorised in various Acts	**147 366**	**141 915**	**130 793**

Note: Totals may not add due to rounding.

Table C.3: Estimates of receipts

	2025-26 Budget	2024-25 Estimated Result	2024-25 Budget
	$000	$000	$000
Taxation receipts			
Payroll tax	**2 297 354**	2 189 812	2 216 235
Commonwealth places mirror payroll tax[(e)]	**43 100**	40 700	41 100
Stamp duties	**2 663 583**	2 605 185	2 333 373
Commonwealth places mirror stamp duties[(e)]	**263**	263	263
Land tax	**892 827**	815 723	786 639
Commonwealth places mirror land tax[(e)]	**1 700**	1 500	1 600
Gaming machines tax	**460 387**	454 553	427 249
Contribution from SA Lotteries	**121 451**	117 587	116 388
Contribution from casino operations	**24 100**	61 700	23 700
Contribution from on-course totalizators, bookmakers and small lotteries	**3 803**	3 701	3 701
Betting operations tax	**63 115**	61 426	61 426
Total taxation receipts	**6 571 683**	**6 352 150**	**6 011 674**
Commonwealth general purpose payments			
GST revenue grants[(f)]	**9 529 044**	9 057 185	8 942 237
Total Commonwealth general purpose payments	**9 529 044**	**9 057 185**	**8 942 237**
Commonwealth specific purpose payments[(g)]	**243 682**	**239 009**	**239 009**
Commonwealth National Partnership payments[(h)]	**19 011**	**39 628**	**21 406**
Contributions from state undertakings			
Adelaide Cemeteries Authority			
Income tax equivalent	**94**	—	38
Adelaide Venue Management Corporation			
Dividend	**1 600**	1 600	1 600
Arrangements with private electricity entities			
Local government rate equivalent	**145**	142	142
Department for Infrastructure and Transport			
Income tax equivalent	**2 614**	2 614	2 614
Local government rate equivalent	**1 268**	1 237	1 237
Flinders Ports			
Payment in lieu of other taxes	**3 236**	3 157	3 157
ForestrySA			
Dividend	**—**	—	276
Income tax equivalent	**—**	—	119
Funds SA			
Local government rate equivalent	**140**	137	137

	2025-26 Budget $000	2024-25 Estimated Result $000	2024-25 Budget $000
Table C.3: Estimates of receipts continued			
HomeStart Finance			
Dividend	**38 536**	43 982	31 682
Income tax equivalent	**16 515**	18 850	13 578
Motor Accident Commission			
Dividend	**1 957**	3 432	3 193
Public Trustee			
Dividend	**5 064**	6 015	5 153
Income tax equivalent	**2 110**	2 517	2 147
Renewal SA			
Dividend	**13 476**	5 847	2 246
Income tax equivalent	**5 775**	3 724	—
Local government rate equivalent	**4 751**	4 216	3 477
South Australian Government Financing Authority			
Dividend	**24 500**	1 460	34 762
Income tax equivalent	**10 500**	—	15 000
South Australian Water Corporation			
Dividend	**138 004**	137 862	73 369
Income tax equivalent	**40 227**	18 957	12 938
Local government rate equivalent	**2 040**	1 990	2 154
State Owned Generators Leasing Co Pty Ltd			
Dividend	**1 649**	1 649	1 649
Income tax equivalent	**706**	706	706
TAFE SA			
Local government rate equivalent	**54**	53	53
West Beach Trust			
Income tax equivalent	**209**	1 288	776
Total contributions from state undertakings	**315 170**	**261 435**	**212 203**
Fees and charges[(i)]			
Audit Office of South Australia — fees for audit and other sundry receipts	**5 862**	5 794	17 922
Court fines	**102 301**	85 447	98 334
Court regulatory fees	**48 951**	38 139	48 000
Guarantee fees	**163 626**	144 065	144 303
Infringement notice schemes — expiation fees	**116 263**	90 712	119 782
Land Services regulatory fees	**447 679**	433 651	392 388
Small lotteries	**202**	196	196
Sundry fees	**41**	38	39
Total fees and charges	**884 925**	**798 042**	**820 964**

	2025-26 Budget $000	2024-25 Estimated Result $000	2024-25 Budget $000
Table C.3: Estimates of receipts continued			
Recoveries			
Across government energy retail agreement rebate	**—**	4 330	4 330
Adelaide Oval Sublease Fees	**1 221**	1 171	1 110
Casino Unclaimed Prizes	**40**	40	40
Commonwealth contribution to Whyalla Steel Industry	**19 600**	190 400	—
Department for Environment and Water — Qualco Sunlands	**250**	20	250
Department for Infrastructure and Transport — indentured ports	**18 543**	12 420	15 727
Essential Services Commission of South Australia	**18 106**	17 698	17 698
Independent Gaming Corporation contribution to Gamblers Rehabilitation Fund	**2 000**	2 000	2 000
Landscape Levy — Treasurer's Water Licences	**461**	450	450
Metropolitan Drainage Fund	**7**	7	7
National Tax Equivalent Program	**50**	50	50
Off-course wagering services annual fee	**1 336**	1 303	1 303
On-passing of Digital Technology Academy Funding	**—**	—	26 000
On-passing of Innovation Centre Funding	**—**	10 000	10 000
Recoup from the Economic Investment Fund	**2 000**	1 611	500
Recoup from the Future Jobs Fund	**104**	146	—
Return of cash to Consolidated Account — cash alignment policy	**—**	312 475	—
Return of deposit account balances	**400**	3 100	3 100
Return of deposit account balances — superannuation	**—**	—	30 000
Return of Whyalla Steelworks Operational Efficiency Improvements Fund	**—**	55 000	—
Return of working capital	**9 504**	8 963	9 272
Sundry recoupment	**203**	1 698	198
Unclaimed monies and personal property	**2 829**	2 764	2 764
Total recoveries	**76 654**	**625 646**	**124 798**
Table C.3: Estimates of receipts continued			
Royalties			
Department for Energy and Mining	**456 809**	422 393	422 901
Land Services data royalties	**802**	720	—
Total royalties	**457 611**	**423 113**	**422 901**
Other receipts			
Interest			
Interest on investments	**379 724**	408 324	418 324
Interest recoveries from general government entities	**1 196**	1 056	1 128
Interest recoveries from the private sector	**439**	439	439

	2025-26 Budget	2024-25 Estimated Result	2024-25 Budget
	$000	$000	$000
Repayment of advances			
Catholic Church Endowment Society Incorporated	**3 600**	3 600	3 600
Department of Primary Industries and Regions	**8 134**	9 070	6 518
Repayment of equity capital contributions			
Urban Renewal Authority	**—**	62 000	—
Other			
Other receipts	**528**	1 057	528
Sale of land and building	**6 120**	13 073	19 181
Visitor Information Centre	**—**	590	—
Total other receipts	**399 741**	**499 209**	**449 718**
Total Consolidated Account receipts	**18 497 521**	**18 295 417**	**17 244 910**

Note: Totals may not add due to rounding.

(a) Effective 1 July 2024, the title of the Auditor-General's Department was altered to Audit Office of South Australia.

(b) Appropriation previously reported for The Office of Hydrogen Power of South Australia is now reported with the Department of Energy and Mining.

(c) Effective 1 July 2024, the title of the Department for Trade and Investment was altered to Department for Housing and Urban Development.

(d) Effective 1 July 2024, the title of the Department of Industry, Innovation and Science was altered to Department of State Development.

(e) Taxes akin to state taxes are levied on activities conducted on Commonwealth places under the authority of Commonwealth mirror tax legislation. Revenue is retained by the state.

(f) This includes the estimate of the Commonwealth Government's no worse off guarantee payments to South Australia.

(g) Refers only to those Commonwealth specific purpose payments paid to the Consolidated Account.

(h) Refers only to National Partnership payments that are paid to the Consolidated Account. The remainder of National Partnership payments are paid into the Intergovernmental Agreement on Federal Financial Relations special deposit account for subsequent disbursement to the relevant line agencies.

(i) Refers to only those fees and charges paid to the Consolidated Account.

Appendix D: South Australian state public sector organisations

The entities listed below are controlled by the government.

The sectors to which these entities belong are based on the date of the release of the 2025-26 Budget.

The government's interest in each of the public non-financial corporations and public financial corporations listed below is 100 per cent.

General Government Sector

Adelaide Festival Corporation
Adelaide Film Festival
Agents Indemnity Fund
Alinytjara Wilurara Landscape Board
Anzac Day Commemoration Fund
Art Gallery Board, The (trading as AGSA)
Attorney-General's Department
Audit Office of South Australia
Board of Botanic Gardens and State Herbarium
Carrick Hill Trust
Child Protection, Department for
Coast Protection Board
Commission on Excellence and Innovation in Health
Correctional Services, Department for
Courts Administration Authority
CTP Regulator (trading as CTP Insurance Regulator)
Dairy Authority of South Australia
Defence SA
Dog and Cat Management Board
Dog Fence Board
Education and Early Childhood Services Registration and Standards Board of South Australia
Education, Department for
Electoral Commission of South Australia
Energy and Mining, Department for
Environment and Water, Department for
Environment Protection Authority
Essential Services Commission of South Australia
Eyre Peninsula Landscape Board
Government schools
Green Adelaide Board
Green Industries SA
Health and Wellbeing, Department for
Hills and Fleurieu Landscape Board
History Trust of South Australia
House of Assembly
Housing and Urban Development, Department for
Human Services, Department of
Incorporated Hospitals and Health Services
Independent Commission Against Corruption (ICAC)
Infrastructure and Transport, Department for
Infrastructure SA
International Koala Centre of Excellence (trading as Koala Life)
Joint Parliamentary Services
Kangaroo Island Landscape Board
Legislative Council
Libraries Board of South Australia
Limestone Coast Landscape Board
Lotteries Commission of South Australia (trading as SA Lotteries)
Murraylands and Riverland Landscape Board
Museum Board (trading as South Australian Museum)
Native Vegetation Fund
Northern and Yorke Landscape Board
Office for Early Childhood Development
Office of Hydrogen Power South Australia
Office for Public Integrity
Office for Recreation, Sport and Racing
Office of the Commissioner for Public Sector Employment
Office of the Industry Advocate
Office of the South Australian Productivity Commission
Outback Communities Authority
Planning and Development Fund
Premier and Cabinet, Department of the
Premier's Delivery Unit
Preventive Health SA
Primary Industries and Regions, Department of
Professionals Standards Council
Residential Tenancies Fund
Retail Shop Leases Fund
SACE Board of South Australia

Second-hand Vehicles Compensation Fund
Small Business Commissioner
Social Workers Registration Board of South Australia
South Australia Police (South Australian Police Department, SAPOL)
South Australian Ambulance Service
South Australian Arid Lands Landscape Board
South Australian Country Arts Trust
South Australian Country Fire Service (CFS)
South Australian Film Corporation
South Australian Fire and Emergency Services Commission (trading as SAFECOM)
South Australian Local Government Grants Commission
South Australian Metropolitan Fire Service (MFS)
South Australian Skills Commission
South Australian State Emergency Service (trading as SES)
South Australian Tourism Commission
South Eastern Water Conservation and Drainage Board
State Development, Department of
State Governor's Establishment
State Opera of South Australia
State Planning Commission
State Theatre Company of South Australia
Study Adelaide
TAFE SA
Treasury and Finance, Department of

Public Non-Financial Corporations Sector

Adelaide Cemeteries Authority
Adelaide Festival Centre Trust
Adelaide Venue Management Corporation
Distribution Lessor Corporation
Generation Lessor Corporation
Public Trustee
South Australian Forestry Corporation (trading as ForestrySA)
South Australian Housing Trust
South Australian Motor Sport Board
South Australian Water Corporation (trading as SA Water)
State Owned Generators Leasing Co Pty Ltd
Transmission Lessor Corporation
Urban Renewal Authority (trading as Renewal SA)
West Beach Trust (trading as West Beach Parks)

Public Financial Corporations Sector

HomeStart Finance
Lifetime Support Authority
Motor Accident Commission
Return to Work Corporation of South Australia (trading as ReturnToWorkSA)
South Australian Government Financing Authority (trading as SAFA)
Superannuation Funds Management Corporation of South Australia (trading as Funds SA)

Changes to controlled entities/reporting structures since the 2024-25 Budget

New entities

- Effective 1 July 2025, the Social Workers Registration Board of South Australia is established.

Other changes

- Effective 1 July 2024, the title of the Auditor-General's Department was altered to Audit Office of South Australia.
- Effective 1 July 2024, the title of the Department of Industry, Innovation and Science was altered to Department of State Development.
- Effective 1 July 2024, the title of the Department for Trade and Investment was altered to Department for Housing and Urban Development.
- Effective 7 May 2025, the Office of Hydrogen Power South Australia was abolished.

Appendix E: Tax expenditure statement

Overview

This statement provides a summary of tax expenditures incurred by the Government of South Australia in 2023-24 and 2024-25.

What are tax expenditures?

The term 'tax expenditure' refers to differential tax treatment where the difference constitutes a departure from the tax standard or benchmark.

Examples of tax expenditures can include revenue forgone from:

- tax exemptions
- reduced rates of taxation
- tax rebates or deductions.

A tax expenditure is a reduction in tax revenue or increase in refund and remission expenditure resulting from 'preferential' tax treatment. In practice, differentiating preferential tax treatment from tax differences that are integral to efficient revenue raising design is not always straightforward.

In the design of expenditure and revenue policy, governments observe various principles of fairness and equity. Such principles apply to decisions on taxation policies as well as decisions that underpin the direction of public expenditure. As a result, a number of differential tax treatments across a broad spectrum of taxpayers and particular activities may arise. Differential treatment afforded to certain taxpayers to achieve social and political objectives rather than tax design objectives constitutes a tax expenditure.

Why measure tax expenditures?

The immediate and direct impact of preferential tax treatment is to reduce the revenue raised from a given tax. In the absence of concessions and exemptions, governments would be able to support a higher level of government spending, reduce the level of tax rates or, if expenditure remain unchanged, reduce borrowing requirements.

By explicitly publishing estimates of the magnitude of this preferential tax treatment, transparency is increased and the community is made more aware of the government's fiscal priorities. The government should also be better placed to ensure that resources, in total, are committed to the areas that clearly reflect policy priorities.

Valuation of tax expenditures

Tax expenditures in this appendix are calculated according to the revenue forgone method, which involves applying the general structure of a tax to a tax base (that is, a group of people or activities) that is currently exempt from the tax or subject to concessional treatment.

This static approach does not take into account possible behavioural changes which may result from the removal of a tax concession. This means that the revenue forgone approach assumes taxpayer behaviour will remain unchanged if concessions are removed. As a result, tax expenditures measured using this approach provide only a broad indication of actual revenue impacts and, more specifically, this approach is likely to overstate the actual revenue forgone as a result of an individual tax concession.

Aside from the absence of assumptions about behavioural responses, the estimates are in many cases approximations, reflecting data limitations and the use of proxy indicators to measure the size of revenue bases relevant to tax concessions.

Benchmark for measuring tax expenditures

Tax expenditures should be quantified by comparing the existing tax structure with a benchmark tax structure based entirely on taxation design principles. In practice, deciding on such a structure does involve some judgement. For example, the benchmark structure used for payroll tax is a flat tax at the standard rate of 4.95 per cent with no threshold. There is no particular merit in the standard rate from the point of view of tax design but it has been adopted because it is the existing rate. Further, a zero threshold would probably not be desirable from a tax design point of view because the administrative costs of collecting revenue from very small employers might well exceed the revenue collected. However, for the sake of simplicity, a zero threshold has been adopted in this exercise.

Summary

The view has been taken that the extent of tax relief provided through the availability of exemptions, concessions, rebates and allowable deductions is sufficiently important to warrant documentation even if:

- the benchmark against which the tax expenditure is assessed could be argued to be imperfectly defined
- the measurement of those imperfectly defined expenditures is also subject to qualification
- the value of many tax expenditures cannot be quantified.

Many tax expenditures have not been able to be quantified. In particular, there are a large number of exemptions from stamp duties that are not reflected in the estimates due to a lack of information on the size of the affected tax bases. Similarly, a number of exemptions relating to payroll tax have not been quantified. As such, the aggregate total of the estimates contained in table E.1 does not represent the total value of assistance provided by tax expenditures.

The largest tax expenditures are the land tax exemption for primary production land and the payroll tax threshold exemption.

The following is a brief summary of the individual tax expenditures that have been quantified.

Payroll tax

Total quantified tax expenditures relating to payroll tax for 2024-25 estimated at $1.3 billion represents 68.7 per cent of payroll tax revenue collections (net of related tax expenditures and excluding general government collections). This is a $10 million increase on the estimated value of payroll tax expenditures in 2023-24.

The largest payroll tax expenditure is the provision of a tax-free threshold and deduction. Payroll tax is levied on wages paid by employers. Employers with annual national wages of up to $1.5 million are exempt from payroll tax. Businesses with national wages above $1.5 million receive a deduction of $600 000. A variable payroll tax rate between zero per cent and 4.95 per cent applies to businesses with national wages between $1.5 million and $1.7 million, with a rate of 4.95 per cent applicable to businesses with national wages above $1.7 million.

The threshold exemption results in a large number of small businesses not being liable for payroll tax. In addition, those businesses that are liable for payroll tax receive the benefit of a $600 000 deduction. It is estimated that the tax revenue forgone as a result of the existence of the threshold, deduction and phase-in rate is $816 million in 2024-25 for private sector employers.

Several other groups of taxpayers are exempt from payroll tax liabilities, many of which have not been quantified in terms of tax expenditures. Of those that have been calculated, the largest tax expenditure relates to the exemption for public hospitals, which is estimated to amount to $190.1 million in 2024-25. Other expenditures in 2024-25 include public benevolent institutions ($154.9 million), not-for-profit schools ($73.9 million), local government councils ($52.0 million) and not-for-profit hospital and health providers ($32.3 million).

Stamp duties

Stamp duties apply to a range of transactions including conveyances, insurance and motor vehicle registration. There are a large number of exemptions contained in stamp duty legislation, many of which cannot be quantified. The total quantifiable tax expenditure on stamp duties in 2024-25 of an estimated $586.2 million is equivalent to 22.7 per cent of stamp duty revenues. The total cost of stamp duty tax expenditures is estimated to have increased by $25.4 million in 2024-25, largely reflecting higher expenditure on first home concessions following the removal of property value thresholds for eligible contracts entered into on or after 6 June 2024.

Conveyance duty tax expenditures are estimated to amount to $541.8 million in 2024-25. The stamp duty exemption for non-residential real property (excluding primary production) is estimated to cost $266.1 million and the exemption for the transfer of family farms is estimated to cost $125.5 million. The stamp duty concession for eligible first home buyers on the purchase of a new home or vacant land to build a new home is estimated to cost $72.0 million while the exemption for non-real property transfers is estimated to cost $68.3 million in 2024-25.

Approximately $44.3 million of stamp duty tax expenditures in 2024-25 relate to exemptions given in respect of the $60 stamp duty fee payable on the combined renewal certificate for vehicle registration and compulsory third party insurance. Of this, an estimated $13.7 million relates to concessions provided to pensioners and state concession cardholders. The remaining balance mainly relates to conditionally registered vehicles (for example historic and left hand drive vehicles, special purpose vehicles such as fork lifts, tractors, self-propelled farm implements and mobile cranes), government vehicles registered under the Continuous Government Registration Scheme and vehicles owned by local government councils.

Land tax

Total land tax expenditures are estimated to be $2.3 billion in 2024-25. This represents 274.8 per cent of land tax collections (net of related tax expenditures).

Land tax is calculated on the aggregate taxable value of all land held by an owner as at 30 June preceding the assessment year. No tax is payable if the total taxable value of all land is less than the tax-free threshold level. The 2024-25 tax-free threshold for general non-trust landholdings was $732 000 with a $25 000 tax-free threshold for land held in certain trusts. A marginal tax rate structure applies above these thresholds, with increasing marginal tax rates applied as the value of landholdings increase.

The major 2024-25 tax expenditures associated with land tax include:

- the primary production exemption (provided it meets certain criteria) — estimated to cost $1.2 billion
- the tax-free threshold — estimated to cost $512.3 million
- the principal place of residence exemption — estimated to cost $396.3 million
- other specific exemptions provided in section 4 of the *Land Tax Act 1936*. Exempt categories include land used for religious purposes, state subsidised hospitals, libraries, parklands, conservation of native flora and fauna, sporting activities and other items. The cost of these exemptions amounts to approximately $188.1 million in 2024-25.

Total land tax expenditures in 2024-25 are $240.3 million higher than in 2023-24. This primarily reflects the estimated higher cost of providing exemptions for primary production land and the tax-free threshold.

Gambling taxes

Total gambling tax expenditures are estimated to be $57.5 million in 2024-25, representing around 8.3 per cent of gambling tax collections.

Tax expenditures for gambling taxes arise from the gambling tax-free threshold and the differential tax treatments that apply to gaming machine activity in not-for-profit venues and the Adelaide Casino compared with the tax rate structure applying to hotels.

In South Australia, for hotels, gambling tax is levied on net gambling revenue (NGR) above an annual threshold of $75 000. Lower tax structures apply to not-for-profit venues. For the Adelaide Casino, the tax rate for non-premium gaming machines is set at the lower of 41 per cent and the average tax rate paid by for-profit venues. A lower tax rate of 10.91 per cent of NGR applies for premium gaming machines at the Adelaide Casino having regard to tax rates faced by interstate competitors.

In 2024-25, it is estimated that the revenue forgone as a result of the existence of the tax-free threshold for gaming machines in hotels and not-for-profit venues is $9.0 million. The benefit to not-for-profit venues from lower gaming machine tax rates is estimated to be $9.4 million in 2024-25. The benefit to the Adelaide Casino of different tax treatment for gaming machines compared to hotels is estimated to be $39.0 million in 2024-25.

Total gambling tax expenditures in 2024-25 are broadly in line with those in 2023-24.

Emergency services levy

The emergency services levy (ESL) is intended to provide a comprehensive method of funding emergency services by raising sufficient funds from property holders to support aggregate expenditure on emergency services. The government makes contributions through remissions, pensioner concessions and the levy payable on the government's own property. The tax expenditure costings measure the difference between standard levy rates and post-remission levy rates which vary depending on land use code and location (for fixed property) and class of vehicle (for mobile property).

The ESL has differential rates of levy on land use types and regions. The motivation for the differential levy rates lies in a desire to achieve some alignment with relative risk of property types, the value of the service provided (related to property value) and regional variation in service levels. The different land use and regional factors are not treated as a tax expenditure.

The cost of the fixed property remission is estimated at $129.1 million in 2024-25 which is broadly consistent with 2023-24.

Table E.1: Summary of tax expenditures ($million)

Tax expenditures ($m)	2023-24	2024-25
Payroll tax		
Threshold related exemption, of which:		
benefit of $600,000 deduction	684.1	690.7
incremental benefit of $1.5m threshold	118.8	118.4
incremental benefit of phased rate for payrolls between $1.5m and $1.7m	6.6	7.0
Religious institutions	—	—
Public benevolent institutions	153.3	154.9
Public hospitals exemption[(a)]	190.1	190.1
Non-profit hospital and health providers exemption	32.1	32.3
Non-profit schools or colleges at or below secondary level	72.6	73.9
Non-profit kindergartens	7.2	7.3
Child care centres	9.6	11.1
Local government council exemption[(a)]	52.0	52.0
Apprentice and trainee wages exemption	—	—
Assistance for motion picture production companies[(b)]	1.7	0.6
Total for payroll tax	**1 328.1**	**1 338.1**
Stamp duties		
Conveyance duty		
Family farm exemption	165.3	125.5
Corporate reconstructions	17.9	8.9
Non-real property stamp duty — abolition[(c)]	60.6	68.3
Non-residential (non-primary production) property stamp duty — abolition[(d)]	246.6	266.1
First home concessions	21.0	72.0
Other	5.3	1.0
Stamp duty on renewal certificate for motor vehicle registration and compulsory third party insurance (CTP)		
The Crown and vehicles registered under the Continuous Government Registration Scheme	0.9	1.1
Hire vehicles with more than 12 seats	0.1	0.1
Councils	0.3	0.2
Conditionally registered vehicles	29.1	29.1
Incapacitated ex-servicemen and other persons	0.2	0.2
Pensioners and eligible low-income earners	13.6	13.7
Stamp duty on motor vehicle registrations		
General remissions	<0.1	<0.1
Total for stamp duties	**560.8**	**586.2**

Tax expenditures ($m)	2023-24	2024-25
Land tax		
Threshold exemption	492.6	512.3
Principal place of residence[(e)]	398.7	396.3
Primary production[(e)]	966.5	1 179.2
Caravan parks and residential parks[(e)]	0.9	1.6
Supported residential facilities[(e)]	0.6	0.4
For-profit aged care facilities[(e)]	2.7	4.0
Other exemptions[(f)]	179.5	188.1
Total for land tax	**2 041.5**	**2 281.8**
Gambling taxes		
Gaming machines		
Threshold exemption	9.0	9.0
Differential treatment of non-profit businesses	9.0	9.4
Casino[(g)]		
Premium gaming machines	31.9	30.8
Non-premium gaming machines	8.6	8.2
Total for gambling taxes	**58.5**	**57.5**
Other taxes on property		
Emergency services levy		
Pensioner concessions	6.7	6.8
General remissions		
Fixed property	127.6	129.1
Mobile property	3.1	3.1
Total for other taxes on property	**137.4**	**139.0**
Total expenditures	**4 126.3**	**4 402.6**

Note: Totals may not add due to rounding.

(a) Estimates for 2024-25 are based on 2023-24 data. A revised estimate for 2024-25 will be presented in this table as part of the 2026-27 Budget.

(b) Includes estimated cost of legislated payroll tax exemption applicable to wages paid or payable in connection to a feature film produced in South Australia as well as associated ex-gratia relief.

(c) Stamp duty on non-real property transfers was abolished from 18 June 2015.

(d) Stamp duty on non-residential (non-primary production) transfers was fully abolished from 1 July 2018.

(e) Consistent with the approach taken for other taxes in this table, the cost of these land tax exemptions has been calculated assuming the land tax rates and thresholds in force in the relevant year apply.

(f) Includes a wide range of exemptions provided to land used for a number of specific activities under section four of the *Land Tax Act 1936*. Some of these include land used for religious purposes, state subsidised hospitals, libraries, parklands, conservation of native flora and fauna as well as sporting activities.

(g) This has been estimated by applying the gaming machine tax rate structure applicable to for-profit venues.

Glossary of terms used in the budget statement

Term	Definition
Assets	Resources controlled by the entity as a result of past events and from which future economic benefits are expected to flow to the entity.
Australian Bureau of Statistics Government Finance Statistics (ABS GFS) Manual	The Australian Bureau of Statistics' publication *Australian System of Government Finance Statistics: Concepts, Sources and Methods 2015* contains a comprehensive and definitive guide to the classification of financial aggregates for National Accounts and the Government Finance Statistics (GFS).
Balance sheet	A statement showing the financial position (at a specific time) of a reporting entity in terms of its recognised assets, liabilities and equity at the end of a reporting period.
Capital grants	Amounts paid or received for capital purposes for which no economic benefits of equal value are receivable or payable in return.
Cash flow statement	A statement showing the cash inflows and outflows of a reporting entity during the reporting period. Cash flows are classified as operating, investing and/or financing activities.
Cash surplus/deficit	The cash surplus/deficit has two components. The first is the net cash flows from operating activities (operating receipts less operating payments). The second is the net cash flows from transactions (cash inflows from sales and cash outflows from purchases) in non-financial assets (less dividends paid by the PNFC and PFC sectors).
Comprehensive result — total change in net worth	Measures the variation in a government's accumulated assets and liabilities, and is the most inclusive measure of the change in a government's financial position over a given period. It is calculated as revenue from transactions less expenses from transactions plus other economic flows other than transactions with owners as owners.
Consolidated Account	The government's main operating account, from which appropriations are paid and revenues of the state are credited, created pursuant to the *Public Finance and Audit Act 1987*.
Consumer Price Index (CPI)	A general indicator of the rate of change in prices paid by households for consumer goods and services published by the Australian Bureau of Statistics (ABS).
Contingent asset	A possible asset that arises from past events and whose existence will be confirmed by the occurrence or non-occurrence of uncertain future events not wholly within the control of the entity.
Contingent liability	A possible obligation that arises from past events and whose existence will be confirmed by the occurrence or non-occurrence of uncertain future events not wholly within the control of the entity; or a liability that does not meet the recognition criteria.
Convergence differences	The difference between the amounts recognised in the financial statements (prepared under Australian accounting standards) compared with the amounts determined for Government Finance Statistics purposes as a result of differences in definition, recognition, measurement, classification and consolidation principles and rules.

Term	Definition
Current grants	The provision of something in value for no specific return or consideration and includes grants, subsidies and donations.
Financial reports	Financial reports for the various sectors of the public sector are also produced in accordance with the Uniform Presentation Framework. These are the operating statement, balance sheet and cash flow statement.
General government	The sector of government that includes all government agencies that provide services free of charge or at prices significantly below the cost of production or provide regulatory services.
Government finance statistics (GFS)	Statistics that measure the financial activities of governments and reflect the impact of those activities on other sectors of the economy. GFS is based on international statistical standards.
Classification of the functions of government (COFOG-A)	The method used to classify expenses from transactions and acquisitions of non-financial assets in terms of the purposes for which the transactions are made, for example, health, education.
Gross Domestic Product (GDP)	The total market value of all final goods and services produced within a country in a given period after deducting the cost of goods and services used up in the process of production, but before deducting allowances for the consumption of fixed capital. It is an indicator of the level of economic activity in the market sector, and percentage changes in it are used as a measure of a country's rate of economic growth.
Gross State Product (GSP)	The total market value of goods and services produced within a state in a given period after deducting the cost of goods and services used up in the process of production, but before deducting allowances for the consumption of fixed capital.
Horizontal fiscal equalisation (HFE)	The principle underlying the Commonwealth Grants Commission's assessment of per capita relativities, which are the basis for the interstate distribution of GST revenue. Under this principle, GST revenue grants are distributed to give each state and territory the capacity to provide public services at an average standard and level of efficiency, for comparable revenue effort. This is sometimes referred to as full HFE. Since 2021-22 the distribution of GST revenue has been transitioning to new arrangements that aim to ensure each state or territory has the capacity to provide services at the standard of New South Wales or Victoria (whichever is greater).
Income (revenue)	Increases in economic benefits during the accounting period in the form of inflows or enhancements of assets or decreases of liabilities that result in increases in equity, other than those relating to contribution by owners.
Income tax equivalent (ITE)	Payments equivalent to income tax that certain public authorities or business units (if a legal entity) would be liable to pay under the Commonwealth Government's *Income Tax Assessment Act 1997*, were that public authority or business unit (if a legal entity) not an instrumentality of the Crown in right of the State of South Australia.
Investment expenditure	Comprises projects and programs that result in the capitalisation of assets on the balance sheet. They include the acquisition and construction of, or addition to non-current assets, including property, plant and equipment and other productive assets. Examples include roads, hospitals, medical equipment and schools.

Term	Definition
Liabilities	Present obligations arising from past events, the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits.
Net cash flow from investments in financial assets (liquidity management purposes)	Equals cash receipts from liquidation or repayment of investments in financial assets for liquidity management purposes less cash payments for such investments. Investment for liquidity management purposes means making funds available to others with no policy intent and with the aim of earning a commercial rate of return.
Net cash flow from investments in financial assets (policy purposes)	Equals cash receipts from the repayment and liquidation of investments in financial assets for policy purposes less cash payments for acquiring financial assets for policy purposes. Acquisition of financial assets for policy purposes is distinguished from investments in financial assets (liquidity management purposes) by the underlying government motivation for acquiring the assets. Acquisition of financial assets for policy purposes is motivated by government policies such as encouraging the development of certain industries or assisting citizens affected by natural disaster.
Net debt	Net debt comprises the stock of selected gross financial liabilities less selected financial assets. Net debt is reported in the balance sheet and is the sum of deposits held, advances received and borrowing, less the sum of cash and deposits, advances paid, and investments, loans and placements.
Net financial liabilities	Net financial liabilities comprises total liabilities less financial assets (net financial worth), but excludes equity investments (net worth) in the other sectors of the jurisdiction. Net financial liabilities is a broader measure than net debt as it includes substantial non-debt liabilities such as accrued superannuation and long service leave entitlements.
Net financial worth	Net financial worth measures a government's net holdings of financial assets. It is calculated from the balance sheet as financial assets minus liabilities. It differs from net financial liabilities in that equity in non-financial public corporations and public financial corporations are included as assets.
Net lending/borrowing position	Net lending/borrowing (which is recorded in the operating statement) differs from the net operating balance in the treatment of capital expenditure. Unlike the net operating balance, net lending/borrowing includes net capital expenditure, but not the use of capital (depreciation). It is calculated as the net operating balance less the net acquisition of non-financial assets.
Net operating balance	The net operating balance is the excess of revenue from transactions over expenses from transactions. The net operating balance excludes expenditure on the acquisition of capital assets, but includes non-cash costs such as accruing superannuation entitlements and the consumption of capital (depreciation).
Net worth	Net worth is calculated as total assets (both financial and non-financial) minus total liabilities. Net worth incorporates a government's non-financial assets, such as land and other fixed assets, which may be sold and used to repay debt, as well as certain financial assets and liabilities not captured by the net debt measure, most notably accrued employee superannuation liabilities, accrued long service leave benefits, debtors and creditors.

Term	Definition
Non-financial public sector	The consolidation of the general government sector and public non-financial corporations sector.
Operating expenses	A decrease in economic benefits during the accounting period in the form of outflows or depletion of assets, or incurrence of liabilities that result in decreases of equity other than those relating to distributions to owners.
Operating statement	The financial statement disclosing all income and expenses (and their sources) of a reporting entity recognised in the reporting period unless an accounting standard requires otherwise.
Other economic flows	Changes to assets, liabilities and equity that are not the result of transactions e.g. revaluation of assets.
Public financial corporation (PFC)	Government controlled entity that is mainly engaged in financial intermediation or the provision of auxiliary financial services.
Public non-financial corporation (PNFC)	Government controlled entity that is mainly engaged in the production of market goods and/or non-financial services, which recovers a significant portion of its costs through user charges.
Real terms	Adjustments made in order to take account of the impact of rising prices on the purchasing power of money. Throughout this budget paper, reference is made to real term aggregates and growth rates. All real terms calculations use the Adelaide CPI, unless specifically stated otherwise.
Sector	An ABS national accounting concept used to group entities with similar economic characteristics. Sectors comprising the public sector are general government, public non-financial corporations and public financial corporations.
State Final Demand (SFD)	A measure of spending in a state economy. The estimate obtained by summing government final consumption expenditure, household final consumption expenditure, private gross fixed capital formation and the gross fixed capital formation of public corporations and general government.
Superannuation interest cost	Represents the carrying cost of unfunded superannuation liabilities, net of interest revenue on plan assets of defined benefit schemes.
Transactions	Changes to assets, liabilities and equity that arise from mutually agreed interactions between entities.
Unfunded superannuation liability	The amount by which the liabilities of a superannuation scheme or schemes (measured as the present value of expected future superannuation benefits that have accrued to members) at the reporting date exceeds the value of assets held by the superannuation scheme or schemes to meet those benefits.
Uniform presentation framework (UPF)	The reporting framework agreed by the Commonwealth Government and state and territory governments, to ensure all governments provide a common ‘core’ of financial information in their budget papers (refer to Appendix A).

STATE BUDGET
2025-26

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SOUTH AUSTRALIA

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